



ZENITH BANK PLC

Interim Report - 30 June 2026

# ZENITH BANK PLC

## DIRECTORS, OFFICERS AND PROFESSIONAL ADVISERS

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### DIRECTORS

|                                    |                                    |
|------------------------------------|------------------------------------|
| Jim Ovia, CFR                      | Retired*                           |
| Engr. Mustafa Bello                | Chairman**                         |
| Mr. Chuks Emma Okoh                | Non-Executive Director             |
| Dr. Juliet Ehimuan                 | Non-Executive Director             |
| Dr. Omobola Ibidapo-Obe Ogunfowora | Non-Executive Director/Independent |
| Dr. Peter Olatunde Bamkole         | Non-Executive Director/Independent |
| Dr. Al-Mujtaba Abubakar, MFR       | Non-Executive Director/Independent |
| Dr. Rislana Kanya Abdulazeez       | Non-Executive Director/Independent |
| Ms. Pamela Yough                   | Non-Executive Director             |
| Dame (Dr.) Adaora Umeoji, OON      | Group Managing Director/CEO        |
| Dr. (Mrs.) Adobi Nwapa             | Executive Director                 |
| Mr. Akindele Ogunranti             | Executive Director                 |
| Mr. Lawani Adamu                   | Executive Director                 |
| Mr. Louis Odom                     | Executive Director                 |
| Mr. Kennedy Onuwa Okwudili         | Executive Director***              |

\* Retired from the Board effective 29th April 2026.

\*\* Appointed Chairman of the Board effective 29th April 2026.

\*\*\* Appointed to the Board effective 1st May 2026.

### COMPANY SECRETARY

Michael Osilama Otu Esq.

### REGISTERED OFFICE

Zenith Bank Plc  
Zenith Heights  
Plot 84/87, Ajoye Adeogun Street  
Victoria Island, Lagos.

### AUDITOR

PricewaterhouseCoopers (PwC) Chartered Accountants  
FF Millenium Towers,  
13/14 Ligali Ayorinde Street  
Victoria Island Lagos.

### REGISTRAR AND TRANSFER OFFICE

Veritas Registrars Limited (formerly Zenith Registrars Limited)  
Plot 89 A, Ajoye Adeogun Street  
Victoria Island,  
Lagos.

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# ZENITH BANK PLC

## Directors' Report for the six month period ended 30 June 2026

The directors present their report on the affairs of ZENITH BANK PLC ("the Bank"), together with the financial statements and the independent auditor's report for the period ended 30 June 2026.

### 1. Legal form

The Bank was incorporated in Nigeria under the Companies and Allied Matters Act as a private limited liability company on 30 May, 1990. It was granted a banking licence in June 1990, to carry on the business of commercial banking and commenced business on June 16, 1990. The Bank was converted into a Public Limited Liability Company on 20 May 2004. The Bank's shares were listed on the floor of the Nigerian Stock Exchange on 21 October 2004. In August 2015, the Bank was admitted into the premium Board of the Nigerian Stock Exchange.

There have been no material changes to the nature of the Group's business from the previous year.

### 2. Principal activities and business review

The principal activity of the Bank is the provision of banking and other financial services to corporate and individual customers. Such services include obtaining deposits from the public, granting of loans and advances, corporate finance and money market activities.

The Bank has eight subsidiary companies namely; Zenith Bank (Ghana) Limited, Zenith Bank (UK) Limited, Zenith Bank (Sierra Leone) Limited, Zenith Bank (The Gambia) Limited, Paramount Bank (Kenya) Limited, Zenith Bank (Cote d'Ivoire) Limited, Zenith Pensions Custodian Limited and Zenith Nominees Limited. The Group established its operations in Cote d'Ivoire and completed the acquisition of 100% of Paramount Bank (Kenya) Limited during the period while the Bank also opened 6 new branches in its Nigeria Business.

As at 30 June 2026 the Group had 472 branches, 87 cash centers; 2,145 ATM terminals; 554,402 POS terminals and 31,465,353 cards issued to its customers. (31 December 2025: 456 branches, 84 cash centers, 2,148 ATM terminals, 473,123 POS terminals and 30,274,472 cards issued).

### 3. Operating results

Gross earnings of the Group decreased by 25% and profit before tax increased by 2%. Highlights of the Group's operating results for the period under review are as follows:

|                                                                | 30 June 2026<br>N' Million | 30 June 2025<br>N' Million |
|----------------------------------------------------------------|----------------------------|----------------------------|
| <b>Gross earnings</b>                                          | <b>1,899,944</b>           | <b>2,520,759</b>           |
| Profit before tax                                              | 637,603                    | 625,629                    |
| Tax expense                                                    | (206,841)                  | (93,449)                   |
| Profit after tax                                               | 430,762                    | 532,180                    |
| Non- controlling interest                                      | (469)                      | (347)                      |
| <b>Profit attributable to the equity holders of the parent</b> | <b>430,293</b>             | <b>531,833</b>             |
| <b>Appropriations</b>                                          |                            |                            |
| Transfer to statutory reserve                                  | 57,307                     | 71,067                     |
| Transfer to credit risk reserve                                | 5,939                      | 50                         |
| Transfer to retained earnings                                  | 367,047                    | 460,716                    |
|                                                                | <b>430,293</b>             | <b>531,833</b>             |
| Basic and diluted earnings per share (Naira)                   | 10.48                      | 12.95                      |

### 4. Dividends

The Board of Directors, pursuant to the powers vested in it by the provisions of section 426 of the Companies and Allied Matters Act (CAMA 2020) of Nigeria, proposed an interim dividend of N1.50 per share (2025: Interim dividend of N1.25 per share) as at 30 June 2026. This will be presented for ratification by the shareholders at the next Annual General Meeting.

Payment of dividends is subject to withholding tax rate of 10% in the hands of qualified recipients.

## ZENITH BANK PLC

### Directors' Report for the six month period ended 30 June 2026

#### 5. Directors' shareholding

The direct and indirect interests of directors in the issued share capital of Zenith Bank Plc as recorded in the register of directors shareholding and/or as notified by the directors for the purposes of sections 301 and 302 of the Companies and Allied Matters Act (CAMA 2020) and the listing requirements of the Nigerian Stock Exchange is as follows:

##### Interests in shares

| Director                              | Designation                          | Number of Shareholding |               |                  |               |
|---------------------------------------|--------------------------------------|------------------------|---------------|------------------|---------------|
|                                       |                                      | 30 June 2026           |               | 31 December 2025 |               |
|                                       |                                      | Direct                 | Indirect      | Direct           | Indirect      |
| Jim Ovia, CFR.*                       | Retired                              | 4,145,107,627          | 1,656,130,705 | 4,145,107,627    | 1,656,130,705 |
| Engr. Mustafa Bello **                | Chairman                             | -                      | -             | -                | -             |
| Mr. Chuks Emma Okoh                   | Non-Executive Director               | 710,506                | -             | 619,776          | -             |
| Dr Juliet Ehimuan                     | Non-Executive Director               | 128,906                | -             | 128,906          | -             |
| Ms. Pamela Mimi Yough                 | Non-Executive Director               | 159,941                | -             | 159,941          | -             |
| Dr. Al-Mujtaba Abubakar,MFR           | Non Executive Director / Independent | -                      | -             | -                | -             |
| Dr. Omobola Ibidapo-Obe<br>Ogunfowora | Non Executive Director / Independent | 400,000                | -             | -                | -             |
| Dr. Peter Olatunde Bamkole            | Non Executive Director / Independent | -                      | -             | -                | -             |
| Dr. Rislana Kanya Abdulazeez          | Non Executive Director / Independent | -                      | -             | -                | -             |
| Dame (Dr.) Adaora Umeoji,OON.         | Group Managing Director              | 285,096,933            | 1,995,143     | 285,096,933      | 1,995,143     |
| Dr. (Mrs.) Adobi Nwapa                | Executive Director                   | 30,158,205             | -             | 30,158,205       | -             |
| Mr. Akindele Ogunranti                | Executive Director                   | 28,103,201             | -             | 28,103,201       | -             |
| Mr. Lawani Adamu                      | Executive Director                   | 13,305,452             | -             | 13,305,452       | -             |
| Mr. Louis Odom                        | Executive Director                   | 12,978,128             | -             | 12,978,128       | -             |
| Mr. Kennedy Onuwa Okwudili<br>***     | Executive Director                   | 1,875,765              | -             | 714,159          | -             |

\* Jim Ovia, CFR retired as Chairman of the Board effective 29th April, 2026.

\*\* Engr. Mustafa Bello was appointed Chairman of the Board on 29th April, 2026.

\*\*\* Mr. Kennedy Onuwa Okwudili was appointed to the Board on 1st May, 2026.

The indirect holdings relate to the holdings of the director in the underlisted companies:

- **Jim Ovia:** (Institutional investors Ltd, Lurot Burca Ltd, Jovis Nigeria Ltd, Veritas Registrars Ltd, and Quantum Zenith Securities Ltd).
- **Adaora Umeoji:** (Palais Vendome Limited).

#### 6. Directors' Remuneration

The Bank ensures that remuneration paid to its Directors complies with the provisions of the Code of Corporate Governance issued by its regulators.

In compliance with Section 34(5) of the Code of Corporate Governance for Public Companies as issued by Securities and Exchange Commission, the Bank makes disclosure of the remuneration paid to its directors as follows:

| Type of package Fixed | Description                                                                                                                                                                                                 | Timing                                                |
|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|
| Basic Salary          | - Part of gross salary package for Executive Directors only. Reflects the banking industry's competitive salary package and the extent to which the Bank's objectives have been met for the financial year. | Paid monthly during the financial year.               |
| Other allowances      | - Part of gross salary package for Executive Directors only. Reflects the banking industry's competitive salary package and the extent to which the Bank's objectives have been met for the financial year. | Paid at periodic intervals during the financial year. |
| Productivity bonus    | -Paid to Executive directors only and tied to performance of the line report. It is also a function of the extent to which the Bank's objectives have been met for the financial year.                      | Paid annually in arrears.                             |
| Director fees         | - Paid annually on the day of the Annual General Meeting ('AGM') to Non-Executive Directors only.                                                                                                           | Paid annually on the day of the AGM.                  |
| Sitting allowances    | - Allowances paid to Non-Executive Directors only, for attending Board and Board Committee Meetings.                                                                                                        | Paid after each Meeting.                              |

## ZENITH BANK PLC

### Directors' Report for the six month period ended 30 June 2026

#### 7. Changes on the Board

The following changes were made to the composition of the Board during the period:

1. Jim Ovia, CFR retired from the Board effective 29th April, 2026
2. Engr. Mustafa Bello was appointed Chairman of the Board on 29th April, 2026
3. Mr. Kennedy Onuwa Okwudili was appointed as an executive director effective 1st May, 2026.

#### 8. Directors' interests in contracts

For the purpose of section 303(1) and (3) of Companies and Allied Matters Act of Nigeria, (CAMA 2020), all contracts with related parties during the period were conducted at arm's length. Information relating to related parties transactions are contained in Note 36 to the financial statements.

#### 9. Acquisition of own shares

The shares of the Bank are held in accordance with the Articles of Association of the Bank. The Bank has no beneficial interest in any of its shares.

#### 10. Property and equipment

Information relating to changes in property and equipment is given in Note 26 to the financial statements. In the opinion of the directors, the market value of the Group's property and equipment is not less than the value shown in the financial statements.

#### 11. Shareholding analysis

The shareholding pattern of the Bank as at 30 June 2026 is as stated below:

| Share range                | No. of Shareholders | Percentage of Shareholders | Number of holdings    | Percentage Holdings (%) |
|----------------------------|---------------------|----------------------------|-----------------------|-------------------------|
| 1-10,000                   | 774,626             | 84.5534 %                  | 1,964,276,380         | 4.78 %                  |
| 10,001 - 50,000            | 104,968             | 11.4577 %                  | 2,266,628,457         | 5.52 %                  |
| 50,001 - 1,000,000         | 34,387              | 3.7535 %                   | 6,022,061,680         | 14.66 %                 |
| 1,000,001 - 5,000,000      | 1,691               | 0.1846 %                   | 3,525,073,440         | 8.58 %                  |
| 5,000,001 - 10,000,000     | 216                 | 0.0236 %                   | 1,520,223,717         | 3.70 %                  |
| 10,000,001 - 50,000,000    | 174                 | 0.0190 %                   | 3,641,623,155         | 8.87 %                  |
| 50,000,001 - 1,000,000,000 | 73                  | 0.0080 %                   | 15,420,253,920        | 37.55 %                 |
| Above 1,000,000,000        | 3                   | 0.0003 %                   | 6,709,689,252         | 16.34 %                 |
|                            | <b>916,138</b>      | <b>100 %</b>               | <b>41,069,830,001</b> | <b>100 %</b>            |

The shareholding pattern of the Bank as at 31 December 2025 is as stated below

| Share range                | No. of Shareholders | Percentage of Shareholders | Number of holdings    | Percentage Holdings (%) |
|----------------------------|---------------------|----------------------------|-----------------------|-------------------------|
| 1-10,000                   | 684,556             | 82.9814 %                  | 1,905,554,458         | 4.64 %                  |
| 10,001 - 50,000            | 103,685             | 12.5686 %                  | 2,243,992,988         | 5.46 %                  |
| 50,001 - 1,000,000         | 34,454              | 4.1765 %                   | 6,072,006,962         | 14.78 %                 |
| 1,000,001 - 5,000,000      | 1,757               | 0.2130 %                   | 3,661,636,750         | 8.92 %                  |
| 5,000,001 - 10,000,000     | 223                 | 0.0270 %                   | 1,575,633,808         | 3.84 %                  |
| 10,000,001 - 50,000,000    | 198                 | 0.0240 %                   | 4,015,511,382         | 9.78 %                  |
| 50,000,001 - 1,000,000,000 | 75                  | 0.0091 %                   | 14,875,444,401        | 36.22 %                 |
| Above 1,000,000,000        | 3                   | 0.0004 %                   | 6,720,049,252         | 16.36 %                 |
|                            | <b>824,951</b>      | <b>100 %</b>               | <b>41,069,830,001</b> | <b>100 %</b>            |

# ZENITH BANK PLC

## Directors' Report for the six month period ended 30 June 2026

### 12. Substantial interest in shares

According to the register of members as at 30 June 2026, the following shareholders held more than 5% of the share capital of the Bank.

|               | Direct Share Held | Indirect Share Held | Total Shares Held | Total Shares Held |
|---------------|-------------------|---------------------|-------------------|-------------------|
| Jim Ovia, CFR | 4,145,107,627     | 1,656,130,705       | 5,801,238,332     | 14.13 %           |

According to the register of members as at 31 December 2025, the following shareholders held more than 5% of the issued share capital of the Bank.

|               | Direct Shares Held | Indirect Shares Held | Total Shares Held | Total Shares Held |
|---------------|--------------------|----------------------|-------------------|-------------------|
| Jim Ovia, CFR | 4,145,107,627      | 1,656,130,705        | 5,801,238,332     | 14.13 %           |

### 13. Donation and charitable gifts

The Bank made contributions to charitable and non-political organisations amounting to N4,922 million during the period ended 30 June 2026 (30 June 2025: N1,297 million).

The beneficiaries are as follows:

|                                                      | 30 June 2026<br>N' Million |
|------------------------------------------------------|----------------------------|
| Conferences and seminars                             | 2,716                      |
| State government infrastructure/security trust funds | 1,308                      |
| Religious organisations                              | 125                        |
| Sport organisations                                  | 35                         |
| Health/medical initiatives                           | 28                         |
| Educational organisations                            | 160                        |
| Charitable institutions                              | 140                        |
| Various Professional Associations                    | 282                        |
| Other donations individually below N5million         | 88                         |
| CFA Society of Nigeria                               | 40                         |
|                                                      | <b>4,922</b>               |

The Bank did not make donation to any political party.

### 14. Events after the reporting period

There were no significant events after the reporting date that could affect the reported amount of assets and liabilities as of the reporting date.

### 15. Disclosure of customer complaints in financial statements for the period ended 30 June 2026

| Description                        | Number       |                  | Amount claimed       |                          | Amount refunded      |                          |
|------------------------------------|--------------|------------------|----------------------|--------------------------|----------------------|--------------------------|
|                                    | 30 June 2026 | 31 December 2025 | 30 June 2026<br>N' m | 31 December 2025<br>N' m | 30 June 2026<br>N' m | 31 December 2025<br>N' m |
| Pending complaints brought forward | 499          | 1,403            | 92,766               | 72,277                   | -                    | -                        |
| Received Complaints                | 7,914        | 7,599            | 12,106               | 49,586                   | -                    | -                        |
| Resolved Complaints                | 6,780        | 8,503            | 37,661               | 29,097                   | 4,010                | 9,204                    |
| <b>Unresolved Complaints</b>       | <b>1,633</b> | <b>499</b>       | <b>67,211</b>        | <b>92,766</b>            | <b>-</b>             | <b>-</b>                 |

## Directors' Report for the six month period ended 30 June 2026

### 16. Human resources

#### (i) Employment of disabled persons

The Group maintains a policy of giving fair consideration to the application for employment made by disabled persons with due regard to their abilities and aptitude. The Group's policy prohibits discrimination against disabled persons in the recruitment, training and career development of its employees. In the event of members of staff becoming disabled, efforts will be made to ensure that their employment continues and appropriate training arranged to ensure that they fit into the Group's working environment.

#### (ii) Health, safety and welfare at work

The Group enforces strict health and safety rules and practices at the work environment, which are reviewed and tested regularly. The COVID-19 pandemic also presented an opportunity for the Group to enhance its health and safety protocols in all its operating locations. The Group has retained Hospitals used by staff and immediate family members.

Fire prevention and fire-fighting equipment are installed in strategic locations within the Group's premises, while occasional fire drills are conducted to create awareness amongst staff.

The Group operates both a Group Personal Accident and the Workmen's Compensation Insurance covers for the benefit of its employees. It also operates a contributory pension plan in line with the Pension Reform Act.

#### (iii) Employee training and development

The Group ensures, through various fora, that employees are informed on matters concerning them. Formal and informal channels are also employed in communication with employees with an appropriate two-way feedback mechanism.

In accordance with the Group's policy of continuous development, training facilities are provided in well-equipped training centres. These are complemented by on-the-job training.

#### (iv) Gender analysis of staff

The average number of employees of the Bank during the period by gender and level is as follows;

##### (a) Analysis of total employees

|           | Gender       |              |              | Gender      |             |
|-----------|--------------|--------------|--------------|-------------|-------------|
|           | Number       |              |              | Percentage  |             |
|           | Male         | Female       | Total        | Male        | Female      |
| Employees | 4,152        | 5,328        | 9,480        | 44 %        | 56 %        |
|           | <b>4,152</b> | <b>5,328</b> | <b>9,480</b> | <b>44 %</b> | <b>56 %</b> |

##### (b) Analysis of Board and top management staff

|                                         | Gender    |           |            | Gender      |             |
|-----------------------------------------|-----------|-----------|------------|-------------|-------------|
|                                         | Number    |           |            | Percentage  |             |
|                                         | Male      | Female    | Total      | Male        | Female      |
| Board members                           |           |           |            |             |             |
| (Executive and Non-executive directors) | 9         | 5         | 14         | 64 %        | 36 %        |
| Top management staff (AGM-GM)           | 83        | 41        | 124        | 67 %        | 33 %        |
|                                         | <b>92</b> | <b>46</b> | <b>138</b> | <b>67 %</b> | <b>33 %</b> |

##### (c) Further analysis of board and top management staff

|                                         | Gender    |           |            | Gender      |             |
|-----------------------------------------|-----------|-----------|------------|-------------|-------------|
|                                         | Number    |           |            | Percentage  |             |
|                                         | Male      | Female    | Total      | Male        | Female      |
| Assistant general managers              | 51        | 28        | 79         | 65 %        | 35 %        |
| Deputy general managers                 | 20        | 9         | 29         | 69 %        | 31 %        |
| General managers                        | 12        | 4         | 16         | 75 %        | 25 %        |
| Board members (Non-executive directors) | 5         | 3         | 8          | 63 %        | 38 %        |
| Executive Directors (excluding MD)      | 4         | 1         | 5          | 80 %        | 20 %        |
| Managing Director/CEO                   | -         | 1         | 1          | - %         | 100 %       |
|                                         | <b>92</b> | <b>46</b> | <b>138</b> | <b>67 %</b> | <b>33 %</b> |



## ZENITH BANK PLC

### Directors' Report for the six month period ended 30 June 2026

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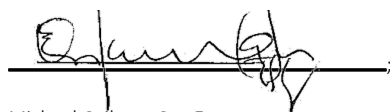
#### 17. Fraud and Forgeries

The Bank has complied with the requirement to render monthly returns on fraud and forgeries to the Central Bank of Nigeria in accordance with Section 24 of the Banks and Other Financial Institutions Act 2020 and relevant circulars and guidelines issued by the Central Bank of Nigeria. During the period, a total of 171 fraud cases were reported, which resulted in actual loss of N376 million to the Bank. The loss incurred has been appropriately recognized in Note 12 to the financial statements

#### 18. Auditors

The auditors, Messrs Pricewaterhousecoopers, having satisfied the relevant corporate governance rules on their tenure in office, have indicated their willingness to continue in office as auditors to the Bank. In accordance with section 401 (2) of the Companies and Allied Matters Act of Nigeria 2020, therefore, the auditors will be reappointed at the next annual general meeting of the Bank without any resolution being passed.

By order of the Board



Michael Osilama Otu Esq.

Company Secretary

July 29, 2026

FRC/2013/MULTI/00000001084

## ZENITH BANK PLC

### Statement of Corporate Responsibility in Relation to the Financial Statements for the six month period ended 30 June 2026

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In line with the provision S. 405 of CAMA 2020 we have reviewed the audited financial statements of the Bank for the period ended 30 June 2026 and based on our knowledge confirm as follows:

- (i) The audited financial statements do not contain any untrue statement of material fact or omit to state a material fact which could make the statements misleading.
- (ii) The audited financial statements and all other financial information included in the financial statements fairly present, in all material respects the financial condition and results of operation of the Bank as of and for the period ended 30 June 2026.
- (iii) The Bank's internal controls has been designed to ensure that all material information relating to the Bank and its subsidiaries is received and provided to the Auditors in the course of the audit.
- (iv) The Bank's internal controls were evaluated within 90 days of the financial reporting date and are effective as of 30 June 2026.
- (v) That we have disclosed to the Bank's Auditors and the Audit Committee the following information:
  - (a) there are no material weaknesses in the design or operation of the Bank's internal controls which could adversely affect the Bank's ability to record process and summarise and report financial data, and have discussed with the auditors any weakness in internal controls observed in the cause of the Audit
  - (b) there is no fraud involving management or other employees which could have any significant role in the Bank's internal control.
- (vi) There are no significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of this audit, including any corrective actions with regard to any observed deficiencies and material weaknesses.

29 July 2026



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**Durosinmi Abiodun Akanbi**  
Chief Financial Officer  
FRC/2013/ICAN/00000001308



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**Dame (Dr.) Adaora Umeoji, OON**  
Group Managing Director / CEO  
FRC/2024/PRO/DIR/003/967545

# ZENITH BANK PLC

## Corporate Governance Report for the six month period ended 30 June 2026

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### 1. Introduction

Zenith Bank conducts its business in line with the highest level of Corporate Governance and best practice. The Group's governance practices which are replicated across its subsidiary companies are constantly reviewed to ensure that we keep pace with global standards as well as changes occasioned by the dynamics in the business environment.

### 2. The Directors and other key personnel

During the year under review, the Directors and other key personnel of the Bank complied with the following Codes of Corporate Governance, which the Bank subscribes to:

- a) The Central Bank of Nigeria (CBN) issued Code of Corporate Governance for Banks and Discount Houses in Nigeria 2014 together with the Guidelines issued in pursuant to the code.
- b) The Securities and Exchange Commission (SEC) issued Code of Corporate Governance for public companies.
- c) The National Code of Corporate Governance for Public Companies which became effective in January 2019.

In addition to the above Codes, the Bank complies with relevant disclosure requirements in other jurisdictions where it operates.

### 3. Shareholders

The Bank has a diverse shareholding structure with no single ultimate individual shareholder directly holding more than 17% of the Bank's total shares.

### 4 Board of Directors

The Board has the overall responsibility for setting the strategic direction of the Bank and for oversight of Senior Management. It also ensures that good Corporate Governance processes and best practices are implemented across the Bank and the Group at all times.

The Board of the Bank consists of persons of diverse disciplines and skills, chosen on the basis of professional background and expertise, business experience and integrity as well as knowledge of the Bank's business.

Directors are fully abreast of their responsibilities and knowledgeable in the business and are therefore able to exercise good judgment on issues relating to the Bank's business. They have on the basis of this acted in good faith with due diligence and skill and in the overall best interest of the Company and relevant stakeholders during the year under review.

The Board has a Charter which regulates its operations. The Charter was recently reviewed in line with the Corporate Governance Guidelines.

### 5. Board structure

The Board is made up of a Non-Executive Chairman, Seven (7) Non-Executive Directors and Six (6) Executive Directors including the GMD/CEO. Four (4) of the Non-Executive Directors are Independent Directors, appointed in compliance with the Central Bank of Nigeria (CBN) circular on Appointment of Independent Directors by Banks.

The Group Managing Director/Chief Executive is responsible for the day to day running of the Bank and oversees the Group structure, assisted by the Executive Committee (EXCO). EXCO comprises the Executive Directors, and the Group Managing Director/Chief Executive as its Chairman.

### 6. Responsibilities of the Board

The Board is responsible for the following amongst others:

- a) reviewing and approving the Bank's strategic plans for implementation by management;
- b) reviewing and approving the Bank's financial statements;
- c) reviewing and approving the Bank's financial objectives, business plans and budgets, including capital allocations and expenditures;
- d) monitoring corporate performance against the strategic plans and business, operating and capital budgets;
- e) implementing the Bank's succession planning;
- f) approving acquisitions and divestitures of business operations, strategic investments and alliances and major business development initiatives;
- g) approving delegation of authority for any unbudgeted expenditure;

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- h) setting the tone for and supervising the Corporate Governance Structure of the Bank, including corporate structure of the Bank and the Board and any changes to the strategic plans of the Bank and the Group;
- i) assessing its own effectiveness in fulfilling its responsibilities, including monitoring the effectiveness of individual directors.

The membership of the Board during the period is as follows:

### Board of Directors

| Name                                           | Date of Appointment                                |
|------------------------------------------------|----------------------------------------------------|
| Jim Ovia, CFR. - (Retired)*                    | April 2, 2014                                      |
| Engr. Mustafa Bello - (Chairman)**             | December 29, 2017                                  |
| Dr. Al-Mujtaba Abubakar, MFR - (Ind.NED)       | August 1, 2019                                     |
| Dr. Omobola Ibidapo-Obe Ogunfowora - (Ind.NED) | June 30, 2021                                      |
| Mr Chuks Emma Okoh - (NED)                     | April 12, 2022                                     |
| Dr. Peter Olatunde Bamkole - (Ind. NED)        | April 12, 2022                                     |
| Dame (Dr.) Adaora Umeoji, OON - (GMD)          | October 9, 2012 and Appointed GMD/CEO June 1, 2024 |
| Dr. (Mrs.) Adobi Nwapa - (ED)                  | April 12, 2022                                     |
| Mr. Akindele Ogunranti - (ED)                  | April 12, 2022                                     |
| Dr. Juliet Ehimuan - (NED)                     | August 29, 2023                                    |
| Mr. Lawani Adamu - (ED)                        | April 24, 2024                                     |
| Mr. Louis Odom - (ED)                          | April 24, 2024                                     |
| Ms. Pamela Yough - (NED)                       | April 30, 2024                                     |
| Dr. Rislana Kanya Abdulazeez - (NED)           | September 24, 2025                                 |
| Mr. Kennedy Onuwa Okwudili- (ED)***            | May 01, 2026                                       |

\*Jim Ovia, CFR retired from the Board effective 29 April 2026.

\*\*Engr. Mustapha Bello was appointed Chairman to the Board on 29 April 2026.

\*\*\*Mr. Kennedy Onuwa Okwudili was appointed to the Board on 01 May 2026.

The Board meets at least once every quarter but may hold extra-ordinary sessions to address urgent matters that require the attention of the Board.

### 7. Roles of Chairman and Chief Executive

The roles of the Chairman and Chief Executive are separate and no one individual combines the two positions. The Chairman's main responsibility is to lead and manage the Board to ensure that it operates effectively and fully discharges its legal and regulatory responsibilities. The Chairman is responsible for ensuring that Directors receive accurate, timely and clear information to enable the Board take informed decisions and provide advice to promote the success of the Bank. The Chairman also facilitates the contribution of Directors and promotes effective relationships and open communications between Executive and Non-Executive Directors, both inside and outside the Boardroom.

The Board has delegated the responsibility for the day-to-day management of the Bank to the Group Managing Director/Chief Executive Officer, who is supported by Executive Management. The Group Managing Director executes the powers delegated to him in accordance with guidelines approved by the Board of Directors. The Executive Management is accountable to the Board for the development and implementation of strategies and policies. The Board regularly reviews group performance, matters of strategic concern and any other matter it regards as material.

### 8. Director Nomination Process

The Board Governance Nomination and Remuneration Committee is charged with the responsibility of leading the process for Board appointments and for identifying and nominating suitable candidates for the approval of the Board.

With respect to new appointments, the committee identifies, reviews and recommends candidates for potential appointment as Directors. In identifying suitable candidates, the Committee considers candidates on merit against objective criteria and with due regard to diversity on the Board, including gender as well as the balance and mix of appropriate skills and experience.

Shareholding in the Bank is not a criterion for the nomination or appointment of a Director. The appointment of Directors is subject to the approval of the shareholders and the Central Bank of Nigeria.

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### 9. Induction and continuous training

Upon appointment to the Board and to Board Committees, all Directors receive an induction tailored to meet their individual requirements.

The induction, which is facilitated by the Company Secretary, may include meetings with senior management staff and key external advisors, to assist Directors in acquiring a detailed understanding of the Bank's operations, its strategic plan, its business environment, the key issues the Bank faces, and to introduce Directors to their fiduciary duties and responsibilities.

The Bank attaches great importance to training its Directors and for this purpose, continuously offers training and education from onshore and offshore institutions to its Directors, in order to enhance their performance on the Board and the various committees to which they belong.

### 10 Board Committees

The Board carries out its oversight functions using its various Board Committees. This makes for efficiency and allows for a deeper attention to specific matters for the Board.

Membership of the Committees of the Board is intended to make the best use of the skills and experience of non-executive directors in particular.

The Board has established the various Committees with well defined terms of reference and Charters defining their scope of responsibilities in such a way as to avoid overlap or duplication of functions.

The Committees of the Board meet quarterly but may hold extraordinary sessions as the business of the Bank demands.

The following are the current standing Committees of the Board:

#### 10.1. Board Credit Committee

The Committee is currently made up of seven (7) members comprising four (4) Non-Executive Directors and three (3) Executive Directors of the Bank. The Board Credit Committee is chaired by a Non-Executive Director who is well versed in credit matters. The Committee considers loan applications above the level of Management Credit Committee. It also determines the credit policy of the Bank or changes therein.

The membership of the Committee during the period is as follows:

Mr. Chuks Emma Okoh - Chairman  
Dr. Al- Mujtaba Abubakar  
Dr. Peter Bamikole  
Pamela Mimi Yough  
Mr. Adamu Lawani  
Mr. Louis Odom  
Dame (Dr.) Adaora Umeoji, OON

Terms of reference

- To conduct a quarterly review of all collateral security for Board consideration and approval;
- To recommend criteria by which the Board of Directors can evaluate the credit facilities presented from various customers;
- To review the credit portfolio of the Bank;
- To approve all credit facilities above Management approval limit;
- To establish and periodically review the Bank's credit portfolio in order to align organizational strategies, goals and performance;
- To evaluate on an annual basis the components of total credit facilities as well as market competitive data and other factors as deemed appropriate, and to determine the credit level based upon this evaluation;
- To make recommendations to the Board of Directors with respect to credit facilities based upon performance, market competitive data, and other factors as deemed appropriate
- To recommend to the Board of Directors, as appropriate, new credit proposals, restructure plans, and amendments to existing plans;
- To recommend non-performing credits for write-off by the Board;
- To perform such other duties and responsibilities as the Board of Directors may assign from time to time.

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#### 10.2. Finance and General Purpose Committee

This Committee is made up of Seven (7) members: four (4) Non-Executive Directors and three (3) Executive Directors. It is chaired by a non-executive Director. The Committee considers large scale procurement by the Bank, as well as matters relating to staff welfare, discipline, staff remuneration and promotion.

The membership of the Committee during the period is as follows:

Dr. Peter Olatunde Bamkole – Chairman  
Dr. Omobola Ibidapo-Obe Ogunfowora  
Dr. Juliet Ehimuan  
Dr. Rislana Kanya Abdulazeez  
Mr. Akindele Ogunranti  
Mrs. Adobi Stella Nwapa  
Dame (Dr.) Adaora Umeoji

#### Terms of reference

- Approval of large scale procurements by the Bank and other items of major expenditure by the Bank;
- Recommendation of the Bank's Capital Expenditure (CAPEX) and major Operating Expenditure (OPEX) limits for consideration by the Board;
- Consideration of management requests for branch set up and other business locations;
- Consideration of management request for establishment of offshore subsidiaries and other offshore business offices;
- Oversight responsibility with respect to the Bank and its subsidiary companies relating to material and strategic financial matters, including those related to investment policies and strategies, merger and acquisition transactions, financings, and structure including debts and equity securities, and credit agreements;
- Consider the Group's financial risk management and major insurance program.
- Overall tax planning activities and related developments;
- Consider the ratings from Credit rating agencies.
- Consideration of the dividend policy of the Bank and the declaration of dividends or other forms of distributions and recommendation to the Board;
- Consideration of capital expenditures, divestments, acquisitions, joint ventures and other investments, and other major capital transactions;
- Consideration of senior management promotions as recommended by the GMD/CEO;
- Review and recommendations on recruitment, promotion, and disciplinary actions for senior management staff;
- To discharge the Board's responsibility relating to oversight of the management of the health and welfare plans that cover the company's employees;
- Review and recommendation to the Board, salary revisions and service conditions for senior management staff, based on the recommendation of the Executives;
- Oversight of broad-based employee compensation policies and programs;

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#### 10.3. Board risk management Committee

The Board Risk Management Committee has oversight responsibility for the overall risk assessment of various areas of the Bank's operations and compliance.

The Chief Risk Officer, the chief information security officer and the Chief Inspector have access to this Committee and make quarterly presentations for the consideration of the Committee. Chaired by Dr. Juliet Ehimuan, the Committee's membership comprises the following:

Dr. Juliet Ehimuan – Chairman  
Engr. Mustapha Bello \*  
Dr. Omobola Ibidapo-Obe Ogunfowora  
Dr. Peter Olatunde Bamkole  
Dr. Rislana Kanya Abdulazeez  
Mr. Louis Odum  
Mr. Adamu Lawani  
Mr. Akindele Ogunranti  
Dame (Dr.) Adaora Umeoji, *ON*

\* Engr. Mustafa Bello exited the committee upon his appointment as Board chairman.

#### Terms of reference

- The primary responsibility of the Committee is to ensure that sound policies, procedures and practices are in place for the risk-wide management of the Bank's material risks and to report the results of the Committee's activities to the Board of Directors;
- Design and implement risk management practices, specifically provide ongoing guidance and support for the refinement of the overall risk management framework and ensuring that best practices are incorporated;
- Ensure that management understands and accepts its responsibility for identifying, assessing and managing risk
- Ensure and monitor risk management practices, specifically determine which enterprise risks are most significant and approve resource allocation for risk monitoring and improvement activities, assign risk owners and approve action plans;
- Periodically review and monitor risk mitigation progress and periodically review and report to the Board of Directors:
  - (a) the magnitude of all material business risks;
  - (b) the processes, procedures and controls in place to manage material risks; and
  - (c) the overall effectiveness of the risk management process;
- Ensure the implementation of the approved cyber security policies, standards and delineation of cybersecurity responsibilities.
- Ensure that cybersecurity processes are conducted in line with the business requirements, applicable laws and regulation.
- Engage the Chief Information Security Officer (CISO) whose duties includes amongst others – responsibility for the implementation of approved cybersecurity policies and standards as well as to focus on the Bank-wide cybersecurity activities and the mitigation of cybersecurity risks in the Bank.
- Facilitate the development of a comprehensive risk management framework for the Bank and develop the risk management policies and processes and enforce its compliance;
- Provide oversight for the Bank's IT governance and Cybersecurity programme, including value delivery, strategic alignment, framework for performance management, resource management and policies;
- Review, approve and provide oversight for the bank's sustainability policy and banking principles and practices to ensure compliance with globally accepted standards.
- Perform such other duties and responsibilities as the Board of Directors may assign from time to time.

## Corporate Governance Report for the six month period Ended 30 June 2026

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### 10.4. Board Audit and Compliance Committee

The Committee comprises Non-Executive Directors only and is chaired by - Dr. Al-Mujtaba Abubakar, who is well experienced and knowledgeable in financial matters. The Chief Inspector and Chief Compliance Officer have access to this Committee and make quarterly presentations for the consideration of the Committee.

The Committee's membership comprises the following:

Dr. Al-Mujtaba Abubakar, MFR – Chairman  
Engr. Mustafa Bello\*  
Dr. Omobola Ibidapo-Obe Ogunfowora  
Mr. Chuks Okoh  
Dr. Rislana Kanya Abdulazeez

\* Engr. Mustafa Bello exited the committee upon his appointment as Board chairman.

Committee's terms of reference

The Board Audit and Compliance Committee has the following responsibilities as delegated by the Board of Directors:

- Ascertain whether the accounting and reporting policies of the Bank are in accordance with legal requirements and acceptable ethical practices;
- Review the scope and planning of audit requirements including the review of the external audit plan;
- Review the findings on management matters (Management Letter) in conjunction with the external auditors and Management's responses thereon;
- Review the effectiveness of the Bank's system of accounting and internal control;
- Make recommendations to the Board regarding the appointment, removal and remuneration of the external auditors of the Bank
- Authorize the internal audit function to carry out investigations into any activities of the Bank which may be of interest or concern to the Committee;
- Assist in the oversight of compliance with legal and other regulatory requirements, assessment of qualifications and independence of the external auditors and performance of the Bank's internal audit function as well as that of the external auditors;
- Ensure that the internal audit function is firmly established and that there are other reliable means of obtaining sufficient assurance of regular review or appraisal of the system of internal control in the Bank;
- Oversee management's processes for the identification of significant fraud risks across the Bank and ensure that adequate prevention, detection and reporting mechanisms are in place
- On a quarterly basis, obtain and review reports by the internal auditor on the strength and quality of internal controls, including any issues or recommendations for improvement, raised during the most recent control review of the Bank;
- Discuss and review the Bank's unaudited quarterly and annual financial statements with management and external auditors to include disclosures, management control reports, independent reports and external auditors' reports before submission to the Board, in advance of publication
- Meet separately and periodically with management, the internal auditor and the external auditors, respectively;
- Review and ensure that adequate whistle - blowing procedures are in place and that a summary of issues reported is highlighted to the Board, where necessary;
- Review with external auditors, any audit scope limitations or problems encountered and management responses to them;
- Review the independence of the external auditors and ensure that they do not provide restricted services to the Bank;
- Appraise and recommend the appointment of internal auditor of the Bank to the Board and review his/her performance annually;
- Review the response of management to the observations and recommendation of the Auditors and Bank regulatory authorities;
- Agree Internal Audit Plan for the year with the Internal auditor and ensure that the internal audit function is adequately resourced and has appropriate standing within the Bank



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- Undertake quarterly review of Internal Audit progress against Plan for the year as well as outstanding agreed actions including following up
- Develop a comprehensive internal control framework for the Bank and obtain assurances on the operating effectiveness of the Bank's internal control framework;
- Establish management's processes for the identification of significant fraud risks across the Bank and ensure that adequate prevention, detection and reporting mechanisms are in place;
- Liaise with the Internal Auditor to develop the Internal Audit Plan for the year and ensure that the internal audit function is adequately resourced to carry out the plan;
- Review the report of the Chief Compliance Officer as it relates to Anti-Money Laundering policies of the Bank and other law enforcement issues.
- The Chief Inspector and the Chief Compliance Officer makes quarterly presentation to the Committee, in addition to reporting to the Group Managing Director. The Chief Inspector and the Chief Compliance Officer also have unrestricted access to the Chairman of the Committee;.
- Review and discuss external suspicious activity/transaction reports (SARs) submitted by the Chief Compliance officer with a view to making recommendations to the Board.
- Review and discuss recommendations from the Compliance Group on ways to enhance the company's compliance with statutes, rules and directives of the relevant regulatory agencies, most especially the Nigerian Financial Intelligence Unit (NFIU).
- Ensure the generation and submission, in due time, of external suspicion activity/transaction reports (SARs) and submit same to the Nigerian Financial Intelligence Unit (NFIU) and other relevant Regulatory Authorities in accordance with the AML/CFT/CPF rules or any other relevant legislation in force at the time.
- Perform such other duties and responsibilities as the Board of Directors may assign from time to time.

### 10.5. Board Governance, Nomination and Remuneration Committee

The Committee is made up of six (6) Non-Executive Directors and is chaired by an Independent Non-Executive Director.

The membership of the Committee is as follows:

Dr.Omobola Ibidapo-Obe Ogunfowora – (Chairman)  
Engr. Mustafa Bello \*  
Dr. Al-Mujtaba Abubakar, MFR  
Mr. Chuks Okoh  
Dr. Juliet Ehimuan  
Pamela Mimi Yough

\* Engr. Mustafa Bello exited the committee upon his appointment as Board chairman.

Committee's terms of reference

- Determine a fair, reasonable and competitive compensation practices for Executive officers and other key employees of the Bank which are consistent with the Bank's objectives;
- Determine the quantum and structure of compensation and benefits for Non-Executive Directors, Executive Directors and senior management of the Group;
- Ensure the existence of an appropriate remuneration policy and philosophy for Executive Directors, Non-Executive Directors and staff of the Group;
- Review and recommend for the Board's ratification, all terminal compensation arrangements for Directors and senior management;
- Recommend appropriate compensation for Non-Executive Directors for Consideration by the Board and at the Annual General Meeting;
- Review and approve any recommended compensation actions for the Company's Executive Committee members, including base salary, annual incentive bonus, long-term incentive awards, severance benefits, and perquisites;
- Review and continuously assess the size and composition of the Board and Board Committees, and recommend the appropriate Board structure, size, age, skills, competencies, composition, knowledge, experience and background in line with needs of the Group and diversity required to fully discharge the Board's duties;

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- Recommendation of membership criteria for the Group Board, Board Committees and subsidiary companies Boards.
- Identification at the request of the Board of specific individuals for nomination to the Group and subsidiary companies Boards and to make recommendations on the appointment and election of New Directors (including the Group MD) to the Board, in line with the Group's approved Director Selection criteria
- Review of the effectiveness of the process for the selection and removal of Directors and to make recommendations where appropriate;
- Ensuring that there is an approved training policy for Directors, and monitoring compliance with the policy;
- Review and make recommendations on the Group's succession plan for Directors and other senior management staff for the consideration of the Board;
- Monitor compliance by Directors and staff of the Group's code of ethics and business conduct;
- Review the Group's organization structure and to make recommendations to the Board for approval;
- Review and agree at the beginning of the year, of the key performance indicators for the Group MD and Executive Directors;
- Ensure that the Group has a succession policy and plan in place for the Chairman of the Board, the MD/CEO and all other EDs, NEDs, and Senior Management positions to ensure leadership continuity in the Group.
- Review and make recommendations on the recruitment, promotions and disciplinary actions for Executive Management level personnel.
- Ensure that board evaluation reports of subsidiaries are formally discussed and documented as a way of radiating sound governance practices across the Group.
- Ensure annual review or appraisal of the performance of the Board is conducted. This review/appraisal covers all aspects of the Board's structure, composition, responsibilities, individual competencies, Board operations, Board's role in strategy setting, oversight over corporate culture, monitoring role and evaluation of management performance and stewardship towards shareholders etc.

### 10.6. Audit Committee of the Bank

The Committee is established in line with section 404(2) (CAMA 2020). The Committee's membership consists of three (3) representatives of the shareholders elected at the Annual General Meeting (AGM) and two (2) Non-Executive Directors. The Committee is chaired by a shareholder's representative. The Committee meets every quarter, but could also meet at any other time, should the need arise.

The Chief Inspector, the Chief Financial Officer, as well as the External Auditors are invited from time to time to make presentation to the Committee.

All members of the Committee are financially literate.

The membership of the Committee is as follows:

#### Shareholders' representative

Mrs. Adebimpe Balogun – (Chairman)  
Prof (Prince) L.F.O Obika  
Mr. Michael Olusoji Ajayi

#### Non-Executive Directors / Director's Representatives

Dr. Al-Mujtaba Abubakar  
Engr. Mustafa Bello\*

\* Engr. Mustafa Bello exited the committee upon his appointment as Board chairman.

Committee's terms of reference

- To meet with the independent auditors, chief financial officer, internal auditor and any other Bank executive both individually and/or together, as the Committee deems appropriate at such times as the Committee shall determine to discuss and review:
- The Bank's quarterly and audited financial statements, including any related notes, the Bank's specific disclosures and discussion under "Managements Control Report" and the independent auditors' report, in advance of publication;

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- The performance and results of the external and internal audits, including the independent auditor's management letter, and management's responses thereto;
- The effectiveness of the Bank's system of internal controls, including computerized information systems and security; any recommendations by the independent auditor and internal auditor regarding internal control issues and any actions taken in response thereto; and, the internal control certification and attestation required to be made in connection with the Bank's quarterly and annual financial reports;
- Such other matters in connection with overseeing the financial reporting process and the maintenance of internal controls as the committee shall deem appropriate.
- To prepare the Committee's report for inclusion in the Bank's annual report;
- To report to the entire Board at such times as the Committee shall determine.

### 10.7. Executive committee (EXCO)

The EXCO comprises the Group Managing Director, Deputy Managing Director as well as all the Executive Directors. EXCO has the GMD/CEO as its Chairman. The Committee meets weekly (or such other times as business exigency may require) to deliberate and take policy decisions on the effective and efficient management of the Bank. It also serves as a first review platform for issues to be discussed at the Board level. EXCO's primary responsibility is to ensure the implementation of strategies approved by the Board, provide leadership to the Management team and ensure efficient deployment and management of the Bank's resources. Its Chairman is responsible for the day-to-day running and performance of the Bank.

### 10.8. Other Committees

In addition to the afore-mentioned committees, the Bank has in place, other standing management committees. They include:

- a) Management Committee (MANCO)
- b) Assets and Liabilities Committee (ALCO)
- c) Management Global Credit Committee(MGCC)
- d) Sustainability Steering Committee (SSC)
- e) Information Security Steering Committee

#### a) Management Committee (MANCO)

The Management Committee comprises the senior management of the Bank and has been established to identify, analyze, and make recommendations on risks arising from day-to-day activities. They also ensure that risk limits as contained in the Board and Regulatory policies are complied with. Members of the management committee make contributions to the respective Board Committees and also ensure that recommendations of the Board Committees are effectively and efficiently implemented. They meet weekly and as frequently as the need arises.

#### b) Assets and Liabilities Committee (ALCO)

The ALCO is responsible for the management of a variety of risks arising from the Bank's business including market and liquidity risk management, loan to deposit ratio analysis, cost of funds analysis, establishing guidelines for pricing on deposit and credit facilities, exchange rate risks analysis, balance sheet structuring, regulatory considerations and monitoring of the status of implemented assets and liability strategies. The members of the Committee include the Group Managing Director, Executive Directors, the Treasurer, the Head of Financial Control, Group Head, Risk Management Group and a representative of the Assets and Liability Management Unit. A representative of the Asset and Liability Management Department serves as the secretary of this Committee.

The Committee meets weekly and as frequently as the need arises.

#### c) Management Global Credit Committee(MGCC)

The Management Global Credit Committee is responsible for ensuring that the Bank complies with the credit policy guide as established by the Board. The Committee also makes contributions to the Board Credit Committee. The Committee can approve credit facilities to individual obligors not exceeding in aggregate a sum as pre-determined by the Board from time to time. The Committee is responsible for reviewing and approving extensions of credit, including one-obligor commitments that exceed an amount as may be determined by the Board. The Committee reviews the entire credit portfolio of the Bank and conducts periodic assessment of the quality of risk assets in the Bank. It also ensures that adequate monitoring of performance is carried out. The secretary of the committee is the Head of the Credit Administration Department. The Committee meets weekly or at such other times, depending on the number of credit applications to be considered. The members of the Committee include the Group Managing Director, the Executive Directors and all divisional and group heads.

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**d) Sustainability Steering Committee (SSC)**

This Committee is responsible for regular analysis and review of sustainable Banking policies and practices within the Bank to ensure compliance with globally acceptable economic, environmental and social norms.

The Bank, recognizing that every institution is as strong as the strength of its relationship and that the ability to nurture existing relationships and develop new ones will invariably play a significant role in the financial stability of the organization. Therefore, the Bank believes that an organization must forge a closer relationship with its stakeholders, including customers, employees, local communities, suppliers, among others, to ensure triple bottom line profit. The Committee presents quarterly reports to the Board Risk Management Committee and also ensures that the Committee's decisions and policies are implemented. The members of the Committee include representatives from various marketing and operations departments and groups within the Bank as well as the CSR and Research Group.

**e) Information Security Steering Committee**

The information security steering committee is responsible for the governance of the cybersecurity programme. The Committee is also responsible for providing oversight and ensure alignment between information security strategy and company objectives. Assessing the adequacy of resources and funding to sustain and advance successful security programs and practices for identifying, assessing, and mitigating cybersecurity risks across all business functions. The Committee review company policies pertaining to information security and cyber threats, taking into account the potential for external threats, internal threats, and threats arising from transactions with trusted third parties and vendors. Review of privacy and information security policies and standards and review the ramifications of updates to policies and standards as well as establish standards and procedures for escalating significant security incidents to the ISSC, Board, other steering committees, government agencies, and law enforcement agencies, as appropriate.

**Membership of the Committee**

The Information Security Steering Committee shall be comprised of:

1. Group Managing Director / CEO
2. Executive Directors
3. Chief Information Officer
4. Chief Inspector
5. Chief Risk Officer(CRO)
6. Chief Financial Officer(CFO)
7. Head of InfoTech - Software
8. Head of InfoTech – Engineering
9. Group Head Retail
10. Chief Information Security Officer(CISO)
11. Head of IT Audit
12. Information Security Officer
13. Head of Risk Management
14. Head of Card Services
15. Representatives of Marketing Group

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### 11. Policy on trade in the Bank's securities

The Bank has a policy on trading on the Bank's Securities by Directors and other key personnel of the Bank. This is to guide against situations where such personnel in possession of confidential and price sensitive information deal with Bank's securities in a manner that amounts to insider trading.

### 12 Relationship with shareholders

Zenith Bank maintains an effective communication with its shareholders, which enables them understand our business, financial condition, operating performance and trends. Apart from the Bank's annual report and accounts, proxy statements and formal shareholders' meetings, the Bank maintains a rich website (with suggestion boxes) that provide information on a wide range of issues for all stakeholders.

Also, a quarterly publication of the Bank and Group performance is produced in line with the disclosure requirements of the Nigerian Stock Exchange.

The Bank has an Investors Relations Unit which holds regular forum to brief all stakeholders on operations of the Bank.

The Bank also, from time to time, holds briefing sessions with market operators (stockbrokers, dealers, institutional investors, issuing houses, stock analysts, mainly through investors conference) to update them with the state of business. These professionals, as advisers and purveyors of information, relate with and relay to the shareholders useful information about the Bank. The Bank also regularly briefs the regulatory authorities, and file statutory returns which are usually accessible to the shareholders.

### 13. Directors remuneration policy

The Bank's remuneration policy is structured taking into account the environment in which it operates and the results it achieves at the end of each financial year. It includes the following elements:

#### Non-Executive Directors

- Components of remuneration is annual fee and sitting allowances which are based on levels of responsibilities.
- Directors are also sponsored for training programmes that they require to enhance their duties to the Bank.
- During the year under review, in addition to other programmes, all Directors attended the CFT/AML training programme to keep them abreast of recent trends in CFT and money laundering.

#### Executive Directors

The remuneration policy for Executive Directors considers various elements, including the following:

- Fixed remuneration, taking into account the level of responsibility, and ensuring this remuneration is competitive with remuneration paid for equivalent posts in Banks of equivalent status both within and outside Nigeria.
- Variable annual remuneration linked to the Zenith Bank financial results. The amount of this remuneration is subject to achieving specific quantifiable targets, aligned directly with shareholders' interest.

## MONITORING COMPLIANCE WITH CORPORATE GOVERNANCE

### Chief Compliance Officer

The Chief Compliance Officer monitors compliance with money laundering requirements and the implementation of the Code of Corporate Governance of the Bank. He reports to the Board through the the Executive compliance officer(ECO).

The Chief Compliance Officer and the Company Secretary forward regular returns to the Central Bank of Nigeria and other regulatory bodies on all whistle-blowing reports and also on corporate governance compliance.

### Whistle Blowing Procedures

The Bank has a whistle-blowing procedure that ensures anonymity for whistle-blowers. The Bank has a direct link on the Bank's website, provided for the purpose of whistle-blowing.

Internally, the Bank has a direct link on its intranet for dissemination of information, to enable members of staff report all identified breaches of the Bank's Code of Corporate Governance. All reports are investigated and necessary sanctions applied for breaches.

## Corporate Governance Report for the six month period Ended 30 June 2026

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### Codes of Conduct

The Bank has a Code of Professional Conduct for Employees, which all members of staff subscribe to upon assumption of duties with the Bank. The Bank also has a Code of Conduct for Directors.

### 14. Foreign Subsidiaries Governance Structure

The Bank as at 30 June 2026 has six (6) foreign subsidiaries, two (2) local subsidiaries and one (1) representative office. Their activities are governed by the foreign subsidiaries governance structure put in place by the Group Head Office through the Group Governance Framework to ensure efficient and effective operations. The framework establishes the scope, method of performance management, periodic reviews and feedback mechanism for operating within the local laws in their respective jurisdiction.

The activities of the subsidiaries are closely monitored by Zenith Bank Plc using the following strategies:

#### Liaison and Oversight Function

The Foreign Subsidiaries Department is charged with the responsibility of overseeing the growth and implementation of the Bank's global expansion strategy into new territories/regions. The Department serves as an interface between the Bank and its offshore subsidiaries. It also provides guidance on how to optimize synergy within the Group. Reports from the Group is presented to the Board at its quarterly meetings.

#### Representation on the Subsidiary Board

Zenith Bank Plc exercises control over the subsidiaries by maintaining adequate representation on the Board of each subsidiary. The representatives are chosen on the basis of professional competencies, business experience and integrity as well as knowledge of the Bank's business.

The Board of Directors of the subsidiaries are responsible for reviewing and approving the strategic plans and financial objectives as well as monitoring the corporate performance against these objectives.

#### Local Board and Board Committee

To ensure that the activities of the subsidiaries reflects the same values, ethics, controls and processes, Zenith Bank Plc is represented by at least one (1) non-executive director in the local board and board committee of each foreign subsidiary. These directors provide effective oversight function over each subsidiary and ensure that there is consistency with the strategic direction of the Bank. They also act as a link with the parent board at the Group Head Office in Nigeria.

#### Subsidiary Board Committees

The Subsidiary Board meets at least every quarter and exercises oversight function on the business of each location through the following committee structure.

- Board Credit Committee which is charged with the responsibility of considering the approval of new loans and renewal of existing ones above the threshold set for the Management Credit Committee. It also determines the credit policy or changes therein.
- Board Risk Management Committee which has oversight responsibility for the overall risk management of various areas of the Bank's operations and compliance. This includes advising the Board on risk-related matters arising from its business.
- Board Audit and Compliance Committee is responsible for the review of accounting and reporting policies to ensure compliance with regulatory and financial reporting requirements. The Board, through the committee exercise oversight on the Compliance and AML/CFT activities of the Bank. Overall, it monitors the effectiveness of the Bank's system of internal control to safeguard its assets for shareholders.
- Board Governance, Nomination and Remuneration Committee (BGNRC) saddled with the responsibility of determining a fair, reasonable and competitive remuneration structure for senior management of the Bank as well as administering the Governance structure for the Bank.
- Board Staff Welfare, Finance & General Purpose Committee has the responsibility of approving large scale procurements by the Bank, as well as matters relating to staff welfare, discipline, staff remuneration and promotion.

#### Management of Subsidiaries

Zenith Bank Plc appoints one of its senior management staff to act as the Managing Director of each subsidiary. Other key staff are seconded to assist the managing director in the supervision of critical departments of the Bank.

The objective of this management structure is to ensure that the core values and principles of the Zenith Bank brand are instilled seamlessly across its offshore subsidiaries. It also offers the Group an opportunity to adopt a uniform culture of best practices in the area of corporate governance, technology, controls and customer service excellence.

## Corporate Governance Report for the six month period Ended 30 June 2026

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### Monthly and Quarterly Reports

The subsidiaries furnish Zenith Bank Plc with monthly and quarterly reports on their business and operational activities. These reports covers the subsidiaries' financial performance, risk assessment, regulatory and compliance matters amongst others. The reports are analyzed and presented to Executive Management and the Group Board of Directors for decision making and fulfilment of its oversight function.

### Group Performance & Strategy Review/Budget Session

The Managing Directors and senior management team of the respective Subsidiaries of the Bank attend the annual Group's Performance & Strategy Review/Budget Session during which their performances are analyzed and recommendations made towards achieving continuous improvement in financial, social and environmental performance. The annual budget of the subsidiaries are discussed at this session. This session also serves as a forum for sharing business ideas, tapping into identified synergy within the Group and disseminating information on relevant best practices that could enhance our sustained growth in the Banking landscape.

### Annual Internal Control Audit

The Internal Control & Audit Department of Zenith Bank Plc carries out an annual audit of each of the offshore subsidiaries in line with the Group's Annual Audit Programme. This audit exercise covers all operational areas of the subsidiaries and the outcome is discussed with Executive Management at the home office for timely intervention on identified lapses. It is important to note that this exercise is distinct from the daily operations audit carried out by the respective internal audit unit within the subsidiaries

### Annual Loan Review/Audit

This audit is carried out by the Loan Review & Monitoring Unit of Zenith Bank Plc. The core areas of concentration during this audit exercise include asset quality assessment, loan performance, review of security pledged, loan conformity with credit policy, documentation check and review of central liability report among others

### Group Compliance Function

Zenith Bank Plc is committed to complying with regulatory requirements in all locations where it operates. To this end, The Bank's Compliance Group monitors ongoing developments in the regulatory environment of each location where it operates and ensuring compliance with same. This include conducting periodic compliance checks on each subsidiary annually to ascertain compliance with local banking laws and regulations.

### Report of External Auditors

In line with global best practices and regulatory guidelines, the Bank undertakes the review of Management letters from external Auditors on periodic audit of the subsidiary companies. This is to ensure that all exceptions are complied with and for implementation of the Auditors' recommendations.

### 15. Complaints Management Policy

The Bank has put in place a complaints management policy framework to resolve complaints arising from issues covered under the Investments and Securities Act, 2007 (ISA). This can be found on the Bank's website.

## Corporate Governance Report for the six month period Ended 30 June 2026

### 16. Schedule of board and board committees meeting held during the period

The table below shows the frequency of meetings of the Board of directors, board committees and members' attendance at these meetings during the period under review.

| Directors                        | Board    | Board credit committee | Finance and general purpose committee | Board governance, nomination and remuneration committee | Board risk management committee | Board audit and compliance committee |
|----------------------------------|----------|------------------------|---------------------------------------|---------------------------------------------------------|---------------------------------|--------------------------------------|
| <b>Attendance/no of meetings</b> | <b>3</b> | <b>2</b>               | <b>2</b>                              | <b>2</b>                                                | <b>2</b>                        | <b>2</b>                             |
| Jim Ovia, CFR*                   | 3        | N/A                    | N/A                                   | N/A                                                     | N/A                             | N/A                                  |
| Engr. Mustafa Bello**            | 3        | N/A                    | N/A                                   | 2                                                       | 2                               | 2                                    |
| Dr. Al-Mujtaba Abubakar, MFR     | 3        | 2                      | N/A                                   | 2                                                       | N/A                             | 2                                    |
| Dr. O. Ibidapo-Obe Ogunfowora    | 3        | N/A                    | 2                                     | 2                                                       | 2                               | 2                                    |
| Mr Peter Bamkole                 | 3        | 2                      | 2                                     | N/A                                                     | 2                               | N/A                                  |
| Mr Chuks Emma Okoh               | 3        | 2                      | N/A                                   | 2                                                       | N/A                             | 2                                    |
| Dr. Juliet Ehimuan               | 3        | N/A                    | 2                                     | 2                                                       | 2                               | N/A                                  |
| Ms. Pamela Yough                 | 3        | 2                      | N/A                                   | 2                                                       | N/A                             | N/A                                  |
| Dr. Rislana Kanya Abdulazeez     | 3        | N/A                    | 2                                     | N/A                                                     | 2                               | 2                                    |
| Dame Dr. Adaora Umeoji, OON      | 3        | 2                      | 2                                     | N/A                                                     | 2                               | N/A                                  |
| Dr. (Mrs.) Adobi Nwapa           | 3        | N/A                    | 2                                     | N/A                                                     | N/A                             | N/A                                  |
| Mr. Akindele Ogunranti           | 3        | N/A                    | 2                                     | N/A                                                     | 2                               | N/A                                  |
| Mr. Adamu Lawani                 | 3        | 2                      | N/A                                   | N/A                                                     | 2                               | N/A                                  |
| Mr. Louis Odom                   | 3        | 2                      | N/A                                   | N/A                                                     | 2                               | N/A                                  |
| Mr. Kennedy Onuwa Okwudili ***   | 1        | N/A                    | N/A                                   | N/A                                                     | N/A                             | N/A                                  |

Note:

\* Jim Ovia, CFR retired from the Board effective 29 April 2026

\*\* Engr. Mustapha Bello was appointed Chairman to the Board on 29 April 2026

\*\*\* Mr Kennedy Onuwa Okwudili was appointed to the Board on 01 May 2026

N/A - Not Applicable (Not a Committee member)

Dates for Board and Board Committee meetings held within the year to 30 June 2026

| Board meetings | Board credit committee meeting | Finance and general purpose committee | Board Risk Management committee Meeting | Board Audit and Compliance Committee Meeting | Board Governance, Nomination and Remuneration Committee | Audit committee meeting of the bank |
|----------------|--------------------------------|---------------------------------------|-----------------------------------------|----------------------------------------------|---------------------------------------------------------|-------------------------------------|
| 29-Jan-26      | 28-Jan-26                      | 27-Jan-26                             | 27-Jan-26                               | 26-Jan-26                                    | 26-Jan-26                                               | 26-Jan-26                           |
| 27-Apr-26      | 23-Apr-26                      | 22-Apr-26                             | 22-Apr-26                               | 24-Apr-26                                    | 22-Apr-26                                               | 24-Apr-26                           |
| 05-May-26      |                                |                                       |                                         |                                              |                                                         |                                     |

### 17. Audit Committee

The table below shows the frequency of meetings of the audit committee and members' attendance at these meetings during the period under review.

Number of meetings held during the period:

| Members                         | Number of Meetings attended |
|---------------------------------|-----------------------------|
| Mrs. Adebimpe Balogun (SR)      | 2                           |
| Prof. (Prince) L.F.O Obika (SR) | 2                           |
| Mr. Michael Olusoji Ajayi (SR)  | 2                           |
| Engr. Mustafa Bello* (INED)     | 2                           |
| Dr. Al-mujtaba Abubakar (INED)  | 2                           |

SR - Shareholders representative

INED- Independent Non-Executive Director

\* Engr. Mustafa Bello exited the committee upon his appointment as Board chairman.



## ZENITH BANK PLC

### Statement of Directors' Responsibilities in Relation to the Financial Statements for the six month period ended 30 June 2026

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The Directors accept responsibility for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board (IASB) (IFRS Accounting standards) and in the manner required by the Companies and Allied Matters Act, (CAMA 2020) of Nigeria, Financial Reporting Council of Nigeria (Amendment) Act 2023, the Banks and Other Financial Institutions Act, (BOFIA), 2020 relevant Central Bank of Nigeria (CBN) Guidelines and Circulars.

The Directors further accept responsibility for maintaining adequate accounting records as required by the Companies and Allied Matters Act, (CAMA 2020) of Nigeria and for such internal control as the directors determines necessary to enable the preparation of financial statements that are free from material misstatements whether due to fraud or error.

The Directors have assessed the Bank's and Group's ability to continue as a going concern and have no reason to believe that the Bank and the Group will not remain a going concern for at least a year from the date of approval of the financial statements.

SIGNED ON BEHALF OF THE

BOARD OF DIRECTORS BY:



Engr. Mustafa Bello  
Chairman  
FRC/2026/PRO/DIR/003/693530  
29 July, 2026



Dame (Dr.) Adaora Umeoji, OON  
Group Managing Director / CEO  
FRC/2024/PRO/DIR/003/967545  
29 July, 2026

# ZENITH BANK PLC

## Report of the Audit Committee for the six month period ended 30 June 2026

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In compliance with Section 407(1) Companies and Allied Matters Act of Nigeria 2020, we have reviewed the consolidated and separate financial statements of Zenith Bank Plc for the period ended 30 June 2026 and hereby state as follows:

1. The scope and planning of the audit were adequate in our opinion;
2. The accounting and reporting policies of the Group and Bank conformed with the statutory requirements and agreed ethical practices;
3. The internal control and internal audit functions were operating effectively; and
4. The external auditor's findings as stated in the management letter are being dealt with satisfactorily by the management.
5. Related party balances and transactions have been disclosed in Note 36 to the financial statements in accordance with requirements of the IFRS Accounting standards and directives issued by the Central Bank of Nigeria (CBN) as contained in the Prudential Guidelines for Deposit Money Banks in Nigeria and Circular on Disclosure of insider related credits in financial statements BSD/1/2004.

Dated 27th July, 2026.



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**Mrs. Adebimpe Balogun**  
**Chairman Audit Committee**  
**FRC/2017/CITN/00000017467**

### MEMBERS OF THE COMMITTEE

#### Shareholders Representative

1. Mrs Adebimpe Balogun - Chairman
2. Mr. Michael Olusoji Ajayi
3. Prof. (Prince) L.F.O Obika

#### Directors' Representative

#### Non-Executive Director

1. Dr. Al-Mujtaba Abubakar, MFR
2. Engr. Mustafa Bello\*

\* Engr. Mustafa Bello exited the committee upon his appointment as Board chairman.



## Independent auditor's report

To the Members of Zenith Bank Plc

### Report on the audit of the interim consolidated and separate financial statements

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#### Our opinion

In our opinion, the interim consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of Zenith Bank Plc ("the bank") and its subsidiaries (together "the group") as at 30 June 2026, and of their consolidated and separate financial performance and their consolidated and separate cash flows for the six-month period then ended in accordance with IAS 34 'Interim Financial Reporting' and the requirements of the Companies and Allied Matters Act, the Banks and Other Financial Institutions Act and the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

#### What we have audited

Zenith Bank Plc's interim consolidated and separate financial statements comprise:

- the interim consolidated and separate statements of financial position as at 30 June 2026;
  - the interim consolidated and separate statements of profit or loss and other comprehensive income for the six-month period then ended;
  - the interim consolidated and separate statements of changes in equity for the six-month period then ended;
  - the interim consolidated and separate statements of cash flows for the six-month period then ended; and
  - the notes to the interim consolidated and separate financial statements, which include a summary of material accounting policies.
- 

#### Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the interim consolidated and separate financial statements section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

#### Independence

We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), i.e. the IESBA Code issued by the International Ethics Standards Board for Accountants. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

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#### Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the interim consolidated and separate financial statements of the current period. These matters were

PricewaterhouseCoopers  
FF Millenium Towers, 13/14 Ligali Ayorinde Street, Victoria Island,  
Lagos, Nigeria

[www.pwc.com/ng](http://www.pwc.com/ng)



addressed in the context of our audit of the interim consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

| Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | How our audit addressed the key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><i>Expected credit losses on loans and advances to customers (refer to notes 2.7, 4.1 and 20)</i></p> <p>The expected credit losses (ECL) allowance on loans and advances to customers is a key audit matter in the consolidated and separate financial statements because the measurement of impairment allowance is highly subjective and involves the exercise of significant judgments.</p> <p>The gross balance of loans and advances to customers as at 30 June 2026 was ₦12,572 billion and ₦10,065 billion for group and bank respectively. The associated ECL allowance on loans and advances to customers was ₦524 billion and ₦485 billion for group and bank respectively.</p> <p>The key area of significant judgment in the calculation of ECL is the Days Past Due (DPD) bucket classification, as it directly influences impairment provisioning under IFRS 9.</p> <p>DPD bucket classification is a critical credit risk indicator applied in determining loan staging under IFRS 9, and in establishing risk groupings for the calculation of key credit parameters including Probability of default (PD). This process involves significant management judgment, particularly when incorporating qualitative factors. Such judgment is inherently susceptible to management bias, which could materially affect the classification and risk segmentation of loans as well as the related impairment provisions. Given the materiality and volume of loans and advances to customers, coupled with the subjectivity involved in DPD bucket classification, this area was considered a key audit matter.</p> <p>This is considered a key audit matter in both consolidated and separate financial statements.</p> | <p>We understood and evaluated the design and implementation of controls relating to the determination of DPD buckets;</p> <p>To assess management's determination of DPD bucket classification incorporated as inputs into loan staging as well as the PD model, we selected a sample of customers and performed the following procedures:</p> <ul style="list-style-type: none"> <li>• tested the accuracy of DPD calculations using contractual terms and payment history;</li> <li>• examined customer specific information to assess the appropriateness of management's judgement in incorporating qualitative factors into DPD bucket classification;</li> <li>• assessed that DPD bucket classifications determined were appropriately reflected in the PD model inputs; and</li> <li>• assessed the application of the DPD bucket classification in determining loan staging.</li> </ul> <p>With the assistance of our modelling experts, we:</p> <ul style="list-style-type: none"> <li>• checked the reasonableness and accuracy of the PD methodology and computations by performing independent calculations based on the bank's default experience, including segmentation by risk grouping driven by DPD buckets; and</li> <li>• evaluated the appropriateness of the IFRS 9 impairment methodology for reasonableness.</li> </ul> <p>We assessed the adequacy of the disclosures in the financial statements in accordance with IFRS 9.</p> |

## Other information

The directors are responsible for the other information. The other information comprises the Directors, Officers And Professional Advisers, Directors' Report, Statement of Corporate Responsibility in Relation to the Financial Statements, Corporate Governance Report, Statement of Directors' Responsibilities in Relation to the Financial Statements, Report of the Audit Committee, Value Added Statement and Five-Year Financial Summary, but does not include the interim consolidated and separate financial statements and our auditor's report thereon.



Our opinion on the interim consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the interim consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the interim consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

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### **Responsibilities of the directors and those charged with governance for the interim consolidated and separate financial statements**

The directors are responsible for the preparation of the interim consolidated and separate financial statements that give a true and fair view in accordance with IAS 34 'Interim Financial Reporting' and the requirements of the Companies and Allied Matters Act, the Financial Reporting Council of Nigeria (Amendment) Act, 2023, the Banks and Other Financial Institutions Act, and for such internal control as the directors determine is necessary to enable the preparation of interim consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the interim consolidated and separate financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

### **Auditor's responsibilities for the audit of the interim consolidated and separate financial statements**

Our objectives are to obtain reasonable assurance about whether the interim consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these interim consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the interim consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.



- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the interim consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the interim consolidated and separate financial statements, including the disclosures, and whether the interim consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the interim consolidated and separate financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the interim consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

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## Report on other legal and regulatory requirements

The Companies and Allied Matters Act and the Banks and Other Financial Institutions Act require that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) the bank has kept proper books of account, so far as appears from our examination of those books and returns adequate for our audit have been received from branches not visited by us;
- iii) the bank's statement of financial position and statement of profit or loss and other comprehensive income for the six-month period ended are in agreement with the books of account and returns;
- iv) the information required by Central Bank of Nigeria Circular BSD/1/2004 on insider related credits is disclosed in Note 36 to the interim consolidated and separate financial statements; and



- v) as disclosed in Note 40 to the interim consolidated and separate financial statements, the bank paid penalties in respect of contraventions of certain sections of the Banks and Other Financial Institutions Act and relevant circulars issued by the Central Bank of Nigeria during the six-month period ended 30 June 2026.
- 

*Wura Olowofoyeku*

**For: PricewaterhouseCoopers**  
Chartered Accountants  
Lagos, Nigeria

Engagement Partner: Wura Olowofoyeku  
FRC/2017/PRO/ICAN/004/000000016809



29 September 2026

# ZENITH BANK PLC

## Interim Consolidated and Separate Statements of Profit or Loss and Other Comprehensive Income for the six month period ended 30 June 2026

| In millions of Naira                                                          | Note(s) | Group                    |                          | Bank                     |                          |
|-------------------------------------------------------------------------------|---------|--------------------------|--------------------------|--------------------------|--------------------------|
|                                                                               |         | 6 Months<br>30 June 2026 | 6 Months<br>30 June 2025 | 6 Months<br>30 June 2026 | 6 Months<br>30 June 2025 |
| Interest and similar income                                                   | 6       | 1,676,121                | 1,839,249                | 1,404,832                | 1,531,568                |
| Interest and similar expense                                                  | 7       | (421,800)                | (484,525)                | (336,811)                | (373,718)                |
| <b>Net interest income</b>                                                    |         | <b>1,254,321</b>         | <b>1,354,724</b>         | <b>1,068,021</b>         | <b>1,157,850</b>         |
| Impairment charge on financial instruments                                    | 8a      | (141,119)                | (762,054)                | (140,672)                | (757,385)                |
| Net interest income after impairment charge                                   |         | 1,113,202                | 592,670                  | 927,349                  | 400,465                  |
| Net income on fees and commission                                             | 9       | 178,774                  | 128,063                  | 123,469                  | 80,164                   |
| Trading (losses)/gains                                                        | 10      | (92,244)                 | 467,792                  | (116,831)                | 439,859                  |
| Other operating income                                                        | 11      | 71,629                   | 17,291                   | 58,981                   | 26,770                   |
| Impairment credit on non-financial instruments                                | 8b      | -                        | 1,240                    | -                        | 1,240                    |
| Depreciation of property and equipment                                        | 26      | (35,423)                 | (27,409)                 | (27,021)                 | (19,139)                 |
| Amortisation of intangible assets                                             | 27      | (8,557)                  | (8,163)                  | (6,565)                  | (5,921)                  |
| Personnel expenses                                                            | 35      | (138,451)                | (134,568)                | (92,883)                 | (87,123)                 |
| Operating expenses                                                            | 12      | (451,327)                | (411,287)                | (406,298)                | (372,313)                |
| <b>Profit before tax</b>                                                      |         | <b>637,603</b>           | <b>625,629</b>           | <b>460,201</b>           | <b>464,002</b>           |
| Taxation                                                                      | 13a     | (206,841)                | (93,449)                 | (152,777)                | (37,288)                 |
| <b>Profit for the period after tax</b>                                        |         | <b>430,762</b>           | <b>532,180</b>           | <b>307,424</b>           | <b>426,714</b>           |
| <b>Other comprehensive income:</b>                                            |         |                          |                          |                          |                          |
| <b>Items that will never be reclassified to profit or loss</b>                |         |                          |                          |                          |                          |
| Fair value movements on equity instruments at FVOCI                           |         | (15,363)                 | 29,486                   | (15,363)                 | 29,486                   |
| Impact of adopting IAS 29 on 1 January                                        |         | -                        | 141,403                  | -                        | -                        |
| <b>Total items that will not be reclassified to profit or loss</b>            |         | <b>(15,363)</b>          | <b>170,889</b>           | <b>(15,363)</b>          | <b>29,486</b>            |
| <b>Items that are or may be reclassified to profit or loss:</b>               |         |                          |                          |                          |                          |
| Foreign currency translation differences for foreign operations               |         | (92,804)                 | (2,541)                  | -                        | -                        |
| Fair value movement on debt securities at FVOCI                               |         | (1,055)                  | 4,148                    | -                        | -                        |
| Income tax effect relating to fair value movement on debt securities at FVOCI |         | (22)                     | (933)                    | -                        | -                        |
| <b>Other comprehensive (loss)/income for the period net of taxation</b>       |         | <b>(109,244)</b>         | <b>171,563</b>           | <b>(15,363)</b>          | <b>29,486</b>            |
| <b>Total comprehensive income for the period</b>                              |         | <b>321,518</b>           | <b>703,743</b>           | <b>292,061</b>           | <b>456,200</b>           |
| <b>Profit attributable to:</b>                                                |         |                          |                          |                          |                          |
| Equity holders of the parent                                                  |         | 430,293                  | 531,833                  | 307,424                  | 426,714                  |
| Non-controlling interest                                                      |         | 469                      | 347                      | -                        | -                        |
|                                                                               |         | <b>430,762</b>           | <b>532,180</b>           | <b>307,424</b>           | <b>426,714</b>           |
| <b>Total comprehensive income attributable to:</b>                            |         |                          |                          |                          |                          |
| Equity holders of the parent                                                  |         | 321,398                  | 702,576                  | 292,061                  | 456,200                  |
| Non-controlling interest                                                      |         | 120                      | 1,167                    | -                        | -                        |
|                                                                               |         | <b>321,518</b>           | <b>703,743</b>           | <b>292,061</b>           | <b>456,200</b>           |
| <b>Earnings per share</b>                                                     |         |                          |                          |                          |                          |
| Basic and diluted (Naira)                                                     | 14      | 10.48                    | 12.95                    | 7.49                     | 10.39                    |

The accompanying notes are an integral part of these interim consolidated and separate financial statements.



# ZENITH BANK PLC

## Interim Consolidated and Separate Statements of Financial Position as at 30 June 2026

|                                              |         | Group             |                   | Bank              |                   |
|----------------------------------------------|---------|-------------------|-------------------|-------------------|-------------------|
| In millions of Naira                         | Note(s) | 30 June 2026      | 31 December 2025  | 30 June 2026      | 31 December 2025  |
| <b>Assets</b>                                |         |                   |                   |                   |                   |
| Cash and balances with central banks         | 15      | 6,878,234         | 6,925,426         | 5,885,554         | 5,891,436         |
| Treasury bills                               | 16      | 4,657,269         | 4,662,814         | 4,128,116         | 3,893,729         |
| Assets pledged as collateral                 | 17      | 128,140           | 115,525           | 90,162            | 94,477            |
| Due from other banks                         | 18      | 2,088,703         | 2,721,675         | 1,669,464         | 2,450,381         |
| Derivative assets                            | 19      | 6,217             | 8,146             | 3,412             | 1,416             |
| Loans and advances                           | 20      | 12,048,365        | 10,448,952        | 9,579,809         | 8,167,344         |
| Investment securities                        | 21      | 5,386,968         | 5,409,945         | 2,454,303         | 2,339,994         |
| Current tax receivable                       | 13d     | 10,398            | 3,721             | -                 | -                 |
| Other assets                                 | 25      | 796,149           | 572,712           | 403,551           | 328,884           |
| Deferred tax asset                           | 24      | 27,961            | 32,296            | -                 | 1,756             |
| Investments in subsidiaries                  | 22      | -                 | -                 | 145,037           | 34,625            |
| Property and equipment                       | 26      | 545,308           | 478,018           | 401,338           | 329,007           |
| Intangible assets                            | 27      | 72,193            | 78,821            | 62,896            | 69,372            |
| <b>Total assets</b>                          |         | <b>32,645,905</b> | <b>31,458,051</b> | <b>24,823,642</b> | <b>23,602,421</b> |
| <b>Liabilities</b>                           |         |                   |                   |                   |                   |
| Customers' deposits                          | 28      | 26,347,903        | 24,329,961        | 19,923,655        | 18,114,919        |
| Derivative liabilities                       | 32      | 106,275           | 196,072           | 105,868           | 195,498           |
| Current income tax payable                   | 13c     | 67,628            | 95,198            | 49,696            | 87,168            |
| Deferred tax liabilities                     | 24      | 16,953            | 7,492             | 11,378            | -                 |
| Other liabilities                            | 29      | 1,122,392         | 1,150,591         | 1,027,003         | 1,043,195         |
| On lending facilities                        | 30      | 87,260            | 103,369           | 72,459            | 83,755            |
| Borrowings                                   | 31      | 11,128            | 651,162           | -                 | 377,003           |
| <b>Total liabilities</b>                     |         | <b>27,759,539</b> | <b>26,533,845</b> | <b>21,190,059</b> | <b>19,901,538</b> |
| <b>Capital and reserves</b>                  |         |                   |                   |                   |                   |
| Share capital                                | 33      | 20,535            | 20,535            | 20,535            | 20,535            |
| Share premium                                |         | 594,113           | 594,113           | 594,113           | 594,113           |
| Retained earnings                            |         | 2,815,883         | 2,808,194         | 1,915,641         | 2,013,692         |
| Other reserves                               |         | 1,451,921         | 1,497,570         | 1,103,294         | 1,072,543         |
| Attributable to equity holders of the parent |         | 4,882,452         | 4,920,412         | 3,633,583         | 3,700,883         |
| Non-controlling interest                     |         | 3,914             | 3,794             | -                 | -                 |
| <b>Total shareholders' equity</b>            |         | <b>4,886,366</b>  | <b>4,924,206</b>  | <b>3,633,583</b>  | <b>3,700,883</b>  |
| <b>Total liabilities and equity</b>          |         | <b>32,645,905</b> | <b>31,458,051</b> | <b>24,823,642</b> | <b>23,602,421</b> |

The accompanying notes are an integral part of these interim consolidated and separate financial statements.

The financial statements were approved and authorised for issue by the Board of Directors on 29th July 2026 and signed on its behalf by:



Engr. Mustafa Bello  
Chairman  
FRC/2026/PRO/DIR/003/693530



Dame (Dr.) Adaora Umeoji, OON  
Group Managing Director/CEO  
FRC/2024/PRO/DIR/003/967545



Durosinmi Abiodun Akanbi  
Chief Financial Officer  
FRC/2013/ICAN/00000001308

# ZENITH BANK PLC

## Interim Consolidated and Separate Statements of Changes in Equity for the six month period ended 30 June 2026

| In millions of Naira                                                          | Note(s) | Share capital | Share premium  | Foreign currency translation reserve | Fair value reserve | Statutory reserve | SMIEIS reserve | Credit risk reserve | Retained earnings | Total            | Non-controlling interest | Total equity     |
|-------------------------------------------------------------------------------|---------|---------------|----------------|--------------------------------------|--------------------|-------------------|----------------|---------------------|-------------------|------------------|--------------------------|------------------|
| <b>Group</b>                                                                  |         |               |                |                                      |                    |                   |                |                     |                   |                  |                          |                  |
| <b>1 January 2026</b>                                                         |         | <b>20,535</b> | <b>594,113</b> | <b>326,245</b>                       | <b>341,863</b>     | <b>711,416</b>    | <b>3,729</b>   | <b>114,317</b>      | <b>2,808,194</b>  | <b>4,920,412</b> | <b>3,794</b>             | <b>4,924,206</b> |
| Profit for the period                                                         |         | -             | -              | -                                    | -                  | -                 | -              | -                   | 430,293           | 430,293          | 469                      | 430,762          |
| <b>Other comprehensive income:</b>                                            |         | -             | -              | -                                    | -                  | -                 | -              | -                   | -                 | -                | -                        | -                |
| Foreign currency translation differences                                      |         | -             | -              | (92,455)                             | -                  | -                 | -              | -                   | -                 | (92,455)         | (349)                    | (92,804)         |
| Fair value movements on equity instruments                                    |         | -             | -              | -                                    | (15,363)           | -                 | -              | -                   | -                 | (15,363)         | -                        | (15,363)         |
| Fair value movements on debt securities                                       |         | -             | -              | -                                    | (1,055)            | -                 | -              | -                   | -                 | (1,055)          | -                        | (1,055)          |
| Income tax effect relating to fair value movement on debt securities at FVOCI |         | -             | -              | -                                    | (22)               | -                 | -              | -                   | -                 | (22)             | -                        | (22)             |
|                                                                               |         | -             | -              | (92,455)                             | (16,440)           | -                 | -              | -                   | 430,293           | 321,398          | 120                      | 321,518          |
| Transfer between reserves                                                     |         | -             | -              | -                                    | -                  | 57,307            | -              | 5,939               | (63,246)          | -                | -                        | -                |
| <b>Transactions with owners in their capacity as owners</b>                   |         |               |                |                                      |                    |                   |                |                     |                   |                  |                          |                  |
| Dividends                                                                     | 38      | -             | -              | -                                    | -                  | -                 | -              | -                   | (359,361)         | (359,361)        | -                        | (359,361)        |
| <b>Balance at 30 June 2026</b>                                                |         | <b>20,535</b> | <b>594,113</b> | <b>233,790</b>                       | <b>325,423</b>     | <b>768,723</b>    | <b>3,729</b>   | <b>120,256</b>      | <b>2,815,883</b>  | <b>4,882,452</b> | <b>3,914</b>             | <b>4,886,366</b> |
| <b>1 January 2025</b>                                                         |         | <b>20,535</b> | <b>594,113</b> | <b>408,183</b>                       | <b>331,125</b>     | <b>549,528</b>    | <b>3,729</b>   | <b>104,182</b>      | <b>2,015,513</b>  | <b>4,026,908</b> | <b>2,365</b>             | <b>4,029,273</b> |
| Profit for the period                                                         |         | -             | -              | -                                    | -                  | -                 | -              | -                   | 531,833           | 531,833          | 347                      | 532,180          |
| <b>Other Comprehensive income:</b>                                            |         | -             | -              | -                                    | -                  | -                 | -              | -                   | 140,583           | 140,583          | 820                      | 141,403          |
| Impact of adopting IAS 29 at 1 January 2023                                   |         | -             | -              | -                                    | -                  | -                 | -              | -                   | -                 | -                | -                        | -                |
| Foreign currency translation differences                                      |         | -             | -              | (2,541)                              | -                  | -                 | -              | -                   | -                 | (2,541)          | -                        | (2,541)          |
| Fair value movements on equity instruments                                    |         | -             | -              | -                                    | 29,486             | -                 | -              | -                   | -                 | 29,486           | -                        | 29,486           |
| Fair value movements on debt securities                                       |         | -             | -              | -                                    | 4,148              | -                 | -              | -                   | -                 | 4,148            | -                        | 4,148            |
| Income tax effect relating to fair value movement on debt securities at FVOCI |         | -             | -              | -                                    | (933)              | -                 | -              | -                   | -                 | (933)            | -                        | (933)            |
|                                                                               |         | -             | -              | (2,541)                              | 32,701             | -                 | -              | -                   | 672,416           | 702,576          | 1,167                    | 703,743          |
| Transfer between reserves                                                     | 35      | -             | -              | -                                    | -                  | 71,067            | -              | 50                  | (71,117)          | -                | -                        | -                |
| <b>Transactions with owners in their capacity as owners</b>                   |         |               |                |                                      |                    |                   |                |                     |                   |                  |                          |                  |
| Dividends                                                                     | 40      | -             | -              | -                                    | -                  | -                 | -              | -                   | (164,279)         | (164,279)        | -                        | (164,279)        |
| <b>Balance at 30 June 2025</b>                                                |         | <b>20,535</b> | <b>594,113</b> | <b>405,642</b>                       | <b>363,826</b>     | <b>620,595</b>    | <b>3,729</b>   | <b>104,232</b>      | <b>2,452,533</b>  | <b>4,565,205</b> | <b>3,532</b>             | <b>4,568,737</b> |

# ZENITH BANK PLC

## Interim Consolidated and Separate Statements of Changes in Equity for the six month ended 30 June 2026

| In Millions of Naira                                        | Note(s) | Share capital | Share premium  | Fair value reserve | Statutory reserve | SMIEIS reserve | Credit risk reserve | Retained earnings | Total equity     |
|-------------------------------------------------------------|---------|---------------|----------------|--------------------|-------------------|----------------|---------------------|-------------------|------------------|
| <b>Bank</b>                                                 |         |               |                |                    |                   |                |                     |                   |                  |
| <b>Balance at 1 January 2026</b>                            |         | <b>20,535</b> | <b>594,113</b> | <b>334,373</b>     | <b>630,330</b>    | <b>3,729</b>   | <b>104,111</b>      | <b>2,013,692</b>  | <b>3,700,883</b> |
| Profit for the period                                       |         | -             | -              | -                  | -                 | -              | -                   | 307,424           | 307,424          |
| <b>Other comprehensive income</b>                           |         |               |                |                    |                   |                |                     |                   |                  |
| Fair value movements on equity instruments                  |         | -             | -              | (15,363)           | -                 | -              | -                   | -                 | (15,363)         |
| <b>Total comprehensive income for the period</b>            |         | <b>-</b>      | <b>-</b>       | <b>(15,363)</b>    | <b>-</b>          | <b>-</b>       | <b>-</b>            | <b>307,424</b>    | <b>292,061</b>   |
| Transfer between reserves                                   |         | -             | -              | -                  | 46,114            | -              | -                   | (46,114)          | -                |
| <b>Transactions with owners in their capacity as owners</b> |         |               |                |                    |                   |                |                     |                   |                  |
| Dividends                                                   | 38      | -             | -              | -                  | -                 | -              | -                   | (359,361)         | (359,361)        |
| <b>Balance at 30 June 2026</b>                              |         | <b>20,535</b> | <b>594,113</b> | <b>319,010</b>     | <b>676,444</b>    | <b>3,729</b>   | <b>104,111</b>      | <b>1,915,641</b>  | <b>3,633,583</b> |
| <b>Balance at 1 January 2025</b>                            |         | <b>20,535</b> | <b>594,113</b> | <b>326,994</b>     | <b>508,366</b>    | <b>3,729</b>   | <b>104,111</b>      | <b>1,538,190</b>  | <b>3,096,038</b> |
| Profit for the year                                         |         | -             | -              | -                  | -                 | -              | -                   | 426,714           | 426,714          |
| <b>Other comprehensive income:</b>                          |         |               |                |                    |                   |                |                     |                   |                  |
| Fair value movements on equity instruments                  |         | -             | -              | 29,486             | -                 | -              | -                   | -                 | 29,486           |
| <b>Total comprehensive income for the year</b>              |         | <b>-</b>      | <b>-</b>       | <b>29,486</b>      | <b>-</b>          | <b>-</b>       | <b>-</b>            | <b>426,714</b>    | <b>456,200</b>   |
| <b>Transactions with owners in their capacity as owners</b> |         |               |                |                    |                   |                |                     |                   |                  |
| Transfer between reserves                                   |         | -             | -              | -                  | 64,007            | -              | -                   | (64,007)          | -                |
| Dividends                                                   | 38      | -             | -              | -                  | -                 | -              | -                   | (164,279)         | (164,279)        |
| <b>Balance at 30 June 2025</b>                              |         | <b>20,535</b> | <b>594,113</b> | <b>356,480</b>     | <b>572,373</b>    | <b>3,729</b>   | <b>104,111</b>      | <b>1,736,618</b>  | <b>3,387,959</b> |

The accompanying notes are an integral part of these interim consolidated and separate financial statements.

# ZENITH BANK PLC

## Interim Consolidated and Separate Statements of Cash Flows for the six month period ended 30 June 2026

|                                                                                   |            | Group              |                    | Bank               |                    |
|-----------------------------------------------------------------------------------|------------|--------------------|--------------------|--------------------|--------------------|
| In millions of Naira                                                              | Note(s)    | 30 June 2026       | 30 June 2025       | 30 June 2026       | 30 June 2025       |
| <b>Cash flows from operating activities</b>                                       |            |                    |                    |                    |                    |
| Profit before tax for the year                                                    |            | 637,603            | 625,629            | 460,201            | 464,002            |
| <b>Adjustments for:</b>                                                           |            |                    |                    |                    |                    |
| Net impairment loss                                                               | 42(xix)    | 141,119            | 760,814            | 140,672            | 756,145            |
| Unrealised fair value change in trading bond, bills and derivatives               | 42(xii)    | 95,029             | (177,744)          | 97,343             | (173,471)          |
| Depreciation of property and equipment                                            | 26         | 35,423             | 27,409             | 27,021             | 19,139             |
| Amortisation of intangible assets                                                 | 27         | 8,557              | 8,163              | 6,565              | 5,921              |
| Dividend income                                                                   | 11         | (296)              | (9,725)            | (296)              | (9,725)            |
| Foreign exchange revaluation gain                                                 | 42(xxii)   | (404,520)          | (167,091)          | 1,191              | (84,183)           |
| Write-off of property and equipment                                               | 26         | (774)              | -                  | -                  | -                  |
| Interest income                                                                   | 6          | (1,676,121)        | (1,839,249)        | (1,404,832)        | (1,531,568)        |
| Interest expense                                                                  | 7          | 421,800            | 484,525            | 336,811            | 373,718            |
| Gain on sale of property and equipment                                            | 42(vi)     | (1,001)            | (473)              | (184)              | (467)              |
| Gain on bargain purchase                                                          | 11         | (2,291)            | -                  | -                  | -                  |
| Modification Loss                                                                 | 42(xvi)    | (132)              | -                  | (43)               | -                  |
| Lease derecognition                                                               | 42(xviii)  | (8)                | -                  | -                  | -                  |
| Net monetary loss arising from hyperinflationary economy                          | 11         | -                  | (17,568)           | -                  | -                  |
| Gain on modification of financial asset                                           |            | -                  | -                  | -                  | -                  |
| Recognition of utilized withholding tax                                           |            | -                  | -                  | -                  | -                  |
|                                                                                   |            | (745,612)          | (305,310)          | (335,551)          | (180,489)          |
| <b>Changes in operating assets and liabilities:</b>                               |            |                    |                    |                    |                    |
| Net increase in loans and advances                                                | 42(iii)    | (1,637,395)        | (574,642)          | (1,546,474)        | (40,022)           |
| Net increase in other assets                                                      | 42(viii)   | (222,357)          | (186,315)          | (151,488)          | (166,117)          |
| Net decrease/(increase) in treasury bills (FVTPL) including bills pledged         | 42(iib)    | (1,317,696)        | 1,156,268          | (1,317,696)        | 1,156,268          |
| Net (increase) in investment securities including bonds pledged (FVTPL and FVOCI) | 42(i)      | (6,328)            | (17,722)           | 24,766             | (1,519)            |
| Net increase in restricted balances (cash reserves)                               | 42(x)      | 287,159            | (1,020,597)        | 281,609            | (980,544)          |
| Net decrease/(increase) in due from banks with maturity greater than three months | 42(vii)    | 36,993             | 88,750             | (91,045)           | 286,313            |
| Net decrease in derivatives                                                       | 42(ix)     | (187,926)          | 271,368            | (194,082)          | 266,748            |
| Net increase in customer deposits                                                 | 42(iv)     | 1,917,907          | 1,615,502          | 1,821,242          | 736,577            |
| Net increase in Other liabilities                                                 | 42(v)      | (72,651)           | 352,556            | (56,297)           | 289,703            |
|                                                                                   |            | (1,947,906)        | 1,379,858          | (1,565,016)        | 1,366,918          |
| Interest received from operating activities                                       | 42(xiiiia) | 1,040,031          | 1,145,594          | 889,741            | 1,020,715          |
| Interest paid                                                                     | 42(xi)     | (413,307)          | (371,600)          | (322,613)          | (266,190)          |
| Tax paid                                                                          | 13         | (225,453)          | (320,890)          | (177,115)          | (271,504)          |
| <b>Net cash flows (used in)/generated from operations</b>                         |            | <b>(1,546,635)</b> | <b>1,832,962</b>   | <b>(1,175,003)</b> | <b>1,849,939</b>   |
| <b>Cash flows from investing activities</b>                                       |            |                    |                    |                    |                    |
| Purchase of property and equipment                                                | 42(xivb)   | (109,622)          | (46,609)           | (97,115)           | (39,375)           |
| Proceeds from Sale of property and equipment                                      | 42(vi)     | 1,327              | 1,131              | 378                | 1,124              |
| Purchase of intangible assets                                                     | 27         | (2,569)            | (4,015)            | (89)               | (2,139)            |
| Additions to treasury bills                                                       | 42(iiia)   | (6,321,074)        | (2,718,270)        | (1,975,079)        | (2,169,443)        |
| Disposal of treasury bills                                                        | 42(iiia)   | 7,779,476          | 836,114            | 3,010,563          | 543,050            |
| Interest received from treasury bills and investment securities                   | 42(xiiib)  | 610,087            | 175,788            | 441,418            | 68,244             |
| Acquisition of Right of Use Asset                                                 | 42(xiva)   | (840)              | (92)               | (279)              | (92)               |
| Additions to Investment securities                                                | 42(XV)     | (563,102)          | (164,676)          | (474,965)          | (57,926)           |
| Disposal of Investment securities                                                 | 42(i)      | 449,050            | 312,182            | 308,723            | 51,117             |
| Dividends received                                                                | 11         | 296                | 9,725              | 296                | 9,725              |
| Acquisition of subsidiaries                                                       |            | -                  | -                  | (10,300)           | -                  |
| Net cash acquired on business combination                                         | 42(xxiii)  | 12,712             | -                  | -                  | -                  |
| <b>Net cash from/(used in) investing activities</b>                               |            | <b>1,855,741</b>   | <b>(1,598,722)</b> | <b>1,203,551</b>   | <b>(1,595,715)</b> |

# ZENITH BANK PLC

## Interim Consolidated and Separate Statements of Cash Flows for the six month period ended 30 June 2026

|                                                             |          | Group              |                    | Bank             |                    |
|-------------------------------------------------------------|----------|--------------------|--------------------|------------------|--------------------|
| In millions of Naira                                        | Note(s)  | 30 June 2026       | 30 June 2025       | 30 June 2026     | 30 June 2025       |
| <b>Cash flows from financing activities</b>                 |          |                    |                    |                  |                    |
| Cash inflow from long term borrowings                       | 31       | 6,247,564          | 1,459,589          | 5,849,570        | 46,335             |
| Repayment of long term borrowings                           | 31       | (6,835,391)        | (2,354,387)        | (6,212,798)      | (1,006,333)        |
| Interest paid on long term borrowing                        | 42(xi)   | (42,028)           | (231,004)          | (29,616)         | (207,912)          |
| Cash inflow from onlending facility                         | 30(b)    | 4,113              | 19,199             | -                | 2,400              |
| Repayment of onlending facility                             | 30(b)    | (17,755)           | (11,832)           | (11,853)         | (11,832)           |
| Interest paid on onlending facility                         | 42(xi)   | (1,698)            | (143)              | (204)            | (143)              |
| Interest paid on lease liability                            | 42(xi)   | (270)              | (42)               | (32)             | (42)               |
| Repayment of principal for lease liability                  | 42(v)    | (5,102)            | (3,569)            | (1,951)          | (951)              |
| Unclaimed dividend (paid)/received                          | 42(xvii) | 270                | (3,991)            | 270              | (3,991)            |
| Dividends paid to shareholders                              | 38       | (359,361)          | (164,279)          | (359,361)        | (164,279)          |
| <b>Net cash used in financing activities</b>                |          | <b>(1,009,658)</b> | <b>(1,290,459)</b> | <b>(765,975)</b> | <b>(1,346,748)</b> |
| <b>Net (decrease) in cash and cash equivalents</b>          |          | <b>(700,552)</b>   | <b>(1,056,219)</b> | <b>(737,427)</b> | <b>(1,092,524)</b> |
| <b>Analysis of changes in cash and cash equivalents:</b>    |          |                    |                    |                  |                    |
| Cash and cash equivalent at the beginning of the period     |          | 2,857,661          | 4,792,273          | 2,239,000        | 3,475,870          |
| <b>Net increase/(decrease) in cash and cash equivalents</b> |          | <b>(700,552)</b>   | <b>(1,056,219)</b> | <b>(737,427)</b> | <b>(1,092,524)</b> |
| Effect of exchange rate movement on cash balances           |          | 514,404            | 73,857             | (879)            | 37,052             |
| <b>Cash and cash equivalents at the end of the period</b>   | 39       | <b>2,671,513</b>   | <b>3,809,911</b>   | <b>1,500,694</b> | <b>2,420,398</b>   |

The accompanying notes are an integral part of these interim consolidated and separate financial statements.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 1 General information

Zenith Bank Plc (the "Bank") was incorporated in Nigeria under the Companies and Allied Matters Act as a private limited liability company on May 30, 1990. It was granted a banking licence in June 1990, to carry on the business of commercial banking and commenced business on June 16, 1990. The Bank is domiciled in Nigeria and was converted into a Public Limited Liability Company on May 20, 2004. The Bank's shares were listed on October 21, 2004 on the Nigerian Stock Exchange. In August 2015, the Bank was admitted into the Premium Board of the Nigerian Stock Exchange.

The registered office address of the company is Plot 84/87 Ajose Adeogun street, Victoria Island, Lagos.

The principal activity of the Bank is the provision of banking and other financial services to corporate and individual customers. Such services include granting of loans and advances, corporate finance and money market activities.

The Bank has eight subsidiary companies namely; Zenith Bank (Ghana) Limited, Zenith Bank (UK) Limited, Zenith Bank (Sierra Leone) Limited, Zenith Bank (The Gambia) Limited, Zenith Pensions Custodian Limited, Zenith Nominees Limited, Paramount Bank (Kenya) Limited and Zenith Bank (Cote d'Ivoire) Limited. The Bank also has a representative office in China in addition to operating a branch of Zenith Bank (UK) Limited in the United Arab Emirates and also in France.

The consolidated and separate financial statements for the six month period ended 30 June 2026 comprise the Bank and its subsidiaries (together referred to as "the Group" and individually as "Group entities") and the separate financial statements comprise the Bank. The consolidated and separate financial statements for the period ended 30 June 2026 were approved and authorised for issue by the Board of Directors on 29th July 2026. The directors have the power to amend and re-issue the financial statements.

The Group does not have any unconsolidated structured entity.

### 2.0 (a) New and amended IFRS Accounting Standards that are effective for the current year

#### i. Amendments to IFRS 9 and IFRS 7 Classification and Measurement of Financial Instruments

In May 2024, the Board issued Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7), which:

- Clarifies that a financial liability is derecognised on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. It also introduces an accounting policy option to derecognise financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met
- Clarified how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features
- Clarifies the treatment of non-recourse assets and contractually linked instruments
- Requires additional disclosures in IFRS 7 for financial assets and liabilities with contractual terms that reference a contingent event (including those that are ESG-linked), and equity instruments classified at fair value through other comprehensive income

The issuance of the amendments concludes the classification and measurement phase of the IASB's post implementation review (PIR) of IFRS 9 Financial Instruments.

The amendments are effective for annual reporting periods beginning on or after 1 January 2026.

#### ii) Annual Improvements to IFRS accounting Standards – Volume 11

In July 2024, the IASB issued nine narrow scope amendments as part of its periodic maintenance of IFRS accounting standards. The amendments include clarifications, simplifications, corrections or changes to improve consistency in IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 7 Financial Instruments: Disclosure and its accompanying Guidance on implementing IFRS 7, IFRS 9 Financial Instruments, IFRS 10 Consolidated Financial Statements and IAS 7 Statements of Cash Flows.

The effective date of the amendment is for period beginning on or after 01 January 2026.

The amendments has no impact on the Groups's half year financial statements.

#### iii) Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7

In December 2024, the IASB issued Amendments to IFRS 9 and IFRS 7 - Contracts Referencing Nature dependent Electricity. The amendments apply only to contracts that reference nature-dependent electricity, and they:

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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- Clarify the application of the 'own-use' requirements for in-scope contracts
- Amend the designation requirements for a hedged item in a cash flow hedging relationship for in-scope contracts
- Add new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows.

The effective date of the amendment is for period beginning on or after 01 January 2026.

The amendments has no impact on the Group's half year financial statements.

### **(b) New IFRS Accounting Standards in issue but not yet effective**

The following standards had been issued but are not yet effective for period ended on 30 June 2026. The Group has not early adopted the underlisted standard in preparing the financial statements as it plans to adopt it at the effective date, if applicable.

#### **i. IFRS 18 Presentation and Disclosure in Financial Statements**

IFRS 18 replaces IAS 1, carrying forward many of the requirements in IAS 1 unchanged and complementing them with new requirements. In addition, some IAS 1 paragraphs have been moved to IAS 8 and IFRS 7. Furthermore, the IASB has made minor amendments to IAS 7 and IAS 33 Earnings per Share.

IFRS 18 introduces new requirements to:

- present specified categories and defined subtotals in the statement of profit or loss.
- provide disclosures on management-defined performance measures (MPMs) in the notes to the financial statements.
- improve aggregation and disaggregation.

The key new concepts introduced in IFRS 18 relate to: the structure of the statement of profit or loss with defined subtotals; requirement to determine the most useful structure summary for presenting expenses in the statement of profit or loss required disclosures in a single note within the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management-defined performance measures); and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general.

An entity is required to apply IFRS 18 for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted. The amendments to IAS 7 and IAS 33, as well as the revised IAS 8 and IFRS 7, become effective when an entity applies IFRS 18. IFRS 18 requires retrospective application with specific transition provisions.

The impact of this Standard on the Group's financial statement is currently under assessment.

The directors of the company anticipate that the application of these amendments may have an impact on the group's consolidated financial statements in future periods.

#### **ii. Amendments to IFRS 19 - Subsidiaries without Public Accountability: Disclosures**

IFRS 19 permits an eligible subsidiary to provide reduced disclosures when applying IFRS Accounting Standards in its financial statements

A subsidiary is eligible for the reduced disclosures if it does not have public accountability and its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS Accounting Standards.

IFRS 19 is optional for subsidiaries that are eligible and sets out the disclosure requirements for subsidiaries that elect to apply it.

An entity is only permitted to apply IFRS 19 if, at the end of the reporting period:

- it is a subsidiary (this includes an intermediate parent)
- it does not have public accountability, and
- its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS Accounting Standards.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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Eligible entities can apply IFRS 19 in their consolidated, separate or individual financial statements. An eligible intermediate parent that does not apply IFRS 19 in its consolidated financial statement may do so in its separate financial statements.

The effective date of the amendment is for periods beginning on or after 01 January 2027 with earlier application permitted and are applied prospectively.

The Groups expects to adopt the amendment for the first time in the 2027 financial statements.

### (c) Material accounting policies

Except as noted in Note 2.0(a), the Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate financial statements, unless otherwise stated.

### 2.1 Basis of preparation

#### (a) Statement of compliance

The financial statements are prepared in accordance with International Accounting Standards (IAS 34) *Interim Financial Reporting* and in the manner required by the Companies and Allied Matters Act of Nigeria 2020, the Financial Reporting Council of Nigeria (Amendment) Act 2023, the Banks and other Financial Institutions Act of Nigeria, and relevant Central Bank of Nigeria circulars. The financial statements comply with the International Financial Reporting Standards as issued by the International Accounting Standards Board (IASB) (IFRS Accounting Standards).

#### (b) Basis of measurement

The financial statements have been prepared under the historical cost convention with the exception of the following:

- Derivative financial instruments which are measured at fair value; and
- Non-derivative financial instruments, carried at fair value through profit or loss, or fair value through other comprehensive income which are measured at fair value.

#### (c) Use of estimates and judgements

The preparation of financial statements in conformity with IFRS Accounting standards requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated and separate financial statements are disclosed in Note 4.

### 2.2 Basis of Consolidation

#### (a) Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity if it is exposed to, or has the rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Group reassesses whether it has control if there are changes to one or more elements of control. This includes circumstances in which protective rights held become substantive and lead to the Group having control over an investee.

The financial statements of subsidiaries are consolidated from the date the Group acquires control, up to the date that such effective control ceases.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions (transactions with owners). When the proportion of the equity held by Non Controlling Interests (NCIs) changes, the carrying amounts of the controlling and NCIs are adjusted to reflect the changes in their relative interests in the Subsidiary. Any difference between the amount by which the non-controlling interest is adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the Group.

Inter-company transactions, balances and unrealised gains on transactions between companies within the Group are eliminated on consolidation. Unrealised losses are also eliminated in the same manner as unrealised gains, but only to the extent that there is no evidence of impairment. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

In the separate financial statements, investments in subsidiaries are measured at cost less accumulated impairment.



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.2 Basis of Consolidation (continued)

#### (b) Business combinations

A business combination arises when the Bank obtains control of one or more entities that constitute a business.

Business combinations are accounted for using the acquisition method at the acquisition date, being the date on which control is transferred to the Bank. The acquisition method is applied by:

- (a) identifying the acquirer;
- (b) determining the acquisition date; the date the acquirer gains control over the acquiree
- (c) recognising and measuring the identifiable assets acquired, the liabilities assumed and any non-controlling interest in the acquiree; and
- (d) recognising and measuring goodwill or a gain from a bargain purchase.

Goodwill arising on acquisition is determined at the acquisition date as the total of:

- (a) the fair value of consideration transferred; plus
- (b) the recognised amount of any non-controlling interest in the acquiree; plus, where the business combination is achieved in stages, the fair value of the previously existing equity interest in the acquiree
- (c) less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed.

Where the resulting amount is negative, a gain on bargain purchase is recognised immediately in the consolidated profit or loss statement.

If the Bank has not acquired 100% interest in the acquiree, non-controlling interests are recognised. The Group elects on a transaction-by-transaction basis whether non-controlling interests are measured:

- at its fair value;
- or at its proportionate share of the recognised amount of the identifiable net assets, at the acquisition date.

Acquisition-related transaction costs that the Group incurs in connection with a business combination are expensed as incurred in the consolidated profit or loss statement.

Where a business combination is achieved in stages, the acquisition date carrying value of any previously held equity interest in the acquiree is re-measured to fair value at the acquisition date and any gains or losses arising from such remeasurement are recognised in profit or loss.

Deferred and contingent consideration arising on a business combination form part of the consideration transferred and are recognised at their acquisition-date fair values when determining goodwill or a gain on bargain purchase.

Deferred consideration is recognised initially at fair value, with any subsequent unwinding of the discount recognised as finance cost in profit or loss using the effective interest method.

Contingent consideration is recognised at fair value at the acquisition date. Subsequent changes in the fair value of contingent consideration classified as a financial liability are recognised in profit or loss. Contingent consideration classified as equity is not subsequently remeasured.

Contingent consideration is included in the cost of the combination at fair value as at the date of acquisition. Subsequent changes to the assets, liability or equity which arise as a result of the contingent consideration are not affected against goodwill, unless they are valid measurement period adjustments.

Where the initial accounting for a business combination is incomplete at the reporting date, the Group recognises provisional amounts for the assets acquired, liabilities assumed, consideration transferred and any resulting goodwill or gain on bargain purchase. During the measurement period, the Group updates these provisional amounts to reflect additional information obtained about facts and circumstances that existed at the acquisition date. Such adjustments are recognised retrospectively as if they had been known at the acquisition date.

The measurement period ends when the Group obtains the information necessary to complete the acquisition accounting or determines that further information is not available, and shall not exceed one year from the acquisition date. Adjustments arising from events occurring after the acquisition date are not measurement period adjustments and are recognised in accordance with the relevant accounting policies.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.2 Basis of Consolidation (continued)

#### (c) Loss of Control

On loss of control, the Group derecognises the assets and liabilities of the subsidiary, any related non-controlling interests and the other components of equity relating to a subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, that retained interest is accounted for as an equity-accounted investee or as a financial asset depending on the level of influence retained.

#### (d) Associates

Associates are all entities over which the Group has significant influence but not control, generally accompanying a shareholding of between 20% and 50% of the voting rights. Investments in associates are accounted for using the equity method of accounting and are initially recognised at cost. The Group's investment in associates includes goodwill identified on acquisition, net of any accumulated impairment loss.

The Group's share of its associates' post-acquisition profits or losses is recognised in profit or loss, and its share of post-acquisition movements in reserves are recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the associate.

Unrealised gains on transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associates. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been changed where necessary to ensure consistency with the policies adopted by the Group.

#### (e) Non-controlling interests

Non-controlling interests are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date. Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

### 2.3 Translation of foreign currencies

#### Foreign currency transactions and balances

##### (a) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (functional currency). The parent entity's functional currency (Nigerian Naira) is adopted as the presentation currency for the separate and consolidated financial statements. Except as otherwise indicated, financial information presented in Naira has been rounded to the nearest million.

##### (b) Group companies

The results and financial position of all the Group entities that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- i) assets and liabilities for statement of financial position presented are translated at the closing rate at the reporting date;
- ii) income and expenses for each statement of profit or loss and other comprehensive income are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the rate on the dates of the transactions); and
- iii) all resulting exchange differences are recognised in other comprehensive income and presented within equity as foreign currency translation reserves.

On the disposal of a foreign operation, the Group recognises in profit or loss the cumulative amount of exchange differences relating to that foreign operation. When a subsidiary that includes a foreign operation is partially disposed of or sold, the Group re-attributes the proportionate share of the cumulative amount of the exchange differences recognised in other comprehensive income to the non-controlling interests in that foreign operation. In the case of any other partial disposal of a foreign operation, the Group reclassifies to profit or loss only the proportionate share of the cumulative amount of exchange differences recognised in other comprehensive income.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate at the reporting date.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.3 Translation of foreign currencies (continued)

#### (c) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at period end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at historical cost are translated to the functional currency using the exchange rate at the transaction date, and those measured at fair value are translated to the functional currency at the exchange rate at the date that the fair value was determined and are recognised in the profit or loss. When a gain or loss on non-monetary item is recognised in other comprehensive income, any exchange component of that gain or loss shall be recognised in other comprehensive income. Conversely, when a gain or loss on a non-monetary item is recognised in profit or loss, any exchange of that gain or loss shall be recognised in profit or loss.

Translation differences on equities measured at fair value through other comprehensive income are included in other comprehensive income and transferred to the fair value reserve in equity.

Foreign currency gains and losses on intra-group loans are recognised in profit or loss unless settlement of the loan is neither planned nor likely to occur in the foreseeable future, in which case the foreign currency gains and losses are initially recognised in the foreign currency translation reserve in the consolidated financial statements. Those gains and losses are recognised in profit or loss at the earlier of settling the loan or at the time at which the foreign operation is disposed.

### 2.4 Cash and cash equivalents

In the statement of financial position, cash and balances with central bank comprises cash on hand and balances with central bank.

For the purposes of the statement of cash flow, cash and cash equivalents comprise balances with original maturities of three (3) months or less than three months from the date of acquisition that are subject to an insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments. They include cash and non-restricted balances with central banks, treasury bills and other eligible bills, amounts due from other banks and short-term government securities.

### 2.5 Financial instruments

#### (a) Initial recognition and measurement

Financial instruments are recognised initially when the Group becomes a party to the contractual provisions of the instruments.

Financial instruments carried at fair value through profit or loss are initially recognised at fair value with transaction costs, which are directly attributable to the acquisition or issue of the financial instruments, being recognised immediately through profit or loss. Financial instruments that are not carried at fair value through profit or loss are initially measured at fair value plus transaction costs that are directly attributable to the acquisition or issue of the financial instruments.

Financial instruments are recognised or de-recognised on the date the Group settles the purchase or sale of the instruments (settlement date accounting).

#### (b) Subsequent measurement

Subsequent to initial measurement, financial instruments are measured either at amortised cost or fair value depending on their classification category.

#### (c) Classification

##### (i) Financial assets

Subsequent to initial recognition, all financial assets within the Group are measured at:

- Amortised cost;
- Fair value through other comprehensive income (FVOCI); or
- Fair value through profit or loss (FVTPL)

The Group's financial assets are subsequently measured at amortised cost if they meet both of the following criteria and are not designated as at FVTPL:

- 'Hold to collect' business model test - The asset is held within a business model whose objective is to hold the financial asset in order to collect contractual cash flows; and

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.5 Financial instruments (continued)

- 'SPPI' contractual cash flow characteristics test - The contractual terms of the financial asset give rise to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding on a specified date. Interest in this context is the consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time.

Debt instruments are measured at amortised cost by the Group if they meet both of the following criteria and are not designated as at FVTPL:

- 'Hold to collect and sell' business model test: The asset is held within a business model whose objective is achieved by both holding the financial asset in order to collect contractual cash flows and selling the financial asset; and
- 'SPPI' contractual cash flow characteristics test: The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

All other financial assets including equity investments are measured at fair value.

A financial asset is classified and measured at fair value through profit or loss (FVTPL) by the Group if the financial asset is:

- A debt instrument that does not qualify to be measured at amortised cost or FVOCI;
- An equity investment which the Group has not irrevocably elected to classify as at FVOCI and present subsequent changes in fair value in OCI;
- A financial asset where the Group has elected to measure the asset at FVTPL under the fair value option.

#### (ii) Financial liabilities

Financial liabilities are either classified by the Group as:

- Financial liabilities at amortised cost; or
- Financial liabilities as at fair value through profit or loss (FVTPL).

Financial liabilities are measured at amortised cost by the Group unless either:

- The financial liability is held for trading and is therefore required to be measured at FVTPL, or
- The Group elects to measure the financial liability at FVTPL (using the fair value option).

#### (iii) Financial guarantees contracts and loan commitments

A financial guarantee contract is a contract that requires the Group (issuer) to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Loan commitments are firm commitments to provide credit under pre-specified terms and conditions. Financial guarantees issued or commitments to provide a loan at a below-market interest rate are initially measured at fair value. Subsequently, they are measured at the higher of the loss allowance determined in accordance with IFRS 9 (see note 3.2.18) and the amount initially recognised less, when appropriate, the cumulative amount of income recognised in accordance with the principles of IFRS 15.

The Group has issued no loan commitments that are measured at FVTPL.

Liabilities arising from financial guarantees and loan commitments are included within provisions.

The Group conducts business involving commitments to customers. The majority of these facilities are set-off by corresponding obligations of third parties. Contingent liabilities and commitments comprise usance lines and letters of credit.

Usance and letters of credit are agreements to lend to a customer in the future subject to certain conditions. An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer.

Letters of credit are given as security to support the performance of a customer to third parties. As the Group will only be required to meet these obligations in the event of the Customer's default, the cash requirements of these instruments are expected to be considerably higher than their nominal amounts.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.5 Financial instruments (continued)

Contingent liabilities and commitments are initially recognized at fair value which is also generally equal to the fees received and amortized over the life of the commitment. The carrying amount of contingent liabilities are subsequently measured at the higher of the present value of any expected payment when a payment under the contingent liability has become probable and the unamortised fee.

#### Business model assessment

The Group assesses the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;
- how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected); and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Group's stated objective for managing the financial assets is achieved and how cash flows are realised.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessment of whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Group considers:

- contingent events that would change the amount and timing of cash flows;
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse loans); and features that modify consideration of the time value of money (e.g. periodical reset of Interest rate).

The Group holds a portfolio of long-term fixed-rate loans for which the Group has the option to propose to revise the interest rate at periodic reset dates. These reset rights are limited to the market rate at the time of revision. The borrowers have an option to either accept the revised rate or redeem the loan at par without penalty. The Group has determined that the contractual cash flows of these loans are SPPI because the option varies the interest rate in a way that is consideration for the time value of money, credit risk, other basic lending risks and costs associated with the principal amount outstanding.

#### Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Group changes its business model for managing financial assets.

#### (d) Derecognition

##### (i) Financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire (see also (e)), or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.5 Financial instruments (continued)

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in OCI is recognised in profit or loss.

Any cumulative gain/loss recognised in OCI in respect of equity investment securities designated as at FVOCI is not recognised in profit or loss on derecognition of such securities. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Group is recognised as a separate asset or liability.

The Group sometimes enters into transactions whereby it transfers assets recognised on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such cases, the transferred assets are not derecognised. Examples of such transactions are securities lending and sale-and-repurchase transactions.

When assets are sold to a third party with a concurrent total rate of return swap on the transferred assets, the transaction is accounted for as a secured financing transaction similar to sale-and-repurchase transactions, because the Group retains all or substantially all of the risks and rewards of ownership of such assets.

In transactions in which the Group neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Group continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

In certain transactions, the Group retains the obligation to service the transferred financial asset for a fee. The transferred asset is derecognised if it meets the derecognition criteria. An asset or liability is recognised for the servicing contract if the servicing fee is more than adequate (asset) or is less than adequate (liability) for performing the servicing.

#### (ii) Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

#### (e) Modifications of financial assets and financial liabilities

##### Financial assets

If the terms of a financial asset are modified, then the Group evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised (see (d)) and a new financial asset is recognised at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows: - fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and - other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximize recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Group plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place (see below for write off policy). This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortised cost or FVOCI does not result in derecognition of the financial asset, then the Group first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognises the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred and fees received as part of the modification adjust the gross carrying amount of the modified financial asset and are amortised over the remaining term of the modified financial asset.

If such a modification is carried out because of financial difficulties of the borrower (see (2.9)), then the gain or loss is presented together with impairment losses for stage 1 facilities. For stage 2 and 3, the modification gain or loss is disclosed separately. In other cases, it is presented as interest income calculated using the effective interest rate method.

##### Financial liabilities

The Group derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability derecognised and consideration paid is recognised in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.5 Financial instruments (continued)

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss. For floating-rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognised as an adjustment to the carrying amount of the liability and amortised over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

#### (f) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS Accounting standards, or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

#### (g) Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest rate method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

#### (h) Fair value measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price – i.e. the fair value of the consideration given or received. However, in some cases the initial estimate of fair value of a financial instrument on initial recognition may be different from its transaction price. If this estimated fair value is evidenced by comparison with other observable current market transactions in the same instrument (without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets, then the difference is recognised in profit or loss on initial recognition of the instrument. In other cases, the fair value at initial recognition is considered to be the transaction price and the difference is not recognised in profit or loss immediately but is recognised over the life of the instrument on an appropriate basis or when the instrument is redeemed, transferred or sold, or the fair value becomes observable.

If an asset or a liability measured at fair value has a bid price and an ask price, then the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price. Where the Bank has positions with offsetting risks, mid market prices are used to measure the offsetting risk positions and a bid or ask price adjustment is applied only to the net open position as appropriate.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The Group recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

Subsequent to initial recognition, the fair value of a financial instrument is based on quoted market prices or dealer price quotation for financial instruments. If a market for a financial instrument is not active, then the Group establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses and option pricing models. The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Group, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments. Inputs into valuation techniques reasonably represent market expectations and measures of the risk-return factors inherent in the financial instrument.

See note 3.5 on fair valuation methods and assumptions.

#### (i) Assets pledged as collateral

Financial assets transferred to external parties and which do not qualify for de-recognition are reclassified in the statement of financial position from treasury bills and investment securities to assets pledged as collateral, if the transferee has received the right to sell or re-pledge them in the event of default from agreed terms. Assets pledged as collateral are initially recognised at fair value, and are subsequently measured at amortised cost or fair value as appropriate. These transactions are performed in accordance with the usual terms of securities lending and borrowing.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.5 Financial instruments (continued)

#### (j) Assets under repurchase agreement

Assets under repurchase agreement are transactions in which the Group sells a security and simultaneously agrees to repurchase it (or an asset that is substantially the same as the one sold) at a fixed price on a future date. The Group continues to recognise the securities in their entirety in the statement of financial position because it retains substantially all of the risks and rewards of ownership. The cash consideration received is recognised as a financial asset and a financial liability is recognised for the obligation to pay the repurchase price. Because the Group sells the contractual rights to the cash flows of the securities, it does not have the ability to use the transferred assets during the term of the arrangement.

### 2.6 Derivative instruments

Derivatives are initially recognized at fair value on the date on which the derivative contract is entered into and are subsequently remeasured at fair value. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

The method of recognizing the resulting fair value gain or loss depends on whether the derivative is designated and qualifies as a hedging instrument, and if so, the nature of the item being hedged. The Group designates certain derivatives as Hedges of the fair value of recognized assets or liabilities or firm commitments (fair value hedges).

The Group documents, at the inception of the hedge, the relationship between hedged items and hedging instruments, as well as its risk management objective and strategy for undertaking various hedge transactions. The Group also documents its assessment, both at hedge inception and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in fair values or cash flows of hedged items.

#### (a) Fair Value Hedge

Changes in the fair value of derivatives that are designated and qualify as fair value hedges are recorded in the statement of profit or loss, together with changes in the fair value of the hedged asset or liability that are attributable to the hedged risk.

The Bank discontinues hedge accounting in any of the following circumstances:

- The hedging instrument is not, or has ceased to be, highly effective as a hedge
- The hedging instrument has expired, is sold, terminated, or exercised
- The hedged item matures, is sold, or repaid
- The forecast transaction is no longer deemed highly probable
- The Bank elects to discontinue hedge accounting voluntarily

#### Derivatives that do not qualify for Hedge Accounting

Certain derivatives do not qualify for hedge accounting. Changes in the fair value of any derivative not designated in a hedging relationship are recognized immediately in profit or loss and are included in Trading gains/(losses).

### 2.7 Impairment

The Group recognises loss allowances for ECL on the following financial instruments that are not measured at FVTPL:

- Financial assets that are debt instruments;
- Lease receivables;
- Financial guarantee contracts issued; and
- Loan commitments issued.

No impairment loss is recognised on equity investments.

The Group measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- Debt investment securities that are determined to have low credit risk at the reporting date; and
- Other financial instruments on which credit risk has not increased significantly since their initial recognition.

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instrument for which a 12-month ECL is recognised are referred to as 'stage 1 financial instruments'.

Life-time ECL are the ECL that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognised but which are not credit-impaired are referred to as 'Stage 2 financial instruments'.

Financial instruments for which lifetime ECL is recognised which are credit impaired are referred to as 'Stage 3 financial instruments'.

Loss allowances for other assets and lease receivables are always measured at an amount equal to lifetime ECL.



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.7 Impairment (continued)

The Group considers debt investment securities to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'.

#### 2.7.1 Measurement of ECL

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- Financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);
- Financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- Undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and
- Financial guarantee contracts: the expected payments to reimburse the holder less any amount that the Group expects to recover.
- There has been no change in estimation techniques from prior period. Also, significant assumptions made during the period can be seen in note 4.2.

#### Reversal of Impairment and Backward Transfer Criteria

When the Group has measured the loss allowance for a financial instrument at an amount equal to lifetime ECL in the previous reporting period but determines at the current reporting date that criteria for recognizing the lifetime ECL is no longer met i.e. cured, the Group measures the loss allowance at an amount equal to 12-month ECL at the current reporting date.

However, the Group observes the following backward transfer criteria (probationary period) to monitor if the criteria for recognizing the lifetime ECL has decreased significantly before the backward transfer can be effected on the credit rating of the customer;

90 days probationary period to move a financial instrument from Lifetime ECL not credit-impaired (Stage 2 financial instruments) to 12 months ECL (Stage 1 financial instruments);

90 days probationary period to move a financial instrument from Lifetime ECL credit-impaired (Stage 3 financial instruments) to Lifetime ECL not impaired (Stage 2 financial instruments);

180 days probationary period to move a loan from Lifetime ECL credit-impaired (Stage 3 financial instruments) to 12 months ECL (Stage 1 financial instruments).

The Group also considers other qualitative criteria where necessary.

Impairment gains arising from backward transfers will be recognized as part of 'impairment losses on financial instruments.'

#### 2.7.2 Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost are credit-impaired referred to as 'Stage 3 financial instruments. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- Significant financial difficulty of the borrower or issuer;
- A breach of contract such as a default or past due event;
- The restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- It is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- The disappearance of an active market for a security because of financial difficulties.

A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In addition, a loan that is overdue for 90 days or more is considered impaired.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.7 Impairment (continued)

In making an assessment of whether an investment in sovereign debt is credit-impaired, the Group considers the following factors.

- The market's assessment of creditworthiness as reflected in the bond yields.
- The rating agencies' assessments of creditworthiness.
- The country's ability to access the capital markets for new debt issuance.
- The probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness.
- The international support mechanisms in place to provide the necessary support as 'lender of last resort' to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfil the required criteria.

#### 2.7.3 Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- Financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets;
- Loan commitments and financial guarantee contracts: generally, as a provision within other liabilities;
- Where a financial instrument includes both a drawn and an undrawn component, and the Group cannot identify the ECL on the loan commitment component separately from those on the drawn component: the Group presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision and;
- Debt instruments measured at FVOCI, no loss allowance is recognised in the statement of financial position because the carrying amount of the asset is their fair value. However, the loss allowance is disclosed and recognised in the fair value reserve.

#### 2.7.4 Write-off policy

The Group writes off a loan balance when the Group's credit department determines that the loan is uncollectable and had been declared delinquent and subsequently classified as lost. This determination is made after considering information such as the continuous deterioration in the customer's financial position, such that the customer can no longer pay the obligation, or that proceeds from the collateral will not be sufficient to pay back the entire exposure. Board approval is required for such write-off. For insider-related loan (loans by the Bank to its own officers and directors), CBN approval is required. The loan recovery department continues with its recovery efforts and any loan subsequently recovered is treated as other income.

Loans and debt securities are written off (either partially or in full) when there is no realistic prospect of recovery. This is generally the case when the Group determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

The outstanding contractual amounts of assets written off during the period ended 30 June 2026 was N222.4 billion (31 December 2025: N1.24 trillion). The Group still seeks to recover amounts it is legally owed in full, but which have been written off due to no reasonable expectation of full recovery.

### 2.8 Reclassification of financial instruments

Financial assets are required to be reclassified in certain rare circumstances among the amortised cost, FVOCI and FVTPL categories. When the Group changes its business model for managing financial assets, the Group reclassifies all affected financial assets in accordance with the new model. The reclassification is applied prospectively from the reclassification date. Accordingly, any previously recognised gains, losses or interest are not reinstated. Changes in the business model for managing financial assets are expected to be very infrequent.

### 2.9 Restructuring of financial instruments

Financial instruments are restructured when the contractual terms are renegotiated or modified or when an existing financial instrument is replaced with a new one due to financial difficulties of the borrower. Restructured loans represent loans whose repayment periods have been extended due to changes in the business dynamics of the borrowers. For such loans, the borrowers are expected to pay the principal amounts in full within extended repayment period and all interest, including interest for the original and extended terms.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.10 Collateral

The Group obtains collateral where appropriate, from customers to manage their credit risk exposure to the customers. The collateral normally takes the form of a lien over the customer's assets and gives the Group a claim on these assets for customers in the event that the customer defaults.

The Group may also use other credit instruments, such as derivative contracts in order to reduce their credit risk.

Collateral received in the form of securities and other non-cash assets is not recorded on the statement of financial position. Collateral received in the form of cash is recorded on the statement of financial position with a corresponding liability see note 3.2.7(a)(i)

In certain circumstances, property may be repossessed following the foreclosure on loans that are in default. These repossessed collateral are sold as soon as practicable. Repossessed properties are measured at the lower of carrying amount of the related loan and fair value less cost to sell and reported within 'Other asset'.

### 2.11 Property and equipment

Property and equipment are stated at historical cost less accumulated depreciation and accumulated impairment losses. Historical cost includes expenditure that is directly attributable to the acquisition of the items. Where significant parts of an item of property and equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to profit or loss during the financial year in which they are incurred.

Property and equipment are depreciated on the straight line basis to their residual values over the estimated useful lives of the assets. Land is not depreciated.

Depreciation is calculated on a straight line basis to write down the cost of property and equipment to their residual values over their estimated useful lives as follows:

| Item                              |                                                                        |
|-----------------------------------|------------------------------------------------------------------------|
| Land                              | Not depreciated                                                        |
| Motor vehicles                    | 4 years                                                                |
| Office equipment                  | 5 years                                                                |
| Furniture, fittings and equipment | 5 years                                                                |
| Computer equipment                | 3 years                                                                |
| Buildings                         | 50 years                                                               |
| Leasehold improvement             | Over the remaining lease period                                        |
| Aircraft                          | 25 years                                                               |
| Right of use assets: Buildings    | Lower of lease term or the useful life for the specified class of item |

Depreciation is included in profit or loss.

Work in progress consists of items of property and equipment that are not yet available for use. Work in progress is carried at cost less any required impairment. Depreciation starts when assets are available for use. An impairment loss is recognised if the asset's recoverable amount is less than cost. The asset is reviewed for impairment when events or changes in circumstances indicate that the carrying amount may not be recoverable. Once the items are available for use, they are transferred to relevant classes of property and equipment as appropriate.

Property and equipment are derecognized on disposal, or when no future economic benefits are expected from their use or disposal.

Gains and losses on disposal are determined by comparing proceeds with carrying amount. These are included in profit or loss.

Depreciation methods, useful lives and residual values are reassessed at each reporting date and adjusted if appropriate.

### Borrowing Costs

Borrowing costs that are directly attributable to the acquisition or construction of a qualifying asset is capitalized as part of the cost of the asset. Other costs relating to borrowings which the group undertakes in the normal course of business are expensed in the period which they are incurred.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 2.12 Intangible assets

#### Computer software

Software that is not integral to the related hardware acquired by the Group is stated at cost less accumulated amortisation and accumulated impairment losses.

Costs associated with maintaining computer software programmes are recognised expenses as they are incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group, are recognised as intangible assets when the following criteria are met:

- i) it is technically feasible to complete the software product so that it will be available for use;
- ii) management intends to complete the software product and use or sell it;
- iii) there is an ability to use or sell the software product;
- iv) it can be demonstrated how the software product will generate probable future economic benefits
- v) adequate technical, financial and other resources to complete the development and to use/sell the software product are available
- vi) the expenditure attributable to the software product during its development can be reliably measured.

Subsequent expenditure on computer software is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that the asset is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life for computer software is 5 years.

Amortisation methods, useful lives and residual values are reviewed at each financial period-end and adjusted if appropriate.

Intangible assets are derecognized on disposal or when no future economic benefits are expected from their use or disposal.

### 2.13 Impairment of non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each period at the same time.

An impairment loss is recognised if the carrying amount of an asset or its Cash Generating Unit (CGU) exceeds its estimated recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU. For the purposes of assessing impairment, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash flows of other assets or CGU.

The Group's corporate assets do not generate separate cash inflows and are utilised by more than one CGU. Corporate assets are allocated to CGUs on a reasonable and consistent basis and tested for impairment as part of the testing of the CGU to which the corporate asset is allocated.

Impairment losses are recognised in profit or loss. Impairment losses in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU (group of CGUs) and then to reduce the carrying amount of the other assets in the CGU (group of CGUs) on a pro rata basis.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. An impairment loss in respect of goodwill is not reversed.

### 2.14 Leases

#### A. Group / Bank as a lessee

Leases, under which the Bank possess a contract that conveys the right to control the use of an identified asset for a period of time in exchange for consideration is disclosed in the Bank's statement of financial position and recognized as a leased asset.

The major lease transaction wherein the Group/Bank is lessee relates to the lease of Bank's branches

To assess whether a contract conveys the right to control the use of an identified asset for a period of time, the Bank assesses whether, throughout the period of use, it has both of the following:

- (a) the right to obtain substantially all of the economic benefits from use of the identified asset, and

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.14 Leases (continued)

(b) the right to direct the use of the identified asset.

The Group has elected not to recognize right-of-use assets and lease liabilities for some leases of low value assets. The Group recognizes expenses associated with these leases as an expense on straight line basis over the lease term.

Payments associated with short term leases are recognised on a straight line basis as an expense in profit or loss. Short term leases are leases with a lease term of 12 months or less without a purchase option.

The Group presents right-of-use assets as a separate class under 'property and equipment'. The Group presents lease liability in other liabilities in the statement of financial position.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, and subsequently at cost less any accumulated depreciation and impairment losses, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The lease liability is subsequently increased by the interest cost on the lease liability and decreased by lease payment made. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, a change in the estimate of the amount expected to be payable under a residual value guarantee, or as appropriate, changes in the assessment of whether a purchase or extension option is reasonably certain to be exercised or a termination option is reasonably certain not to be exercised.

The Group has applied judgement to determine the lease term for some lease contracts in which it is a lessee that include renewal options. The assessment of whether the Group is reasonably certain to exercise such options impacts the lease term, which significantly affects the amount of lease liabilities and right-of-use assets recognized.

### B. Group / Bank as a lessor

Lease and instalment sale contracts are primarily financing transactions in banking activities, with rentals and instalments receivable, less unearned finance charges, being included in Loans and advances to customers in the statement of financial position. Finance charges earned are computed using the effective interest method which reflects a constant periodic return on the investment in the finance lease. Initial direct costs paid are capitalized to the value of the lease amount receivable and accounted for over the lease term as an adjustment to the effective interest rate method.

The Group recognizes assets held under a finance lease in its statement of financial position and present them as a receivable at an amount equal to the net investment in the lease. Initially, the Group will recognize a finance lease receivable at the amount equal to the net investment in the lease. Subsequently, finance income will be recognized at a constant rate on the net investment. During any 'payment free' period, this will result in the accrued finance income increasing the finance lease receivable.

For finance leases, the lease payments included in the measurement of the net investment in a lease at commencement date includes variable lease payments that depend on an index or a rate; other variable payments (e.g. those linked to future performance or use of an underlying asset) are excluded from the measurement of the net investment and are instead recognized as income when they arise. The treatment adopted for variable lease payments under operating leases are consistent with these requirements.

### 2.15 Provisions

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Provisions are determined by discounting the expected future cash flows using a pre-tax discount rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

A provision for restructuring is recognised when the Group has approved a detailed formal plan, and the restructuring either has commenced or has been announced publicly. Future operating costs or losses are not provided for. A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

Contingent liabilities are possible obligations that arise from past events whose existence will be confirmed only by the occurrence, or non-occurrence, of one or more uncertain future events not wholly within the Group's control. Contingent liabilities are not recognised in the financial statements but are disclosed in the notes to the financial statements.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.15 Provisions (continued)

The Group recognises liability for a levy not earlier than when the activity that triggers payment occurs. Also, the Group accrues liability on levy progressively only if the activity that triggers payment occurs over a period of time. However, for a levy that is triggered upon reaching a minimum threshold, no liability is recognised before the specified minimum threshold is reached.

### 2.16 Employee benefits

#### (a) Post-employment benefits

The Group operates a defined contribution plan.

A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. For defined contribution plans, the Group makes contributions on behalf of qualifying employees to a mandatory scheme under the provisions of the Pension Reform Act. The Group has no further payment obligations once the contributions have been paid. The contributions are recognised as employee benefit expense when they are due. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available. For entities operating in Nigeria, the contribution by employees and the employing entities are 8% and 10% respectively of the employees' basic salary, housing and transport allowances. Entities operating outside Nigeria contribute in line with the relevant pension laws in their jurisdictions.

#### (b) Short-term benefits

Short-term benefits consist of salaries, accumulated leave allowances, profit share, bonuses and any non-monetary benefits.

Short-term employee benefits are measured on an undiscounted basis and are expensed as the related services are provided. They are included in personnel expenses in the profit or loss.

A liability is recognised for the amount expected to be paid under short-term cash benefits such as accumulated leave and leave allowances if the Group has a present legal or constructive obligation to pay this amount as a result of past services provided by the employee and the obligation can be measured reliably.

#### (c) Termination benefits

The Group recognises termination benefits as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. The Group settles termination benefits within twelve months and are accounted for as short-term benefits.

### 2.17 Share capital and reserves

#### (a) Share issue costs

Incremental costs directly attributable to the issue of new shares or options or to the acquisition of a business are shown in equity as a deduction, net of tax, from the proceeds.

#### (b) Dividends on ordinary shares

Dividends on ordinary shares are recognised in equity in the period in which they are approved by the Bank's shareholders. Dividends for the year that are declared after the end of the reporting period are dealt with in the subsequent events note.

#### (c) Share premium

Premiums from the issue of shares are reported in share premium.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.17 Share capital and reserves (continued)

#### (d) Statutory reserve

Nigerian banking regulations require the Bank to make an annual appropriation to a statutory reserve. As stipulated by The Banks and Other Financial Institutions Act (BOFIA) 2020, an appropriation of 30% of profit after tax is made if the statutory reserve is less than the paid-up share capital and 15% of profit after tax if the statutory reserve is greater than the paid-up share capital.

#### (e) SMIEIS reserve

The SMIEIS reserve is maintained to comply with the Central Bank of Nigeria (CBN) requirement that all licensed banks set aside a portion of the profit after tax in a fund to be used to finance equity investments in qualifying small and medium scale enterprises. Under the terms of the guideline (amended by CBN letter dated 11 July 2006), the contributions will be 10% of profit after tax and shall continue after the first 5 years but banks' contributions shall thereafter reduce to 5% of profit after tax. The small and medium scale industries equity investment scheme reserves are nondistributable. Transfer to this reserve is no longer mandatory.

#### (f) Statutory reserve for credit risk

The Nigerian banking regulator requires the Bank to create a reserve for the difference between impairment provision determined in line with the principles of IFRS Accounting standards and impairment provision determined in line with the prudential guidelines issued by the Central Bank of Nigeria (CBN). This reserve is not available for distribution to shareholders.

#### (g) Retained earnings

Retained earnings comprise the undistributed profits from previous periods which have not been reclassified to any specified reserves.

#### (h) Fair value reserve

Comprises fair value movements on equity instruments carried at FVOCI.

#### (i) Foreign currency translation reserve

Comprises exchange differences resulting from the translation to Naira of the results and financial position of Group companies that have a functional currency other than Naira.

### 2.18 Recognition of interest income and expense

#### Effective interest rate

Interest income and expense are recognised in profit or loss using the effective interest method. The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Group estimates future cash flows considering all contractual terms of the financial instrument, but not ECL. For purchased or originated credit impaired financial assets, a credit adjusted effective interest rate is calculated using estimated future cash flows including ECL.

The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

Amortised cost and gross carrying amount

The 'amortised cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance.

The 'gross carrying amount of a financial asset' is the amortised cost of a financial asset before adjusting for any expected credit loss allowance.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### Calculation of interest income and expense

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit impaired) or to the amortised cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating rate instruments to reflect movements in market rates of interest.

However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

For information on when financial assets are credit-impaired, see Note 2.7.2.

### Presentation

Interest income calculated using the effective interest method presented in the consolidated and separate statement of profit or loss includes only interest on financial assets and financial liabilities measured at amortised cost and FVTOCI.

Interest expense presented in the consolidated and separate statement of profit or loss and other comprehensive income includes only interest on financial liabilities measured at amortised cost.

Interest income and expense on all trading assets and liabilities are considered to be incidental to the Group's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income (see Note 2.20).

### 2.19 Fees, commission and other income

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or financial liability are included in the effective interest rate (see Note 2.18).

Other fee and commission income – including account servicing fees, fees on electronic products, sales commission, foreign withdrawal charges, commission on letters of credit, foreign currency transaction fees, placement fees and syndication fees – is recognised as the related services are performed. If a loan commitment is not expected to result in the draw-down of a loan, then the related loan commitment fee is recognised on a straight-line basis over the commitment period.

A contract with a customer that results in a recognised financial instrument in the Group's financial statements may be partially in the scope of IFRS 9 and partially in the scope of IFRS 15. If this is the case, then the Group first applies IFRS 9 to separate and measure the part of the contract that is in the scope of IFRS 9 and then applies IFRS 15 to the residual.

Other fee and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

Dividend income is recognised when the right to receive income is established. Usually, this is the ex dividend date for quoted equity securities. Dividends are presented in net trading gains, or other income based on the underlying classification of the equity investment.

Dividends on equity instruments designated as at FVOCI that clearly represent a recovery of part of the cost of the investment are presented in OCI.

Income on cash handling relates to services provided to customers in processing cash withdrawal and deposits above the regulated limit, provided by the Central Bank of Nigeria. Income is recognised as the service is provided.

Fees and commission income are recognised at point in time and over time. Fees recognised over time relate to credit related fees (concerning participation fee and invoice discounting), guarantee fees, corporate finance fees, account maintenance fees and fees on electronic products charged monthly. Fees recognised at a point in time include credit related fees other than those recognised over time, auction fees, commission on agency and collection services, fees on electronic products (recognised at point in time), foreign currency transaction fees, foreign withdrawal charges and commission on letters of credit.

### 2.20 Net Trading gains

Net trading gain comprises gains less losses relating to trading assets and liabilities and includes all fair value changes, interest, dividends and foreign exchange differences.



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.21 Operating expense

Expenses are decreases in economic benefits during the accounting period in the form of outflows, depletion of assets or incurrence of liabilities that result in decrease in equity, other than those relating to distributions to equity participants.

Expenses are recognised on an accrual basis regardless of the time of spending cash. Expenses are recognised in the income statement when a decrease in future economic benefit related to a decrease in an assets or an increase of a liability has arisen that can be measured reliably. Expenses are measured at historical cost.

Only the portion of cost of a previous period that is related to the income earned during the reporting period is recognized as an expense. Expenses that are not related to the income earned during the reporting period, but expected to generate future economic benefits, are recorded in the financial statement as assets. The portion of assets which is intended for earning income in the future periods shall be recognized as an expense when the associated income is earned.

Expenses are recognised in the same reporting period when they are incurred in cases when it is not probable to directly relate them to particular income earned during the current reporting period and when they are not expected to generate any income during the coming years.

### 2.22 Current and deferred income tax

Income tax expense comprises current tax and deferred tax. Current tax includes corporate taxes and other profit-based taxes imposed by tax authorities in the jurisdiction in which the Group operates, including company income tax, development levy and, where applicable, minimum effective tax (top-up tax). Income tax is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in equity or in other comprehensive income.

The Group has determined that interest and penalties relating to income taxes do not meet the definition of income taxes, and therefore are accounted for under IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Bank measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

#### (a) Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the period, any top-up tax arising under minimum effective tax rules, and any adjustment to tax payable or receivable in respect of previous years.

The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date and is determined in accordance with the tax laws applicable in the jurisdictions in which the Group operates.

For the current year, current tax for the Group's Nigerian entities is assessed in accordance with the provision of the Nigeria Tax Act, 2025 and is computed as follows:

- Company income tax is computed on taxable profits;
- Development levy is computed on assessable profits; and
- Minimum Effective tax (top-up tax) and is computed in accordance with the relevant provisions of the Nigeria Tax Act, 2025, where applicable.

For the comparative year ended 31 December 2025, current tax for the Group's Nigerian entities was assessed in accordance with the tax legislation in force prior to the adoption of the Nigeria Tax Act, 2025 and was computed as follows:

- Company income tax is computed on taxable profits.
- Tertiary education tax is computed on assessable profits.
- National Information Technology Development Agency (NITDA) levy is computed on profit before tax.
- Nigeria Police Trust Fund levy was computed on profit before tax; and
- National Agency for Science and Engineering Infrastructure (NASENI) was computed on profit before tax.

Effective 1 January 2026, the Nigeria Tax Act, 2025 replaced Tertiary Education tax, NITDA Levy, Nigeria Police Trust Fund Levy and NASENI Levy with a Development Levy and introduced a revised minimum effective tax provisions applicable to qualifying multinational groups. Comparative information has not been restated and continues to reflect the tax legislation applicable in the comparative period.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.22 Current and deferred income tax (continued)

#### (b) Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for: temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss; temporary differences relating to investments in subsidiaries, associates and joint arrangements to the extent that the Group is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future; and – taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilised. Future taxable profits are determined based on the reversal of relevant taxable temporary differences.

If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans of the Group. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be utilised.

Deferred tax is measured at the tax rates that are expected to be apply to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date, and reflects uncertainty related to income taxes, if any.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and deferred tax liabilities are offset if there is a legally enforceable right to offset the current tax liabilities against the current tax assets and they relate to taxes levied by the same tax authority on the same taxable entity or on different taxable entities, where there is an intention to settle current tax liabilities and assets on a net basis or where the related tax assets and liabilities will be realised simultaneously.

### 2.23 Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the period. Where there are shares that could potentially affects the numbers of share issued, those shares are considered in calculating the diluted earnings per share. There are currently no shares that could potentially dilute the total issued shares.

### 2.24 Segment reporting

An operating segment is a component of the Group engaged in business activities from which it can earn revenues, whose operating results are regularly reviewed by the Board in order to make decisions about resources to be allocated to segments and assessing segment performance. The Group's identification of segments and the measurement of segment results are based on the Group's internal reporting line/structure to management.

### 2.25 Fiduciary activities

The Group acts as trustees and in other fiduciary capacities through its subsidiaries, Zenith Pensions Custodian Limited and Zenith Nominees Limited that results in the holding or placing of assets on behalf of individuals, trusts, retirement benefit plans and other institutions. These assets and income arising thereon are excluded from these financial statements, as they are not assets of the Group. The fees earned on these activities are recognised as assets based fees.

### 2.26 Deposit for Investment in AGSMEIS

The Agri-Business/Small and Medium Enterprises Investment Scheme is an initiative of Banker's committee of Nigeria. The contributed funds is meant for supporting the Federal Government's effort at promoting agricultural businesses as well as Small and Medium Enterprises. In line with this initiative, the Bank will contribute 5% of Profit After Tax yearly to the fund.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 2.27 Hyperinflationary accounting

Hyperinflationary accounting is applied to those subsidiary operations in countries where the three-year cumulative inflation rate is approaching or exceeding 100%. In 2023, this affected the Group's operations in Ghana and Sierra Leone. The Group applies IAS 29 *Financial Reporting in Hyperinflationary Economies* to the underlying financial information of relevant subsidiaries to restate their local currency results and financial position so as to be stated in terms of the measuring unit current at the end of the reporting period. Those restated results are translated into the Group's presentation currency (the Nigerian Naira) for consolidation at the closing rate at the balance sheet date. Group comparatives are not restated for the effect of hyperinflation and consequential adjustments to the opening balance sheet in relation to the hyperinflationary subsidiaries are presented in Other comprehensive income and reported in retained earnings. The hyperinflationary gain or loss in respect of the net monetary position of the relevant subsidiary is included in profit or loss and separately disclosed within other operating income.

As of October 2025, economic indicators for Ghana reflect that the economy is no longer hyperinflationary. Local data (provided by the Ghana Statistical Service (GSS)) shows a decreasing year-on-year and month-on-month inflation, with three-year cumulative inflation as at October 2025 of 78.3%. Consequently, hyperinflation accounting has been discontinued from November 2025. This change was applied prospectively.

Amounts from the last interim financial statements for 30 June 2025, restated to the measuring unit current at that date, were used as deemed cost bases (opening balances) for non-monetary items as at the reporting date - 31 December 2025. Subsequent reporting follows standard IFRS without general price-level adjustments.

Similarly, according to the International Monetary Fund's World Economic Outlook (WEO) of April 2026, along with local data indicating year-on-year and month-on-month decreases in inflation, Sierra Leone's three-year cumulative inflation stood at 75% as at February 2026, indicating that the economy is no longer hyperinflationary.

Accordingly, for the current reporting period, the Group has discontinued hyperinflationary accounting adjustments for these subsidiaries. Hyperinflationary effects are reflected only in comparative information.

The Group continues to monitor economic indicators regularly to assess the ongoing relevance of hyperinflationary accounting for its subsidiaries, ensuring compliance with IAS 29.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management

#### 3.1 Enterprise Risk Management

The Zenith Bank Group adopts an integrated approach to risk management by bringing all risks together under a number of oversight functions. The Group addresses the challenge of risks comprehensively through the Enterprise Risk Management (ERM) Framework by applying practices that are supported by a governance structure consisting of Board- level and executive management committees.

As part of its risk management policy, the Group segregates duties between market-facing business units and risk management functions while management is governed by well-defined policies, which are clearly communicated across the Group.

Risk related issues are taken into consideration in all business decisions and the Group continually strives to maintain a conservative balance between risk and revenue consideration. Continuous education and awareness of risk management has strengthened the risk management culture across the Group.

##### 3.1.1 Risk Management Philosophy/Strategy

The Group considers sound risk management practice to be the foundation of a long lasting financial institution.

- (a) The Group adopt a holistic and integrated approach to risk management and therefore, brings all risks together under one or a limited number of oversight functions.
- (b) Risk management is a shared responsibility. Therefore the Group aims to build a shared perspective on risks that is grounded in consensus.
- (c) There is clear segregation of duties between market-facing business units and risk management functions.
- (d) Risk Management is governed by well-defined policies which are clearly communicated across the Group.
- (e) Risk related issues are taken into consideration in all business decisions.

##### 3.1.2 Risk Appetite

The Group's risk appetite is reviewed by the Board of Directors annually, at a level that minimizes erosion of earnings or capital due to avoidable losses or from frauds and operational inefficiencies.

The Group's risk appetite describes the quantum of risk that the Group would assume in pursuit of its business objectives at any point in time. The Group uses this risk appetite definition in aligning its overall corporate strategy, its capital allocation and risks.

The Group sets tolerance limits for identified key risk indicators ("KRIs"), which served as proxies for the risk appetite for each risk area and business/support unit. Tolerance levels for KRIs are jointly defined, agreed upon by the business/support units and subject to annual reviews.

##### 3.1.3 Risk Management Approach

The Group addresses the challenge of risks comprehensively through an enterprise-wide risk management framework and a risk governance policy by applying leading practices that are supported by a robust governance structure consisting of Board-level and executive management committees. The Board drives the risk governance and compliance process through its committees. The audit committee provides oversight on the systems of internal control, financial reporting and compliance. The Board credit committee reviews the credit policies and approves all loans above the defined limits for Executive Management. The Board Risk Management Committee sets the risk philosophy, policies and strategies as well as provides guidance on the various risk elements and their management. The Board Risk Control Functions are supported by various management committees and sub committees (Global Credit committee and Management Risk committee) that help it develop and implement various risk strategies. The Global Credit committee manages the credit approval and documentation activities. It ensures that the credit policies and procedures are aligned with the Group's business objectives and strategies. The Management Risk committee drives the management of the financial risks (Market, Liquidity and Credit Risk), operational risks as well as strategic and reputational risks.

In addition, Zenith Group manages its risks in a structured, systematic and transparent manner through a global risk policy which embeds comprehensive risk management processes into the organisational structure, risk measurement and monitoring activities. This structure ensures that the Group's overall risk exposures are within the thresholds set by the Board.

The key features of the Group's risk management policy are:

- (a) The Board of Directors provides overall risk management direction and oversight;
- (b) The Group's risk appetite is approved by the Board of Directors;
- (c) Risk management is embedded in the Group as an intrinsic process and is a core competence of all its employees;
- (d) The Group manages its credit, market, operational and liquidity risks in a coordinated manner within the organisation;

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

- (e) The Group's risk management function is independent of the business divisions; and
- (f) The Group's internal audit function reports to the Board Audit Committee and provides independent validation of the business units' compliance with risk policies and procedures, and the adequacy and effectiveness of the risk management framework on an enterprise-wide basis.

The Group continuously modifies and enhances its risk management policies and systems to reflect changes in markets, products and international best practices. Training, individual responsibility and accountability, together with a disciplined and cautious culture of control, are an integral part of the Group's management of risk.

The Board of Directors ensures strict compliance with relevant laws, rules and standards issued by the industry regulators and other law enforcement agencies, market conventions, codes of practices promoted by industry associations and internal policies.

The compliance function, under the leadership of the Chief Compliance Officer of the Bank, has put in place a robust compliance framework, which includes:

- (a) Comprehensive compliance manual detailing the roles and responsibilities of all stakeholders in the compliance process;
- (b) Review and analysis of all relevant laws and regulations, which are adopted into policy statements to ensure business is conducted professionally;
- (c) Review of the Bank's Anti-Money Laundering Policy in accordance with changes in the Money Laundering Prohibition Act 2011 and Anti-Terrorism Act 2011 as amended; and
- (d) Incorporation of new guidelines in the Bank's "Know Your Customer" policy in line with the increasing global trend as outlined in the Central Bank of Nigeria's Anti-Money Laundering/Combating Finance of Terrorism Compliance Manual.

#### 3.1.4 Methodology for Risk Rating

The risk management strategy is to develop an integrated approach to risk assessments, measurement, monitoring and control that captures all risks in all aspects of the Group's activities.

All activities in the Group have been profiled and the key risk drivers and threats in them identified. Mitigation and control techniques are then determined to tackle each of these threats. These techniques are implemented as risk policies and procedures that drive the strategic direction and risk appetite as specified by the Board. Techniques employed in meeting these objectives culminate in the following roles for the risk control functions of the Group:

- (a) Develop and implement procedures and practices that translate the Board's goals, objectives, and risk tolerances into operating standards that are well understood by staff;
- (b) Establish lines of authority and responsibility for managing individual risk elements in line with the Board's overall direction;
- (c) Risk identification, measurement, monitoring, and control procedures;
- (d) Establish effective internal controls that cover each risk management process;
- (e) Ensure that the Group's risk management processes are properly documented;
- (f) Create adequate awareness to make risk management a part of the corporate culture of the Group;
- (g) Ensure that risk remains within the boundaries established by the Board; and
- (h) Ensure that business lines comply with risk parameters and prudent limits established by the Board;

The CBN Risk Management Guidelines prescribes quantitative and qualitative criteria for the identification of significant activities and sets a threshold of contributions for determining significant activities in the Bank and its subsidiaries. This practice is essentially to drive the risk control focus of financial institutions.

Zenith Bank applies a mix of qualitative and quantitative techniques in the determination of its significant activities under prescribed broad headings. The criteria used in estimating the materiality of each activity is essentially based on the following:

- (a) The strategic importance of the activity and sector;
- (b) The contribution of the activity/sector to the total assets of the Bank;

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

- (c) The net income of the sector; and
- (d) The risk inherent in the activity and sector.

Risk management structures and processes are continuously reviewed to ensure their adequacy and appropriateness for the Group's risk and opportunities profile as well as with changes in strategy, business environment, evolving thoughts and trends in risk management.

#### 3.1.5 Risk management strategies under the current economic conditions

The economy is navigating a period of gradual stabilization marked by reforms and moderate easing of monetaty policy. The Central Bank of Nigeria (CBN) cut interest rates for the first time in years to support economic activity amid declining inflation and improved foreign exchange rate stability. This has implications for bank's funding costs and credit pricing strategies. Regulatory emphasis on financial transparency remains high, with initiatives like tighter cash withdrawal limits to curb money laundering risks, reflecting a broader push toward strenghtening financial integrity. These conditions shape how banks frame their risk management approaches and strategies.

Zenith Bank has maintained a robust capital adequacy ratio, significantly above the regulatory minimum, allowing it to absorb risk-weighted asset shocks and support growth. The strategic implication of this is that the bank maintains excess capital beyond the regulatory threshold, which provides resilience against sudden deteriorations in asset quality or market liquidity. In addition, the bank utilizes internal stress testing to assess how capital buffers perform under adverse economic scenarios, facilitating proactivr capital planning strategy.

The risk borrower default remains a central threat, particularly in an economy still adjusting to higher interest rates and uneven sector performance. The bank adopts several practices to manage this risk, such as stringent underwriting standards and enhanced credit appraisal frameworks to ensure borrowers are evaluated comprehensively on repayment capacity, cash flows, and sectoral exposure. The bank continuously monitors loan performances, with early identification of stress indicators, which helps limit the buildup of non-performing loans (NPLs). These practices help the bank to balance growth with asset quality, particularly in sectors sensitive to interst rate and currency volatility

The bank holds liquid assets and short-term securities to meet sudden outflows and manage day-to-day cash needs. Advanced liquidity stress testing frameworks are used to forecat funding gaps and identify appropriate contingency plans.

The bank is investing in modern IT infrastructure, fraud detection, and cybersecurity systems. These investments protect the bank's didigital channels, reduce fraud losses, and strengthen customers' trust.

There is comprehensive compliance unit that oversees reporting, monitoring, and internal control that are aligned with CBN and global standards. Strong compliance frameworks mitigate regulatory penalties and reputational risk while reinforcing institutional governance. Effective compliance with regulations, especially around anti-money-laundering (AML), countering the financing of terrorism (CFT), and prudential standards, is integral to modern risk management strategy. These integrated risk management strategies enable the bank to navigate the evolving economic landscape, balancing growth aspirations with resilience and long-term stability.

The downside risk to outlook remains deteriorating security conditions, ongoing and expected shocks from the global economy especially from supply blockages of essential products from both Russia and Ukraine, impact of declining crude oil revenue in spite of higher crude oil prices, currency depreciation, hike in electricity tariff, potential increase in fuel pump price, etc.

### 3.2 Credit Risk

Credit risk is the risk of a financial loss if an obligor does not fully honour its contractual commitments to the Group. Obligors may be borrowers, issuers, counterparties or guarantors. Credit risk is the most significant risk facing the Bank in the normal course of business. The Bank is exposed to credit risk not only through its direct lending activities and transactions but also through commitments to extend credit, letters of guarantee, letters of credit, securities purchased under reverse repurchase agreements, deposits with financial institutions, brokerage activities, and transactions carrying a settlement risk for the Bank such as irrevocable fund transfers to third parties via electronic payment systems

The Group's loan disbursement processes are centralized and controlled by Credit Risk Management (CRMG) of each banking subsidiary. All loan commitments advised to customers in offer letters are contingent on the satisfaction of conditions precdent to draw down and availabiltiy of funds. Additionally, the Group retains control of drawings on approved loan facilities, through a referral method, where any such drawings must be sanctioned before it is processed. This ensures that the Group's commitments on any loan is to the extent of the drawn amount at any point in time.

The Group has robust credit standards, policies and procedures to control and monitor intrinsic and concentration risks through all credit levels of selection, underwriting, administration and control. Some of the policies are:

- (a) Credit is only extended to suitable and well identified customers and never where there is any doubt as to the ethical standards and record of the intending borrower;
- (b) Exposures to any industry or customer will be determined by the regulatory guidelines, clearly defined internal policies, debt service capability and balance sheet management guidelines;

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

- (c) Credit is not extended to customers where the source of repayment is unknown or speculative, and also where the destination of funds is unknown. There must be clear and verifiable purpose for the use of the funds and sources of repayment;
- (d) Credit is not given to a customer where the ability of the customer to meet obligations is based on the most optimistic forecast of events. Risk considerations will always have priority over business and profit considerations
- (e) The primary source of repayment for all credits must be from an identifiable cash flow from the counterparty's normal business operations or other financial arrangements. The realization of security remains a fall back option;
- (f) A pricing model that reflects variations in the risk profile of various credits to ensure that higher risks are compensated by higher returns is adopted;
- (g) All insiders' related credits are limited to regulatory and strict internal limits and are disclosed as required;
- (h) The consequences for non-compliance with the credit policy and credit indiscipline are communicated to all staff and are implemented.

#### 3.2.1 Credit Metrics and Measurement Tools

Zenith Bank and its subsidiaries have devoted resources and harnessed their credit data to develop models that will improve the determination of economic and financial threats resulting from credit risk. Before a sound and prudent credit decision can be taken, the credit risk engendered by the borrower or counterparty must be accurately assessed. This is the first step in processing credit applications. As a result, some key factors are considered in credit risk assessment and measurement: These are:

- (a) Adherence to the strict credit selection criteria, which includes defined target market, credit history, the capacity and character of customers;
- (b) Credit rating of obligor;
- (c) The likelihood of failure to pay over the period stipulated in the contract;
- (d) The size of the facility in case default occurs; and
- (e) Estimated Rate of Recovery, which is a measure of the portion of the debt that can be recovered through realisation of assets and collateral should default occur.

#### 3.2.2 Credit Rating Tools

The principal objective of the credit risk rating system is to produce a reliable assessment of the credit risk to which the Group is exposed. As such, all loans and indirect credits such as guarantees and bonds as well as treasury investments undergo a formal credit analysis process that would ensure the proper appraisal of the facility.

- (a) Loans and advances and amounts due from banks

Each individual borrower is rated based on an internally developed rating model that evaluates risk based on financial, qualitative and industry-specific inputs. The associated loss estimate norms for each grade have been developed based on the experience of the Bank and its various subsidiaries.

In order to allow for a meaningful distribution of exposures across grades with no excessive concentrations on the Group's borrower-rating and its facility-rating scale, the Group maintains the under listed rating grade, which is applicable to both new and existing customers.

| Zenith Group Rating | Description of the grade                          |
|---------------------|---------------------------------------------------|
| AAA                 | Investment Risk (Extremely Low Risk)              |
| AA                  | Investment Risk (Very Low Risk)                   |
| A                   | Investment Risk (Low Risk)                        |
| BBB                 | Upper Standard Grade (Acceptable Risk)            |
| BB                  | Lower Standard Grade (Moderately High Risk)       |
| B                   | Non Investment Grade (High Risk)                  |
| CCC                 | Non Investment Grade (Very High Risk)             |
| CC                  | Non Investment Grade (Extremely High Risk)        |
| C                   | Non Investment Grade (High Likelihood of Default) |
| D                   | Non Investment Grade (Lost)                       |
| Unrated             | Individually insignificant (unrated)              |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

#### (b) Other debt instruments

With respect to other debt instruments, the Group takes the following into consideration in the management of the associated credit risk:

- i) Internal and external research and market intelligence reports; and
- ii) Regulatory agencies reports

In addition to the above, we have put in place limits structure which is monitored from time to time in order to limit our risk exposures on these securities.

#### Control mechanisms for the credit risk rating system

Zenith's credit risk rating system is reviewed periodically to confirm that the rating criteria and procedures are appropriate given the current portfolio and external conditions. Hence, in accordance with the Groups model risk policy, all models that materially impact the risk rating process are reviewed.

Furthermore, the ratings accorded to customers are regularly reviewed, incorporating new financial information available and the experience in the development of the banking relationship. The regularity of the reviews increases in the case of clients who reach certain levels in the automated warning systems. The rating system is currently undergoing external review with a view to enhancing its robustness.

Local-currency fixed-income sovereign instruments are assigned the highest credit rating under the Bank's internal national-scale methodology, reflecting their classification as the lowest relative credit-risk category

#### 3.2.3 Credit Processes

Zenith operates a centralised credit approval process system. Credits are originated from the branches/business groups and subjected to reviews at various levels before they are presented along with all documents and information defined for the proper assessment and decision of Credit to the Global Credit Committee for consideration. All Credits presented for approval are required to be in conformity with the documented and communicated Risk Acceptance Criteria(RAC).

As part of credit appraisal process, the Group reviews the following:

- (a) Credit assessment of the borrower's industry, and macro-economic factors;
- (b) The purpose of credit and source of repayment;
- (c) The track record / repayment history of borrower;
- (d) Assess/evaluate the repayment capacity of the borrower;
- (e) The proposed terms and conditions and covenants;
- (f) Adequacy and enforceability of collaterals; and
- (g) Approval from appropriate authority.



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 3.2.4 Group Credit Risk Management

Zenith's approach to managing credit risk is a key element in achieving its strategic objective of maintaining and further enhancing its asset quality and credit portfolio risk profile. The credit standards, policies and procedures, risk methodologies and framework, solid structure and infrastructure, risk monitoring and control activities enable the Group to deal with the emerging risks and challenges with a high level of confidence and determination.

The framework for credit risk assessment at Zenith is well-defined and institutionally predicated on:

- (a) Clear tolerance limits and risk appetite set at the Board level, well communicated to the business units and periodically reviewed and monitored to adjust as appropriate;
- (b) Well-defined target market and risk asset acceptance criteria;
- (c) Rigorous financial, credit and overall risk analysis for each customer/transaction;
- (d) Regular portfolio examination in line with key performance indicators and periodic stress testing;
- (e) Continuous assessment of concentrations and mitigation strategies;
- (f) Continuous validation and modification of early warning system to ensure proper functioning for risk identification;
- (g) Systematic and objective credit risk rating methodologies that are based on quantitative, qualitative and expert judgment;
- (h) Systematic credit limits management which enables the Bank to monitor its credit exposure on daily basis at country, borrower, industry, credit risk rating and credit facility type levels;
- (i) Solid documentation and collateral management process with proper coverage and top-up triggers and follow-ups; and
- (j) Annual and interim individual credit reviews to ensure detection of weakness signs or warning signals and considering proper remedies.

The credit processes are supplemented by sectoral portfolio reviews, which focus on countries, regions or specific industries as well as multiple stress testing scenarios. These are intended to identify any inherent risks in the portfolios resulting from changes in market conditions and are supplemented by independent reviews from our Group Internal Audit.

#### 3.2.5 Group Credit Risk Limits

The Group applies credit risk limits, among other techniques in managing credit risk. This is the practice of stipulating a maximum amount that the individual or counterparty can obtain as loan. Internal and regulatory limits are strictly adhered to. Through this, the Group not only protects itself, but also in a sense, protects the counterparties from borrowing more than they are capable of repaying.

The Group focuses on its concentration and intrinsic risks and further manages them to a more comfortable level. This is very important due to the serious risk implications that intrinsic and concentration risk pose to the Group. A thorough analysis of economic factors, market forecasting and prediction based on historical evidence is used to mitigate these risks.

The Group has in place various portfolio concentration limits (which are subject to periodic review). These limits are closely monitored and reported on from time to time.

The Group's internal credit approval limits for the various authorities levels are as indicated below.

| Zenith Group Rating                | Approval limit (% of Shareholders' Fund)                              |
|------------------------------------|-----------------------------------------------------------------------|
| Board Credit Committee             | N15 billion and above (Not exceeding 20% of total shareholders' fund) |
| Management Global Credit Committee | Below N15 billion                                                     |

These internal approval limits are set and approved by the Group Board and are reviewed regularly as the state of affairs of the Group and the wider financial environment demand.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

#### 3.2.6 Group Credit Risk Monitoring

The Group's exposures are continuously monitored through a system of triggers and early-warning signals aimed at detecting symptoms, which could result in deterioration of credit risk quality. The triggers and early-warning systems are supplemented by facility utilisation and collateral valuation monitoring together with a review of upcoming credit facility expiration and market intelligence to enable timely corrective action by management. The results of the monitoring process are reflected in the internal rating process through quarterly review of activities.

Credit risk is monitored on an ongoing basis with formal weekly, monthly and quarterly reporting to keep senior management aware of shifts in credit quality and portfolio performance along with changing external factors such as economic and business cycles.

The capabilities of the credit review team is continuously enhanced in order to improve the facility monitoring activity and assure good quality Risk Assets Portfolio across the Group.

A specialised and focused loan recovery and workout team handles the management and collection of problematic credit facilities.

#### 3.2.7 (a) Credit Risk Mitigation, Collateral, and other Credit Enhancements

The Group's approach to controlling various risks begins with optimizing the diversification of its exposures. Zenith uses a variety of techniques to manage the credit risk arising from its lending activities. These techniques are set out in the Group's internal policies and procedures. They are mainly reflected in the application of various exposure limits: credit concentration limits by counterparty and credit concentration limits by industry, country, region, and type of financial instrument.

Enforceable legal documentation establishes Zenith's direct, irrevocable, and unconditional recourse to any collateral, security, or other credit enhancements.

##### (i) Collateral Security

A key mitigation step employed by the Group in its credit risk management process includes the use of collateral securities to secure its loans and advances as alternative sources of repayment during adverse conditions. All major credit facilities to our customers are to be secured and the security instruments and documentations must be perfected, and all conditions precedent must be met before drawdown or disbursement is allowed. Collateral analysis includes a good description of the collateral, its value, how the value was arrived at, and when the valuation was made. It is usually necessary to review the potential adverse changes in the value of collateral security for the foreseeable future.

Collateral securities that are pledged must be in negotiable form and usually fall under the following categories:

- (a) Real estate, plant and equipment collateral (usually all asset or mortgage debenture or charge), which have to be registered and enforceable under Nigerian law;
- (b) Collateral consisting of inventory, accounts receivable, machinery equipment, patents, trademarks, farm products, general intangibles, etc. These require a security agreement (usually a floating debenture) which must be registered and must be enforceable under Nigerian law;
- (c) Stocks and shares of publicly quoted companies;
- (d) Domiciliation of contracts proceeds;
- (e) Documents of title to goods such as shipping documents consigned to the order of Zenith Bank or any of its subsidiaries;
- (f) Letter of lien; and
- (g) Cash collateral.

Collateral securities are usually valued and inspected prior to disbursement and on a regular basis thereafter until full repayment of the exposure. We conduct a regular review of all collateral documentation in respect of all credits in the Bank and specific gaps in the collateral documentation addressed immediately. Borrowers are required to confirm adherence to covenants including periodic confirmation of collateral values which are used by the Bank to provide early warning signals of collateral value deterioration. Periodic inspections of physical collateral are performed where appropriate and where reasonable means of doing so are available.

The type and size of collateral held as security for financial assets other than loans and advances are usually a function of the nature of the instrument. Our debt securities, treasury and other eligible bills are normally unsecured but the Group's comfort is on the issuer's credit rating, i.e. Federal Government of Nigeria (FGN) and other sovereigns.

As part of its Credit risk management strategy, the Group emphasizes on the robustness of its credit analysis and diagnosis prior to disbursement of loans and advances to its customers.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

The bank closely monitors the performance of its loans and advances. Once a loan shows sign of credit deterioration, the bank works closely with the customer to salvage the situation and ensure recoverability of its loans.

Fore closure of collateral is usually the last measure adopted by the bank in the realization of its funds. The Group's policies regarding obtaining collateral have not significantly changed during the reporting period and there has been no significant change in the overall quality of the collateral held by the Group since the prior period. The Group did not take legal repossession of any collateral in the year.

Details of collateral pledged by customers against the carrying amount of loans and advances as at 30 June 2026 are as follows:

| In millions of Naira                                 | Group             |                          | Bank              |                          |
|------------------------------------------------------|-------------------|--------------------------|-------------------|--------------------------|
|                                                      | Total exposure    | Fair value of collateral | Total exposure    | Fair value of collateral |
| Secured against real estate                          | 1,454,182         | 2,196,981                | 569,049           | 538,932                  |
| Secured by shares of quoted companies                | 26,607            | 19,358                   | 26,428            | 18,932                   |
| Cash Collateral, lien over fixed and floating assets | 4,385,479         | 4,213,081                | 3,622,299         | 3,415,690                |
| Unsecured                                            | 6,706,105         | -                        | 5,846,995         | -                        |
| <b>Total Gross amount</b>                            | <b>12,572,373</b> | <b>6,429,420</b>         | <b>10,064,771</b> | <b>3,973,554</b>         |
| ECL Allowance                                        | (524,008)         | -                        | (484,962)         | -                        |
| <b>Net carrying amount</b>                           | <b>12,048,365</b> | <b>6,429,420</b>         | <b>9,579,809</b>  | <b>3,973,554</b>         |

#### Group

30 June 2026

Disclosure by Collateral

|                                                                              | Term loan          | Overdrafts       | Onlending       | Total              |
|------------------------------------------------------------------------------|--------------------|------------------|-----------------|--------------------|
| Property/Real estate                                                         | 1,769,197          | 427,765          | 19              | 2,196,981          |
| Equities                                                                     | 954                | 18,404           | -               | 19,358             |
| Cash Collateral, lien over fixed and floating assets                         | 3,680,050          | 531,270          | 1,761           | 4,213,081          |
| <b>Grand total: Fair value of collateral</b>                                 | <b>5,450,201</b>   | <b>977,439</b>   | <b>1,780</b>    | <b>6,429,420</b>   |
| <b>Grand total: Gross loans</b>                                              | <b>11,230,984</b>  | <b>1,303,619</b> | <b>37,769</b>   | <b>12,572,372</b>  |
| <b>Grand total: ECL Allowance</b>                                            | <b>(383,263)</b>   | <b>(134,640)</b> | <b>(6,106)</b>  | <b>(524,009)</b>   |
| <b>Grand total: Net amount</b>                                               | <b>10,847,721</b>  | <b>1,168,979</b> | <b>31,663</b>   | <b>12,048,363</b>  |
| <b>Grand total: Amount of overcollateralization/(undercollateralization)</b> | <b>(5,397,520)</b> | <b>(191,540)</b> | <b>(29,883)</b> | <b>(5,618,943)</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 30 June 2026

Against 12 months ECL loans and advances

|                                                                       | Term loan   | Overdrafts | Onlending | Total       |
|-----------------------------------------------------------------------|-------------|------------|-----------|-------------|
| Property/Real estate                                                  | 1,584,699   | 401,709    | 19        | 1,986,427   |
| Equities                                                              | 954         | 14,153     | -         | 15,107      |
| Cash Collateral, lien over fixed and floating assets                  | 3,309,439   | 499,651    | 69        | 3,809,159   |
| Fair value of collateral                                              | 4,895,092   | 915,513    | 88        | 5,810,693   |
| Gross loans                                                           | 10,370,602  | 1,063,428  | 30,371    | 11,464,401  |
| ECL Allowance                                                         | (60,502)    | (8,503)    | (399)     | (69,404)    |
| Net amount                                                            | 10,310,100  | 1,054,925  | 29,972    | 11,394,997  |
| Grand total: Amount of overcollateralization/(undercollateralization) | (5,415,008) | (139,412)  | (29,884)  | (5,584,304) |

#### 30 June 2026

Against lifetime ECL not credit-impaired loans and advances

|                                                                       | Term loan | Overdrafts | Onlending | Total     |
|-----------------------------------------------------------------------|-----------|------------|-----------|-----------|
| Property/Real estate                                                  | 17,860    | 11,737     | -         | 29,597    |
| Cash Collateral, lien over fixed and floating assets                  | 120,342   | 17,029     | 1,692     | 139,063   |
| Fair value of collateral                                              | 138,202   | 28,766     | 1,692     | 168,660   |
| Gross loans                                                           | 406,437   | 80,960     | 1,692     | 489,089   |
| ECL Allowance                                                         | (4,636)   | (1,654)    | -         | (6,290)   |
| Net amount                                                            | 401,801   | 79,306     | 1,692     | 482,799   |
| Grand total: Amount of overcollateralization/(undercollateralization) | (263,599) | (50,540)   | -         | (314,139) |

#### 30 June 2026

Against lifetime ECL credit-impaired loans and advances

|                                                                       | Term loan | Overdrafts | Onlending | Total     |
|-----------------------------------------------------------------------|-----------|------------|-----------|-----------|
| Property/Real estate                                                  | 166,638   | 14,319     | -         | 180,957   |
| Equities                                                              | -         | 4,251      | -         | 4,251     |
| Cash Collateral, lien over fixed and floating assets                  | 250,270   | 14,591     | -         | 264,861   |
| Fair value of collateral                                              | 416,908   | 33,161     | -         | 450,069   |
| Gross loans                                                           | 453,944   | 159,232    | 5,707     | 618,883   |
| ECL Allowance                                                         | (318,124) | (124,483)  | (5,707)   | (448,314) |
| Net amount                                                            | 135,820   | 34,749     | -         | 170,569   |
| Grand total: Amount of overcollateralization/(undercollateralization) | 281,088   | (1,588)    | -         | 279,500   |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Bank

#### 30 June 2026

#### Disclosure by Collateral

|                                                                       | Term loan   | Overdraft | Onlending | Total       |
|-----------------------------------------------------------------------|-------------|-----------|-----------|-------------|
| Property/Real estate                                                  | 424,090     | 114,824   | 19        | 538,933     |
| Equities                                                              | 954         | 17,979    | -         | 18,933      |
| Cash Collateral, lien over fixed and floating assets                  | 3,011,417   | 402,512   | 1,761     | 3,415,690   |
| Grand total: Fair value of collateral                                 | 3,436,461   | 535,315   | 1,780     | 3,973,556   |
| Grand total: Gross loans                                              | 9,094,799   | 932,203   | 37,769    | 10,064,771  |
| Grand total: ECL Allowance                                            | (354,652)   | (124,204) | (6,106)   | (484,962)   |
| Grand total: Net amount                                               | 8,740,147   | 807,999   | 31,663    | 9,579,809   |
| Grand total: Amount of overcollateralization/(undercollateralization) | (5,303,686) | (272,684) | (29,883)  | (5,606,253) |

#### 30 June 2026

#### Against 12 months ECL loans and advances

|                                                                       | Term loan   | Overdraft | Onlending | Total       |
|-----------------------------------------------------------------------|-------------|-----------|-----------|-------------|
| Property/Real estate                                                  | 407,797     | 102,881   | 19        | 510,697     |
| Equities                                                              | 954         | 13,728    | -         | 14,682      |
| Cash Collateral, lien over fixed and floating assets                  | 2,658,012   | 371,410   | 69        | 3,029,491   |
| Fair value of collateral                                              | 3,066,763   | 488,019   | 88        | 3,554,870   |
| Gross loans                                                           | 8,347,593   | 716,691   | 30,371    | 9,094,655   |
| ECL Allowance                                                         | (45,887)    | (4,482)   | (399)     | (50,768)    |
| Net amount                                                            | 8,301,706   | 712,209   | 29,972    | 9,043,887   |
| Grand total: Amount of overcollateralization/(undercollateralization) | (5,234,943) | (224,190) | (29,884)  | (5,489,017) |

#### 30 June 2026

#### Against lifetime ECL not credit-impaired loans and advances

|                                                                       | Term loan | Overdraft | Onlending | Total     |
|-----------------------------------------------------------------------|-----------|-----------|-----------|-----------|
| Property/Real estate                                                  | 8,549     | 8,683     | -         | 17,232    |
| Cash Collateral, lien over fixed and floating assets                  | 118,619   | 16,909    | 1,692     | 137,220   |
| Fair value of collateral                                              | 127,168   | 25,592    | 1,692     | 154,452   |
| Gross loans                                                           | 399,166   | 76,805    | 1,692     | 477,663   |
| ECL Allowance                                                         | (4,620)   | (1,642)   | -         | (6,262)   |
| Net amount                                                            | 394,546   | 75,163    | 1,692     | 471,401   |
| Grand total: Amount of overcollateralization/(undercollateralization) | (267,378) | (49,571)  | -         | (316,949) |

#### 30 June 2026

#### Against lifetime ECL credit-impaired loans and advances

|                                                                       | Term loan | Overdraft | Onlending | Total     |
|-----------------------------------------------------------------------|-----------|-----------|-----------|-----------|
| Property/Real estate                                                  | 7,744     | 3,260     | -         | 11,004    |
| Equities                                                              | -         | 4,251     | -         | 4,251     |
| Cash Collateral, lien over fixed and floating assets                  | 234,786   | 14,193    | -         | 248,979   |
| Fair value of collateral                                              | 242,530   | 21,704    | -         | 264,234   |
| Gross loans                                                           | 348,040   | 138,707   | 5,707     | 492,454   |
| ECL Allowance                                                         | (304,145) | (118,080) | (5,707)   | (427,932) |
| Net amount                                                            | 43,895    | 20,627    | -         | 64,522    |
| Grand total: Amount of overcollateralization/(undercollateralization) | 198,635   | 1,077     | -         | 199,712   |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

Details of collateral pledged by customers against carrying amount of loans and advances as at 31 December 2025 are as follows:

| In millions of Naira                                 | Group             |                          | Bank             |                          |
|------------------------------------------------------|-------------------|--------------------------|------------------|--------------------------|
|                                                      | Total exposure    | Fair Value of collateral | Total exposure   | Fair Value of collateral |
| Secured against real estate                          | 1,315,273         | 2,003,372                | 564,515          | 523,313                  |
| Secured by shares of quoted companies                | 29,833            | 18,816                   | 29,833           | 18,816                   |
| Cash collateral, lien over fixed and floating assets | 3,972,647         | 3,997,699                | 3,107,342        | 3,044,871                |
| Unsecured                                            | 5,746,113         | -                        | 5,040,909        | -                        |
| <b>Total Gross amount</b>                            | <b>11,063,866</b> | <b>6,019,887</b>         | <b>8,742,599</b> | <b>3,587,000</b>         |
| ECL Allowance                                        | (614,914)         | -                        | (575,254)        | -                        |
| <b>Net carrying amount</b>                           | <b>10,448,952</b> | <b>6,019,887</b>         | <b>8,167,345</b> | <b>3,587,000</b>         |

#### Group

##### 31 December 2025

Disclosure by Collateral

|                                                                       | Term loan   | Overdrafts | Onlending | Total       |
|-----------------------------------------------------------------------|-------------|------------|-----------|-------------|
| Property/Real estate                                                  | 1,650,266   | 353,106    | -         | 2,003,372   |
| Equities                                                              | 6,911       | 11,905     | -         | 18,816      |
| Cash Collateral, lien over fixed and floating assets                  | 3,419,474   | 578,111    | 115       | 3,997,700   |
| Grand total: Fair value of collateral                                 | 5,076,651   | 943,122    | 115       | 6,019,888   |
| Grand total: Gross loans                                              | 9,632,596   | 1,390,183  | 41,087    | 11,063,866  |
| Grand total: ECL Allowance                                            | (422,724)   | (191,051)  | (1,139)   | (614,914)   |
| Grand total: Net amount                                               | 9,209,872   | 1,199,132  | 39,948    | 10,448,952  |
| Grand total: Amount of overcollateralization/(undercollateralization) | (4,133,221) | (256,010)  | (39,833)  | (4,429,064) |

##### 31 December 2025

Against 12 months ECL loans and advances

|                                                                       | Term loan   | Overdrafts | Onlending | Total       |
|-----------------------------------------------------------------------|-------------|------------|-----------|-------------|
| Property/Real estate                                                  | 1,483,146   | 315,545    | -         | 1,798,691   |
| Equities                                                              | 6,911       | 7,544      | -         | 14,455      |
| Cash Collateral, lien over fixed and floating assets                  | 3,080,485   | 469,466    | 115       | 3,550,066   |
| Fair value of collateral                                              | 4,570,542   | 792,555    | 115       | 5,363,212   |
| Gross loans                                                           | 8,641,037   | 1,120,099  | 34,563    | 9,795,699   |
| ECL Allowance                                                         | (67,327)    | (10,951)   | (719)     | (78,997)    |
| Net amount                                                            | 8,573,710   | 1,109,148  | 33,844    | 9,716,702   |
| Grand total: Amount of overcollateralization/(undercollateralization) | (4,003,168) | (316,593)  | (33,729)  | (4,353,490) |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 31 December 2025

Against lifetime ECL not credit-impaired loans and advances

|                                                                       | Term loan | Overdrafts | Onlending | Total     |
|-----------------------------------------------------------------------|-----------|------------|-----------|-----------|
| Property/Real estate                                                  | 101,075   | 5,085      | -         | 106,160   |
| Equities                                                              | -         | 120        | -         | 120       |
| Cash Collateral, lien over fixed and floating assets                  | 283,232   | 69,562     | -         | 352,794   |
| Fair value of collateral                                              | 384,307   | 74,767     | -         | 459,074   |
| Gross loans                                                           | 708,254   | 130,985    | 6,519     | 845,758   |
| ECL Allowance                                                         | (154,368) | (64,893)   | (409)     | (219,670) |
| Net amount                                                            | 553,886   | 66,092     | 6,110     | 626,088   |
| Grand total: Amount of overcollateralization/(undercollateralization) | (169,579) | 8,675      | (6,110)   | (167,014) |

#### 31 December 2025

Against lifetime ECL credit-impaired loans and advances

|                                                                       | Term loan | Overdrafts | Onlending | Total     |
|-----------------------------------------------------------------------|-----------|------------|-----------|-----------|
| Property/Real estate                                                  | 66,045    | 32,476     | -         | 98,521    |
| Equities                                                              | -         | 4,241      | -         | 4,241     |
| Cash Collateral, lien over fixed and floating assets                  | 55,757    | 39,083     | -         | 94,840    |
| Fair value of collateral                                              | 121,802   | 75,800     | -         | 197,602   |
| Gross loans                                                           | 283,305   | 139,099    | 4         | 422,408   |
| ECL Allowance                                                         | (201,030) | (115,217)  | (2)       | (316,249) |
| Net amount                                                            | 82,275    | 23,882     | 2         | 106,159   |
| Grand total: Amount of (undercollateralization)/overcollateralization | 39,527    | 51,918     | (2)       | 91,443    |

#### Bank

#### 31 December 2025

Disclosure by Collateral

|                                                                       | Term loan   | Overdrafts | Onlending | Total       |
|-----------------------------------------------------------------------|-------------|------------|-----------|-------------|
| Property/Real estate                                                  | 427,872     | 95,442     | -         | 523,314     |
| Equities                                                              | 6,911       | 11,905     | -         | 18,816      |
| Cash Collateral, lien over fixed and floating assets                  | 2,567,246   | 477,511    | 115       | 3,044,872   |
| Grand total: Fair value of collateral                                 | 3,002,029   | 584,858    | 115       | 3,587,002   |
| Grand total: Gross loans                                              | 7,599,555   | 1,101,956  | 41,087    | 8,742,598   |
| Grand total: ECL Allowance                                            | (390,478)   | (183,647)  | (1,129)   | (575,254)   |
| Grand total: Net amount                                               | 7,209,077   | 918,309    | 39,958    | 8,167,344   |
| Grand total: Amount of overcollateralization/(undercollateralization) | (4,207,048) | (333,451)  | (39,843)  | (4,580,342) |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 31 December 2025

Against 12 months ECL loans and advances

|                                                                       | Term loan   | Overdrafts | Onlending | Total       |
|-----------------------------------------------------------------------|-------------|------------|-----------|-------------|
| Property/Real estate                                                  | 417,200     | 90,720     | -         | 507,920     |
| Equities                                                              | 6,911       | 7,544      | -         | 14,455      |
| Cash Collateral, lien over fixed and floating assets                  | 2,241,128   | 374,050    | 115       | 2,615,293   |
| Fair value of collateral                                              | 2,665,239   | 472,314    | 115       | 3,137,668   |
| Gross loans                                                           | 6,766,745   | 856,697    | 34,563    | 7,658,005   |
| ECL Allowance                                                         | (47,256)    | (4,579)    | (719)     | (52,554)    |
| Net amount                                                            | 6,719,489   | 852,118    | 33,844    | 7,605,451   |
| Grand total: Amount of overcollateralization/(undercollateralization) | (4,054,250) | (379,804)  | (33,729)  | (4,467,783) |

#### 31 December 2025

Against lifetime ECL not credit-impaired loans and advances

|                                                                       | Term loan | Overdrafts | Onlending | Total     |
|-----------------------------------------------------------------------|-----------|------------|-----------|-----------|
| Property/Real estate                                                  | 9,430     | 2,629      | -         | 12,059    |
| Equities                                                              | -         | 120        | -         | 120       |
| Cash Collateral, lien over fixed and floating assets                  | 283,232   | 69,562     | -         | 352,794   |
| Fair value of collateral                                              | 292,662   | 72,311     | -         | 364,973   |
| Gross loans                                                           | 626,614   | 115,833    | 6,519     | 748,966   |
| ECL Allowance                                                         | (153,034) | (64,704)   | (409)     | (218,147) |
| Net amount                                                            | 473,580   | 51,129     | 6,110     | 530,819   |
| Grand total: Amount of overcollateralization/(undercollateralization) | (180,918) | 21,182     | (6,110)   | (165,846) |

#### 31 December 2025

Against lifetime ECL credit-impaired loans and advances

|                                                                       | Term loan | Overdrafts | Onlending | Total     |
|-----------------------------------------------------------------------|-----------|------------|-----------|-----------|
| Property/Real estate                                                  | 1,242     | 2,092      | -         | 3,334     |
| Equities                                                              | -         | 4,241      | -         | 4,241     |
| Cash Collateral, lien over fixed and floating assets                  | 42,886    | 33,898     | -         | 76,784    |
| Fair value of collateral                                              | 44,128    | 40,231     | -         | 84,359    |
| Gross loans                                                           | 206,196   | 129,426    | 4         | 335,626   |
| ECL Allowance                                                         | (190,188) | (114,363)  | (2)       | (304,553) |
| Net amount                                                            | 16,008    | 15,063     | 2         | 31,073    |
| Grand total: Amount of overcollateralization/(undercollateralization) | 28,120    | 25,168     | (2)       | 53,286    |

#### (i) Balance Sheet Netting Arrangements

Risk reduction by way of current account set-off is recognised for exposures to highly rated and creditworthy customers. Customers are required to enter into formal agreements giving Zenith Bank Plc the right to set-off gross credit and debit balances in their nominated accounts to determine the Groups net exposure. Cross-border set-offs are not permitted.

#### (ii) Guarantees and Standby Letters of Credit

Guarantees and Standby Letters of Credit are perceived to have comparable level of credit risk as loans and advances. In accordance with the Group's credit policies, banks and creditworthy companies and individuals with high net worth are accepted as guarantors, subject to credit risk assessment. Furthermore, Zenith Bank Plc only recognises unconditional irrevocable guarantees or standby letters of credit provided they are not related to the underlying obligor.



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 3.2.7 (b) Maximum Exposure to Credit Risk Before Collateral Held or Credit Enhancements

The Group's maximum exposure to credit risk at 30 June 2026 and 31 December 2025 respectively, are represented by the net carrying amounts of the financial assets, with the exception of financial and other guarantees issued by the Group for which the maximum exposure to credit risk are represented by the maximum amount the Group would have to pay if the guarantees are called on (refer to note Contingent liabilities and commitments).

Maximum exposure to credit risk - Financial instruments not subject to impairment

The following table contains an analysis of the maximum credit risk exposure from financial assets not subject to impairment as at 30 June 2026.

| In millions of Naira                       | Group                           | Bank                            |
|--------------------------------------------|---------------------------------|---------------------------------|
|                                            | Maximum exposure to credit risk | Maximum exposure to credit risk |
| <b>Trading assets</b>                      |                                 |                                 |
| - Treasury bills                           | 1,700,194                       | 1,700,064                       |
| - Investment in securities                 | 47,266                          | 9,212                           |
| - Derivatives Asset -Hedging Instrument    | -                               | -                               |
| - Derivatives Asset-Non Hedging Instrument | 6,217                           | 3,412                           |

The following table contains an analysis of the maximum credit risk exposure from financial assets not subject to impairment as at 31 December 2025.

| In millions of Naira                        | Group                           | Bank                            |
|---------------------------------------------|---------------------------------|---------------------------------|
|                                             | Maximum exposure to credit risk | Maximum exposure to credit risk |
| <b>Trading assets</b>                       |                                 |                                 |
| - Treasury bills                            | 430,212                         | 429,640                         |
| - Investment in securities                  | 35,077                          | 33,840                          |
| - Derivatives Asset -Hedging Instrument     | -                               | -                               |
| -Derivatives Asset - Non Hedging Instrument | 8,146                           | 1,416                           |
| - Assets pledged as collateral              | -                               | -                               |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

Maximum exposure to credit risk - Financial instruments subject to impairment

The following table contains an analysis of the maximum credit risk exposure from financial assets subject to impairment as at 30 June 2026

| In millions of Naira                                         | Maximum exposure to credit risk<br>Group | Maximum exposure to credit risk<br>Bank |
|--------------------------------------------------------------|------------------------------------------|-----------------------------------------|
| <b>Financial assets measured at amortised cost</b>           |                                          |                                         |
| - Balances with central bank                                 | 6,658,618                                | 5,754,175                               |
| - Treasury bills                                             | 2,957,075                                | 2,428,052                               |
| - Investment in securities                                   | 3,074,691                                | 2,085,929                               |
| - Assets pledged as collateral                               | 128,140                                  | 90,162                                  |
| - Loans and advances to customers                            | 12,048,363                               | 9,579,809                               |
| - Due from banks                                             | 2,088,701                                | 1,669,463                               |
| - Other financial assets                                     | 670,814                                  | 312,770                                 |
| Financial assets measured through other comprehensive income |                                          |                                         |
| - Investment in securities                                   | 1,905,848                                | -                                       |
| Off balance sheet exposures                                  | 6,520,405                                | 6,238,826                               |

The following table contains an analysis of the maximum credit risk exposure from financial assets subject to impairment as at 31 December 2025

| In millions of Naira                                         | Maximum exposure to credit risk<br>Group | Maximum exposure to credit risk<br>Bank |
|--------------------------------------------------------------|------------------------------------------|-----------------------------------------|
| <b>Financial assets measured at amortised cost</b>           |                                          |                                         |
| - Balances with central bank                                 | 6,673,368                                | 5,794,905                               |
| - Treasury bills                                             | 4,232,601                                | 3,464,089                               |
| - Investment in securities                                   | 2,933,311                                | 1,931,629                               |
| - Assets pledged as collateral                               | 115,525                                  | 94,477                                  |
| - Loans and advances to customers                            | 10,448,951                               | 8,167,344                               |
| - Due from banks                                             | 2,721,673                                | 2,450,381                               |
| - Other financial assets                                     | 507,202                                  | 282,357                                 |
| Financial assets measured through other comprehensive income |                                          |                                         |
| - Investment in securities                                   | 2,067,032                                | -                                       |
| Off balance sheet exposures                                  | 4,960,942                                | 4,137,306                               |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 3.2.8 Concentration of Risks of Financial Assets with Credit Risk Exposure

The Group monitors concentrations of credit risk by geographical location and by industry sector. An analysis of concentrations of credit risk at 30 June 2026 and 31 December 2025 respectively is set out below:

##### (a) Geographical sectors

The following table breaks down the Group's main credit exposure at their carrying amounts, as categorised by geographical region at 30 June 2026 and 31 December 2025 respectively. For this table, the Group has allocated exposures to regions based on the regions the counterparties are domiciled. Financial assets included in the table below represents other assets excluding prepayment.

| In millions of Naira<br>30 June 2026    | Group             |                  |                  | Bank              |                |                  |
|-----------------------------------------|-------------------|------------------|------------------|-------------------|----------------|------------------|
|                                         | Nigeria           | Rest of Africa   | Outside Africa   | Nigeria           | Rest of Africa | Outside Africa   |
| Balances with central bank              | 5,754,175         | 904,443          | -                | 5,754,175         | -              | -                |
| Treasury bills                          | 4,128,116         | 529,153          | -                | 4,128,116         | -              | -                |
| Assets pledged as collateral            | 90,162            | -                | 37,978           | 90,162            | -              | -                |
| Due from other banks                    | 33,546            | 168,305          | 1,886,850        | 29,020            | 54,635         | 1,585,808        |
| Investment securities                   | 2,190,900         | 888,946          | 1,947,959        | 2,015,825         | 79,316         | -                |
| Derivative Asset-Non Hedging Instrument | 3,412             | 151              | 2,654            | 3,412             | -              | -                |
| Other financial assets                  | 275,683           | 395,019          | 112              | 279,303           | 33,355         | 112              |
| <b>Total</b>                            | <b>12,475,994</b> | <b>2,886,017</b> | <b>3,875,553</b> | <b>12,300,013</b> | <b>167,306</b> | <b>1,585,920</b> |
| Financial Guarantees                    |                   |                  |                  |                   |                |                  |
| Usance                                  | 487,518           | -                | -                | 487,518           | -              | -                |
| Letters of credit                       | 1,562,067         | 222,972          | 27,069           | 1,657,776         | -              | -                |
| Performance bond and guarantees         | 3,216,802         | 118,566          | 12,348           | 3,307,822         | -              | -                |
| Undrawn Overdraft Balance               | 828,417           | 33,581           | 11,065           | 785,710           | -              | -                |
| <b>Total</b>                            | <b>6,094,804</b>  | <b>375,119</b>   | <b>50,482</b>    | <b>6,238,826</b>  | <b>-</b>       | <b>-</b>         |

| In millions of Naira<br>31 December 2025 | Group             |                  |                  | Bank              |                |                  |
|------------------------------------------|-------------------|------------------|------------------|-------------------|----------------|------------------|
|                                          | Nigeria           | Rest of Africa   | Outside Africa   | Nigeria           | Rest of Africa | Outside Africa   |
| Balances with central bank               | 5,794,905         | 878,465          | -                | 5,794,905         | -              | -                |
| Treasury bills                           | 3,893,728         | 769,084          | -                | 3,893,729         | -              | -                |
| Assets pledged as collateral             | 94,477            | -                | 21,048           | 94,477            | -              | -                |
| Due from other banks                     | 174,829           | 88,473           | 2,458,372        | 170,556           | 9,854          | 2,269,970        |
| Investment securities                    | 2,035,406         | 857,943          | 2,142,070        | 1,874,387         | 91,082         | -                |
| Derivative Asset- Non Hedging instrument | 456               | 3,926            | 3,764            | 456               | 484            | 476              |
| Other financial assets                   | 202,490           | 304,631          | 81               | 202,857           | 79,419         | 81               |
| <b>Total</b>                             | <b>12,196,291</b> | <b>2,902,522</b> | <b>4,625,335</b> | <b>12,031,367</b> | <b>180,839</b> | <b>2,270,527</b> |
| Financial Guarantees                     |                   |                  |                  |                   |                |                  |
| Usance                                   | 506,040           | -                | -                | 506,040           | -              | -                |
| Letters of credit                        | 982,555           | 142,789          | 2,712            | 993,444           | -              | -                |
| Performance bond and guarantees          | 2,601,783         | 85,354           | 33,829           | 2,637,822         | -              | -                |
| Undrawn overdraft                        | 580,176           | 8,517            | 17,186           | 532,610           | -              | -                |
| <b>Total</b>                             | <b>4,670,554</b>  | <b>236,660</b>   | <b>53,727</b>    | <b>4,669,916</b>  | <b>-</b>       | <b>-</b>         |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

Gross loans and advances to customers and the impairment allowance per geographical region as at 30 June 2026

Carrying amounts presented in the table below is determined as gross loans less impairment allowances.

30 June 2026

|                       | Group                           |                      |                   | Bank                            |                      |                  |
|-----------------------|---------------------------------|----------------------|-------------------|---------------------------------|----------------------|------------------|
|                       | Loans and advances to customers |                      |                   | Loans and advances to customers |                      |                  |
|                       | Gross loans                     | Impairment Allowance | Carrying amount   | Gross loans                     | Impairment Allowance | Carrying amount  |
| South South Nigeria   | 752,776                         | (36,389)             | 716,387           | 525,865                         | (35,177)             | 490,688          |
| South West Nigeria    | 7,396,392                       | (272,093)            | 7,124,299         | 7,396,115                       | (272,077)            | 7,124,038        |
| South East Nigeria    | 453,992                         | (53,905)             | 400,087           | 453,992                         | (53,905)             | 400,087          |
| North Central Nigeria | 1,036,162                       | (43,450)             | 992,712           | 1,036,162                       | (43,450)             | 992,712          |
| North West Nigeria    | 120,008                         | (23,279)             | 96,729            | 120,008                         | (23,279)             | 96,729           |
| North East Nigeria    | 532,630                         | (57,074)             | 475,556           | 532,629                         | (57,074)             | 475,555          |
| Rest of Africa        | 1,601,787                       | (34,202)             | 1,567,585         | -                               | -                    | -                |
| Outside Africa        | 678,625                         | (3,615)              | 675,010           | -                               | -                    | -                |
|                       | <b>12,572,372</b>               | <b>(524,007)</b>     | <b>12,048,365</b> | <b>10,064,771</b>               | <b>(484,962)</b>     | <b>9,579,809</b> |

31 December 2025

|                       | Group                           |                      |                   | Bank                            |                      |                  |
|-----------------------|---------------------------------|----------------------|-------------------|---------------------------------|----------------------|------------------|
|                       | Loans and advances to customers |                      |                   | Loans and advances to customers |                      |                  |
|                       | Gross loans                     | Impairment Allowance | Carrying amount   | Gross loans                     | Impairment Allowance | Carrying amount  |
| South South Nigeria   | 919,167                         | (41,811)             | 877,356           | 709,510                         | (39,634)             | 669,876          |
| South West Nigeria    | 6,831,107                       | (320,600)            | 6,510,507         | 6,779,890                       | (319,587)            | 6,460,303        |
| South East Nigeria    | 206,452                         | (71,118)             | 135,334           | 206,452                         | (71,118)             | 135,334          |
| North Central Nigeria | 789,581                         | (55,371)             | 734,211           | 785,289                         | (55,285)             | 730,004          |
| North West Nigeria    | 97,189                          | (24,458)             | 72,731            | 96,727                          | (24,449)             | 72,278           |
| North East Nigeria    | 164,731                         | (65,181)             | 99,550            | 164,731                         | (65,181)             | 99,550           |
| Rest of Africa        | 1,466,109                       | (33,195)             | 1,432,914         | -                               | -                    | -                |
| Outside Africa        | 589,530                         | (3,180)              | 586,350           | -                               | -                    | -                |
|                       | <b>11,063,866</b>               | <b>(614,914)</b>     | <b>10,448,952</b> | <b>8,742,598</b>                | <b>(575,254)</b>     | <b>8,167,344</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued) (b) Industry sectors

Gross loans and advances to customers per industry sector as at 30 June 2026

Carrying amounts presented in the table below are determined as gross loans less impairment allowances.

30 June 2026

In millions of Naira

|                              | Group                           |                      |                 | Bank                            |                      |                 |
|------------------------------|---------------------------------|----------------------|-----------------|---------------------------------|----------------------|-----------------|
|                              | Loans and advances to customers |                      |                 | Loans and advances to customers |                      |                 |
|                              | Gross loans                     | Impairment allowance | Carrying amount | Gross loans                     | Impairment allowance | Carrying amount |
| Agriculture                  | 460,168                         | (17,496)             | 442,672         | 298,182                         | (15,394)             | 282,788         |
| Oil and gas                  | 3,563,419                       | (38,038)             | 3,525,381       | 3,418,540                       | (36,793)             | 3,381,747       |
| Consumer Credit              | 106,824                         | (7,008)              | 99,816          | 62,743                          | (6,620)              | 56,123          |
| Manufacturing                | 1,471,489                       | (34,349)             | 1,437,140       | 1,304,810                       | (32,736)             | 1,272,074       |
| Real estate and construction | 743,190                         | (9,408)              | 733,782         | 443,639                         | (6,962)              | 436,677         |
| Finance and insurance        | 809,882                         | (5,623)              | 804,259         | 497,753                         | (3,973)              | 493,780         |
| Government                   | 1,472,665                       | (203,507)            | 1,269,158       | 1,249,774                       | (190,793)            | 1,058,981       |
| Power                        | 404,512                         | (113,009)            | 291,503         | 393,349                         | (112,837)            | 280,512         |
| Transportation               | 716,838                         | (6,685)              | 710,153         | 673,226                         | (6,589)              | 666,637         |
| Communication                | 263,599                         | (262)                | 263,337         | 256,720                         | (150)                | 256,570         |
| Education                    | 47,345                          | (346)                | 46,999          | 41,953                          | (262)                | 41,691          |
| General Commerce             | 2,512,443                       | (88,278)             | 2,424,165       | 1,424,081                       | (71,852)             | 1,352,229       |
|                              | 12,572,374                      | (524,009)            | 12,048,365      | 10,064,770                      | (484,961)            | 9,579,809       |

31 December 2025

In millions of Naira

|                              | Group                           |                       |                 | Bank                            |                      |                 |
|------------------------------|---------------------------------|-----------------------|-----------------|---------------------------------|----------------------|-----------------|
|                              | Loans and advances to customers |                       |                 | Loans and advances to customers |                      |                 |
|                              | Gross loans                     | Impairment allowance. | Carrying amount | Gross loans                     | Impairment allowance | Carrying amount |
| Agriculture                  | 543,443                         | (28,120)              | 515,323         | 382,648                         | (25,161)             | 357,487         |
| Oil and gas                  | 2,594,989                       | (69,865)              | 2,525,124       | 2,498,225                       | (68,095)             | 2,430,129       |
| Consumer Credit              | 179,732                         | (13,364)              | 166,368         | 136,765                         | (12,525)             | 124,239         |
| Manufacturing                | 1,464,500                       | (41,033)              | 1,423,467       | 1,291,588                       | (38,151)             | 1,253,437       |
| Real estate and construction | 463,014                         | (5,778)               | 457,237         | 263,571                         | (2,385)              | 261,186         |
| Finance and Insurance        | 524,840                         | (2,523)               | 522,318         | 250,515                         | (485)                | 250,030         |
| Government                   | 1,235,969                       | (227,115)             | 1,008,854       | 912,373                         | (223,565)            | 688,807         |
| Power                        | 290,051                         | (106,309)             | 183,742         | 284,909                         | (106,207)            | 178,702         |
| Transportation               | 168,238                         | (3,822)               | 164,416         | 121,068                         | (3,658)              | 117,410         |
| Communication                | 329,730                         | (176)                 | 329,554         | 324,912                         | (133)                | 324,779         |
| Education                    | 17,198                          | (145)                 | 17,053          | 11,138                          | (24)                 | 11,114          |
| General Commerce             | 3,252,163                       | (116,665)             | 3,135,498       | 2,264,888                       | (94,863)             | 2,170,025       |
|                              | 11,063,866                      | (614,914)             | 10,448,952      | 8,742,598                       | (575,254)            | 8,167,344       |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Group

Financial assets excluding loans and advances per industry sector as at 30 June 2026.

30 June 2026

In millions of naira

in millions of naira

|                             | Balances with Treasury bills<br>central bank |                  | Assets pledged<br>as collateral | Due from other<br>banks | Investment<br>securities | Derivatives<br>Non Hedging<br>Instrument | Other financial<br>assets |
|-----------------------------|----------------------------------------------|------------------|---------------------------------|-------------------------|--------------------------|------------------------------------------|---------------------------|
| Government                  | 6,658,618                                    | 4,657,433        | 128,144                         | -                       | 4,264,075                | 2,657                                    | 130,624                   |
| Manufacturing               | -                                            | -                | -                               | -                       | 25,971                   | 226                                      | -                         |
| Finance and Insurance       | -                                            | -                | -                               | 2,088,729               | 701,591                  | 272                                      | 561,311                   |
| Oil and gas                 | -                                            | -                | -                               | -                       | -                        | 2,390                                    | -                         |
| Communication               | -                                            | -                | -                               | -                       | 39,602                   | 672                                      | -                         |
| <b>Gross amount</b>         | <b>6,658,618</b>                             | <b>4,657,433</b> | <b>128,144</b>                  | <b>2,088,729</b>        | <b>5,031,239</b>         | <b>6,217</b>                             | <b>691,934</b>            |
| <b>Impairment allowance</b> | <b>-</b>                                     | <b>(165)</b>     | <b>(4)</b>                      | <b>(28)</b>             | <b>(3,433)</b>           | <b>-</b>                                 | <b>(21,120)</b>           |
| <b>Carrying amount</b>      | <b>6,658,618</b>                             | <b>4,657,268</b> | <b>128,140</b>                  | <b>2,088,701</b>        | <b>5,027,806</b>         | <b>6,217</b>                             | <b>670,814</b>            |

Financial assets excluding loans and advances per industry sector as at 31 December 2025

31 December 2025

In millions of naira

in millions of euro

|                             | Balances with Treasury bills<br>central bank |                  | Assets pledged<br>as collateral | Due from other<br>banks | Investment<br>securities | Derivatives Non<br>Hedging<br>Instrument | Other financial<br>assets |
|-----------------------------|----------------------------------------------|------------------|---------------------------------|-------------------------|--------------------------|------------------------------------------|---------------------------|
| Government                  | 6,673,370                                    | 4,662,880        | 115,531                         | 163,353                 | 4,165,750                | 6,730                                    | 83,816                    |
| Manufacturing               | -                                            | -                | -                               | -                       | 4,189                    | -                                        | -                         |
| Finance and Insurance       | -                                            | -                | -                               | 1,941,088               | 833,618                  | 1,070                                    | 441,304                   |
| Communication               | -                                            | -                | -                               | 617,257                 | 39,602                   | 207                                      | -                         |
| Oil and gas                 | -                                            | -                | -                               | -                       | -                        | 138                                      | -                         |
| <b>Gross amount</b>         | <b>6,673,370</b>                             | <b>4,662,880</b> | <b>115,531</b>                  | <b>2,721,698</b>        | <b>5,043,159</b>         | <b>8,145</b>                             | <b>525,120</b>            |
| <b>Impairment allowance</b> | <b>-</b>                                     | <b>(67)</b>      | <b>(6)</b>                      | <b>(26)</b>             | <b>(7,740)</b>           | <b>-</b>                                 | <b>(17,918)</b>           |
| <b>Carrying amount</b>      | <b>6,673,370</b>                             | <b>4,662,813</b> | <b>115,525</b>                  | <b>2,721,672</b>        | <b>5,035,419</b>         | <b>8,145</b>                             | <b>507,202</b>            |

#### Bank

Financial assets excluding loans and advances per industry sector as at 30 June 2026

30 June 2026

In millions of naira

in millions of naira

|                             | Balances with Treasury bills<br>central bank |                  | Assets pledged<br>as collateral | Due from other<br>banks | Investment<br>securities | Derivative<br>Non Hedging<br>Instrument | Other financial<br>assets |
|-----------------------------|----------------------------------------------|------------------|---------------------------------|-------------------------|--------------------------|-----------------------------------------|---------------------------|
| Government                  | 5,754,175                                    | 4,128,279        | 90,166                          | -                       | 2,009,653                | 3                                       | 130,624                   |
| Manufacturing               | -                                            | -                | -                               | -                       | 22,920                   | 75                                      | -                         |
| Finance and Insurance       | -                                            | -                | -                               | 1,669,491               | 23,616                   | 272                                     | 203,162                   |
| Oil and gas                 | -                                            | -                | -                               | -                       | -                        | 2,390                                   | -                         |
| Communication               | -                                            | -                | -                               | -                       | 39,602                   | 672                                     | -                         |
| <b>Gross amount</b>         | <b>5,754,175</b>                             | <b>4,128,279</b> | <b>90,166</b>                   | <b>1,669,491</b>        | <b>2,095,791</b>         | <b>3,412</b>                            | <b>333,786</b>            |
| <b>Impairment allowance</b> | <b>-</b>                                     | <b>(163)</b>     | <b>(4)</b>                      | <b>(28)</b>             | <b>(650)</b>             | <b>-</b>                                | <b>(21,016)</b>           |
| <b>Carrying amount</b>      | <b>5,754,175</b>                             | <b>4,128,116</b> | <b>90,162</b>                   | <b>1,669,463</b>        | <b>2,095,141</b>         | <b>3,412</b>                            | <b>312,770</b>            |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

Financial assets excluding loans and advances per industry sector as at 31 December 2025.

31 December 2025

In millions of naira

|                       | Balances with Treasury bills |           | Assets pledged | Due from other | Investment | Derivatives Non | Other financial |
|-----------------------|------------------------------|-----------|----------------|----------------|------------|-----------------|-----------------|
|                       | central bank                 |           | as collateral  | banks          | securities | Hedging         | assets          |
|                       |                              |           |                |                |            | Instrument      |                 |
| Government            | 5,794,905                    | 3,893,795 | 94,483         | 163,353        | 1,875,251  | -               | 83,816          |
| Manufacturing         | -                            | -         | -              | -              | 1,138      | -               | -               |
| Finance and Insurance | -                            | -         | -              | 2,287,053      | 50,989     | 1,071           | 216,415         |
| Communication         | -                            | -         | -              | -              | 39,602     | 207             | -               |
| Oil and gas           | -                            | -         | -              | -              | -          | 138             | -               |
| Gross amount          | 5,794,905                    | 3,893,795 | 94,483         | 2,450,406      | 1,966,980  | 1,416           | 300,231         |
| Impairment allowance  | -                            | (66)      | (6)            | (25)           | (1,511)    | -               | (17,874)        |
| Carrying amount       | 5,794,905                    | 3,893,729 | 94,477         | 2,450,381      | 1,965,469  | 1,416           | 282,357         |

### 3.2.9 Credit quality analysis

#### Group

30 June 2026

Credit rating - 12 month ECL: All financial assets excluding loans and advances

In millions of naira

|                  | Balances with Treasury bills |           | Assets pledged | Due from other | Investment | Other financial |
|------------------|------------------------------|-----------|----------------|----------------|------------|-----------------|
|                  | central bank                 |           | as collateral  | banks          | securities | assets          |
| AAA to A         | 5,769,409                    | 4,128,278 | 128,144        | 1,779,519      | 3,343,572  | 292,867         |
| BBB to B         | 889,209                      | 529,156   | -              | 304,681        | 1,462,598  | 105,573         |
| CCC to C         | -                            | -         | -              | -              | 13,648     | -               |
| Unrated          | -                            | -         | -              | 4,531          | -          | 121,811         |
| Gross amount     | 6,658,618                    | 4,657,434 | 128,144        | 2,088,731      | 4,819,818  | 520,251         |
| ECL - impairment | -                            | (165)     | (4)            | (28)           | (2,718)    | (16,675)        |
| Carrying amount  | 6,658,618                    | 4,657,269 | 128,140        | 2,088,703      | 4,817,100  | 503,576         |

|                                        | Loans and Advances |                  |               |                   |
|----------------------------------------|--------------------|------------------|---------------|-------------------|
|                                        | Term loans         | Overdraft        | Onlending     | Total             |
| 12 months ECL                          | 10,370,602         | 1,063,429        | 30,371        | 11,464,402        |
| Lifetime ECL not credit impaired       | 406,437            | 80,960           | 1,692         | 489,089           |
| Lifetime ECL credit impaired           | 453,944            | 159,232          | 5,707         | 618,883           |
| <b>Gross loans and advances</b>        | <b>11,230,983</b>  | <b>1,303,621</b> | <b>37,770</b> | <b>12,572,374</b> |
| <b>Less allowances for impairment</b>  |                    |                  |               |                   |
| 12 - months ECL                        | 60,502             | 8,503            | 399           | 69,404            |
| Lifetime ECL not credit impaired       | 4,636              | 1,654            | -             | 6,290             |
| Lifetime ECL credit impaired           | 318,124            | 124,483          | 5,707         | 448,314           |
| <b>Total allowances for impairment</b> | <b>383,262</b>     | <b>134,640</b>   | <b>6,106</b>  | <b>524,008</b>    |
| <b>Net loans and advances</b>          | <b>10,847,721</b>  | <b>1,168,981</b> | <b>31,664</b> | <b>12,048,366</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Credit rating for loans and advances with 12 month ECL

|                        | Loans and advances |                  |               |                   |
|------------------------|--------------------|------------------|---------------|-------------------|
|                        | Term loans         | Overdraft        | Onlending     | Total             |
| A                      | 2,796,514          | 485,901          | 5,338         | 3,287,753         |
| AA                     | 475,419            | 130,216          | -             | 605,635           |
| B                      | 1,008,325          | 36,466           | 107           | 1,044,898         |
| BB                     | 5,988,959          | 367,498          | 24,926        | 6,381,383         |
| BBB                    | 30,335             | 11,857           | -             | 42,192            |
| CC                     | -                  | -                | -             | -                 |
| CCC                    | -                  | -                | -             | -                 |
| Below C                | -                  | -                | -             | -                 |
| Unrated                | 35,787             | 31,488           | -             | 67,275            |
| Gross amount           | 10,335,339         | 1,063,426        | 30,371        | 11,429,136        |
| ECL-Impairment         | (60,502)           | (8,503)          | (399)         | (69,404)          |
| <b>Carrying amount</b> | <b>10,274,837</b>  | <b>1,054,923</b> | <b>29,972</b> | <b>11,359,732</b> |

#### Bank

30 June 2026

Credit rating - 12 month ECL: All financial assets excluding loans and advances

#### In millions of naira

|                         | Balances with Treasury bills<br>central bank | Assets pledged<br>as collateral | Due from other<br>banks | Investment<br>securities | Derivative<br>Asset -Non<br>Hedging<br>Instrument | Other financial<br>assets |
|-------------------------|----------------------------------------------|---------------------------------|-------------------------|--------------------------|---------------------------------------------------|---------------------------|
| AAA to A                | 5,754,175                                    | 4,128,279                       | 90,166                  | 1,054,170                | 1,790,292                                         | -                         |
| BBB to BB               | -                                            | -                               | -                       | 611,044                  | 287,659                                           | 2,665                     |
| CCC to C                | -                                            | -                               | -                       | -                        | 747                                               | -                         |
| Unrated                 | -                                            | -                               | -                       | 4,278                    | -                                                 | 119,258                   |
| <b>Gross amount</b>     | <b>5,754,175</b>                             | <b>4,128,279</b>                | <b>90,166</b>           | <b>1,669,492</b>         | <b>2,077,951</b>                                  | <b>3,412</b>              |
| <b>ECL - impairment</b> | <b>-</b>                                     | <b>(163)</b>                    | <b>(4)</b>              | <b>(28)</b>              | <b>(650)</b>                                      | <b>-</b>                  |
| <b>Carrying amount</b>  | <b>5,754,175</b>                             | <b>4,128,116</b>                | <b>90,162</b>           | <b>1,669,464</b>         | <b>2,077,301</b>                                  | <b>3,412</b>              |

|                                       | Loans and Advances |                |               |                  |
|---------------------------------------|--------------------|----------------|---------------|------------------|
|                                       | Term loans         | Overdraft      | Onlending     | Total            |
| 12 months ECL                         | 8,347,593          | 716,691        | 30,371        | 9,094,655        |
| Lifetime ECL not credit impaired      | 399,166            | 76,805         | 1,692         | 477,663          |
| Lifetime ECL credit impaired          | 348,040            | 138,707        | 5,707         | 492,454          |
| Gross loans and advances              | 9,094,799          | 932,203        | 37,770        | 10,064,772       |
| <b>Less allowances for impairment</b> |                    |                |               |                  |
| 12 - months ECL                       | (45,887)           | (4,482)        | (399)         | (50,768)         |
| Lifetime ECL not credit impaired      | (4,620)            | (1,642)        | (1)           | (6,263)          |
| Lifetime ECL credit impaired          | (304,145)          | (118,080)      | (5,707)       | (427,932)        |
| Total allowances for impairment       | (354,652)          | (124,204)      | (6,107)       | (484,963)        |
| <b>Net loans and advances</b>         | <b>8,740,147</b>   | <b>807,999</b> | <b>31,663</b> | <b>9,579,809</b> |



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

|                        | Loans and advances |                |               |                  |
|------------------------|--------------------|----------------|---------------|------------------|
|                        | Term loan          | Onlending      | Overdraft     | Total            |
| A                      | 2,168,615          | 228,468        | 5,338         | 2,402,421        |
| AA                     | 475,378            | 130,061        | -             | 605,439          |
| BB                     | 30,483             | 12,310         | 107           | 42,900           |
| BBB                    | 5,673,117          | 345,851        | 24,926        | 6,043,894        |
| C                      | -                  | -              | -             | -                |
| CC                     | -                  | -              | -             | -                |
| CCC                    | -                  | -              | -             | -                |
| Below C                | -                  | -              | -             | -                |
| UNRATED                | -                  | -              | -             | -                |
| Gross amount           | 8,347,593          | 716,690        | 30,371        | 9,094,654        |
| ECL-Impairment         | (45,887)           | (4,482)        | (399)         | (50,768)         |
| <b>Carrying amount</b> | <b>8,301,706</b>   | <b>712,208</b> | <b>29,972</b> | <b>9,043,886</b> |

#### Group

31 December 2025

Credit rating: All financial assets with credit exposure excluding loans and advances

In millions of naira

in millions of euro

|                         | Balances with Treasury bills |                  | Assets pledged | Due from other   | Investment       | Other financial |
|-------------------------|------------------------------|------------------|----------------|------------------|------------------|-----------------|
|                         | central bank                 |                  | as collateral  | banks            | securities       | assets          |
| AAA to A                | 5,805,882                    | 3,893,794        | 115,531        | 2,345,535        | 3,448,677        | 5,049           |
| BBB to B                | 867,486                      | 769,086          | -              | 251,213          | 974,731          | 169,243         |
| CCC to C                | -                            | -                | -              | -                | 34               | -               |
| Unrated                 | -                            | -                | -              | 124,951          | -                | 350,827         |
| <b>Gross amount</b>     | <b>6,673,368</b>             | <b>4,662,880</b> | <b>115,531</b> | <b>2,721,699</b> | <b>4,423,442</b> | <b>525,119</b>  |
| <b>ECL - impairment</b> | <b>-</b>                     | <b>(67)</b>      | <b>(6)</b>     | <b>(26)</b>      | <b>(5,196)</b>   | <b>(17,918)</b> |
| <b>Carrying amount</b>  | <b>6,673,368</b>             | <b>4,662,813</b> | <b>115,525</b> | <b>2,721,673</b> | <b>4,418,246</b> | <b>507,201</b>  |

In millions of Naira

|                                       | Loans and Advances |                  |               |                   |
|---------------------------------------|--------------------|------------------|---------------|-------------------|
|                                       | Term loan          | Overdraft        | Onlending     | Total             |
| 12 months ECL                         | 8,641,037          | 1,120,099        | 34,563        | 9,795,699         |
| Lifetime ECL not credit impaired      | 708,254            | 130,985          | 6,519         | 845,758           |
| Lifetime ECL credit impaired          | 283,305            | 139,099          | 4             | 422,408           |
| Gross loans and advances              | 9,632,596          | 1,390,183        | 41,086        | 11,063,865        |
| <b>Less allowances for impairment</b> |                    |                  |               |                   |
| 12 - months ECL                       | 67,327             | 10,951           | 719           | 78,997            |
| Lifetime ECL not credit impaired      | 154,368            | 64,893           | 409           | 219,670           |
| Lifetime ECL credit impaired          | 201,030            | 115,217          | 2             | 316,249           |
| Total allowances for impairment       | 422,725            | 191,061          | 1,130         | 614,916           |
| <b>Net loans and advances</b>         | <b>9,209,871</b>   | <b>1,199,122</b> | <b>39,956</b> | <b>10,448,949</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Credit rating for loans and advances with 12 month ECL

|                        | Loans and advances |                  |               |                  |
|------------------------|--------------------|------------------|---------------|------------------|
|                        | Term loan          | Overdraft        | Onlending     | Total            |
| A                      | 1,668,558          | 197,452          | 6,066         | 1,872,076        |
| AA                     | 935,205            | 283,984          | -             | 1,219,189        |
| B                      | 1,044,371          | 15,567           | -             | 1,059,938        |
| BB                     | 4,304,831          | 385,780          | 28,498        | 4,719,109        |
| BBB                    | 23,719             | 4,298            | -             | 28,017           |
| C                      | -                  | -                | -             | -                |
| CC                     | -                  | -                | -             | -                |
| CCC                    | -                  | -                | -             | -                |
| Below C                | -                  | -                | -             | -                |
| Unrated                | 664,353            | 233,018          | -             | 897,371          |
| Gross amount           | 8,641,037          | 1,120,099        | 34,564        | 9,795,700        |
| ECL-Impairment         | (67,327)           | (10,951)         | (719)         | (78,997)         |
| <b>Carrying amount</b> | <b>8,573,710</b>   | <b>1,109,148</b> | <b>33,845</b> | <b>9,716,703</b> |

#### Bank

31 December 2025

Credit rating - 12 month ECL: All financial assets excluding loans and advances

In millions of naira

|                         | Balances with Treasury bills<br>central bank | Assets pledged<br>as collateral | Due from other<br>banks | Investment<br>securities | Other financial<br>assets |
|-------------------------|----------------------------------------------|---------------------------------|-------------------------|--------------------------|---------------------------|
| AAA to A                | 5,794,905                                    | 3,893,795                       | 94,483                  | 1,744,673                | 1,655,847                 |
| BBB to BB               | -                                            | -                               | -                       | 700,759                  | 268,184                   |
| CCC to C                | -                                            | -                               | -                       | -                        | -                         |
| Unrated                 | -                                            | -                               | -                       | 4,974                    | -                         |
| <b>Gross amount</b>     | <b>5,794,905</b>                             | <b>3,893,795</b>                | <b>94,483</b>           | <b>2,450,406</b>         | <b>1,924,031</b>          |
| <b>ECL - impairment</b> | <b>-</b>                                     | <b>(66)</b>                     | <b>(6)</b>              | <b>(25)</b>              | <b>(1,479)</b>            |
| <b>Carrying amount</b>  | <b>5,794,905</b>                             | <b>3,893,729</b>                | <b>94,477</b>           | <b>2,450,381</b>         | <b>1,922,552</b>          |

#### In millions of Naira

|                                       | Loans and Advances |                |               |                  |
|---------------------------------------|--------------------|----------------|---------------|------------------|
|                                       | Term loans         | Overdraft      | Onlending     | Total            |
| 12 months ECL                         | 6,766,745          | 856,697        | 34,563        | 7,658,006        |
| Lifetime ECL not credit impaired      | 626,614            | 115,833        | 6,519         | 748,966          |
| Lifetime ECL credit impaired          | 206,196            | 129,426        | 4             | 335,626          |
| Gross loans and advances              | 7,599,555          | 1,101,956      | 41,087        | 8,742,598        |
| <b>Less allowances for impairment</b> |                    |                |               |                  |
| 12 - months ECL                       | (47,256)           | (4,579)        | (719)         | (52,554)         |
| Lifetime ECL not credit impaired      | (153,034)          | (64,704)       | (409)         | (218,146)        |
| Lifetime ECL credit impaired          | (190,188)          | (114,363)      | (2)           | (304,553)        |
| Total allowances for impairment       | (390,478)          | (183,646)      | (1,129)       | (575,253)        |
| <b>Net loans and advances</b>         | <b>7,209,077</b>   | <b>918,310</b> | <b>39,958</b> | <b>8,167,345</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

|                        | Loans and advances |                |               |                  |
|------------------------|--------------------|----------------|---------------|------------------|
|                        | Term loan          | Ovrdraft       | On-lending    | Total            |
| A                      | 1,668,558          | 197,452        | 6,066         | 1,872,076        |
| AA                     | 935,134            | 283,984        | -             | 1,219,118        |
| BB                     | 152,309            | 14,300         | -             | 166,609          |
| BBB                    | 4,010,744          | 360,961        | 28,498        | 4,400,203        |
| C                      | -                  | -              | -             | -                |
| CC                     | -                  | -              | -             | -                |
| CCC                    | -                  | -              | -             | -                |
| Below C                | -                  | -              | -             | -                |
| Unrated                | -                  | -              | -             | -                |
| Gross amount           | 6,766,745          | 856,697        | 34,564        | 7,658,006        |
| ECL-Impairment         | (47,256)           | (4,579)        | (719)         | (52,554)         |
| <b>Carrying amount</b> | <b>6,719,489</b>   | <b>852,118</b> | <b>33,845</b> | <b>7,605,452</b> |

#### Credit rating for loans and advances with 12 month ECL

#### 3.2.10 Amounts Arising from ECL

For inputs, assumptions and techniques used for estimating impairment see accounting policy in note 2.7

#### 3.2.11 Amounts arising from ECL

| Corporate exposures                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Retail exposures                                                                                                                                                                                                                                                                     | All exposures                                                                                                                                                                                                                                                                                                                                  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>– Information obtained during periodic review of customer files – e.g. audited financial statements, management accounts, budgets and projections. Examples of areas of particular focus are: gross profit margins, financial leverage ratios, debt service coverage, compliance with covenants, quality of management, senior management changes</li> <li>– Data from credit reference agencies, press articles, changes in external credit ratings</li> <li>– Quoted bond and credit default swap (CDS) prices for the borrower where available</li> <li>– Actual and expected significant changes in the political, regulatory and technological environment of the borrower or in its business activities</li> </ul> | <ul style="list-style-type: none"> <li>– Internally collected data on customer behaviour – e.g. utilisation of credit card facilities</li> <li>– Affordability metrics</li> <li>– External data from credit reference agencies, including industry-standard credit scores</li> </ul> | <ul style="list-style-type: none"> <li>– Payment record – this includes overdue status as well as a range of variables about payment ratios</li> <li>– Utilisation of the granted limit</li> <li>– Requests for and granting of forbearance</li> <li>– Existing and forecast changes in business, financial and economic conditions</li> </ul> |

The Group allocates each exposure to a credit risk grade based on a variety of data that is determined to be predictive of the risk of default and applying experienced credit judgement. Credit risk grades are defined using qualitative and quantitative factors that are indicative of risk of default. These factors vary depending on the nature of the exposure and the type of borrower.

Credit risk grades are defined and calibrated such that the risk of default occurring increases exponentially as the credit risk deteriorates so, for example, the difference in risk of default between credit risk grades 1 and 2 is smaller than the difference between credit risk grades 2 and 3.

Each exposure is allocated to a credit risk grade at initial recognition based on available information about the borrower. Exposures are subject to ongoing monitoring, which may result in an exposure being moved to a different credit risk grade.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

#### 3.2.12 Internal portfolio segmentation

Credit risk grades are a primary input into the determination of the term structure of PD for exposures. The Group collects performance and default information about its credit risk exposures analysed by jurisdiction or region and by type of product and borrower as well as by credit risk grading. For some portfolios, information purchased from external credit reference agencies is also used. The credit risk grades are reviewed quarterly.

The Group employs statistical models to analyse the data collected and generates estimates of the remaining lifetime PD of exposures and how these are expected to change as a result of the passage of time.

This analysis includes the identification and calibration of relationships between changes in default rates and changes in key macro-economic factors as well as in-depth analysis of the impact of certain other factors (e.g. forbearance experience) on the risk of default. For most exposures, key macro-economic indicators include: GDP growth, benchmark interest rates and inflation. For exposures to specific industries and/or regions, the analysis may extend to relevant commodity and/or real estate prices.

Based on advice from the Group Risk Committee and economic experts and consideration of a variety of external actual and forecast information, the Group formulates a 'base case' view of the future direction of relevant economic variables as well as a representative range of other possible forecast scenarios (see discussion below on incorporation of forward-looking information). The Group then uses these forecasts to adjust its estimates of PDs.

In determining the ECL for other assets, the Group applies the simplified model to estimate ECLs, adopting a provision matrix, where the receivables are grouped based on the nature of the transactions, aging of the balances and different historical loss patterns, to determine the lifetime ECLs. Receivables relate to amounts due for the provision of services to the Banks' customers. The provision matrix estimates ECLs on the basis of historical default rates, adjusted for current and future economic conditions (expected changes in default rates) without undue cost and effort.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

#### 3.2.13 Significant increase in credit risk

##### Significant increase in credit risk

At each reporting date, the Group assesses whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the remaining expected life from the reporting date and the date of initial recognition. The criteria for determining whether credit risk has increased significantly depends on quantitative, qualitative as well as backstop indicators. The credit risk of a particular exposure is deemed to have increased significantly since initial recognition if, based on the Group's quantitative modelling, the credit rating is determined to have deteriorated since initial recognition by more than a predetermined range. This in turn increases the probability of default of these facilities as a lifetime ECL is now used in estimating ECL. Using its expert credit judgement and, where possible, relevant historical experience, the Group may determine that an exposure has experienced a significant increase in credit risk based on particular qualitative indicators that it considers are indicative of such and whose effect may not otherwise be fully reflected in its quantitative analysis on a timely basis.

The Bank has implemented systems designed to accurately compute DPD for its credit facilities based on relevant facility-level inputs, including contractual payment due dates and payments received. The system-generated DPDs are subject to periodic review in line with the Bank's established internal control processes, during which exceptions are identified, investigated and corrected as necessary to ensure the accuracy and reliability of DPD information used in assessing significant increases in credit risk.

As a backstop, the Group considers that a significant increase in credit risk occurs no later than when an asset is more than 30 days past due. Days past due are determined by counting the number of days since the earliest elapsed due date in respect of which full payment has not been received. Due dates are determined without considering any grace period that might be available to the borrower.

If there is evidence that there is no longer a significant increase in credit risk relative to initial recognition, then the loss allowance on an instrument returns to being measured as 12-month ECL. Some qualitative indicators of an increase in credit risk, such as delinquency or forbearance, may be indicative of an increased risk of default that persists after the indicator itself has ceased to exist. In these cases, the Group determines a probation period during which the financial asset is required to demonstrate good behaviour to provide evidence that its credit risk has declined sufficiently. When contractual terms of a loan have been modified, evidence that the criteria for recognising lifetime ECL are no longer met includes a history of up-to-date payment performance against the modified contractual terms.

Generally, facilities with loss allowances being measured as Life-time ECL not credit impaired (Stage 2) are monitored for a probationary period of 90 days to confirm if the credit risk has decreased sufficiently before they can be migrated from Life-time ECL not credit impaired (Stage 2) to 12-month ECL (Stage 1) while credit-impaired facilities (Stage 3) are monitored for a probationary period of 180 days before migration from Stage 3 to 12-month ECL (Stage 1).

The Group monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews (quarterly) to confirm that:

- the criteria are capable of identifying significant increases in credit risk before an exposure is in default;
- the criteria do not align with the point in time when an asset becomes 30 days past due; and
- there is no unwarranted volatility in loss allowance from transfers between 12-month PD (stage 1) and lifetime PD (stage 2).

#### 3.2.14 Modified financial assets

The contractual terms of a financial asset may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognised and the renegotiated loan recognised as a new loan at fair value in accordance with the accounting policy set out in the accounting policy.

The Group renegotiates loans to customers in financial difficulties (referred to as 'forbearance activities') to maximise collection opportunities and minimise the risk of default. Under the Group's forbearance policy, loan forbearance is granted on a selective basis if the debtor is currently in default on its debt or if there is a high risk of default, there is evidence that the debtor made all reasonable efforts to pay under the original contractual terms and the debtor is expected to be able to meet the revised terms.

The revised terms usually include extending the maturity, changing the timing of interest payments and amending the terms of loan covenants. Both retail and corporate loans are subject to the forbearance policy. The Group Audit Committee regularly reviews reports on forbearance activities.

For financial assets modified as part of the Group's forbearance policy, the estimate of PD reflects whether the modification has improved or restored the Group's ability to collect interest and principal and the Group's previous experience of similar forbearance action. As part of this process, the Group evaluates the borrower's payment performance against the modified contractual terms and considers various behavioural indicators.

Generally, forbearance is a qualitative indicator of a significant increase in credit risk and an expectation of forbearance may constitute evidence that an exposure is credit-impaired/in default. A customer needs to demonstrate consistently good payment behaviour over a period of time before the exposure is no longer considered to be credit-impaired/in default or the PD is considered to have decreased such that the loss allowance reverts to being measured at an amount equal to 12-month ECL.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 3.2.15 Definition of default

The Group considers a financial asset to be in default when;

- the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the borrower is past due more than 90 days on any material credit obligation to the Group. Overdrafts are considered as being past due once the customer has breached an advised limit or has been advised of a limit smaller than the current amount outstanding. In assessing whether a borrower is in default, the Group considers indicators that are:
  - \* qualitative - e.g. breaches of covenant;
  - \* quantitative - e.g. overdue status and non-payment on another obligation of the same issuer to the Group; and
  - \* based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

The definition of default largely aligns with that applied by the Group for regulatory purposes except where there is regulatory waiver on specifically identified loans and advances.

#### 3.2.16 Incorporation of forward-looking information

The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. Based on advice from the Group Risk Committee and economic experts and consideration of a variety of external actual and forecast information, the Group formulates a 'base case' view of the future direction of relevant economic variables as well as a representative range of other possible forecast scenarios. This process involves developing two or more additional economic scenarios and considering the relative probabilities of each outcome. External information includes economic data and forecasts published by governmental bodies and monetary authorities in the countries where the Group operates, supranational organisations such as the OECD and the International Monetary Fund, and selected private-sector and academic forecasters.

The base case represents a most-likely outcome while the other scenarios represent more optimistic and more pessimistic outcomes. Periodically, the Group carries out stress testing of more extreme shocks to calibrate its determination of these other representative scenarios.

The Group has identified and documented key drivers of credit risk and credit losses for its financial assets and, using an analysis of historical data, has estimated relationships between macro-economic variables and sectorial historical loan performance. Some of the macroeconomic variables considered include Crude Oil price, Foreign Exchange rate, GDP growth rate, Prime Lending Rate, Inflation rate, Monetary policy rate and Crude production. However from the statistical analysis of the various macroeconomic variables, the result infers that the key drivers vary across the different sectors. The macro economic variables used across the different sectors are as follows:

| Sectors                                                                                                                                                                                                           | Key Drivers                                  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|
| Oil and gas portfolio, Power & energy sector portfolio                                                                                                                                                            | GDP, Prime Lending Rate and Crude production |
| Manufacturing sector portfolio, Real Estate & Construction sector portfolio, Finance & Insurance sector portfolio, Government sector portfolio, Communication sector portfolio, General Commerce sector portfolio | Exchange Rate and crude production           |
| Agriculture sector portfolio, Consumer Credit sector portfolio, Transportation sector portfolio, Education sector portfolio                                                                                       | Inflation rate and Exchange rate             |

The Group has identified and documented key drivers of credit risk and credit losses for its financial assets and, using an analysis of historical data, has estimated relationships between macro-economic variables and its non-performing loans.

-The Group has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses.

Some of the macroeconomic variables considered include Crude Oil price, Foreign Exchange rate, GDP growth rate and Inflation rate. However from the statistical analysis of the various macroeconomic variables, the result infers that the key drivers for its portfolios are inflation rate and foreign exchange rate.

The key drivers for credit risk for non-retail portfolios are: Crude oil price and foreign exchange rate. For exposures to specific industries and/or regions, the key drivers also include relevant commodity. The key drivers for credit risk for retail portfolios are: Crude oil price and foreign exchange rate.

The economic scenarios used as at 30 June 2026 included the following key indicators for Nigeria for the years ending 31 December 2027 to 2030.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

|                                                                                                      | 2026                                               | 2027                                               | 2028                                               | 2029                                               | 2030                                               |
|------------------------------------------------------------------------------------------------------|----------------------------------------------------|----------------------------------------------------|----------------------------------------------------|----------------------------------------------------|----------------------------------------------------|
| Gross Domestic Product (GDP)                                                                         | Base 4.10<br>Upturn 4.15<br>Downturn 4.05          | Base 4.30<br>Upturn 4.35<br>Downturn 4.25          | Base 4.10<br>Upturn 4.15<br>Downturn 4.05          | Base 4.20<br>Upturn 4.25<br>Downturn 4.15          | Base 4.20<br>Upturn 4.25<br>Downturn 4.15          |
| Inflation rate (%)                                                                                   | Base 16.90<br>Upturn 16.76<br>Downturn 17.04       | Base 16.28<br>Upturn 16.13<br>Downturn 16.42       | Base 16.20<br>Upturn 16.06<br>Downturn 16.34       | Base 16.20<br>Upturn 16.06<br>Downturn 16.34       | Base 16.20<br>Upturn 16.06<br>Downturn 16.34       |
| Prime lending rate (%)                                                                               | Base 19.06<br>Upturn 18.97<br>Downturn 19.15       | Base 18.56<br>Upturn 18.47<br>Downturn 18.65       | Base 18.56<br>Upturn 18.47<br>Downturn 18.65       | Base 18.56<br>Upturn 18.47<br>Downturn 18.65       | Base 18.56<br>Upturn 18.47<br>Downturn 18.65       |
| Exchange rate (NGN/USD)                                                                              | Base 1371.00<br>Upturn 1367.77<br>Downturn 1374.23 | Base 1356.50<br>Upturn 1353.27<br>Downturn 1359.73 | Base 1355.00<br>Upturn 1351.77<br>Downturn 1358.23 | Base 1355.00<br>Upturn 1351.77<br>Downturn 1358.23 | Base 1355.00<br>Upturn 1351.77<br>Downturn 1358.23 |
| Crude Oil Production (Million Barrels per day-mbpd)                                                  | Base 1.585<br>Upturn 1.588<br>Downturn 1.582       | Base 1.588<br>Upturn 1.590<br>Downturn 1.585       | Base 1.590<br>Upturn 1.593<br>Downturn 1.587       | Base 1.590<br>Upturn 1.593<br>Downturn 1.587       | Base 1.590<br>Upturn 1.593<br>Downturn 1.587       |
| Disclosure of estimates for a total of five periods that may have a material impact on ECL estimates |                                                    |                                                    |                                                    |                                                    |                                                    |

Predicted relationships between the historical loan performance of the Bank's portfolio and the macroeconomic variables have been developed by analysing historical data over the past five years. The result of this analysis in addition to a 5-year forecast was used to determine the scalars used in adjusting ECL.

The weightings assigned to each economic scenario as at 30 June 2026 were as follows:

|                                                                      | Base | Upturn | Downturn |
|----------------------------------------------------------------------|------|--------|----------|
| Corporate portfolio, retail portfolio                                | 38%  | 34%    | 27%      |
| Investment securities and placements, Treasury Bills, Assets pledged | 27%  | 34%    | 38%      |

#### 3.2.17 Measurement of ECL

The key inputs into the measurement of ECL of financial assets (treasury bills, assets pledged as collateral, due from other banks, loans and advances and investment securities) are the term structure of the following variables:

- probability of default (PD);
- loss given default (LGD)
- exposure at default (EAD)

ECL for exposures in stage 1 (12-months ECL) is calculated by multiplying the 12-months PD by LGD and EAD. Lifetime ECL is calculated by multiplying the lifetime PD by LGD and EAD.

These parameters are generally derived from internally developed statistical models and other historical data and they are adjusted to reflect forward-looking information as described above.

PD is an estimate of the likelihood of default over a given time horizon, which are calculated based on statistical rating models, and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on internally compiled data comprising both quantitative and qualitative factors. Where it is available, market data may also be used to derive the PD for large corporate counterparties. If a counterparty or exposure migrates between rating classes, then this will lead to a change in the estimate of the associated PD. The methodology of estimating PD is discussed in note 3.2.12.

LGD is the magnitude of the likely loss if there is a default. The Group estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. LGD estimates are recalibrated for different economic scenarios and, for lending, to reflect possible changes in the economies. They are calculated on a discounted cash flow basis using the effective interest rate as the discount.

EAD represents the expected exposure in the event of a default. The Group derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract including amortisation. The EAD of a financial asset is its gross carrying amount at the time of default. For lending commitments, the EAD includes the amount drawn, as well as potential future amounts that may be drawn under the contract, which are estimated based on historical observations and forward-looking forecasts. For financial guarantees, the EAD represents the amount of the guaranteed exposure when the financial guarantee becomes payable. For some financial assets, EAD is determined by modelling the range of possible exposure outcomes at various points in time using scenario and statistical techniques.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

As described above, and subject to using a maximum of a 12-month PD for financial assets for which credit risk has not significantly increased, the Group measures ECL considering the risk of default over the maximum contractual period (including any borrower's extension options) over which it is exposed to credit risk, even if, for risk management purposes, the Group considers a longer period. The maximum contractual period extends to the date at which the Group has the right to require repayment of an advance or terminate a loan commitment or guarantee.

For overdrafts and revolving facilities that include both a loan and an undrawn commitment component, the Group measures ECL over a period longer than the maximum contractual period if the Group's contractual ability to demand repayment and cancel the undrawn commitment does not limit the Group's exposure to credit losses to the contractual notice period. These facilities do not have a fixed term or repayment structure and are managed on a collective basis. The Group can cancel them with immediate effect but this contractual right is not enforced in the normal day-to-day management, but only when the Group becomes aware of an increase in credit risk at the facility level. This longer period is estimated by taking into account the credit risk management actions that the Group expects to take and that serve to mitigate ECL. These include a reduction in limits, cancellation of the facility and/or turning the outstanding balance into a loan with fixed repayment terms.

Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics that include:

- instrument type
- credit risk gradings
- collateral type
- Past due information
- date of initial recognition
- remaining term to maturity
- industry
- geographic location of the borrower

The groupings are subject to regular review to ensure that exposures within a particular group remain appropriately homogeneous.



## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 3.2.18(a) Loss allowance

The following tables show reconciliations from the opening to the closing balance of the loss allowance by class of financial instrument. Comparative amounts for 2025 represent allowance account for credit losses and reflect measurement basis under IFRS 9.

#### Group

|                                            | 30 June 2026 | 31 December 2025 |
|--------------------------------------------|--------------|------------------|
| In millions of naira                       | 12-month ECL | 12-month ECL     |
| <b>Treasury bills at amortised cost</b>    |              |                  |
| Balance at 1 January                       | 67           | 38               |
| Impairment Charge/(writeback) (see note 8) | 98           | 29               |
| Foreign exchange and other movements       | -            | -                |
| <b>Closing balance</b>                     | <b>165</b>   | <b>67</b>        |
| Gross amount                               | 2,957,240    | 4,232,669        |

|                                                              | 30 June 2026  |                                         |                                     |               | 31 December 2025 |                                         |                                     |               |
|--------------------------------------------------------------|---------------|-----------------------------------------|-------------------------------------|---------------|------------------|-----------------------------------------|-------------------------------------|---------------|
| In millions of naira                                         | 12-month ECL  | Lifetime ECL<br>not credit-<br>impaired | Lifetime ECL<br>credit-<br>impaired | Total         | 12-month<br>ECL  | Lifetime ECL<br>not credit-<br>impaired | Lifetime ECL<br>credit-<br>impaired | Total         |
| <b>Off balance sheet exposure<br/>(Financial Guarantees)</b> |               |                                         |                                     |               |                  |                                         |                                     |               |
| Balance at 1 January                                         | 10,553        | 4                                       | 262                                 | 10,819        | 48,879           | 384                                     | 4,844                               | 54,107        |
| Impairment/(writeback) (see note 8)                          | 10,757        | 964                                     | 1,466                               | 13,187        | (40,018)         | (376)                                   | (4,582)                             | (44,976)      |
| Effect of Hyperinflation                                     |               |                                         |                                     |               | 276              |                                         |                                     | 276           |
| Foreign exchange and other movements                         | (769)         | -                                       | -                                   | (769)         | 1,416            | (4)                                     | -                                   | 1,412         |
| <b>Closing balance</b>                                       | <b>20,541</b> | <b>968</b>                              | <b>1,728</b>                        | <b>23,237</b> | <b>10,553</b>    | <b>4</b>                                | <b>262</b>                          | <b>10,819</b> |
| Gross amount                                                 | 6,295,296     | 140,057                                 | 85,051                              | 6,520,404     | 4,822,669        | 67,312                                  | 70,961                              | 4,960,942     |

|                                                       | 30 June 2026 | 31 December 2025 |
|-------------------------------------------------------|--------------|------------------|
| In millions of naira                                  | 12-month ECL | 12-month ECL     |
| <b>Assets pledged as collateral at amortised cost</b> |              |                  |
| Balance at 1 January                                  | 6            | 11               |
| Impairment Charge/(writeback) (see note 8)            | (2)          | (6)              |
| <b>Closing Balance</b>                                | <b>4</b>     | <b>5</b>         |
| Gross amount                                          | 128,144      | 115,531          |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

| In millions of naira                                     | 30 June 2026  |                                  |                              |                | 31 December 2025 |                                  |                              |                |
|----------------------------------------------------------|---------------|----------------------------------|------------------------------|----------------|------------------|----------------------------------|------------------------------|----------------|
|                                                          | 12-month ECL  | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Total          | 12-month ECL     | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Total          |
| <b>Loans and advances to customers at amortised cost</b> |               |                                  |                              |                |                  |                                  |                              |                |
| Balance at 1 January                                     | 79,021        | 219,644                          | 316,249                      | 614,914        | 151,362          | 635,752                          | 241,338                      | 1,028,452      |
| - Transfer to 12-month ECL                               | 11,084        | (6,045)                          | (5,039)                      | -              | 336,303          | (335,397)                        | (906)                        | -              |
| - Transfer to lifetime ECL not credit-impaired           | (563)         | 2,329                            | (1,766)                      | -              | (3,452)          | 5,561                            | (2,109)                      | -              |
| - Transfer to lifetime ECL credit-impaired               | (7,685)       | (158,879)                        | 166,564                      | -              | (11,608)         | (76,679)                         | 88,287                       | -              |
| Impairment charge/(write back) (see note 8)              | (20,736)      | (51,081)                         | 201,175                      | 129,358        | (395,006)        | (9,264)                          | 1,247,687                    | 843,417        |
| Write off                                                | -             | -                                | (222,474)                    | (222,474)      | -                | -                                | (1,242,738)                  | (1,242,738)    |
| Effect of Hyperinflation                                 | -             | -                                | -                            | -              | (55)             | -                                | -                            | (55)           |
| Foreign exchange and other movements                     | 8,282         | 323                              | (6,394)                      | 2,211          | 1,477            | (329)                            | (15,310)                     | (14,162)       |
| <b>Closing balance</b>                                   | <b>69,403</b> | <b>6,291</b>                     | <b>448,315</b>               | <b>524,009</b> | <b>79,021</b>    | <b>219,644</b>                   | <b>316,249</b>               | <b>614,914</b> |
| Gross amount                                             | 11,464,402    | 489,090                          | 618,883                      | 12,572,373     | 9,795,699        | 845,759                          | 422,408                      | 11,063,866     |

| In millions of naira                                                      | 30 June 2026 |                                  |                              |                          |              | 31 December 2025 |                                  |                              |                          |              |
|---------------------------------------------------------------------------|--------------|----------------------------------|------------------------------|--------------------------|--------------|------------------|----------------------------------|------------------------------|--------------------------|--------------|
|                                                                           | 12-month ECL | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Purchase credit impaired | Total        | 12-month ECL     | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Purchase credit impaired | Total        |
| <b>Investment securities at amortised cost and fair value through OCI</b> |              |                                  |                              |                          |              |                  |                                  |                              |                          |              |
| Balance at 1 January                                                      | 5,196        | 2,544                            | -                            | -                        | 7,740        | 1,646            | 2,057                            | 14,475                       | -                        | 18,178       |
| Transfer to lifetime ECL not credit-impaired                              | -            | -                                | -                            | -                        | -            | -                | 4,167                            | (4,167)                      | -                        | -            |
| Impairment Charge/(writeback) (see note 8)                                | (2,405)      | (2,141)                          | -                            | -                        | (4,546)      | 1,102            | (9,245)                          | (2,040)                      | -                        | (10,183)     |
| Foreign exchange and other movements                                      | (73)         | 312                              | -                            | -                        | 239          | 2,448            | 5,565                            | (8,268)                      | -                        | (255)        |
| <b>Closing balance</b>                                                    | <b>2,718</b> | <b>715</b>                       | <b>-</b>                     | <b>-</b>                 | <b>3,433</b> | <b>5,196</b>     | <b>2,544</b>                     | <b>-</b>                     | <b>-</b>                 | <b>7,740</b> |
| Gross amount                                                              | 4,819,818    | 52,771                           | -                            | 111,383                  | 4,983,972    | 4,423,442        | 58,947                           | 525,694                      | -                        | 5,008,083    |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

| In millions of naira                          | 30 June 2026                                      |               |                                                      | 31 December 2025 |                                                          |
|-----------------------------------------------|---------------------------------------------------|---------------|------------------------------------------------------|------------------|----------------------------------------------------------|
|                                               | Simplified<br>Lifetime ECL not<br>credit impaired | 12 months ECL | General Approach<br>Lifetime ECL credit-<br>impaired | Total            | General Approach<br>Lifetime ECL not credit-<br>impaired |
| <b>Other financial assets</b>                 |                                                   |               |                                                      |                  |                                                          |
| Balance at 1 January                          | 17,918                                            | -             | -                                                    | 17,918           | 51,443                                                   |
| Impairment Charge/(writeback) (see<br>note 8) | (1,243)                                           | -             | 4,445                                                | 3,202            | (33,530)                                                 |
|                                               | -                                                 | -             | -                                                    | -                | -                                                        |
| Foreign exchange and other<br>movements       | -                                                 | -             | -                                                    | -                | 2                                                        |
| <b>Closing balance</b>                        | <b>16,675</b>                                     | <b>-</b>      | <b>4,445</b>                                         | <b>21,120</b>    | <b>17,915</b>                                            |
| Gross amount subject to simplified ECL        | 520,251                                           | 5,140         | 7,592                                                | 527,843          | 364,327                                                  |

Notes to the Interim Consolidated and Separate Financial Statements  
for the six month period ended 30 June 2026

3. Risk management (continued)

|                                      | 30 June 2026 | 31 December 2025 |
|--------------------------------------|--------------|------------------|
| In millions of naira                 | 12-month ECL | 12-month ECL     |
| <b>Due from other banks</b>          |              |                  |
| Balance at 1 January                 | (26)         | 12,588           |
| Impairment/(writeback) (see note 8)  | (3)          | (12,562)         |
| Foreign exchange and other movements | -            | -                |
| <b>Closing balance</b>               | <b>(29)</b>  | <b>26</b>        |
| Gross amount                         | 2,088,729    | 2,721,700        |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Bank

|                                            | 30 June 2026 | 31 December 2025 |
|--------------------------------------------|--------------|------------------|
| In millions of naira                       | 12-month ECL | 12-month ECL     |
| <b>Treasury bills at amortised cost</b>    |              |                  |
| Balance at 1 January                       | 66           | 38               |
| Impairment Charge/(writeback) (see note 8) | 97           | 28               |
| <b>Closing balance</b>                     | <b>163</b>   | <b>66</b>        |
| Gross amount                               | 2,428,215    | 3,464,155        |

|                                     | 30 June 2026  |                                  |                              |               | 31 December 2025 |                                  |                              |              |
|-------------------------------------|---------------|----------------------------------|------------------------------|---------------|------------------|----------------------------------|------------------------------|--------------|
| In millions of naira                | 12-month ECL  | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Total         | 12-month ECL     | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Total        |
| <b>Off balance sheet exposure</b>   |               |                                  |                              |               |                  |                                  |                              |              |
| Balance at 1 January                | 3,536         | 4                                | 262                          | 3,802         | 42,664           | 379                              | 4,844                        | 47,887       |
| Impairment/(writeback) (see note 8) | 10,276        | 965                              | 1,466                        | 12,707        | (39,128)         | (375)                            | (4,582)                      | (44,085)     |
| <b>Closing balance</b>              | <b>13,812</b> | <b>969</b>                       | <b>1,728</b>                 | <b>16,509</b> | <b>3,536</b>     | <b>4</b>                         | <b>262</b>                   | <b>3,802</b> |
| Gross amount                        | 6,013,717     | 140,057                          | 85,051                       | 6,238,825     | 4,531,643        | 67,312                           | 70,961                       | 4,669,916    |

Notes to the Interim Consolidated and Separate Financial Statements  
for the six month period ended 30 June 2026

3. Risk management (continued)

|                                                        | 30 June 2026 | 31 December 2025 |
|--------------------------------------------------------|--------------|------------------|
| In millions of naira                                   | 12-month ECL | 12-month ECL     |
| <b>Assets pledged as collateral at ammortised cost</b> |              |                  |
| Balance at 1 January                                   | 6            | 11               |
| Impairment Charge/(writeback) (see note 8)             | (2)          | (5)              |
| <b>Closing balance</b>                                 | <b>4</b>     | <b>6</b>         |
| Gross amount                                           | 90,166       | 94,483           |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

| In millions of naira | 30 June 2026 |                                  |                              |       | 31 December 2025 |                                  |                              |       |
|----------------------|--------------|----------------------------------|------------------------------|-------|------------------|----------------------------------|------------------------------|-------|
|                      | 12-month ECL | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Total | 12-month ECL     | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Total |

#### Loans and advances to customers at amortised cost

|                                                |               |              |                |                |               |                |                |                |
|------------------------------------------------|---------------|--------------|----------------|----------------|---------------|----------------|----------------|----------------|
| Balance at 1 January                           | 52,554        | 218,146      | 304,554        | 575,254        | 138,188       | 634,733        | 240,964        | 1,013,885      |
| - Transfer to 12-month ECL                     | 11,061        | (6,022)      | (5,039)        | -              | 336,302       | (335,396)      | (906)          | -              |
| - Transfer to lifetime ECL not credit-impaired | (563)         | 2,329        | (1,766)        | -              | (3,384)       | 5,493          | (2,109)        | -              |
| - Transfer to lifetime ECL credit-impaired     | (18)          | (158,799)    | 158,817        | -              | (396)         | (76,682)       | 77,078         | -              |
| Impairment charge (see note 8)                 | (12,266)      | (49,391)     | 187,242        | 125,585        | (418,156)     | (10,002)       | 1,247,687      | 819,529        |
| Write-offs                                     | -             | -            | (222,476)      | (222,476)      | -             | -              | (1,242,738)    | (1,242,738)    |
| Foreign exchange and other movements           | -             | -            | 6,598          | 6,598          | -             | -              | (15,422)       | (15,422)       |
| <b>Closing balance</b>                         | <b>50,768</b> | <b>6,263</b> | <b>427,930</b> | <b>484,961</b> | <b>52,554</b> | <b>218,146</b> | <b>304,554</b> | <b>575,254</b> |
| Gross amount                                   | 9,094,655     | 477,663      | 492,454        | 10,064,772     | 7,658,006     | 748,966        | 335,626        | 8,742,598      |

| In millions of naira           | 30 June 2026                                |                               |                                               |               | 31 December 2025        |                                                   |                                               |               |
|--------------------------------|---------------------------------------------|-------------------------------|-----------------------------------------------|---------------|-------------------------|---------------------------------------------------|-----------------------------------------------|---------------|
|                                | Simplified Lifetime ECL not credit-impaired | General Approach 12-month ECL | General Approach Lifetime ECL credit-impaired | Total         | Simplified 12-month ECL | General Approach Lifetime ECL not credit-impaired | General Approach Lifetime ECL credit-impaired | Total         |
| <b>Other financial assets</b>  | -                                           | -                             | -                                             | -             | -                       | -                                                 | -                                             | -             |
| Balance at 1 January           | 17,874                                      | -                             | -                                             | 17,874        | -                       | 51,329                                            | -                                             | 51,329        |
| Impairment Charge (see note 8) | (1,309)                                     | 6                             | 4,445                                         | 3,142         | -                       | (33,455)                                          | -                                             | (33,455)      |
| <b>Closing balance</b>         | <b>16,565</b>                               | <b>6</b>                      | <b>4,445</b>                                  | <b>21,016</b> | <b>-</b>                | <b>17,874</b>                                     | <b>-</b>                                      | <b>17,874</b> |
| Gross amount subject to ECL    | 156,963                                     | 5,140                         | 7,592                                         | 169,695       | -                       | 136,915                                           | -                                             | 136,915       |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

| In millions of naira                | 30 June 2026 | 31 December 2025 |
|-------------------------------------|--------------|------------------|
|                                     | 12-month ECL | 12-month ECL     |
| <b>Due from other Banks</b>         |              |                  |
| Balance at 1 January                | 25           | 12,569           |
| Impairment/(writeback) (see note 8) | 3            | (12,544)         |
| <b>Closing balance</b>              | <b>28</b>    | <b>25</b>        |
| Gross amount                        | 1,669,491    | 2,450,406        |

| In millions of naira                                                      | 30 June 2026 |                                  |                              |                          |            | 31 December 2025 |                                  |                              |                          |              |
|---------------------------------------------------------------------------|--------------|----------------------------------|------------------------------|--------------------------|------------|------------------|----------------------------------|------------------------------|--------------------------|--------------|
|                                                                           | 12-month ECL | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Purchase credit impaired | Total      | 12-month ECL     | Lifetime ECL not credit-impaired | Lifetime ECL credit-impaired | Purchase credit impaired | Total        |
| <b>Investment securities at amortised cost and fair value through OCI</b> |              |                                  |                              |                          |            |                  |                                  |                              |                          |              |
| Balance at 1 January                                                      | 1,478        | 33                               | -                            | -                        | 1,511      | 772              | 66                               | 4,167                        | -                        | 5,005        |
| Transfer to lifetime ECL not credit-impaired                              | -            | -                                | -                            | -                        | -          | -                | 4,167                            | (4,167)                      | -                        | -            |
| Impairment                                                                | (829)        | (33)                             | -                            | -                        | (862)      | 706              | (4,200)                          | -                            | -                        | (3,494)      |
| Charge/(writeback)(see note 8)                                            |              | -                                | -                            |                          |            |                  |                                  |                              |                          |              |
|                                                                           |              | -                                | -                            |                          |            |                  |                                  |                              |                          |              |
| Foreign exchange and other movements                                      | -            | -                                | -                            | -                        | -          | -                | -                                | -                            | -                        | -            |
| <b>Closing balance</b>                                                    | <b>649</b>   | <b>-</b>                         | <b>-</b>                     | <b>-</b>                 | <b>649</b> | <b>1,478</b>     | <b>33</b>                        | <b>-</b>                     | <b>-</b>                 | <b>1,511</b> |
| Gross amount                                                              | 2,077,951    | 1,382                            | -                            | 7,246                    | 2,086,579  | 1,924,031        | 1,371                            | -                            | 7,736                    | 1,933,138    |



## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 3.2.18 (b) Significant changes in gross carrying amount

Significant changes in the gross carrying amount of financial assets that contributed to changes in the loss allowance were as follows:

#### Group

| In millions of naira                                                  | 30 June 2026            |                                                    |                                                |                  | 31 December 2025           |                                                    |                                                |                  |
|-----------------------------------------------------------------------|-------------------------|----------------------------------------------------|------------------------------------------------|------------------|----------------------------|----------------------------------------------------|------------------------------------------------|------------------|
|                                                                       | Stage 1<br>12-month ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total            | Stage 1<br>12-month<br>ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total            |
| <b>Treasury bills at amortised cost</b>                               | -                       | -                                                  | -                                              | -                | -                          | -                                                  | -                                              | -                |
| Gross carrying amount at 1 January                                    | 4,232,669               | -                                                  | -                                              | 4,232,669        | 1,022,741                  | -                                                  | -                                              | 1,022,741        |
| Acquired through business combination                                 | 3,743                   | -                                                  | -                                              | 3,743            | -                          | -                                                  | -                                              | -                |
| Financial assets derecognised during the period other than write-offs | (7,779,476)             | -                                                  | -                                              | (7,779,476)      | (4,047,743)                | -                                                  | -                                              | (4,047,743)      |
| Changes in amortised cost value                                       | 265,818                 | -                                                  | -                                              | 265,818          | 594,402                    | -                                                  | -                                              | 594,402          |
| New financial assets originated or purchased                          | 6,321,074               | -                                                  | -                                              | 6,321,074        | 6,608,032                  | -                                                  | -                                              | 6,608,032        |
| Transfer from/(to) pledged asset                                      | (456)                   | -                                                  | -                                              | (456)            | (4,773)                    | -                                                  | -                                              | (4,773)          |
| Foreign exchange and other movements                                  | (86,133)                | -                                                  | -                                              | (86,133)         | 60,010                     | -                                                  | -                                              | 60,010           |
| <b>Closing gross carrying amount</b>                                  | <b>2,957,239</b>        | <b>-</b>                                           | <b>-</b>                                       | <b>2,957,239</b> | <b>4,232,669</b>           | <b>-</b>                                           | <b>-</b>                                       | <b>4,232,669</b> |

Notes to the Interim Consolidated and Separate Financial Statements  
for the six month period ended 30 June 2026

## 3. Risk management (continued)

| In millions of naira                          | 30 June 2026            |                                                    |                                                |                  | 31 December 2025           |                                                    |                                                |                  |
|-----------------------------------------------|-------------------------|----------------------------------------------------|------------------------------------------------|------------------|----------------------------|----------------------------------------------------|------------------------------------------------|------------------|
|                                               | Stage 1<br>12-month ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total            | Stage 1<br>12-month<br>ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total            |
| <b>Off balance sheet exposure</b>             | -                       | -                                                  | -                                              | -                | -                          | -                                                  | -                                              | -                |
| Gross carrying amount at 1 January            | 4,822,668               | 67,316                                             | 70,961                                         | 4,960,945        | 4,829,546                  | 15,325                                             | 13,168                                         | 4,858,039        |
| <i>Transfers:</i>                             |                         |                                                    |                                                |                  |                            |                                                    |                                                |                  |
| Transfer to 12 month ECL                      | 12,993                  | (9,773)                                            | (3,220)                                        | -                | 2,421                      | (594)                                              | (1,827)                                        | -                |
| Transfer to lifetime ECL not credit-impaired  | (80,051)                | 80,748                                             | (697)                                          | -                | (32,509)                   | (139)                                              | 32,648                                         | -                |
| Transfer to lifetime ECL credit-impaired      | (7,947)                 | (25,081)                                           | 33,028                                         | -                | (31,337)                   | 31,703                                             | (366)                                          | -                |
| Acquired through business combination         | 700                     | -                                                  | -                                              | 700              | -                          | -                                                  | -                                              | -                |
| Financial assets derecognised during the year | (2,646,362)             | (31,064)                                           | (35,327)                                       | (2,712,753)      | (3,928,063)                | (14,589)                                           | (10,566)                                       | (3,953,218)      |
| New financial assets originated or purchased  | 4,507,693               | 58,298                                             | 21,017                                         | 4,587,008        | 3,864,606                  | 35,626                                             | 39,562                                         | 3,939,794        |
| Foreign exchange and other movements          | (314,398)               | (387)                                              | (712)                                          | (315,497)        | 118,004                    | (16)                                               | (1,658)                                        | 116,330          |
| <b>Closing gross carrying amount</b>          | <b>6,295,296</b>        | <b>140,057</b>                                     | <b>85,050</b>                                  | <b>6,520,403</b> | <b>4,822,668</b>           | <b>67,316</b>                                      | <b>70,961</b>                                  | <b>4,960,945</b> |

Notes to the Interim Consolidated and Separate Financial Statements  
for the six month period ended 30 June 2026

## 3. Risk management (continued)

|                                                                       | 30 June 2026   | 31 December 2025 |
|-----------------------------------------------------------------------|----------------|------------------|
|                                                                       | <b>Stage 1</b> | <b>Stage 1</b>   |
| In millions of naira                                                  | 12-month ECL   | 12-month ECL     |
| <b>Assets pledged as collateral at amortised cost</b>                 | -              | -                |
| Gross carrying amount at 1 January                                    | 115,531        | 266,877          |
| <i>Transfers:</i>                                                     |                |                  |
| Transfers (from) Investment Securities                                | (1,953)        | -                |
| Transfers from Investment Securities/ Treasury Bills                  | 456            | -                |
| Financial assets derecognised during the period other than write-offs | (4,773)        | (151,443)        |
| Changes in amortised cost value                                       | 1,953          | 638              |
| New financial assets originated or purchased                          | 17,796         | 7,207            |
| Transfers from investment securities                                  | -              | 4,773            |
| Foreign exchange and other movements                                  | (866)          | (12,521)         |
| <b>Closing gross carrying amount</b>                                  | <b>128,144</b> | <b>115,531</b>   |

Notes to the Interim Consolidated and Separate Financial Statements  
for the six month period ended 30 June 2026

## 3. Risk management (continued)

|                                                                             | 30 June 2026            |                                                    |                                                |                   | 31 December 2025           |                                                    |                                                |                   |
|-----------------------------------------------------------------------------|-------------------------|----------------------------------------------------|------------------------------------------------|-------------------|----------------------------|----------------------------------------------------|------------------------------------------------|-------------------|
|                                                                             | Stage 1<br>12-month ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total             | Stage 1<br>12-month<br>ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total             |
| In millions of naira                                                        |                         |                                                    |                                                |                   |                            |                                                    |                                                |                   |
| <b>Loans and advances to customers<br/>at amortised cost</b>                | -                       | -                                                  | -                                              | -                 | -                          | -                                                  | -                                              | -                 |
| Gross carrying amount at 1<br>January                                       | 9,795,701               | 845,757                                            | 422,409                                        | 11,063,867        | 7,286,846                  | 3,362,335                                          | 344,635                                        | 10,993,816        |
| <i>Transfers:</i>                                                           |                         |                                                    |                                                |                   |                            |                                                    |                                                |                   |
| Transfer to 12 month ECL                                                    | 216,697                 | (210,984)                                          | (5,713)                                        | -                 | 1,270,136                  | (1,267,489)                                        | (2,647)                                        | -                 |
| Transfer to lifetime ECL not credit-<br>impaired                            | (172,402)               | 175,975                                            | (3,573)                                        | -                 | (175,352)                  | 180,150                                            | (4,798)                                        | -                 |
| Transfer to lifetime ECL credit-<br>impaired                                | (55,829)                | (303,926)                                          | 359,755                                        | -                 | (83,802)                   | (1,136,438)                                        | 1,220,240                                      | -                 |
| Acquired through business<br>combination                                    | 72,949                  | 15,243                                             | 8,019                                          | 96,211            | -                          | -                                                  | -                                              | -                 |
| Financial assets derecognised<br>during the period other than<br>write-offs | (3,748,282)             | (242,060)                                          | (726)                                          | (3,991,068)       | (5,081,124)                | (667,005)                                          | (99,652)                                       | (5,847,781)       |
| New financial assets originated or<br>purchased                             | 5,551,119               | 223,974                                            | 94,411                                         | 5,869,504         | 6,561,475                  | 370,968                                            | 187,444                                        | 7,119,886         |
| Write-offs                                                                  | -                       | -                                                  | (222,474)                                      | (222,474)         | -                          | -                                                  | (1,242,738)                                    | (1,242,738)       |
| Foreign exchange and other<br>movements                                     | (195,552)               | (14,890)                                           | (33,225)                                       | (243,667)         | 17,523                     | 3,236                                              | 19,925                                         | 40,684            |
| <b>Closing gross carrying amount</b>                                        | <b>11,464,401</b>       | <b>489,089</b>                                     | <b>618,883</b>                                 | <b>12,572,373</b> | <b>9,795,701</b>           | <b>845,757</b>                                     | <b>422,409</b>                                 | <b>11,063,867</b> |

Notes to the Interim Consolidated and Separate Financial Statements  
for the six month period ended 30 June 2026

## 3. Risk management (continued)

| In millions of naira                                                                  | 30 June 2026               |                                                       |                                                |                                        |                    | 31 December 2025           |                                                    |                                                |                                        |                  |
|---------------------------------------------------------------------------------------|----------------------------|-------------------------------------------------------|------------------------------------------------|----------------------------------------|--------------------|----------------------------|----------------------------------------------------|------------------------------------------------|----------------------------------------|------------------|
|                                                                                       | Stage 1<br>12-month<br>ECL | Stage 2<br>Lifetime<br>ECL not<br>credit-<br>impaired | Stage 3<br>Lifetime<br>ECL credit-<br>impaired | POCI<br>Purchase<br>credit<br>impaired | Total              | Stage 1<br>12-month<br>ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | POCI<br>Purchase<br>credit<br>impaired | Total            |
| <b>Investment securities<br/>at amortised cost<br/>and fair value<br/>through OCI</b> | -                          | -                                                     | -                                              | -                                      | -                  | -                          | -                                                  | -                                              | -                                      | -                |
| Gross carrying<br>amount at 1 January                                                 | 4,407,958                  | 51,210                                                | 423,895                                        | 125,020                                | 5,008,083          | 4,213,729                  | 17,276                                             | 476,214                                        | -                                      | 4,707,219        |
| <i>Transfers:</i>                                                                     |                            |                                                       |                                                |                                        |                    |                            |                                                    |                                                |                                        |                  |
| Transfer from stage<br>1 to stage 2                                                   | -                          | -                                                     | -                                              | -                                      | -                  | -                          | -                                                  | -                                              | -                                      | -                |
| Transfer from stage<br>1 to stage 3                                                   | 375,038                    | -                                                     | (375,038)                                      | -                                      | -                  | -                          | -                                                  | -                                              | -                                      | -                |
| Acquired through<br>business combination                                              | 38,078                     | -                                                     | -                                              | -                                      | 38,078             | -                          | -                                                  | -                                              | -                                      | -                |
| Transfer from stage<br>3 to stage 2                                                   | -                          | -                                                     | -                                              | -                                      | -                  | -                          | 8,698                                              | (8,698)                                        | -                                      | -                |
| Transfer to pledged<br>Financial assets                                               | 1,953<br>(448,274)         | -                                                     | -                                              | -<br>(776)                             | 1,953<br>(449,050) | -<br>(113,933)             | -<br>(24,316)                                      | -<br>(4,320)                                   | -                                      | -<br>(142,569)   |
| derecognised during<br>the period other than<br>write-offs                            |                            |                                                       |                                                |                                        |                    |                            |                                                    |                                                |                                        |                  |
| Changes in amortised<br>cost value                                                    | (10,087)                   | 11                                                    | -                                              | (179)                                  | (10,255)           | (12,264)                   | (357)                                              | 19,676                                         | -                                      | 7,055            |
| New financial assets<br>originated or<br>purchased                                    | 541,703                    | 3,603                                                 | -                                              | -                                      | 545,306            | 588,520                    | -                                                  | -                                              | -                                      | 588,520          |
| Foreign exchange and<br>other movements                                               | (86,550)                   | (2,053)                                               | (12,682)                                       | (12,682)                               | (113,967)          | (252,611)                  | 57,647                                             | 42,822                                         | -                                      | (152,142)        |
| <b>Closing gross<br/>carrying amount</b>                                              | <b>4,819,819</b>           | <b>52,771</b>                                         | <b>36,175</b>                                  | <b>111,383</b>                         | <b>5,020,148</b>   | <b>4,423,442</b>           | <b>58,948</b>                                      | <b>525,694</b>                                 | <b>-</b>                               | <b>5,008,083</b> |

Notes to the Interim Consolidated and Separate Financial Statements  
for the six month period ended 30 June 2026

3. Risk management (continued)

| In millions of naira                                                  | 30 June 2026                                          |                                                                     |              |                | 31 December 2025           |                                                    |                                                |                |
|-----------------------------------------------------------------------|-------------------------------------------------------|---------------------------------------------------------------------|--------------|----------------|----------------------------|----------------------------------------------------|------------------------------------------------|----------------|
|                                                                       | Simplified<br>Lifetime ECL<br>not credit-<br>impaired | General Approach<br>12-month<br>Lifetime ECL<br>credit-<br>impaired |              | Total          | Stage 1<br>12-month<br>ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total          |
| <b>Other financial assets</b>                                         | -                                                     | -                                                                   | -            | -              | -                          | -                                                  | -                                              | -              |
| Gross carrying amount at 1 January                                    | 356,735                                               | 7,592                                                               | -            | 364,327        | -                          | 223,179                                            | -                                              | 223,179        |
| <i>Transfers:</i>                                                     |                                                       |                                                                     |              |                |                            |                                                    |                                                |                |
| Transfer                                                              | -                                                     | (7,592)                                                             | 7,592        | -              | -                          | -                                                  | -                                              | -              |
| Acquired through business combination                                 | 4,242                                                 | -                                                                   | -            | 4,242          | -                          | -                                                  | -                                              | -              |
| New financial assets originated or purchased                          | 185,320                                               | -                                                                   | -            | 185,320        | -                          | 89,758                                             | -                                              | 89,758         |
| Financial assets derecognised during the period other than write offs | (178)                                                 | -                                                                   | -            | (178)          | -                          | (591)                                              | -                                              | (591)          |
| Foreign exchange and other movements                                  | (25,867)                                              | -                                                                   | -            | (25,867)       | -                          | 51,980                                             | -                                              | 51,980         |
| <b>Closing gross carrying amount of assets subject to ECL</b>         | <b>520,252</b>                                        | <b>-</b>                                                            | <b>7,592</b> | <b>527,844</b> | <b>-</b>                   | <b>364,326</b>                                     | <b>-</b>                                       | <b>364,326</b> |

# Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

## 3. Risk management (continued)

|                                                                       | 30 June 2026     | 31 December 2025 |
|-----------------------------------------------------------------------|------------------|------------------|
|                                                                       | <b>Stage 1</b>   | <b>Stage 1</b>   |
| In millions of naira                                                  | 12-month ECL     | 12-month ECL     |
| <b>Due from other banks</b>                                           | -                | -                |
| Gross carrying amount at 1 January                                    | 2,721,700        | 4,948,295        |
| <i>Transfers:</i>                                                     |                  |                  |
| Acquired through business combination                                 | 16,105           | -                |
| Financial assets derecognised during the period other than write-offs | (1,623,102)      | (3,608,842)      |
| New financial assets originated or purchased                          | 457,214          | 857,783          |
| Foreign exchange and other movements                                  | 516,814          | 524,464          |
| <b>Closing gross carrying amount</b>                                  | <b>2,088,731</b> | <b>2,721,700</b> |

## Bank

|                                                                       | 30 June 2026     | 31 December 2025 |
|-----------------------------------------------------------------------|------------------|------------------|
|                                                                       | <b>Stage 1</b>   | <b>Stage 1</b>   |
| In millions of naira                                                  | 12-month ECL     | 12-month ECL     |
| <b>Treasury bills at amortised cost</b>                               | -                | -                |
| Gross carrying amount at 1 January                                    | 3,464,155        | 781,276          |
| <i>Transfers:</i>                                                     |                  |                  |
| Financial assets derecognised during the period other than write-offs | (3,304,742)      | (1,208,490)      |
| Changes in amortised cost value                                       | 294,180          | 594,403          |
| New financial assets originated or purchased                          | 1,975,078        | 3,301,739        |
| Transfer to pledged asset                                             | (456)            | (4,773)          |
| <b>Closing gross carrying amount</b>                                  | <b>2,428,215</b> | <b>3,464,155</b> |

Notes to the Interim Consolidated and Separate Financial Statements  
for the six month period ended 30 June 2026

## 3. Risk management (continued)

| In millions of naira                                                  | 30 June 2026            |                                                    |                                                |                  | 31 December 2025           |                                                    |                                                |                  |
|-----------------------------------------------------------------------|-------------------------|----------------------------------------------------|------------------------------------------------|------------------|----------------------------|----------------------------------------------------|------------------------------------------------|------------------|
|                                                                       | Stage 1<br>12-month ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total            | Stage 1<br>12-month<br>ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total            |
| <b>Off balance sheet exposure</b>                                     | -                       | -                                                  | -                                              | -                | -                          | -                                                  | -                                              | -                |
| Gross carrying amount at 1 January                                    | 4,531,642               | 67,312                                             | 70,961                                         | 4,669,915        | 4,712,810                  | 15,325                                             | 13,167                                         | 4,741,302        |
| <i>Transfers:</i>                                                     |                         |                                                    |                                                |                  |                            |                                                    |                                                |                  |
| Transfer to 12 month ECL                                              | 12,993                  | (9,773)                                            | (3,220)                                        | -                | 2,421                      | (594)                                              | (1,827)                                        | -                |
| Transfer to lifetime ECL credit impaired                              | (80,051)                | 80,748                                             | (697)                                          | -                | (32,509)                   | (139)                                              | 32,648                                         | -                |
| Transfer to lifetime ECL not credit impaired                          | (7,947)                 | (25,081)                                           | 33,028                                         | -                | (31,337)                   | 31,703                                             | (366)                                          | -                |
| Financial assets derecognised during the period other than write-offs | (2,749,748)             | (31,064)                                           | (35,327)                                       | (2,816,139)      | (3,878,761)                | (14,589)                                           | (10,566)                                       | (3,903,916)      |
| New financial assets originated or purchased                          | 4,332,832               | 58,298                                             | 21,017                                         | 4,412,147        | 3,769,204                  | 35,626                                             | 39,562                                         | 3,844,392        |
| Foreign exchange and other movements                                  | (26,004)                | (383)                                              | (712)                                          | (27,099)         | (10,186)                   | (20)                                               | (1,657)                                        | (11,863)         |
| <b>Closing gross carrying amount</b>                                  | <b>6,013,717</b>        | <b>140,057</b>                                     | <b>85,050</b>                                  | <b>6,238,824</b> | <b>4,531,642</b>           | <b>67,312</b>                                      | <b>70,961</b>                                  | <b>4,669,915</b> |



Notes to the Interim Consolidated and Separate Financial Statements  
for the six month period ended 30 June 2026

3. Risk management (continued)

|                                                       | 30 June 2026  | 31 December 2025 |
|-------------------------------------------------------|---------------|------------------|
|                                                       | Stage 1       | Stage 1          |
| In millions of naira                                  | 12-month ECL  | 12-month ECL     |
| <b>Assets pledged as collateral at amortised cost</b> | -             | -                |
| Gross carrying amount at 1 January                    | 94,483        | 89,073           |
| <i>Transfers:</i>                                     |               |                  |
| Transfer from investment securities                   | (1,953)       | -                |
| Changes in amortised cost value                       | 1,953         | 637              |
| New financial assets originated or purchased          | (4,773)       | -                |
| Transfer to Treasury bill                             | 456           | -                |
| <b>Closing gross carrying amount</b>                  | <b>90,166</b> | <b>89,710</b>    |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

| In millions of naira                                                  | 30 June 2026            |                                                    |                                                |                   | 31 December 2025        |                                                    |                                                |                  |
|-----------------------------------------------------------------------|-------------------------|----------------------------------------------------|------------------------------------------------|-------------------|-------------------------|----------------------------------------------------|------------------------------------------------|------------------|
|                                                                       | Stage 1<br>12-month ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total             | Stage 1<br>12-month ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | Total            |
| <b>Loans and advances to customers at amortised cost</b>              | -                       | -                                                  | -                                              | -                 | -                       | -                                                  | -                                              | -                |
| Gross carrying amount at 1 January                                    | 7,658,008               | 748,964                                            | 335,626                                        | 8,742,598         | 6,032,738               | 3,351,481                                          | 338,441                                        | 9,722,660        |
| <i>Transfers:</i>                                                     |                         |                                                    |                                                |                   |                         |                                                    |                                                |                  |
| - Transfer to 12-month ECL                                            | 214,391                 | (208,678)                                          | (5,713)                                        | -                 | 1,270,122               | (1,267,475)                                        | (2,647)                                        | -                |
| - Transfer to lifetime ECL not credit-impaired                        | (172,402)               | 175,975                                            | (3,573)                                        | -                 | (141,814)               | 146,612                                            | (4,798)                                        | -                |
| - Transfer to lifetime ECL credit-impaired                            | (59,457)                | (270,489)                                          | 329,946                                        | -                 | (23,414)                | (1,136,429)                                        | 1,159,843                                      | -                |
| New financial assets originated or purchased                          | 4,886,376               | 223,974                                            | 61,959                                         | 5,172,309         | 4,989,690               | 326,175                                            | 187,444                                        | 5,503,309        |
| Financial assets derecognised during the period other than write-offs | (3,349,533)             | (191,426)                                          | (726)                                          | (3,541,685)       | (4,362,495)             | (667,005)                                          | (99,652)                                       | (5,129,152)      |
| Write-offs                                                            | -                       | -                                                  | (222,474)                                      | (222,474)         | -                       | -                                                  | (1,242,738)                                    | (1,242,738)      |
| Foreign exchange and other movements                                  | (82,728)                | (657)                                              | (2,591)                                        | (85,976)          | (106,819)               | (4,395)                                            | (267)                                          | (111,481)        |
| <b>Closing gross carrying amount</b>                                  | <b>9,094,655</b>        | <b>477,663</b>                                     | <b>492,454</b>                                 | <b>10,064,772</b> | <b>7,658,008</b>        | <b>748,964</b>                                     | <b>335,626</b>                                 | <b>8,742,598</b> |

# Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

## 3. Risk management (continued)

| In millions of naira                                                           | 30 June 2026               |                                                       |                                                |                                        |                  | 31 December 2025           |                                                    |                                                |                                        |                  |
|--------------------------------------------------------------------------------|----------------------------|-------------------------------------------------------|------------------------------------------------|----------------------------------------|------------------|----------------------------|----------------------------------------------------|------------------------------------------------|----------------------------------------|------------------|
|                                                                                | Stage 1<br>12-month<br>ECL | Stage 2<br>Lifetime<br>ECL not<br>credit-<br>impaired | Stage 3<br>Lifetime<br>ECL credit-<br>impaired | POCI<br>Purchase<br>credit<br>impaired | Total            | Stage 1<br>12-month<br>ECL | Stage 2<br>Lifetime ECL<br>not credit-<br>impaired | Stage 3<br>Lifetime ECL<br>credit-<br>impaired | POCI<br>Purchase<br>credit<br>impaired | Total            |
| <b>Investment securities<br/>at amortised cost</b>                             | -                          | -                                                     | -                                              | -                                      | -                | -                          | -                                                  | -                                              | -                                      | -                |
| Gross carrying<br>amount at 1 January                                          | 1,924,031                  | 1,371                                                 | -                                              | 7,736                                  | 1,933,138        | 1,841,160                  | 1,353                                              | -                                              | 8,698                                  | 1,851,211        |
| <i>Transfers:</i>                                                              |                            |                                                       |                                                |                                        |                  |                            |                                                    |                                                |                                        |                  |
| Transfer to pledge                                                             | 1,953                      | -                                                     | -                                              | -                                      | 1,953            | -                          | -                                                  | -                                              | -                                      | -                |
| Financial assets<br>derecognised during<br>the period other than<br>write-offs | (308,723)                  | -                                                     | -                                              | -                                      | (308,723)        | (63,817)                   | -                                                  | -                                              | -                                      | (63,817)         |
| Changes in amortised<br>cost value                                             | (4,739)                    | 11                                                    | -                                              | (179)                                  | (4,907)          | (12,264)                   | 18                                                 | -                                              | (377)                                  | (12,623)         |
| New financial assets<br>originated or<br>purchased                             | 474,965                    | -                                                     | -                                              | -                                      | 474,965          | 174,962                    | -                                                  | -                                              | -                                      | 174,962          |
| Foreign exchange and<br>other movements                                        | (9,536)                    | -                                                     | -                                              | (311)                                  | (9,847)          | (16,010)                   | -                                                  | -                                              | (585)                                  | (16,595)         |
| <b>Closing gross<br/>carrying amount</b>                                       | <b>2,077,951</b>           | <b>1,382</b>                                          | <b>-</b>                                       | <b>7,246</b>                           | <b>2,086,579</b> | <b>1,924,031</b>           | <b>1,371</b>                                       | <b>-</b>                                       | <b>7,736</b>                           | <b>1,933,138</b> |

| In millions of naira                                                             | 30 June 2026                                      |              |                                                      | 31 December 2025        |                         |
|----------------------------------------------------------------------------------|---------------------------------------------------|--------------|------------------------------------------------------|-------------------------|-------------------------|
|                                                                                  | Simplified<br>Lifetime ECL not<br>credit-impaired | 12 months    | General Approach<br>Lifetime ECL credit-<br>impaired | Stage 1<br>Lifetime ECL | Stage 2<br>Lifetime ECL |
| <b>Other financial assets</b>                                                    | -                                                 | -            | -                                                    | -                       | -                       |
| Gross carrying amount at 1 January                                               | 129,322                                           | 7,592        | -                                                    | -                       | 98,654                  |
| <i>Transfers:</i>                                                                |                                                   |              |                                                      |                         |                         |
| Transfer                                                                         | -                                                 | (7,592)      | 7,592                                                | -                       | -                       |
| Financial assets derecognised during<br>the period other than write-offs         | -                                                 | -            | -                                                    | -                       | -                       |
| New financial assets originated or<br>purchased                                  | 27,641                                            | 5,140        | -                                                    | -                       | 38,260                  |
| <b>Closing gross carrying amount of assts<br/>subject to simplified approach</b> | <b>156,963</b>                                    | <b>5,140</b> | <b>7,592</b>                                         | <b>-</b>                | <b>136,914</b>          |

| In millions of naira                                                     | 30 June 2026            | 31 December 2025        |
|--------------------------------------------------------------------------|-------------------------|-------------------------|
|                                                                          | Stage 1<br>12-month ECL | Stage 1<br>12-month ECL |
| <b>Due from other banks</b>                                              | -                       | -                       |
| Gross carrying amount at 1 January                                       | 2,450,406               | 4,455,006               |
| <i>Transfers:</i>                                                        |                         |                         |
| Financial assets derecognised during the period other than<br>write-offs | (1,574,147)             | (3,409,730)             |
| New financial assets originated or purchased                             | 789,473                 | 1,366,380               |
| Foreign exchange and other movements                                     | 3,760                   | 38,750                  |
| <b>Closing gross carrying amount</b>                                     | <b>1,669,492</b>        | <b>2,450,406</b>        |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

Summary of loss allowance by class of financial instruments also showing ECL coverage ratio as at 30 June 2026.

| Group                                                  | Gross Carrying Amount |                  |                |                |                   | ECL Provision |               |                |          |                | ECL Coverage Ratio |             |              |          |             |
|--------------------------------------------------------|-----------------------|------------------|----------------|----------------|-------------------|---------------|---------------|----------------|----------|----------------|--------------------|-------------|--------------|----------|-------------|
|                                                        | Stage 1               | Stage 2          | Stage 3        | POCI           | Total             | Stage 1       | Stage 2       | Stage 3        | POCI     | Total          | Stage 1 %          | Stage 2 %   | Stage 3 %    | POCI %   | Total %     |
| Financial Statement Items<br>In millions of Naira      |                       |                  |                |                |                   |               |               |                |          |                |                    |             |              |          |             |
| <b>On-balance sheet items</b>                          |                       |                  |                |                |                   |               |               |                |          |                |                    |             |              |          |             |
| Assets pledged as collateral                           | 128,144               | -                | -              | -              | 128,144           | 4             | -             | -              | -        | 4              | -                  | -           | -            | -        | -           |
| Treasury bills                                         | 2,957,240             | -                | -              | -              | 2,957,240         | (165)         | -             | -              | -        | (165)          | (0.01)             | -           | -            | -        | (0.01)      |
| Loans and advances to customers at amortised cost      | 11,429,138            | 489,090          | 654,144        | -              | 12,572,372        | 69,404        | 6,291         | 448,313        | -        | 524,008        | 0.61               | 1.29        | 68.53        | -        | 4.17        |
| Debt investment securities at amortised cost and FVOCI | 4,819,818             | 52,771           | -              | 111,383        | 4,983,972         | 2,718         | 715           | -              | -        | 3,433          | 0.06               | 1.35        | 74.63        | -        | 0.07        |
| Due from other banks                                   | 2,088,730             | -                | -              | -              | 2,088,730         | 29            | -             | -              | -        | 29             | 0.00               | -           | -            | -        | -           |
| Other financial assets measured at amortised cost      | -                     | 520,251          | 7,592          | -              | 527,843           | -             | 16,675        | 4,445          | -        | 21,120         | 0.11               | 3.21        | 58.55        | -        | 4.00        |
| <b>Subtotal</b>                                        | <b>21,423,070</b>     | <b>1,062,112</b> | <b>661,736</b> | <b>111,383</b> | <b>23,258,301</b> | <b>71,990</b> | <b>23,681</b> | <b>452,758</b> | <b>-</b> | <b>548,429</b> | <b>0.34</b>        | <b>2.23</b> | <b>68.42</b> | <b>-</b> | <b>2.36</b> |
| <b>Off-balance sheet items</b>                         |                       |                  |                |                |                   |               |               |                |          |                |                    |             |              |          |             |
| <b>Loans and other credit related commitments</b>      |                       |                  |                |                |                   |               |               |                |          |                |                    |             |              |          |             |
| Letters of credit                                      | 1,796,228             | 15,880           | -              | -              | 1,812,108         | 14,592        | 607           | -              | -        | 15,199         | 0.81               | 3.82        | -            | -        | 0.84        |
| Usance                                                 | 470,037               | 16,637           | 845            | -              | 487,519           | 4,391         | 345           | 845            | -        | 5,581          | 0.93               | 2.07        | -            | -        | 1.14        |
| Financial guarantee and similar contracts              |                       |                  |                |                |                   |               |               |                |          |                |                    |             |              |          |             |
| <b>Financial guarantee and similar contracts</b>       |                       |                  |                |                |                   |               |               |                |          |                |                    |             |              |          |             |
| Performance bonds and guarantees                       | 3,168,868             | 96,680           | 82,167         | -              | 3,347,715         | 59            | 1             | 133            | -        | 193            | 0.00               | 0.00        | 0.16         | -        | 0.01        |
| Undrawn overdraft balance                              | 860,164               | 10,860           | 2,039          | -              | 873,064           | 1,498         | 15            | 751            | -        | 2,264          | 0.17               | 0.14        | 36.83        | -        | 0.26        |
| <b>Subtotal</b>                                        | <b>6,295,297</b>      | <b>140,057</b>   | <b>85,051</b>  | <b>-</b>       | <b>6,520,406</b>  | <b>20,540</b> | <b>968</b>    | <b>1,729</b>   | <b>-</b> | <b>23,237</b>  | <b>0.33</b>        | <b>0.69</b> | <b>2.03</b>  | <b>-</b> | <b>0.36</b> |
| <b>Total</b>                                           | <b>27,718,367</b>     | <b>1,202,169</b> | <b>746,787</b> | <b>111,383</b> | <b>29,778,706</b> | <b>92,530</b> | <b>24,649</b> | <b>454,487</b> | <b>-</b> | <b>571,666</b> | <b>0.33</b>        | <b>2.05</b> | <b>60.86</b> | <b>-</b> | <b>1.92</b> |

\* The Group adopted the simplified approach in estimating the ECL for other financial asset. Under this approach, all ECL allowance are lifetime ECL.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Bank

| Financial Statement Items<br>In millions of Naira | Gross Carrying Amount |                |                |              |                   | ECL Provision |               |                |          |                | ECL Coverage Ratio |              |              |           |             |
|---------------------------------------------------|-----------------------|----------------|----------------|--------------|-------------------|---------------|---------------|----------------|----------|----------------|--------------------|--------------|--------------|-----------|-------------|
|                                                   | Stage 1               | Stage 2        | Stage 3        | POCI         | Total             | Stage 1       | Stage 2       | Stage 3        | POCI     | Total          | Stage 1<br>%       | Stage 2<br>% | Stage 3<br>% | POCI<br>% | Total<br>%  |
| <b>On-balance sheet items</b>                     |                       |                |                |              |                   |               |               |                |          |                |                    |              |              |           |             |
| Assets pledged as collateral                      | 90,166                | -              | -              | -            | 90,166            | 4             | -             | -              | -        | 4              | 0.00               | -            | -            | -         | -           |
| Treasury bills                                    | 2,428,215             | -              | -              | -            | 2,428,215         | 163           | -             | -              | -        | 163            | (0.01)             | -            | -            | -         | 0.01        |
| Loans and advances to customers at amortised cost | 9,094,654             | 477,664        | 492,454        | -            | 10,064,772        | 50,768        | 6,262         | 427,933        | -        | 484,963        | 0.56               | 1.31         | 86.90        | -         | 4.82        |
| Debt investment securities at amortised cost      | 2,077,951             | 1,382          | -              | 7,246        | 2,086,579         | 649           | 1             | -              | -        | 650            | 0.03               | 0.07         | 74.63        | -         | 0.03        |
| Other financial assets measured at amortised cost | 5,140                 | 156,963        | 7,592          | -            | 169,695           | 6             | 16,565        | 4,445          | -        | 21,016         | 0.11               | 10.55        | 58.55        | -         | 12.38       |
| Due from other banks                              | 1,669,492             | -              | -              | -            | 1,669,492         | 29            | -             | -              | -        | 29             | 0.00               | -            | -            | -         | -           |
| <b>Subtotal</b>                                   | <b>15,365,618</b>     | <b>636,009</b> | <b>500,046</b> | <b>7,246</b> | <b>16,508,919</b> | <b>51,619</b> | <b>22,828</b> | <b>432,378</b> | <b>-</b> | <b>506,825</b> | <b>0.34</b>        | <b>3.59</b>  | <b>86.47</b> | <b>-</b>  | <b>3.07</b> |
| <b>Off-balance sheet items</b>                    |                       |                |                |              |                   |               |               |                |          |                |                    |              |              |           |             |
| Loans and other credit related commitments        |                       |                |                |              |                   |               |               |                |          |                |                    |              |              |           |             |
| Letters of credit                                 | 1,641,895             | 15,880         | -              | -            | 1,657,775         | 9,812         | 607           | -              | -        | 10,419         | 0.60               | 3.82         | -            | -         | 0.63        |
| Usance                                            | 470,037               | 16,637         | 845            | -            | 487,519           | 2,953         | 345           | 845            | -        | 4,143          | 0.63               | 2.07         | 100.00       | -         | 0.85        |
| Financial guarantee and similar contracts         |                       |                |                |              |                   |               |               |                |          |                |                    |              |              |           |             |
| Performance bonds and guarantees                  | 3,128,975             | 96,680         | 82,167         | -            | 3,307,822         | 40            | 1             | 133            | -        | 174            | -                  | -            | 0.16         | -         | 0.01        |
| Undrawn overdraft balance                         | 772,811               | 10,860         | 2,039          | -            | 785,710           | 1,007         | 15            | 751            | -        | 1,773          | 0.13               | 0.14         | 36.83        | -         | 0.23        |
| <b>Subtotal</b>                                   | <b>6,013,718</b>      | <b>140,057</b> | <b>85,051</b>  | <b>-</b>     | <b>6,238,826</b>  | <b>13,812</b> | <b>968</b>    | <b>1,729</b>   | <b>-</b> | <b>16,509</b>  | <b>0.23</b>        | <b>0.69</b>  | <b>2.03</b>  | <b>-</b>  | <b>0.26</b> |
| <b>Total</b>                                      | <b>21,379,336</b>     | <b>776,066</b> | <b>585,097</b> | <b>7,246</b> | <b>22,747,745</b> | <b>65,431</b> | <b>23,796</b> | <b>434,107</b> | <b>-</b> | <b>523,334</b> | <b>0.31</b>        | <b>3.07</b>  | <b>74.19</b> | <b>-</b>  | <b>2.30</b> |

\* The Group adopted the simplified approach in estimating the ECL for other financial asset. Under this approach, all ECL allowance are lifetime ECL.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

Summary of loss allowance by class of financial instruments also showing ECL coverage ratio as at 31 December 2025.

| Group                                                 | Gross Carrying Amount |                  |                  |          |                   | ECL Provision |                |                |          |                | ECL Coverage Ratio |              |              |          |             |
|-------------------------------------------------------|-----------------------|------------------|------------------|----------|-------------------|---------------|----------------|----------------|----------|----------------|--------------------|--------------|--------------|----------|-------------|
|                                                       | Stage 1               | Stage 2          | Stage 3          | POCI     | Total             | Stage 1       | Stage 2        | Stage 3        | POCI     | Total          | Stage 1 %          | Stage 2 %    | Stage 3 %    | POCI %   | Total %     |
| Financial Statement Items<br>In millions of Naira     |                       |                  |                  |          |                   |               |                |                |          |                |                    |              |              |          |             |
| <b>On-balance sheet items</b>                         |                       |                  |                  |          |                   |               |                |                |          |                |                    |              |              |          |             |
| Assets pledged as collateral                          | 115,531               | -                | -                | -        | 115,531           | 5             | -              | -              | -        | 5              | -                  | -            | -            | -        | -           |
| Treasury bills                                        | 4,232,669             | -                | -                | -        | 4,232,669         | 65            | -              | -              | -        | 65             | -                  | -            | -            | -        | -           |
| Loans and advances to customers at amortised cost     | 9,795,701             | 845,757          | 422,408          | -        | 11,063,866        | 78,996        | 219,669        | 316,249        | -        | 614,914        | 0.81               | 25.97        | 74.87        | -        | 5.56        |
| Debt investment securities at amortised cost          | 4,423,442             | 58,947           | 525,695          | -        | 5,008,084         | 5,196         | 2,545          | -              | -        | 7,741          | 0.12               | 11.91        | -            | -        | 0.15        |
| Other financial assets measured at amortised cost     | -                     | 364,326          | -                | -        | 364,326           | -             | 17,918         | -              | -        | 17,918         | -                  | 23.05        | -            | -        | 4.92        |
| Other non-financial assets measured at amortised cost | -                     | -                | -                | -        | -                 | -             | -              | -              | -        | -              | -                  | -            | -            | -        | -           |
| Due from other Banks                                  | 2,721,700             | -                | -                | -        | 2,721,700         | 26            | -              | -              | -        | 26             | -                  | -            | -            | -        | -           |
| <b>Subtotal</b>                                       | <b>21,289,043</b>     | <b>1,269,030</b> | <b>948,103</b>   | <b>-</b> | <b>23,506,176</b> | <b>84,288</b> | <b>240,132</b> | <b>316,249</b> | <b>-</b> | <b>640,669</b> | <b>0.40</b>        | <b>18.92</b> | <b>33.36</b> | <b>-</b> | <b>2.73</b> |
| <b>Off-balance sheet items</b>                        |                       |                  |                  |          |                   |               |                |                |          |                |                    |              |              |          |             |
| Loans and other credit related commitments            |                       |                  |                  |          |                   |               |                |                |          |                |                    |              |              |          |             |
| Letters of credit                                     | 1,300,541             | 1,601            | 83               | -        | 1,302,225         | 7,117         | 1              | 5              | -        | 7,123          | 0.55               | 0.06         | -            | -        | 0.55        |
| Usance                                                | 330,473               | 455              | 944              | -        | 331,872           | 1,318         | -              | 117            | -        | 1,435          | 0.40               | -            | -            | -        | 0.43        |
| Financial guarantee and similar contracts             |                       |                  |                  |          |                   |               |                |                |          |                |                    |              |              |          |             |
| Performance bonds and guarantees                      | 2,589,728             | 62,055           | 69,184           | -        | 2,720,967         | 128           | 3              | 127            | -        | 258            | -                  | -            | 0.18         | -        | 0.01        |
| Undrawn overdraft balance                             | 601,928               | 3,201            | 750              | -        | 605,879           | 1,989         | 1              | 14             | -        | 2,004          | 0.33               | 0.03         | 1.87         | -        | 0.33        |
| <b>Subtotal</b>                                       | <b>4,822,670</b>      | <b>67,312</b>    | <b>70,961</b>    | <b>-</b> | <b>4,960,943</b>  | <b>10,552</b> | <b>5</b>       | <b>263</b>     | <b>-</b> | <b>10,820</b>  | <b>0.22</b>        | <b>0.01</b>  | <b>0.37</b>  | <b>-</b> | <b>0.22</b> |
| <b>Total</b>                                          | <b>26,111,713</b>     | <b>1,336,342</b> | <b>1,019,064</b> | <b>-</b> | <b>28,467,119</b> | <b>94,840</b> | <b>240,137</b> | <b>316,512</b> | <b>-</b> | <b>651,489</b> | <b>0.36</b>        | <b>17.97</b> | <b>31.06</b> | <b>-</b> | <b>2.29</b> |

\* The Group adopted the simplified approach in estimating the ECL for other financial asset. Under this approach, all ECL allowance are lifetime ECL.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Bank

| Financial Statement Items<br>In millions of Naira    | Gross Carrying Amount |                |                |              |                   | ECL Provision |                |                |          |                | ECL Coverage Ratio |              |              |           |             |
|------------------------------------------------------|-----------------------|----------------|----------------|--------------|-------------------|---------------|----------------|----------------|----------|----------------|--------------------|--------------|--------------|-----------|-------------|
|                                                      | Stage 1               | Stage 2        | Stage 3        | POCI         | Total             | Stage 1       | Stage 2        | Stage 3        | POCI     | Total          | Stage 1<br>%       | Stage 2<br>% | Stage 3<br>% | POCI<br>% | Total<br>%  |
| <b>On-balance sheet items</b>                        |                       |                |                |              |                   |               |                |                |          |                |                    |              |              |           |             |
| Assets pledged as collateral                         | 94,483                | -              | -              | -            | 94,483            | 6             | -              | -              | -        | 6              | 0.01               | -            | -            | -         | 0.01        |
| Treasury bills                                       | 3,464,155             | -              | -              | -            | 3,464,155         | 66            | -              | -              | -        | 66             | -                  | -            | -            | -         | -           |
| Loans and advances to customers at<br>amortised cost | 7,658,006             | 748,966        | 335,626        | -            | 8,742,598         | 52,554        | 218,146        | 304,554        | -        | 575,254        | 0.69               | 29.13        | 90.74        | -         | 6.58        |
| Debt investment securities at amortised<br>cost      | 1,924,031             | 1,371          | -              | 7,736        | 1,933,138         | 1,479         | 33             | -              | -        | 1,512          | 0.08               | 0.02         | -            | -         | 0.08        |
| Other financial assets measured at<br>amortised cost | -                     | 136,915        | -              | -            | 136,915           | -             | 17,874         | -              | -        | 17,874         | -                  | 13.05        | -            | -         | 13.05       |
| Due from other banks                                 | 2,450,406             | -              | -              | -            | 2,450,406         | 26            | -              | -              | -        | 26             | 0.01               | -            | -            | -         | -           |
| <b>Subtotal</b>                                      | <b>15,591,081</b>     | <b>887,252</b> | <b>335,626</b> | <b>7,736</b> | <b>16,821,695</b> | <b>54,131</b> | <b>236,053</b> | <b>304,554</b> | <b>-</b> | <b>594,738</b> | <b>0.35</b>        | <b>26.60</b> | <b>90.74</b> | <b>-</b>  | <b>3.54</b> |
| <b>Off-balance sheet items</b>                       |                       |                |                |              |                   |               |                |                |          |                |                    |              |              |           |             |
| Loans and other credit related commitments           |                       |                |                |              |                   |               |                |                |          |                |                    |              |              |           |             |
| Letters of credit                                    | 991,760               | 1,601          | 83             | -            | 993,444           | 2,385         | 1              | 5              | -        | 2,391          | 0.24               | 0.06         | -            | -         | 0.24        |
| Usance                                               | 504,641               | 455            | 944            | -            | 506,040           | 442           | -              | 117            | -        | 559            | 0.09               | -            | -            | -         | 0.11        |
| Financial guarantee and similar contracts            |                       |                |                |              |                   |               |                |                |          |                |                    |              |              |           |             |
| Performance bonds and guarantees                     | 2,506,583             | 62,055         | 69,184         | -            | 2,637,822         | 43            | 3              | 127            | -        | 173            | -                  | -            | 0.18         | -         | 0.01        |
| Undrawn overdraft balance                            | 528,659               | 3,201          | 750            | -            | 532,610           | 667           | -              | 14             | -        | 681            | 0.13               | -            | 1.87         | -         | 0.13        |
| <b>Subtotal</b>                                      | <b>4,531,643</b>      | <b>67,312</b>  | <b>70,961</b>  | <b>-</b>     | <b>4,669,916</b>  | <b>3,537</b>  | <b>4</b>       | <b>263</b>     | <b>-</b> | <b>3,804</b>   | <b>0.08</b>        | <b>0.01</b>  | <b>0.37</b>  | <b>-</b>  | <b>0.08</b> |
| <b>Total</b>                                         | <b>20,122,724</b>     | <b>954,564</b> | <b>406,587</b> | <b>7,736</b> | <b>21,491,611</b> | <b>57,668</b> | <b>236,057</b> | <b>304,817</b> | <b>-</b> | <b>598,542</b> | <b>0.29</b>        | <b>24.73</b> | <b>74.97</b> | <b>-</b>  | <b>2.79</b> |

\* The Group adopted the simplified approach in estimating the ECL for other financial asset. Under this approach, all ECL allowance are lifetime ECL.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

#### 3.2.19 Restructuring policy

Loans with renegotiated terms are loans that have been restructured because the Group has made concessions by agreeing to terms and conditions that are more favorable for the customer than these provided by the Group initially. The Group implements restructuring policy in order to maximize collections opportunities and minimize the risk of default.

The Group's credit committee may, from time to time, grant approval for restructuring of certain facilities due to the following reasons:

- (a) Where the execution of the loan purpose and the repayment are no longer realistic in light of new cash flows;
- (b) To avoid unintended default arising from adverse business conditions;
- (c) To align loan repayment with new pattern of achievable cash flows;
- (d) Where there are proven cost over runs that may significantly impair the project repayment capacity;
- (e) Where there is temporary downturn in the customer's business environment;
- (f) Where the customer's going concern status is NOT in doubt or threatened; and
- (g) The revised terms of restructured facilities usually include extended maturity, changing timing of interest payments and amendments to the terms of the loan agreement.

### 3.3 Market risk

Market risk is the risk of potential losses in both on- and off-balance sheet positions arising from movements in market prices. Market risks can arise from adverse changes in interest rates, foreign exchange rates, equity prices, commodity prices and other relevant factors such as market volatilities.

The Group undertakes activities which give rise to some level of market risks exposures. The objective of market risk management activities is to continuously identify, manage and control market risk exposure within acceptable parameters, while optimizing the return on risks taken.

#### 3.3.1 Management of market risk

The Group has an independent Market Risk Management unit which assesses, monitors, manages and reports on market risk taking activities across the Group. The Group enhances its Market Risk Management Framework on a continuous basis. The operations of the unit is guided by the mission of "inculcating enduring market risk management values and culture, with a view to reducing the risk of losses associated with market risk-taking activities, and optimizing risk-reward trade-off."

The Group's market risk objectives, policies and processes are aimed at instituting a model that objectively identifies, measures and manages market risks in the Group and ensure that:

- (a) The individuals who take or manage risk clearly understand it;
- (b) The Group's risk exposure is within established limits;
- (c) Risk taking decisions are in line with business strategy and objectives set by the Board of Directors;
- (d) The expected payoffs compensate for the risks taken; and
- (e) Sufficient capital, as a buffer, is available to take risk.

The Group proactively manages its market risk exposures in both the trading and non-trading books within the acceptable levels.

The Group's market risks exposures are broadly categorised into:

- (i) Trading Market Risks - These are risks that arise primarily through trading activities and market making activities. These activities include position-taking in foreign exchange and fixed income securities (Bonds and Treasury Bills).
- (ii) Non Trading Market Risks -These are risks that arise from assets and liabilities that are usually on the books for a longer period of time, but where the intrinsic value is a function of the movement of financial market parameter.

The Naira exchange rate continues to be an important influence on consumer prices and output recovery. The foreign exchange market has been stable due to the positive impacts of the various pro-market policies and reforms by the government.



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 3.3.1 Management of market risk (continued)

'In millions of Naira  
Group

|                                          |      | At 30 June 2026 |                 |             | At 31 December 2025 |         |             |
|------------------------------------------|------|-----------------|-----------------|-------------|---------------------|---------|-------------|
|                                          | Note | Carrying amount | Trading         | Non-trading | Carrying amount     | Trading | Non-trading |
| <b>Assets</b>                            |      |                 |                 |             |                     |         |             |
| Cash and balances with central bank      | 15   | 6,878,234       | -               | 6,878,234   | 6,925,425           | -       | 6,925,425   |
| Treasury bills                           | 16   | 4,657,269       | 1,700,194       | 2,957,075   | 4,662,812           | 430,212 | 4,232,601   |
| Assets pledged as collateral             | 17   | 128,140         | -               | 128,140     | 115,525             | -       | 115,525     |
| Due from other banks                     | 18   | 2,088,701       | -               | 2,088,701   | 2,721,673           | -       | 2,721,673   |
| Derivative Asset -Non Hedging Instrument | 19   | 6,217           | 6,217           | -           | 8,146               | 8,146   | -           |
| Loans and advances                       | 20   | 12,048,363      | -               | 12,048,363  | 10,448,951          | -       | 10,448,951  |
| Investment securities                    | 21   | 5,386,967       | 47,266          | 5,339,701   | 5,409,945           | 35,077  | 5,374,869   |
| Other financial assets                   | 25   | 670,814         | -               | 670,814     | 507,202             | -       | 507,202     |
|                                          |      |                 |                 |             |                     |         |             |
| <b>Liabilities</b>                       |      |                 |                 |             |                     |         |             |
| Customer deposits                        | 28   | 26,347,904      | -               | 26,347,904  | 24,329,963          | -       | 24,329,963  |
| Derivative liabilities                   | 32   | 106,276         | 106,276         | -           | 196,072             | 196,072 | -           |
| Other financial liabilities              | 29   | 986,873         | -               | 986,873     | 958,292             | -       | 958,292     |
| On-lending facilities                    | 30   | 87,260          | -               | 87,260      | 103,369             | -       | 103,369     |
| Borrowings                               | 31   | 11,128          | -               | 11,128      | 651,162             | -       | 651,162     |
|                                          |      |                 |                 |             |                     |         |             |
| <b>Bank</b>                              |      |                 |                 |             |                     |         |             |
|                                          |      |                 | At 30 June 2026 |             | At 31 December 2025 |         |             |
|                                          |      | Carrying amount | Trading         | Non-trading | Carrying amount     | Trading | Non-trading |
| <b>Assets</b>                            |      |                 |                 |             |                     |         |             |
| Cash and balances with central bank      | 15   | 5,885,554       | -               | 5,885,554   | 5,891,436           | -       | 5,891,436   |
| Treasury bills                           | 16   | 4,128,116       | 1,700,064       | 2,428,052   | 3,893,729           | 429,460 | 3,464,089   |
| Assets pledged as collateral             | 17   | 90,162          | -               | 90,162      | 94,477              | -       | 94,477      |
| Due from other banks                     | 18   | 1,669,463       | -               | 1,669,463   | 2,450,381           | -       | 2,450,381   |
| Derivative Asset -Non Hedging Instrument | 19   | 3,412           | 3,412           | -           | 1,416               | 1,416   | -           |
| Loans and advances                       | 20   | 9,579,810       | -               | 9,579,810   | 8,167,344           | -       | 8,167,344   |
| Investment securities                    | 21   | 2,454,303       | 9,212           | 2,445,091   | 2,339,994           | 33,840  | 2,306,154   |
| Other financial assets                   | 25   | 312,770         | -               | 312,770     | 282,357             | -       | 282,357     |
|                                          |      |                 |                 |             |                     |         |             |
| <b>Liabilities</b>                       |      |                 |                 |             |                     |         |             |
| Customer deposits                        | 28   | 19,923,655      | -               | 19,923,655  | 18,114,918          | -       | 18,114,918  |
| Derivative liabilities                   | 32   | 105,868         | 105,868         | -           | 195,498             | 195,498 | -           |
| Other financial liabilities              | 29   | 929,425         | -               | 929,425     | 906,925             | -       | 906,925     |
| On-lending facilities                    | 30   | 72,459          | -               | 72,459      | 83,755              | -       | 83,755      |
| Borrowings                               | 31   | -               | -               | -           | 377,003             | -       | 377,003     |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

#### 3.3.2 Measurement of Market Risk

The Group adopts both VAR and Non-VAR (Value-at-risk) approach for quantitative measurement and control of market risks in both trading and non-trading books. The Non -VAR (Value at risk) measurements includes Duration; Factor Sensitivities (Pv01), Stress Testing, Aggregate Open Position etc. The measured risks are therefore monitored against the pre-set limits daily. All exceptions are investigated and reported in line with internal policies and guidelines.

Limits are sets to reflect the risk appetite that is approved by the Board of Directors. These limits are reviewed, at least, annually or at a more frequent interval. Some of the limits include

- i. Net Open Position (NOP- for foreign exchange);
- ii. Aggregate Control Limits (for Securities);
- iii. Management Action Trigger (MAT);
- iv. Duration;
- v. Factor Sensitivities (Pv01);
- vi. Permitted Instrument and Tenor Limits;
- vii. Holding Period and Off Market Rate Tolerance limit.

Stress testing is an important risk management tool that is used by the Group as part of its enterprise-wide risk management. It is the evaluation of the Group's financial position under severe but plausible scenarios to assist in decision-making. Stress testing provides the Group with the opportunity to spot emerging risks, uncover weak spots and take preventive action. It also alerts management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital might be needed to absorb losses should large shocks occur. The Group adopts both single factor and multifactor stress testing approaches (sensitivity and scenario based) in conducting stress testing within the risk areas of liquidity, foreign exchange, interest rate, market, and credit risks. Stress testing is conducted both on a regular and ad-hoc basis in response to changing financial, regulatory, and economic environment/circumstances.

#### 3.3.3 Foreign exchange risk

Fluctuations in the prevailing foreign currency exchange rates can affect the Group's financial position and cash flows - 'on' and 'off' balance sheet. The Group manages part of the foreign exchange risks through designating part of its derivatives for hedge accounting purposes and trading other basic derivative products. The risk is also managed by ensuring that all risks taken by the Group are within approved limits. In addition to adherence to regulatory limits, Zenith Group established various internal limits (such as non-VAR models, overall Overnight and Intra-day positions), dealer limits, as well as individual currency limits among others limits which are monitored by the Market Risk Department on a regular basis. These limits are set with the aim of minimizing the Group's risk exposures to exchange rates volatilities to an acceptable level. The Group's transactions are carried out majorly in nine (9) foreign currencies with a significant percentage of transactions involving US Dollars.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued) Group

The table below summarizes the Group's exposure to foreign currency exchange rate risk at 30 June 2026 and 31 December 2025. Included in the table are the Group's financial instruments at carrying amounts, categorised by currency.

| In millions of Naira                      |            |           |           |         |           |            |
|-------------------------------------------|------------|-----------|-----------|---------|-----------|------------|
| At 30 June 2026                           |            |           |           |         |           |            |
|                                           | Naira      | Dollar    | GBP       | Euro    | Others    | Total      |
| <b>Assets</b>                             |            |           |           |         |           |            |
| Cash and balances with central banks      | 5,843,213  | 214,057   | 24,213    | 24,961  | 771,790   | 6,878,234  |
| Treasury bills                            | 3,359,270  | 768,844   | -         | -       | 529,155   | 4,657,269  |
| Assets pledged as collaterals             | 90,162     | 37,978    | -         | -       | -         | 128,140    |
| Due from other banks                      | 22,873     | 1,224,633 | 135,159   | 543,916 | 162,119   | 2,088,700  |
|                                           | -          | -         | -         | -       | -         | -          |
| Derivative assets-non hedging instruments | -          | 4,146     | 2,023     | -       | 48        | 6,217      |
| Loans and advances to customers           | 5,353,044  | 5,311,416 | 173,372   | 180,004 | 1,030,529 | 12,048,365 |
| Investment securities                     | 1,908,002  | 2,599,149 | 298,665   | 107,637 | 473,515   | 5,386,968  |
| Other financial assets                    | 278,350    | 29,861    | 14        | 1       | 362,588   | 670,814    |
| <b>Liabilities</b>                        |            |           |           |         |           |            |
| Customer's deposits                       | 13,275,697 | 9,291,739 | 729,710   | 433,860 | 2,616,897 | 26,347,903 |
| Derivative liabilities                    | 1          | 105,916   | 358       | -       | -         | 106,275    |
| Other financial liabilities               | 307,622    | 524,769   | 22,698    | 79,307  | 52,477    | 986,873    |
| On-lending facilities                     | 72,459     | -         | -         | -       | 14,801    | 87,260     |
| Borrowings                                | -          | -         | -         | -       | 11,128    | 11,128     |
| <b>In millions of Naira</b>               |            |           |           |         |           |            |
| At 31 December 2025                       |            |           |           |         |           |            |
|                                           | Naira      | Dollar    | GBP       | Euro    | Others    | Total      |
| <b>Assets</b>                             |            |           |           |         |           |            |
| Cash and balances with central banks      | 5,842,063  | 171,265   | 19,733    | 39,127  | 853,237   | 6,925,425  |
| Treasury bills                            | 3,635,685  | 258,043   | -         | -       | 769,084   | 4,662,812  |
| Assets pledged as collaterals             | 94,477     | 21,048    | -         | -       | -         | 115,525    |
| Due from other banks                      | 199        | 1,833,014 | 182,983   | 586,567 | 118,909   | 2,721,673  |
| Derivative assets-Non Hedging instrument  | -          | 4,858     | -         | -       | 3,288     | 8,146      |
| Loans and advances to customers           | 4,637,370  | 4,547,989 | 139,991   | 222,148 | 901,454   | 10,448,951 |
| Investment securities                     | 1,756,711  | 2,619,035 | 379,592   | 236,196 | 418,411   | 5,409,945  |
| Other financial assets                    | 272,906    | 9,082     | 1         | 1       | 225,212   | 507,202    |
| <b>Liabilities</b>                        |            |           |           |         |           |            |
| Customer's deposits                       | 10,757,394 | 9,129,778 | 1,019,339 | 686,701 | 2,736,751 | 24,329,963 |
| Derivative liabilities                    | -          | 195,498   | -         | -       | 574       | 196,072    |
| Other financial liabilities               | 360,888    | 460,504   | 24,321    | 55,821  | 56,757    | 958,291    |
| On-lending facilities                     | 83,755     | -         | -         | -       | 19,614    | 103,369    |
| Borrowings                                | 183,601    | 193,402   | -         | -       | 274,159   | 651,163    |

The Group's exposure to foreign currency risk is largely concentrated in the US Dollar. Movement in exchange rate between the US Dollar and the Nigerian Naira affects reported earnings through revaluation gain or loss and statement of financial position size through increase or decrease in the revalued amounts of assets and liabilities denominated in US Dollars.

The table below shows the impact on the Group's profit or loss and statements of financial position size if the exchange rate between the US Dollars, and Nigerian Naira had increased or decreased by 4.1% (31 December 2025: 7.04%, with all other variables held constant).

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

|                                                                                                                                                           | 30 June 2026 | 31 December<br>2025 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|---------------------|
| US Dollar effect of (4.1%) (31 December 2025: 7.04%) (down) movement on profit before tax and statement of financial position size (in millions of Naira) | (11,021)     | 36,252              |
| US Dollar effect of (4.1%) (31 December 2025: 7.04%) up movement on profit before tax and statement of financial position size (in millions of Naira)     | 11,021       | (36,252)            |
|                                                                                                                                                           |              |                     |
|                                                                                                                                                           | 30 June 2026 | 31 December<br>2025 |
| US Dollar effect of (4.1%) (31 December 2025: 7.04%) (down) movement on OCI and statement of financial position size (in millions of Naira)               | (92,885)     | (171,246)           |
| US Dollar effect of (4.1%) (31 December 2025: 7.04%) up movement on OCI and statement of financial position size (in millions of Naira)                   | 92,885       | 171,246             |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Bank

The table below summarizes the Bank's exposure to foreign currency exchange rate risk at 30 June 2026 and 31 December 2025. Included in the table are the Bank's financial instruments at carrying amounts, categorised by currency.

In millions of Naira

| At 30 June 2026                           | Naira      | Dollar    | GBP    | Euro    | Others | Total      |
|-------------------------------------------|------------|-----------|--------|---------|--------|------------|
| <b>Assets</b>                             |            |           |        |         |        |            |
| Cash and balances with central banks      | 5,843,206  | 12,268    | 17,976 | 12,104  | -      | 5,885,554  |
| Treasury bills                            | 3,359,271  | 768,845   | -      | -       | -      | 4,128,116  |
| Assets pledged as collaterals             | 90,162     | -         | -      | -       | -      | 90,162     |
| Due from other banks                      | 22,086     | 1,039,837 | 92,924 | 492,371 | 22,246 | 1,669,464  |
| Derivative assets-non hedging instruments | -          | 3,412     | -      | -       | -      | 3,412      |
| Loans and advances to customers           | 5,352,785  | 4,200,481 | 302    | 26,232  | 9      | 9,579,809  |
| Investment securities                     | 1,871,051  | 583,252   | -      | -       | -      | 2,454,303  |
| Other financial assets                    | 281,750    | 29,723    | 14     | 1       | 1,282  | 312,770    |
| <b>Liabilities</b>                        |            |           |        |         |        |            |
| Customer's deposit                        | 13,277,834 | 6,304,372 | 67,363 | 273,809 | 277    | 19,923,655 |
| Derivative liabilities                    | -          | 105,859   | 9      | -       | -      | 105,868    |
| Other financial liabilities               | 289,252    | 534,131   | 6,267  | 77,700  | 22,075 | 929,425    |
| On-lending facilities                     | 72,459     | -         | -      | -       | -      | 72,459     |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

In millions of Naira

| At 31 December 2025                      | Naira      | Dollar    | GBP    | Euro    | Others | Total      |
|------------------------------------------|------------|-----------|--------|---------|--------|------------|
| <b>Assets</b>                            |            |           |        |         |        |            |
| Cash and balances with central banks     | 5,842,063  | 14,200    | 13,791 | 21,202  | -      | 5,891,256  |
| Treasury bills                           | 3,635,686  | 258,043   | -      | -       | -      | 3,893,729  |
| Assets pledged as collaterals            | 94,477     | -         | -      | -       | -      | 94,477     |
| Due from other banks                     | -          | 1,828,833 | 92,039 | 505,339 | 24,170 | 2,450,381  |
| Derivative Asset -non hedging Instrument | -          | 1,416     | -      | -       | -      | 1,416      |
| Loans and advances to customers          | 4,637,085  | 3,512,376 | 484    | 17,399  | -      | 8,167,344  |
| Investment securities                    | 1,723,321  | 616,673   | -      | -       | -      | 2,339,994  |
| Other financial assets                   | 273,272    | 9,082     | 1      | 1       | -      | 282,356    |
| <b>Liabilities</b>                       |            |           |        |         |        |            |
| Customer's deposits                      | 10,759,986 | 6,969,284 | 68,496 | 316,898 | 256    | 18,114,920 |
| Derivative liabilities                   | -          | 195,498   | -      | -       | -      | 195,498    |
| Other financial liabilities              | 339,647    | 480,263   | 4,790  | 56,199  | 26,026 | 906,925    |
| On-lending facilities                    | 83,755     | -         | -      | -       | -      | 83,755     |
| Borrowings                               | 183,601    | 193,402   | -      | -       | -      | 377,003    |
| Debt securities issued                   | -          | -         | -      | -       | -      | -          |

The Bank's exposure to foreign currency risk is largely concentrated in US Dollar. Movement in exchange rate between the US Dollar and the Nigerian Naira affects reported earnings through revaluation gain or loss and statement of financial position size through increase or decrease in the revalued amounts of assets and liabilities denominated in US Dollars. The Group's closing and average Dollar rate as at 30 June 2026 was N1,380.64/USD and N1,439.93/USD respectively.

The table below shows the impact on the Bank's profit and statement of financial position size if the exchange rate between the US Dollars, and Nigerian Naira had increased or decreased by 7.04% (31 December 2025: 7.04%), with all other variables held constant.

| In millions of Naira                                                                                                                                  | 30 June 2026 | 31 December 2025 |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|------------------|
| US Dollar effect of (4.1%) (31 December 2025: 7.04%) (down) movement on profit before tax and balance sheet size                                      | 12,622       | 112,508          |
| US Dollar effect of (4.1%) (31 December 2025: 7.04%) up movement on profit before tax and statement of financial position size (in millions of Naira) | (12,622)     | (112,508)        |
|                                                                                                                                                       |              |                  |
|                                                                                                                                                       | 30 June 2026 | 31 December 2025 |
| US Dollar effect of (4.1%) (31 December 2025: 7.04%) (down) movement on OCI and statement of financial position size (in millions of Naira)           | (14,410)     | (25,700)         |
| US Dollar effect of (4.1%) (31 December 2025: 7.04%) up movement on OCI and statement of financial position size (in millions of Naira)               | 14,410       | 25,700           |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

#### 3.3.3.1 Foreign exchange risk

A fair value hedge is used to hedge a change in the fair value of an asset or liability or an unrecognized firm commitment that is attributable to a particular risk and could affect the profit or loss or other comprehensive income.

The Bank manages the foreign currency risk on a group basis and items that are subject to the same risk are managed together. In prior year, the Bank designated its foreign currency borrowings and term deposits as hedged items in a formal hedge relationship for accounting purposes.

a) Hedged item: The Bank hedged the NGN/USD spot exchange rate risk arising from the translation of recognized foreign currency borrowings (see note 31) and savings and term deposits (see note 28) denominated in United States Dollars (USD) to NGN. This risk is due to the sustained depreciation of the Naira against the Dollar, leading to revaluation losses.

b) Hedging instrument: The Bank designated the spot component of its currency swaps with the Central Bank of Nigeria (CBN) as the hedging instrument in the hedge relationship for accounting purposes.

c) Hedge ratio :The Bank defined the hedge ratio as the actual ratio between the hedged item and hedging instruments. This is the ratio that the Bank uses for risk management purposes, which is appropriate for purposes of hedge accounting. The proportion of the hedging instrument designated in the hedge relationship is in line with the defined hedge ratio of 1:1.

d) Hedge effectiveness: An economic relationship between a hedged item and hedging instrument exists where the values of the hedged item and hedging instrument will typically move in opposite directions in response to movements in the hedged risk. The Bank's assessment is that gains and losses on the derivatives attributable to the spot component will continue to move in the opposite direction to the hedged items. The currency swap derivatives transaction was to "sell USD, buy NGN" at inception and "buy USD, sell NGN" at the forward date. A foreign currency gain is recognised if the Naira depreciates, and a loss recognised if it appreciates. For the hedged items - foreign currency liabilities, a foreign currency gain is recognised if the Naira appreciates, and a loss recognised if it depreciates. Therefore, management assessed that there is an economic relationship between the hedging instrument and the hedged item as they will generally move in the opposite direction.

The designated amounts and currency denomination for the hedge instruments and hedge items are also closely aligned. The Bank determines hedge effectiveness at the inception of the hedge relationship, and through quarterly prospective effectiveness assessments. Sources of ineffectiveness include; timing differences between the settlement dates of the hedged item and hedging instruments, credit risk of the Bank and its counterparty to the forward contract, and the use of existing currency swaps at the designation dates.

The Bank had no fair value hedge in current period.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 3.3.4 Interest Rate Risk

The Group is exposed to a considerable level of interest rate risk especially on the banking book (i.e. the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates). The Group has a significant portion of its liabilities in non-rate sensitive liabilities. This helps it in minimizing the impact of the exposure to interest rate risks. The Group also enjoys some form of flexibility in adjusting both lending and deposits rates to reflect market realities.

Group

The table below summarizes the Group's interest rate gap position:

At 30 June 2026

| In millions of Naira                                              | Note | Carrying amount | Rate sensitive | Non rate sensitive |
|-------------------------------------------------------------------|------|-----------------|----------------|--------------------|
| <b>Assets</b>                                                     |      |                 |                |                    |
| Cash and balances with central banks                              | 15   | 6,878,232       | -              | 6,878,232          |
| Treasury and other eligible bills (Amortized cost)                | 16   | 2,957,074       | -              | 2,957,074          |
| Assets pledged as collateral (Amortised cost)                     | 17   | 128,140         | -              | 128,140            |
| Due from other banks                                              | 18   | 2,088,701       | -              | 2,088,701          |
| Derivative Asset -Non Hedging Instrument                          | 40   | 6,217           | -              | 6,217              |
| Loans and advances to customers                                   | 20   | 12,048,363      | 5,976,315      | 6,072,048          |
| Investment securities (Amortized cost and Fair value through OCI) | 21   | 5,339,701       | 2,219,742      | 3,119,959          |
| Other financial assets                                            | 25   | 670,814         | -              | 670,814            |
|                                                                   |      | 30,117,242      | 8,196,057      | 21,921,185         |
| <b>Liabilities</b>                                                |      |                 |                |                    |
| Customer deposits                                                 | 28   | 26,347,904      | 10,748,777     | 15,599,127         |
| Derivative liabilities                                            |      | 106,276         | -              | 106,276            |
| Other financial liabilities                                       | 29   | 986,873         | -              | 986,873            |
| On-lending facilities                                             | 30   | 87,260          | -              | 87,260             |
| Borrowings                                                        | 31   | 11,128          | -              | 11,128             |
|                                                                   |      | 27,539,441      | 10,748,777     | 16,790,664         |
| Total interest rate gap                                           |      | 2,577,801       | (2,552,720)    | 5,130,521          |

The table shows the maturity profile of financial instruments that are rate sensitive.

| At 30 June 2026                                                   | Up to 1 month | 1 - 3 months | 3 - 6 months | 6 - 12 months | Over 1 year | Total rate sensitive |
|-------------------------------------------------------------------|---------------|--------------|--------------|---------------|-------------|----------------------|
| <b>In millions of Naira</b>                                       |               |              |              |               |             |                      |
| <b>Assets</b>                                                     |               |              |              |               |             |                      |
| Investment securities (Amortized cost and Fair value through OCI) | 200,663       | 426,334      | 363,774      | 214,348       | 1,014,623   | 2,219,742            |
| Loans and advances to customers                                   | 832,631       | 747,393      | 419,694      | 139,779       | 3,836,819   | 5,976,316            |
|                                                                   | 1,033,294     | 1,173,727    | 783,468      | 354,127       | 4,851,442   | 8,196,058            |
| <b>Liabilities</b>                                                |               |              |              |               |             |                      |
| Customer deposits                                                 | 9,447,585     | 516,813      | 303,250      | 271,058       | 210,071     | 10,748,777           |
|                                                                   | 9,447,585     | 516,813      | 303,250      | 271,058       | 210,071     | 10,748,777           |
| Total interest repricing gap                                      | (8,414,291)   | 656,914      | 480,218      | 83,069        | 4,641,371   | (2,552,719)          |



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

At 31 December 2025

|                                                                   | Note | Carrying amount | Rate sensitive | Non rate sensitive |
|-------------------------------------------------------------------|------|-----------------|----------------|--------------------|
| <b>In millions of Naira</b>                                       |      |                 |                |                    |
| <b>Assets</b>                                                     |      |                 |                |                    |
| Cash and balances with central banks                              | 15   | 6,925,425       | -              | 6,925,425          |
| Treasury and other eligible bills (Amortized cost)                | 16   | 4,232,601       | -              | 4,232,601          |
| Assets pledged as collateral (Amortised cost)                     | 17   | 115,525         | -              | 115,525            |
| Due from other banks                                              | 18   | 2,721,673       | 163,353        | 2,558,320          |
| Derivative assets                                                 | 40   | -               | -              | -                  |
| Derivatives Asset- Non Hedging instrument                         | 40   | 8,146           | -              | 8,146              |
| Loans and advances to customers                                   | 20   | 10,448,951      | 3,978,018      | 6,470,933          |
| Investment securities (Amortized cost and Fair value through OCI) | 21   | 5,374,869       | 2,424,956      | 2,949,912          |
| Other financial assets                                            | 25   | 507,202         | -              | 507,202            |
|                                                                   |      | 30,334,391      | 6,566,327      | 23,768,064         |
| <b>Liabilities</b>                                                |      |                 |                |                    |
| Customer deposits                                                 | 28   | 24,329,963      | 10,599,514     | 13,730,449         |
| Derivative liabilities                                            |      | 196,072         | -              | 196,072            |
| Other financial liabilities                                       | 29   | 958,292         | -              | 958,292            |
| On-lending facilities                                             | 30   | 103,369         | -              | 103,369            |
| Borrowings                                                        | 31   | 651,163         | 193,402        | 457,760            |
| Debt securities issued                                            |      | -               | -              | -                  |
|                                                                   |      | 26,238,858      | 10,792,916     | 15,445,942         |
| Total interest rate gap                                           |      | 4,095,533       | (4,226,589)    | 8,322,122          |

The table shows the maturity profile of financial instruments that are rate sensitive.

In millions of Naira

At 31 December 2025

|                                 | Up to 1 month | 1 - 3 months | 3 - 6 months | 6 - 12 months | Over 1 year | Total rate sensitive |
|---------------------------------|---------------|--------------|--------------|---------------|-------------|----------------------|
| <b>In millions of Naira</b>     |               |              |              |               |             |                      |
| <b>Assets</b>                   |               |              |              |               |             |                      |
| Due from other banks            | 322,481       | 719,082      | 228,060      | 243,696       | 911,637     | 2,424,956            |
| Derivative assets               | -             | 163,353      | -            | -             | -           | 163,353              |
| Loans and advances to customers | 428,163       | 735,209      | 288,602      | 268,741       | 2,257,303   | 3,978,018            |
|                                 | 750,644       | 1,617,644    | 516,662      | 512,437       | 3,168,940   | 6,566,327            |
| <b>Liabilities</b>              |               |              |              |               |             |                      |
| Customer deposits               | 9,427,979     | 267,293      | 270,223      | 297,817       | 336,203     | 10,599,515           |
| Derivative liabilities          | 49,031        | 144,371      | -            | -             | -           | 193,402              |
|                                 | 9,477,010     | 411,664      | 270,223      | 297,817       | 336,203     | 10,792,917           |
| Total interest repricing gap    | (8,726,366)   | 1,205,980    | 246,439      | 214,620       | 2,832,737   | (4,226,590)          |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Interest rate sensitivity showing fair value interest rate risk

|                                                                          | 30 June 2026     | 31 December 2025 |
|--------------------------------------------------------------------------|------------------|------------------|
| In millions of Naira                                                     |                  |                  |
| <b>Financial assets at FVPL</b>                                          |                  |                  |
| Treasury bills                                                           | 1,700,194        | 430,212          |
| Bonds                                                                    | 47,267           | 35,077           |
| Assets pledged as collateral                                             | -                | -                |
| <b>Total</b>                                                             | <b>1,747,461</b> | <b>465,289</b>   |
| Impact on income statement:                                              |                  |                  |
| Favourable change at -2% increase in interest rate (-0.5%)(2025: 2%)     | (217)            | 2,529            |
| Unfavourable change at -2 % decrease in interest rate (-0.5%) (2025: 2%) | 217              | (2,529)          |

The management of interest risk against interest rate gap limits is supplemented by monitoring the sensitivity of the Group's financial assets and liabilities to various scenarios. The table above shows how Interest rate movement affects reported income by causing an increase or decrease in net interest income and fair value changes.

#### Bank

The table below summarizes the Bank's interest rate gap position:

#### At 30 June 2026

| In millions of Naira                                              | Note | Carrying amount   | Rate sensitive     | Non-rate sensitive |
|-------------------------------------------------------------------|------|-------------------|--------------------|--------------------|
| <b>Assets</b>                                                     |      |                   |                    |                    |
| Cash and balances with central banks                              | 15   | 5,885,554         | -                  | 5,885,554          |
| Treasury and other eligible bills (Amortized cost)                | 16   | 2,428,052         | -                  | 2,428,052          |
| Assets pledged as collateral                                      | 17   | 90,162            | -                  | 90,162             |
| Due from other banks                                              | 18   | 1,669,463         | -                  | 1,669,463          |
| Derivative Asset -Non Hedging Instrument                          | 19   | 3,412             | -                  | 3,412              |
| Loans and advances to customers                                   | 20   | 9,579,809         | 3,532,897          | 6,046,912          |
| Investment securities (Amortized cost and Fair value through OCI) | 21   | 2,445,091         | -                  | 2,445,091          |
| Other financial assets                                            | 25   | 312,770           | -                  | 312,770            |
|                                                                   |      | <b>22,414,313</b> | <b>3,532,897</b>   | <b>18,881,416</b>  |
| <b>Liabilities</b>                                                |      |                   |                    |                    |
| Customer deposits                                                 | 28   | 19,923,655        | 7,869,757          | 12,053,898         |
| Derivative liabilities                                            |      | 105,868           | -                  | 105,868            |
| Other financial liabilities                                       | 29   | 929,425           | -                  | 929,425            |
| On-lending facilities                                             | 30   | 72,459            | -                  | 72,459             |
| Debt securities issued                                            |      | -                 | -                  | -                  |
|                                                                   |      | <b>21,031,407</b> | <b>7,869,757</b>   | <b>13,161,650</b>  |
| <b>Total interest rate gap</b>                                    |      | <b>1,382,906</b>  | <b>(4,336,860)</b> | <b>5,719,766</b>   |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

The table shows the maturity profile of financial instruments that are rate sensitive.

| At 30 June 2026<br>In millions of Naira | Up to 1 month | 1 - 3 months | 3 - 6 months | 6 - 12 months | Over 1 year | Total rate<br>sensitive |
|-----------------------------------------|---------------|--------------|--------------|---------------|-------------|-------------------------|
| <b>Assets</b>                           |               |              |              |               |             |                         |
| Loans and advances to customers         | 73,734        | 262,115      | 93,120       | 16,265        | 3,087,663   | 3,532,897               |
|                                         | 73,734        | 262,115      | 93,120       | 16,265        | 3,087,663   | 3,532,897               |
| <b>Liabilities</b>                      |               |              |              |               |             |                         |
| Customer deposits                       | 7,869,757     | -            | -            | -             | -           | 7,869,757               |
|                                         | 7,869,757     | -            | -            | -             | -           | 7,869,757               |
| Total interest repricing gap            | (7,796,023)   | 262,115      | 93,120       | 16,265        | 3,087,663   | (4,336,860)             |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

At 31 December 2025

| In millions of Naira                                              | Note | Carrying amount | Rate sensitive | Non rate sensitive |
|-------------------------------------------------------------------|------|-----------------|----------------|--------------------|
| <b>Assets</b>                                                     |      |                 |                |                    |
| Cash and balances with central banks                              | 15   | 5,891,436       | -              | 5,891,436          |
| Treasury and other eligible bills (Amortized cost)                | 16   | 3,464,089       | -              | 3,464,089          |
| Assets pledged as collaterals                                     | 17   | 94,477          | -              | 94,477             |
| Due from other banks                                              | 18   | 2,450,381       | 163,353        | 2,287,028          |
| Derivative assets                                                 | 40   | -               | -              | -                  |
| Derivatives Asset- Non Hedging instrument                         | 40   | 1,416           | -              | 1,416              |
| Loans and advances to customers                                   | 20   | 8,167,344       | 1,715,691      | 6,451,653          |
| Investment securities (Amortized cost and Fair value through OCI) | 21   | 2,306,154       | -              | 2,306,154          |
| Other financial assets                                            | 25   | 282,357         | -              | 282,357            |
|                                                                   |      | 22,657,654      | 1,879,044      | 20,778,610         |
| <b>Liabilities</b>                                                |      |                 |                |                    |
| Customer deposits                                                 | 28   | 18,114,919      | 8,538,630      | 9,576,289          |
| Derivative liabilities                                            | 29   | 195,498         | -              | 195,498            |
| Other financial liabilities                                       | 13   | 906,925         | -              | 906,925            |
| On-lending facilities                                             | 30   | 83,755          | -              | 83,755             |
| Borrowings                                                        | 31   | 377,003         | 193,402        | 183,601            |
| Debt securities issued                                            |      | -               | -              | -                  |
|                                                                   |      | 19,678,100      | 8,732,032      | 10,946,068         |
| Total interest rate gap                                           |      | 2,979,554       | (6,852,988)    | 9,832,542          |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

The table shows the maturity profile of financial instruments that are rate sensitive.

| At 31 December 2025             | Up to 1 month | 1 - 3 months | 3 - 6 months | 6 - 12 months | Over 1 year | Total rate sensitive |
|---------------------------------|---------------|--------------|--------------|---------------|-------------|----------------------|
| <b>In millions of Naira</b>     |               |              |              |               |             |                      |
| <b>Assets</b>                   |               |              |              |               |             |                      |
| Due from other banks            | -             | 163,353      | -            | -             | -           | 163,353              |
| Loans and advances to customers | 51,502        | 121,865      | 42,490       | 13,494        | 1,486,340   | 1,715,691            |
|                                 | 51,502        | 285,218      | 42,490       | 13,494        | 1,486,340   | 1,879,044            |
| <b>Liabilities</b>              |               |              |              |               |             |                      |
| Customer deposits               | 8,538,630     | -            | -            | -             | -           | 8,538,630            |
| Borrowings                      | 49,031        | 144,371      | -            | -             | -           | 193,402              |
|                                 | 8,587,661     | 144,371      | -            | -             | -           | 8,732,032            |
| Total interest repricing gap    | (8,536,159)   | 140,847      | 42,490       | 13,494        | 1,486,340   | (6,852,988)          |

### Interest rate sensitivity showing fair value interest rate risk

|                                                                 | 30 June 2026 | 31 December 2025 |
|-----------------------------------------------------------------|--------------|------------------|
| <b>In millions of Naira</b>                                     |              |                  |
| <b>Financial assets at FVPL</b>                                 |              |                  |
| Treasury bills                                                  | 1,700,064    | 429,640          |
| Bonds                                                           | 9,212        | 33,840           |
| Assets pledged as collateral                                    | -            | -                |
| Total                                                           | 1,709,276    | 463,480          |
| Impact on income statement:                                     |              |                  |
| Favourable change at -2% increase in interest rate (2025: 2%)   | 2,646        | 2,404            |
| Unfavourable change at -2% decrease in interest rate (2025: 2%) | (2,646)      | (2,404)          |

The management of interest risk against interest rate gap limits is supplemented by the monitoring of the sensitivity of the Group's financial assets and liabilities to various scenarios. Interest rate movement affects reported income by causing an increase or decrease in net interest income and fair value changes.

The effect of 50 basis points movement on profit is considered moderate and we do not expect all the rates to move at the same time and in the same direction. This risk can largely be handled by the flexibility in the changing/adjusting rates on loans and deposits.

### 3.3.5 Equity and commodity price risk

The group is exposed to equity price risk as a result of holding non-quoted equity investments. Unquoted equity securities held by the group is composed mainly of the following:

- (i) 5.229% equity holding in African Finance Corporation (AFC) valued at N349.30 billion and cost N40 billion.
- (ii) 3.6% equity holding in Nigerian Interbank Settlement Scheme (NIBBS) valued at N2.623 billion and cost N50 million.
- (iii) 2.31% equity holding in FMDQ holdings plc valued at N5.804 billion.
- (iv) 0.79% equity holding in Unified Payment Services (UPS) valued at N710 million.
- (v) 0.022% equity holdings in AFREXIM valued N666 million.
- (vi) 5.88% equity holding in Shared Agent Network expansion facility Limited (SANEF) valued at N50 million.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

The AFC is a private sector-led investment bank and development finance institution which has the Central Bank of Nigeria (CBN) as the single major shareholder with other African financial institutions and investors holding the remaining shares. The AFC operates a US Dollar-denominated statement of financial position and provides financing in this currency.

NIBSS was incorporated in 1993 and is owned by all licensed banks including the Central Bank of Nigeria (CBN). The Company is responsible for handling inter-bank payments, funds transfer and settlement, and it also operates the Nigerian Automated Clearing System (NACS).

FMDQ is a self-regulatory securities exchange providing infrastructure for trading, clearing, settlement, and quotation of fixed-income and other financial instruments. It works closely with regulators including the CBN, SEC, and DMO. Traditionally, FMDQ has been central to Nigeria's fixed income operations, supported by a robust rulebook and market governance framework.

In recent regulatory reforms announced by the CBN, significant portions of fixed income trading and settlement infrastructure are being transferred from FMDQ to the CBN, altering FMDQ's role and influence within the financial ecosystem.

The Group does not deal in commodities and is therefore not exposed to any commodity price risk. The sensitivity analysis of unquoted equity is stated in section 3.5 (c).

### 3.4 Liquidity risk

Liquidity risk is the potential loss arising from the Group's inability to meet its obligations as they fall due or its inability to fund increases in assets without incurring unacceptable costs or losses. Liquidity risk is not viewed in isolation, because financial risks are not mutually exclusive and liquidity risk is often triggered by consequences of other bank risks such as credit, market, and operational risks.

#### 3.4.1 Liquidity risk management process

The Group has a comprehensive liquidity risk management framework that ensures that adequate liquidity, including a cushion of unencumbered and high-quality liquid assets is maintained at all times, to enable the Group withstand a range of stress events, including those that might involve loss or impairment of funding sources.

The Group's liquidity risk exposure is monitored and managed by the Asset and Liability Management Committee (ALCO) on a regular basis. This process includes:

- (a) Projecting cash flows and considering the level of liquid assets necessary in relation thereto.
- (b) Monitoring balance sheet liquidity ratios against internal and regulatory requirements.
- (c) Maintaining a diverse range of funding sources with adequate back-up facilities.
- (d) Managing the concentration and profile of debt maturities.
- (e) Monitoring deposit concentration in order to avoid undue reliance on large individual depositors and ensure a satisfactory overall funding mix.
- (f) Maintaining up-to-date liquidity and funding contingency plans. These plans identify early indicators of stress conditions and describe actions to be taken in the event of difficulties arising from systemic or other crises while minimizing any adverse long-term implications for the business.
- (g) Regular conduct of stress testing, coupled with testing of contingency funding plans from time to time.

The Maximum Cumulative Outflow has remained positive all through the short tenor maturity buckets. Assessments are carried out on contractual basis. These reveal the very sound and robust liquidity position of the Group.

The Group maintains liquid assets and marketable securities adequate, within regulatory limits, to manage liquidity stress situation.

#### 3.4.2 Stress testing and contingency funding

##### Stress testing

The Group considers different liquidity risk mitigation tools, including a system of limits and liquidity buffers to be able to withstand a range of different stress events and adequately diversify funding structure and access to funding sources. Those events are regularly reviewed and monitored by the Asset and Liability Committee (ALCO). Alternative scenarios on liquidity positions and on risk mitigants are considered. In line with standard risk management practice and global best practice, the Group:

- (a). Conducts on a regular basis appropriate stress tests to:
  - i) Identify sources of potential liquidity strain; and

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

- ii) Ensure that current liquidity exposures continue to conform to the liquidity risk tolerance established by the board.
- (b). Analyses the separate and combined impact of possible future liquidity stresses on:
  - i) Cash flows;
  - ii) Liquidity position; and
  - iii) Profitability.

The Board and the Asset and Liability Committee (ALCO) regularly review the stresses and scenarios tested to ensure that their nature and severity remain appropriate and relevant to the Bank. These reviews take into the account the following:

- (a) Changes in market conditions;
- (b) Changes in the nature, scale or complexity of the Bank's business model and activities; and
- (c) The Group's practical experience in periods of stress.

The Group considers the potential impact of idiosyncratic Institution-Specific, market-wide and combined alternative scenarios while carrying out the test to ensure that all areas are appropriately covered. In addition, the Group also considers the impact of severe stress scenarios.

### Contingency Funding Plan

The Group maintains a contingency funding plan which sets out strategies for addressing liquidity. The Plan:

- (a) outlines strategies, policies and plans to manage a range of stresses.
- (b) establishes a clear allocation of roles and clear lines of management responsibility.
- (c) is formally documented.
- (d) includes clear invocation and escalation procedures.
- (e) is regularly tested and the result shared with the ALCO and Board.
- (f) outlines that Group's operational arrangements for managing a huge funding run.
- (g) is sufficiently robust to withstand simultaneous disruptions in a range of payment and settlement.
- (h) outlines how the Group will manage both internal communications and those with its external stakeholders; and

As part of the contingency funding plan process, the Group maintains committed credit lines that can be drawn in case of liquidity crises. These lines are renewed as at when due.

### 3.4.3 Funding approach

Our sources of liquidity are regularly reviewed by both ALCO and the Treasury Group in order to avoid undue reliance on large individual depositors and to ensure that a satisfactory overall funding mix is maintained at all times. The funding strategy is geared toward ensuring effective diversification in the sources and tenor of funding. The Group, however places greater emphasis on demand and savings deposits as against purchased funds in order to minimize the cost of funding.

As part of the management of liquidity risk arising from financial liabilities, the Group holds liquid assets comprising cash and cash equivalents, and debt securities issued by sovereigns, which can be readily sold to meet liquidity requirements. In addition, the Group maintains agreed lines of credit with other banks.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### (a) Exposure to liquidity risk

The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose, 'net liquid assets' includes cash and cash equivalents and investment-grade debt securities for which there is an active and liquid market less any balances with foreign banks and regulatory restricted cash. Customers' deposit excludes deposit denominated in foreign currencies. Details of the reported Group ratio of net liquid assets to deposits from customers at the reporting date and during the reporting period were as follows.

|                             | Group        |                  | Bank         |                  |
|-----------------------------|--------------|------------------|--------------|------------------|
|                             | 30 June 2026 | 31 December 2025 | 30 June 2026 | 31 December 2025 |
| At period end/year end      | 60.51%       | 71.00%           | 49.53%       | 55.00%           |
| Average for the period/year | 65.74%       | 63.00%           | 60.20%       | 52.00%           |
| Maximum for the period/year | 70.97%       | 71.00%           | 70.87%       | 56.00%           |
| Minimum for the period/year | 60.51%       | 52.00%           | 49.53%       | 44.00%           |

#### (b) Liquidity reserve

The table sets out the component of the Group's liquidity reserve. These are liquid instruments the Group uses to settle short term or current obligations.

| Group                                | 30 June 2026     | 31 December 2025 |
|--------------------------------------|------------------|------------------|
| In millions of naira                 | Gross value      | Gross value      |
| Cash and balances with central banks | 728,851          | 488,885          |
| Treasury bills                       | 4,657,433        | 4,662,881        |
| Balances with other banks            | 22,086           | 199              |
| Investment securities                | 2,624,356        | 2,492,413        |
| <b>Total</b>                         | <b>8,032,726</b> | <b>7,644,378</b> |
| <b>Bank</b>                          |                  |                  |
| In millions of naira                 | Gross value      | Gross value      |
| Cash and balances with central banks | 425,014          | 149,287          |
| Treasury bills                       | 4,128,279        | 3,893,795        |
| Balances with other banks            | 22,086           | -                |
| Investment securities                | 2,000,658        | 1,862,193        |
| <b>Total</b>                         | <b>6,576,037</b> | <b>5,905,275</b> |



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### (c) Financial assets available to support funding

The table below sets out the availability of the Group's financial assets to support future funding

#### Group

'In millions of Naira

|                                      |      | At 30 June 2026 |              |            | At 31 December 2025 |              |            |
|--------------------------------------|------|-----------------|--------------|------------|---------------------|--------------|------------|
|                                      | Note | Encumbered      | Unencumbered | Total      | Encumbered          | Unencumbered | Total      |
| Cash and balances with central banks | 15   | 6,149,382       | 728,851      | 6,878,233  | 6,436,541           | 488,885      | 6,925,426  |
| Treasury bills                       | 16   | -               | 4,657,269    | 4,657,269  | -                   | 4,662,814    | 4,662,814  |
| Assets pledged as collateral         | 17   | 128,140         | -            | 128,140    | 115,525             | -            | 115,525    |
| Due from other banks                 | 18   | 413,880         | 1,674,821    | 2,088,701  | 354,758             | 2,366,917    | 2,721,675  |
| Derivative Assets                    | 19   | -               | 6,217        | 6,217      | -                   | 8,146        | 8,146      |
| Loans and advances                   | 20   | -               | 12,048,363   | 12,048,363 | -                   | 10,448,951   | 10,448,951 |
| Investment securities                | 21   | -               | 5,386,967    | 5,386,967  | -                   | 5,409,945    | 5,409,945  |
| Other financial assets               | 25   | -               | 670,814      | 670,814    | -                   | 507,201      | 507,201    |

#### Bank

'In millions of Naira

|                                      |      | At 30 June 2026 |              |           | At 31 December 2025 |              |           |
|--------------------------------------|------|-----------------|--------------|-----------|---------------------|--------------|-----------|
|                                      | Note | Encumbered      | Unencumbered | Total     | Encumbered          | Unencumbered | Total     |
| Cash and balances with central banks | 15   | 5,460,540       | 425,014      | 5,885,554 | 5,742,149           | 149,287      | 5,891,436 |
| Treasury bills                       | 16   | -               | 4,128,116    | 4,128,116 | -                   | 3,893,729    | 3,893,729 |
| Assets pledged as collateral         | 17   | 90,162          | -            | 90,162    | 94,477              | -            | 94,477    |
| Due from other banks                 | 18   | 554,861         | 1,114,602    | 1,669,463 | 512,519             | 1,937,862    | 2,450,381 |
| Derivative assets                    | 19   | -               | 3,412        | 3,412     | -                   | 1,416        | 1,416     |
| Loans and advances                   | 20   | -               | 9,579,809    | 9,579,809 | -                   | 8,167,344    | 8,167,344 |
| Investment securities                | 21   | -               | 2,454,303    | 2,454,303 | -                   | 2,339,994    | 2,339,994 |
| Other financial assets               | 25   | -               | 312,770      | 312,770   | -                   | 282,357      | 282,357   |

#### (d) Financial assets pledged as collateral

The total financial assets recognized in the statement of financial position that have been pledged as collateral for liabilities as at 30 June 2026 and 31 December 2025 are shown above. Financial assets are pledged as collateral as part of sales and repurchases, borrowing transaction and collection agency transactions under terms that are usual for such activities.

The Group does not hold any financial assets accepted as collateral that the Group is permitted to sell or repledge in the absence of default.

#### 3.4.4 Liquidity gap analysis

The table below presents the cash flows of the Group's financial assets and liabilities and other liabilities by their remaining contractual maturities at the statement of financial position date. The amounts disclosed in the table are the contractual undiscounted cash flows, whereas the Group manages the inherent liquidity risk based on expected undiscounted cash flows.

The liquidity analysis of lease liability is disclosed in note 29c.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

Group

| At 30 June 2026<br>In millions of Naira  | Note | Up to 1 month     | 1 - 3 months     | 3 - 12<br>months | Over 1 year       | Non<br>contractual | Gross nominal<br>inflow/<br>(outflow) | Carrying<br>amount |
|------------------------------------------|------|-------------------|------------------|------------------|-------------------|--------------------|---------------------------------------|--------------------|
| <b>Assets</b>                            |      |                   |                  |                  |                   |                    |                                       |                    |
| <b>Non-derivative assets</b>             |      |                   |                  |                  |                   |                    |                                       |                    |
| Cash and balances with central banks     | 15   | 733,237           | -                | -                | -                 | 6,144,998          | 6,878,235                             | 6,878,235          |
| Treasury bills                           | 16   | 758,244           | 914,260          | 3,384,453        | 151               | -                  | 5,057,108                             | 4,657,269          |
| Assets pledged as collateral             | 17   | 41,570            | 8,398            | 6,192            | 179,086           | -                  | 235,246                               | 128,140            |
| Due from other banks                     | 18   | 1,876,183         | 85,109           | 98,088           | 8,572             | 51,106             | 2,119,058                             | 2,088,701          |
| Loans and advances to customers          | 20   | 1,612,180         | 2,322,927        | 3,617,403        | 7,930,953         | -                  | 15,483,463                            | 12,048,363         |
| Investment securities                    | 21   | 242,155           | 578,835          | 1,337,358        | 4,149,206         | 359,162            | 6,666,716                             | 5,386,967          |
| Other financial assets                   | 25   | 530,941           | 317              | 8,214            | 531               | 153,091            | 693,094                               | 670,814            |
|                                          |      | <b>5,794,510</b>  | <b>3,909,846</b> | <b>8,451,708</b> | <b>12,268,499</b> | <b>6,708,357</b>   | <b>37,132,920</b>                     | <b>31,858,489</b>  |
| <b>Liabilities</b>                       |      |                   |                  |                  |                   |                    |                                       |                    |
| <b>Non-derivative liabilities</b>        |      |                   |                  |                  |                   |                    |                                       |                    |
| Customer's deposits                      | 28   | 24,442,998        | 1,888,325        | 1,429,591        | 150,389           | -                  | 27,911,303                            | 26,347,904         |
| Other financial liabilities              | 29   | 679,768           | 298,045          | 5,363            | 45,861            | (17,608)           | 1,011,429                             | 986,873            |
| On-lending facilities                    | 30   | 17,130            | 4,685            | 23,640           | 55,182            | -                  | 100,637                               | 87,260             |
| Borrowings                               | 31   | 8,954             | 2,169            | 683              | -                 | -                  | 11,806                                | 11,128             |
|                                          |      | <b>25,148,850</b> | <b>2,193,224</b> | <b>1,459,277</b> | <b>251,432</b>    | <b>(17,608)</b>    | <b>29,035,175</b>                     | <b>27,433,165</b>  |
| Derivative Asset -Non Hedging Instrument |      |                   |                  |                  |                   |                    |                                       |                    |
| Gross settled:                           |      |                   |                  |                  |                   |                    |                                       |                    |
| Receivable                               |      | 135,030           | 17,326           | 65,587           | 462               | -                  | 218,405                               | 6,217              |
| Payable                                  |      | 116,923           | 16,948           | 64,575           | -                 | -                  | 198,446                               | 6,217              |
| <b>Derivative liabilities</b>            |      |                   |                  |                  |                   |                    |                                       |                    |
| Gross settled:                           |      |                   |                  |                  |                   |                    |                                       |                    |
| Receivable                               | 32   | 95,098            | 60,985           | 1,078,849        | -                 | -                  | 1,234,932                             | 106,276            |
| Payable                                  |      | 94,715            | 60,971           | 1,078,839        | -                 | -                  | 1,234,525                             | 106,276            |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

| At 31 December 2025<br>In millions of Naira        | Note | Up to 1 month     | 1 - 3 months     | 3 - 12<br>months | Over 1 year       | Non<br>contractual | Gross<br>nominal<br>inflow/<br>(outflow) | Carrying amount   |
|----------------------------------------------------|------|-------------------|------------------|------------------|-------------------|--------------------|------------------------------------------|-------------------|
| <b>Assets</b>                                      |      |                   |                  |                  |                   |                    |                                          |                   |
| <b>Non-derivative assets</b>                       |      |                   |                  |                  |                   |                    |                                          |                   |
| Cash and balances with central banks               | 15   | 491,272           | -                | -                | 692,004           | 5,742,149          | 6,925,425                                | 6,925,425         |
| Treasury bills                                     | 16   | 748,074           | 2,805,539        | 1,344,469        | -                 | -                  | 4,898,082                                | 4,662,814         |
| Assets pledged as collateral                       | 17   | 5,819             | 5,000            | 5,819            | 217,146           | -                  | 233,784                                  | 115,525           |
| Due from other banks                               | 18   | 2,542,796         | 172,540          | 15,771           | 6,306             | 3,470              | 2,740,883                                | 2,721,675         |
| Loans and advances to customers                    | 20   | 1,214,605         | 2,006,867        | 3,767,787        | 7,663,766         | -                  | 14,653,025                               | 10,448,952        |
| Investment securities                              | 21   | 428,234           | 1,065,739        | 1,354,647        | 3,280,472         | 374,525            | 6,503,617                                | 5,409,945         |
| Other financial assets                             | 25   | 363,758           | 256              | 2,309            | 195               | 158,612            | 525,130                                  | 507,201           |
|                                                    |      | <b>5,794,558</b>  | <b>6,055,941</b> | <b>6,490,802</b> | <b>11,859,889</b> | <b>6,278,756</b>   | <b>36,479,946</b>                        | <b>30,791,538</b> |
| <b>Liabilities</b>                                 |      |                   |                  |                  |                   |                    |                                          |                   |
| <b>Non-derivative liabilities</b>                  |      |                   |                  |                  |                   |                    |                                          |                   |
| Customer's deposits                                | 28   | 20,276,611        | 2,195,145        | 1,516,792        | 398,719           | -                  | 24,387,267                               | 24,329,961        |
| Other financial Liabilities                        | 29   | 641,013           | 291,855          | 2,032            | 46,334            | (4,635)            | 976,598                                  | 959,474           |
| On-lending facilities                              | 30   | 201,967           | 6,950            | 24,032           | 79,600            | -                  | 312,548                                  | 103,369           |
| Borrowings                                         | 31   | 247,502           | 408,028          | 2                | 29,133            | -                  | 684,664                                  | 651,163           |
| Debt securities issued                             |      | -                 | -                | -                | -                 | -                  | -                                        | -                 |
|                                                    |      | <b>21,367,092</b> | <b>2,901,978</b> | <b>1,542,857</b> | <b>553,786</b>    | <b>(4,635)</b>     | <b>26,361,077</b>                        | <b>26,043,967</b> |
| <b>Derivative assets-Non Hedging Instrument</b> 32 |      |                   |                  |                  |                   |                    |                                          |                   |
| Gross settled:                                     |      |                   |                  |                  |                   |                    |                                          |                   |
| Receivable                                         |      | 116,911           | 157              | 1,484            | 1                 | -                  | 118,553                                  | 7,048             |
| Payable                                            |      | 66,733            | -                | -                | -                 | -                  | 66,733                                   | 7,048             |
| Net settled                                        |      | 143               | 403              | 551              | -                 | -                  | 1,098                                    | 1,098             |
| <b>Derivative liabilities</b> 32                   |      |                   |                  |                  |                   |                    |                                          |                   |
| Gross settled:                                     |      |                   |                  |                  |                   |                    |                                          |                   |
| Receivable                                         |      | 38,615            | 387,032          | 170,250          | 1,909,151         | -                  | 2,505,049                                | 194,474           |
| Payable                                            |      | 35,961            | 386,798          | 168,901          | 1,908,933         | -                  | 2,500,593                                | 194,474           |
| Net settled                                        |      | 143               | 403              | 551              | -                 | -                  | 1,098                                    | 1,098             |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

Bank

| At 30 June 2026<br>In millions of Naira               | Note | Up to 1 month     | 1 - 3 months     | 3 - 12 months    | Over 1 year      | Non contractual  | Gross nominal inflow/<br>(outflow) | Carrying amount   |
|-------------------------------------------------------|------|-------------------|------------------|------------------|------------------|------------------|------------------------------------|-------------------|
| <b>Assets</b>                                         |      |                   |                  |                  |                  |                  |                                    |                   |
| <b>Non-derivative assets</b>                          |      |                   |                  |                  |                  |                  |                                    |                   |
| Cash and balances with central banks                  | 15   | 425,014           | -                | -                | -                | 5,460,540        | 5,885,554                          | 5,885,554         |
| Treasury bills                                        | 16   | 399,041           | 908,406          | 3,147,082        | -                | -                | 4,454,529                          | 4,128,115         |
| Assets pledged as collateral                          | 17   | 5,692             | -                | 6,192            | 179,086          | -                | 190,970                            | 90,162            |
| Due from other banks                                  | 18   | 1,547,719         | 15,768           | 57,165           | -                | 51,106           | 1,671,758                          | 1,669,463         |
| Loans and advances to customers                       | 20   | 822,075           | 1,852,440        | 3,158,495        | 7,123,850        | -                | 12,956,860                         | 9,579,809         |
| Investment securities                                 | 21   | 15,397            | 111,508          | 623,297          | 2,600,355        | 359,162          | 3,709,719                          | 2,454,303         |
| Other financial assets                                | 25   | 169,695           | -                | 5,140            | -                | 158,951          | 333,786                            | 312,770           |
|                                                       |      | <b>3,384,633</b>  | <b>2,888,122</b> | <b>6,997,371</b> | <b>9,903,291</b> | <b>6,029,759</b> | <b>29,203,176</b>                  | <b>24,120,176</b> |
| <b>Liabilities</b>                                    |      |                   |                  |                  |                  |                  |                                    |                   |
| <b>Non-derivative liabilities</b>                     |      |                   |                  |                  |                  |                  |                                    |                   |
| Customer's deposits                                   | 28   | 18,022,459        | 1,033,544        | 816,282          | 148,674          | -                | 20,020,959                         | 19,923,655        |
| Other financial liabilities                           | 29   | 625,743           | 270,524          | 2,589            | 38,455           | -                | 937,311                            | 929,425           |
| On-lending facilities                                 | 30   | 17,130            | 4,685            | 14,866           | 40,381           | -                | 77,062                             | 72,459            |
| Debt securities issued                                |      | -                 | -                | -                | -                | -                | -                                  | -                 |
|                                                       |      | <b>18,665,332</b> | <b>1,308,753</b> | <b>833,737</b>   | <b>227,510</b>   | <b>-</b>         | <b>21,035,332</b>                  | <b>20,925,539</b> |
| <b>Derivative Asset - Non Hedging Instrument</b>      |      |                   |                  |                  |                  |                  |                                    |                   |
| Gross settled:                                        |      |                   |                  |                  |                  |                  |                                    |                   |
| Receivable                                            |      | 125,500           | 16,948           | 64,575           | -                | -                | 207,023                            | 3,412             |
| Payable                                               |      | 125,500           | 16,948           | 64,575           | -                | -                | 207,023                            | 3,412             |
| <b>Derivative liabilities- Non Hedging Instrument</b> |      |                   |                  |                  |                  |                  |                                    |                   |
| Gross settled:                                        | 32   |                   |                  |                  |                  |                  |                                    |                   |
| Receivable                                            |      | 94,715            | 60,971           | 1,078,839        | -                | -                | 1,234,525                          | 105,869           |
| Payable                                               |      | 94,715            | 60,971           | 1,078,839        | -                | -                | 1,234,525                          | 105,869           |
| <b>At 31 December 2025</b>                            |      |                   |                  |                  |                  |                  |                                    |                   |
| In millions of Naira                                  | Note | Up to 1 month     | 1 - 3 months     | 3 - 12 months    | Over 1 year      | Non contractual  | Gross nominal inflow/<br>(outflow) | Carrying amount   |
| <b>Assets</b>                                         |      |                   |                  |                  |                  |                  |                                    |                   |
| <b>Non-derivative assets</b>                          |      |                   |                  |                  |                  |                  |                                    |                   |
| Cash and balances with central banks                  | 15   | 149,287           | -                | -                | -                | 5,742,149        | 5,891,436                          | 5,891,436         |
| Treasury bills                                        | 16   | 285,897           | 2,544,154        | 1,298,928        | -                | -                | 4,128,979                          | 3,893,729         |
| Assets pledged as collateral                          | 17   | 5,819             | 5,000            | 5,819            | 188,891          | -                | 205,529                            | 94,477            |
| Due from other banks                                  | 18   | 2,284,040         | 166,656          | -                | -                | 3,470            | 2,454,166                          | 2,450,381         |
| Loans and advances to customers                       | 20   | 825,556           | 1,401,432        | 3,257,874        | 6,832,874        | -                | 12,317,736                         | 8,167,344         |
| Investment securities                                 | 21   | 97,166            | 330,054          | 821,000          | 1,782,663        | 374,525          | 3,405,408                          | 2,339,994         |
| Other financial assets                                | 25   | 136,914           | -                | 2,180            | -                | 161,136          | 300,230                            | 282,357           |
|                                                       |      | <b>3,784,679</b>  | <b>4,447,296</b> | <b>5,385,801</b> | <b>8,804,428</b> | <b>6,281,280</b> | <b>28,703,484</b>                  | <b>23,119,718</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

| At 31 December 2025<br>In millions of Naira     | Note | Up to 1 month     | 1 - 3 months     | 3 - 6 months   | 6 - 12<br>months | Over 1 year | Gross nominal<br>inflow/<br>(outflow) | Carrying amount   |
|-------------------------------------------------|------|-------------------|------------------|----------------|------------------|-------------|---------------------------------------|-------------------|
| <b>Liabilities</b>                              |      |                   |                  |                |                  |             |                                       |                   |
| <b>Non-derivative liabilities</b>               |      |                   |                  |                |                  |             |                                       |                   |
| Customer's deposits                             | 30   | 15,645,632        | 1,660,977        | 821,812        | 43,803           | -           | 18,172,224                            | 18,114,919        |
| Other financial liabilities                     | 29   | 609,462           | 291,855          | 1,631          | 7,254            | -           | 910,202                               | 906,925           |
| On-lending facilities                           | 30   | 3,496             | 6,951            | 24,032         | 52,189           | -           | 86,668                                | 83,755            |
| Borrowings                                      | 31   | 49,031            | 334,062          | -              | -                | -           | 383,093                               | 377,003           |
| Debt securities issued                          |      | -                 | -                | -              | -                | -           | -                                     | -                 |
|                                                 |      | <b>16,307,621</b> | <b>2,293,845</b> | <b>847,475</b> | <b>103,246</b>   | <b>-</b>    | <b>19,552,187</b>                     | <b>19,482,602</b> |
| <b>Derivative assets-Non Hedging Instrument</b> |      |                   |                  |                |                  |             |                                       |                   |
| Gross settled:                                  |      |                   |                  |                |                  |             |                                       |                   |
| Receivable                                      |      | 89,829            | -                | -              | -                | -           | 89,829                                | 318               |
| Payable                                         |      | 89,829            | -                | -              | -                | -           | 89,829                                | 318               |
| Net settled                                     |      | 143               | 403              | 551            | -                | -           | 1,097                                 | 1,098             |
| <b>Derivative liabilities</b>                   |      |                   |                  |                |                  |             |                                       |                   |
| Gross settled:                                  | 32   | -                 | -                | -              | -                | -           | -                                     | -                 |
| Receivable                                      |      | 35,961            | 386,798          | 168,901        | 1,908,933        | -           | 2,500,593                             | 194,400           |
| Payable                                         |      | 35,961            | 386,798          | 168,901        | 1,908,933        | -           | 2,500,593                             | 194,400           |
| Net settled                                     |      | 143               | 403              | 551            | -                | -           | 1,098                                 | 1,098             |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Liquidity gap analysis (continued)

The amounts in the tables above and below have been compiled as follows.

| Type of financial instrument                              | Basis on which amounts compiled                                                                                                                                                                                                                                           |
|-----------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Non-derivative financial liabilities and financial assets | Undiscounted cash flows, which include estimated interest payments.                                                                                                                                                                                                       |
| Issued financial guarantee contracts                      | Earliest possible contractual maturity. For issued financial guarantee contracts, the maximum amount of the guarantee is allocated to the earliest period in which the guarantee could be called.                                                                         |
| Derivative financial liabilities and financial assets     | Contractual undiscounted cash flows. The amounts shown are the gross nominal inflows and outflows for derivatives that have simultaneous gross settlement (e.g., forward exchange contracts and currency swaps) and the net amounts for derivatives that are net settled. |

The Group's expected cash flows on some financial assets and financial liabilities vary significantly from the contractual cash flows. The principal difference is on demand deposits from customers which are expected to remain stable or increase.

As part of the management of liquidity risk arising from financial liabilities, the Group holds liquid assets comprising cash and cash equivalents, and debt securities issued by sovereigns, which can be readily sold to meet liquidity requirements. In addition, the Group maintains agreed lines of credit with other banks and holds unencumbered assets that are eligible for use as collateral with central banks (these amounts are referred to as the 'Group's liquidity reserves').

#### Residual contractual maturities of off-balance sheet exposures.

##### Group

| At 30 June 2026                  | Carrying amount  | Less than 3 months | 3 - 12 months    | 1 to 5 Years     | More than 5 years |
|----------------------------------|------------------|--------------------|------------------|------------------|-------------------|
| <b>In millions of Naira</b>      |                  |                    |                  |                  |                   |
| <b>Financial guarantees</b>      |                  |                    |                  |                  |                   |
| Usance                           | 487,518          | (374,413)          | 487,518          | -                | -                 |
| Letters of Credit                | 1,812,108        | 314,437            | 1,872,061        | 24               | -                 |
| Performance bonds and Guarantees | 3,347,715        | 264,277            | 1,852,907        | 1,036,744        | 193,787           |
| undrawn overdraft                | 873,063          | 478,318            | 305,599          | 1,793            | -                 |
| <b>Total</b>                     | <b>6,520,404</b> | <b>682,619</b>     | <b>4,518,085</b> | <b>1,038,561</b> | <b>193,787</b>    |

##### Bank

| At 30 June 2026                  | Carrying amount  | Less than 3 months | 3 - 12 months    | 1 to 5 Years     | More than 5 years |
|----------------------------------|------------------|--------------------|------------------|------------------|-------------------|
| <b>In millions of Naira</b>      |                  |                    |                  |                  |                   |
| <b>Financial guarantees</b>      |                  |                    |                  |                  |                   |
| Usance                           | 487,518          | -                  | 487,518          | -                | -                 |
| Letters of Credit                | 1,657,776        | -                  | 1,657,776        | -                | -                 |
| Performance bonds and Guarantees | 3,307,822        | 224,384            | 1,852,907        | 1,036,744        | 193,787           |
| Undrawn overdraft                | 785,710          | 478,318            | 305,599          | 1,793            | -                 |
| <b>Total</b>                     | <b>6,238,826</b> | <b>702,702</b>     | <b>4,303,800</b> | <b>1,038,537</b> | <b>193,787</b>    |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Group

At 31 December 2025

|                                  | Carrying amount | Less than 3 months | 3 - 12 months | 1 to 5 Years | More than 5 years |
|----------------------------------|-----------------|--------------------|---------------|--------------|-------------------|
| <b>In millions of Naira</b>      |                 |                    |               |              |                   |
| <b>Financial guarantees</b>      |                 |                    |               |              |                   |
| Usance                           | 506,042         | 268,387            | 237,521       | 132          | -                 |
| Letters of Credit                | 1,128,057       | 373,977            | 740,730       | 8,708        | -                 |
| Performance bonds and Guarantees | 2,720,967       | 303,415            | 1,103,787     | 805,876      | 507,889           |
| Undrawn overdraft                | 605,879         | 98,444             | 432,575       | 1,591        | -                 |
| Total                            | 4,960,945       | 1,044,223          | 2,514,613     | 816,307      | 507,889           |

#### Bank

At 31 December 2025

|                                  | Carrying amount | Less than 3 months | 3 - 12 months | 1 to 5 Years | More than 5 years |
|----------------------------------|-----------------|--------------------|---------------|--------------|-------------------|
| <b>In millions of Naira</b>      |                 |                    |               |              |                   |
| <b>Financial guarantees</b>      |                 |                    |               |              |                   |
| Usance                           | 506,040         | 268,387            | 237,521       | 132          | -                 |
| Letters of Credit                | 993,444         | 432,101            | 553,625       | 7,717        | -                 |
| Performance bonds and Guarantees | 2,637,822       | 220,271            | 1,103,787     | 805,876      | 507,889           |
| Undrawn overdraft                | 532,610         | 98,444             | 432,575       | 1,591        | -                 |
| Total                            | 4,669,916       | 1,019,203          | 2,327,508     | 815,316      | 507,889           |

### 3.5 Fair value of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the Group's market assumptions. These two types of inputs have created the following fair value hierarchy.

- i) Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.
- ii) Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- iii) Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

This hierarchy requires the use of observable market data when available. The Group considers relevant and observable market prices in its valuations where possible.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### 3.5.a Classification of financial assets and liabilities and fair value hierarchy

##### Group

The table below sets out the Group's classification of each class of its financial assets and liabilities and fair value hierarchy.

| 30 June 2026                             | Fair value hierarchy |                |                  |           |         |         |
|------------------------------------------|----------------------|----------------|------------------|-----------|---------|---------|
| In millions of Naira                     | Note                 | Carrying value | Total Fair value | Level 1   | Level 2 | Level 3 |
| <b>Assets</b>                            |                      |                |                  |           |         |         |
| <b>Carried at FVTPL:</b>                 |                      |                |                  |           |         |         |
| Treasury bills                           | 16                   | 1,700,194      | 1,700,194        | 1,297,288 | 402,906 | -       |
| Investment securities (Fixed income)     | 21                   | 47,266         | 47,266           | 47,266    | -       | -       |
| Derivative Asset - Hedging Instrument    | 19                   | -              | -                | -         | -       | -       |
| Derivative Asset -Non Hedging Instrument | 19                   | 6,217          | 6,217            | -         | 6,217   | -       |
| Asset pledged as collateral              | 17                   | -              | -                | -         | -       | -       |
| <b>Carried at FVOCI:</b>                 |                      |                |                  |           |         |         |
| Equity securities (Unquoted)             | 21                   | 359,162        | 359,162          | -         | 349,302 | 9,860   |
| Debt securities                          | 21                   | 1,905,848      | 1,905,848        | 1,905,848 | -       | -       |
| <b>Carried at amortized cost:</b>        |                      |                |                  |           |         |         |
| Treasury bills                           | 16                   | 2,957,075      | 2,932,594        | 2,119,456 | 813,135 | -       |
| Assets pledged as collateral             | 17                   | 128,140        | 118,292          | 118,292   | -       | -       |
| Investment securities                    | 21                   | 3,074,691      | 3,032,733        | 2,975,709 | 57,024  | -       |
| <b>Liabilities</b>                       |                      |                |                  |           |         |         |
| <b>Carried at FVTPL</b>                  |                      |                |                  |           |         |         |
| Derivative liabilities                   | 32                   | 106,276        | 106,276          | -         | 106,276 | -       |

The carrying values of the following assets and liabilities (which are measured at amortized cost) are assumed to be their fair values:

- Cash and balances with central banks
- Due from other banks
- Other financial assets
- Loans and advances to customers
- Customers deposits
- Other financial liabilities
- Onlending
- Borrowings

See additional disclosures on valuation methods in Note 3.5d



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

31 December 2025

In millions of Naira

| 31 December 2025                         |      | Fair value hierarchy |                  |           |           |         |
|------------------------------------------|------|----------------------|------------------|-----------|-----------|---------|
| In millions of Naira                     | Note | Carrying value       | Total Fair value | Level 1   | Level 2   | Level 3 |
| <b>Assets</b>                            |      |                      |                  |           |           |         |
| <b>Carried at FVTPL:</b>                 |      |                      |                  |           |           |         |
| Treasury bills                           | 16   | 430,212              | 430,212          | 174,894   | 255,318   | -       |
| Investment securities (Fixed income)     | 21   | 35,077               | 35,077           | 34,742    | 335       | -       |
| Derivative Asset -Non Hedging Instrument | 19   | 8,146                | 8,146            | 3,443     | 4,703     | -       |
| <b>Carried at FVOCI:</b>                 |      |                      |                  |           |           |         |
| Equity securities (Unquoted)             | 21   | 374,525              | 374,525          | -         | 364,302   | 10,223  |
| Debt securities                          | 21   | 2,067,032            | 2,067,032        | 2,067,032 | -         | -       |
| <b>Carried at amortized cost:</b>        |      |                      |                  |           |           |         |
| Treasury bills                           | 16   | 4,232,602            | 4,221,901        | 2,394,193 | 1,827,708 | -       |
| Assets pledged as collateral             | 17   | 115,525              | 107,943          | 107,943   | -         | -       |
| Investment securities                    | 21   | 2,933,311            | 2,849,925        | 2,252,255 | 597,670   | -       |
| <b>Liabilities</b>                       |      |                      |                  |           |           |         |
| <b>Carried at FVTPL</b>                  |      |                      |                  |           |           |         |
| Derivative liabilities                   | 32   | 196,072              | 196,072          | -         | 196,072   | -       |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Bank

The table below sets out the Bank's classification of each class of its financial assets and liabilities.

| 30 June 2026                             | Fair value hierarchy |                |                  |           |         |         |
|------------------------------------------|----------------------|----------------|------------------|-----------|---------|---------|
| In millions of Naira                     | Note                 | Carrying value | Total Fair value | Level 1   | Level 2 | Level 3 |
| <b>Assets</b>                            |                      |                |                  |           |         |         |
| <b>Carried at FVTPL:</b>                 |                      |                |                  |           |         |         |
| Treasury bills                           | 16                   | 1,700,064      | 1,700,064        | 1,297,288 | 402,776 | -       |
| Investment securities (Fixed income)     | 21                   | 9,212          | 9,212            | 9,212     | -       | -       |
| Derivative Asset -Non Hedging Instrument | 19                   | 3,412          | 3,412            | -         | 3,412   | -       |
| <b>Carried at FVOCI:</b>                 |                      |                |                  |           |         |         |
| Equity securities (Unquoted)             | 21                   | 359,162        | 359,162          | -         | 349,302 | 9,860   |
| <b>Carried at amortized cost:</b>        |                      |                |                  |           |         |         |
| Treasury bills                           | 16                   | 2,428,052      | 2,403,564        | 1,590,429 | 813,135 | -       |
| Assets pledged as collateral             | 17                   | 90,162         | 80,314           | 80,314    | -       | -       |
| Investment securities                    | 21                   | 2,085,929      | 2,034,743        | 1,977,730 | 57,013  | -       |
| <b>Liabilities</b>                       |                      |                |                  |           |         |         |
| <b>Carried at FVTPL</b>                  |                      |                |                  |           |         |         |
| Derivative liabilities                   | 32                   | 105,869        | 105,869          | -         | 105,868 | -       |
| <b>Carried at amortized cost:</b>        |                      |                |                  |           |         |         |
| On-lending facilities                    | 30                   | 72,459         | 72,459           | -         | -       | -       |

The carrying values of the following assets and liabilities are assumed to be their fair values:

- Cash and balances with central banks
- Due from other banks
- Other financial assets
- Loans and advances to customers
- Customers deposits
- Other financial liabilities
- Onlending
- Borrowings

See additional disclosures on valuation methods in Note 3.5d

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

| 31 December 2025                         | Fair value hierarchy |                |                  |           |           |         |
|------------------------------------------|----------------------|----------------|------------------|-----------|-----------|---------|
| In millions of Naira                     | Note                 | Carrying value | Total Fair value | Level 1   | Level 2   | Level 3 |
| Assets                                   |                      |                |                  |           |           |         |
| Carried at FVTPL:                        |                      |                |                  |           |           |         |
| Treasury bills                           | 16                   | 429,640        | 429,640          | 174,323   | 255,318   | -       |
| Investment securities (Fixed income)     | 21                   | 33,840         | 33,840           | 33,505    | 335       | -       |
| Derivative Asset -Non Hedging Instrument | 19                   | 1,416          | 1,416            | -         | 1,416     | -       |
| Carried at FVOCI:                        |                      |                |                  |           |           |         |
| Equity securities (Unquoted)             | 21                   | 374,525        | 374,525          | -         | 364,302   | 10,223  |
| Treasury bills                           | 16                   | 3,464,089      | 3,466,777        | 1,639,069 | 1,827,708 | -       |
| Assets pledged as collateral             | 17                   | 94,477         | 86,895           | 86,895    | -         | -       |
| Investment securities                    | 21                   | 1,931,629      | 1,955,786        | 1,786,647 | 169,139   | -       |
| Liabilities                              |                      |                |                  |           |           |         |
| Carried at FVTPL                         |                      |                |                  |           |           |         |
| Derivative liabilities                   | 32                   | 195,498        | 195,498          | -         | 195,498   | -       |

### 3.5.b Financial instruments measured at fair value- Reconciliation of level 3.

Bank

| In millions of Naira                                                     | Other         |
|--------------------------------------------------------------------------|---------------|
| At 1 January 2025                                                        | 8,860         |
| Addition                                                                 | -             |
| Transfer due to non-availability of observable data                      | -             |
| Gain recognised through other comprehensive income of equity investments | 1,363         |
| <b>At 31 December 2025</b>                                               | <b>10,223</b> |

### Reconciliation of Level 3 items

|                                                                          |              |
|--------------------------------------------------------------------------|--------------|
| At 1 January 2026                                                        | 10,223       |
| Transfer out due to availability of data                                 | -            |
| Gain recognised through other comprehensive income of equity investments | (363)        |
| <b>At 30 June 2026</b>                                                   | <b>9,860</b> |

### 3.5.c Level 3 fair value measurements

(i) Unobservable inputs used in measuring fair value

The table below sets out information about significant unobservable inputs used at 30 June 2026 and 31 December 2025 in measuring financial instruments categorized as level 3 in the fair value hierarchy.

| Type of financial instrument | Fair values at 30 June 2026 | Valuation technique | Significant unobservable input             |
|------------------------------|-----------------------------|---------------------|--------------------------------------------|
| Unquoted equity investment   | N9.86 billion               | Equity DCF model.   | -Cost of equity.<br>-Terminal growth rate. |

Risk premium is determined by adding country risk premium to the product of market premium and equity beta.

(ii) The effect of unobservable inputs on fair value measurements

Although the Group believes that its estimates of fair value are appropriate, the use of different methodologies or assumptions could lead to different measurements of fair value. For fair value measurement in Level 3, changing one or more of the assumptions would have the following effects.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

#### Effect on OCI

| In millions of Naira | At 30 June 2026<br>The lowest and highest values if the cost of equity<br>and terminal growth rate decrease or increase by<br>1% and 0.25% respectively |               |              |
|----------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|--------------|
|                      | Lowest value                                                                                                                                            | Highest value | Actual value |
| FMDQ                 | 6,295                                                                                                                                                   | 5,378         | 5,804        |
| NIBSS                | 2,784                                                                                                                                                   | 2,483         | 2,624        |
| UPSL                 | 756                                                                                                                                                     | 671           | 711          |
| AFREXIM              | 562                                                                                                                                                     | 752           | 667          |

The table below shows the effect of changes in cost of equity and terminal growth rate on other comprehensive income

| In millions of Naira                                                               | 30 June 2026 | 31 December 2025 |
|------------------------------------------------------------------------------------|--------------|------------------|
| Effect of 1% decrease in cost of equity and 0.25% increase in terminal growth rate | (522)        | 662              |
| Effect of 1% increase in cost of equity and 0.25% decrease in terminal growth rate | 592          | (585)            |

### 3.5.d Fair valuation methods and assumptions

#### (i) Cash and balances with central banks

Cash and balances with Central banks represent cash held with Central banks of the various jurisdictions in which the Group operates. The fair value of these balances is their carrying amounts.

#### (ii) Due from other banks

Due from other banks represents balances with local and correspondence banks, inter-bank placements and items in the course of collection. The fair value of the current account balances, floating placements and overnight deposits are their carrying amounts.

#### (iii) Treasury bills, assets pledged as collateral and investment securities

Treasury bills represent short term instruments issued by the Central banks of the jurisdiction where the Group has operations. The fair value of treasury bills and bonds are determined with reference to quoted prices (unadjusted) in active markets for identical assets.

The fair values of quoted equity securities are determined by reference to quoted prices (unadjusted) in active markets for identical instruments. The fair value of the unquoted equity is determined on the basis of the discounted cashflow methodology which takes into account the discounted stream of estimated future income and free cashflows of the investment. Subsequently, the percentage holding of the Bank is then applied on the derived company value. Where available the fair value of unquoted equity is determined using recent market observable data.

#### (iv) Loans and advances to customers

Loans and advances are carried at amortized cost net of provision for impairment. The estimated fair value of loans and advances represents the amortised cost balance net of provision for impairment.

#### (v) Other financial assets/financial liabilities

Other financial assets/financial liabilities represent monetary assets, which usually have a short recycle period and as such, whose fair values approximate their carrying amount.

#### (vi) Customer deposits, on-lending and borrowings

The estimated fair value of deposits with no stated maturity, which includes non-interest-bearing deposits, is the amount repayable on demand.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

#### (vii) Derivatives

The Group uses widely recognised valuation models for determining the fair value of common and simple financial instruments, such as interest rate and currency swaps that use only observable market data and require little management judgement and estimation. Observable prices or model inputs are usually available in the market for listed debt and equity securities, exchange-traded derivatives, and simple OTC derivatives such as interest rate swaps. Availability of observable market prices and model inputs reduces the need for management judgement and estimation and reduces the uncertainty associated with determining fair values. Availability of observable markets prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

### 3.6 Capital management

The strategy for assessing and managing the impact of our business plans on present and future regulatory capital forms an integral part of the Group's strategic plan. Specifically, the Group considers how the present and future capital requirements will be managed and met against projected capital requirements. This is based on the Group's assessment and against the supervisory/regulatory capital requirements taking account of the Group business strategy and value creation to all its stakeholders.

The Group prides itself in maintaining a very healthy Capital Adequacy Ratio in all its areas of operations. Capital levels are determined either based on internal assessments or regulatory requirements. The Group maintained capital levels above the regulatory minimum prescribed in all its operating jurisdictions.

The Group's Capital Adequacy is reviewed regularly to meet regulatory requirements and standard of international best practices. The Group adopts and implements the decisions necessary to maintain the capital at a level that ensures the realisation of the business plan with a certain safety margin.

The Group undertakes a regular monitoring of capital adequacy and the application of regulatory capital by deploying internal systems based on the guidelines provided by the Central Bank of Nigeria (CBN) and the regulatory authorities of the subsidiaries for supervisory purposes.

The Group has consistently met and surpassed the minimum capital adequacy requirements applicable in all areas of operations.

Most of the Group's capital is Tier 1 (Core Capital) which consists of essentially share capital and reserves created by appropriations of retained earnings.

Banking subsidiaries in the Group, which are not incorporated in Nigeria, are directly regulated and supervised by their local banking regulators and are required to meet the capital requirement directive of the local regulatory jurisdiction. Parental support and guidance are given at the Group level at which the risk level in relation to capital level and adequacy is closely monitored. The Group meets all capital requests from these regulatory jurisdictions and determines the adequacy based on its expansion strategies and internal capital assessments.

The Group's capital plan is linked to its business expansion strategy, which anticipates the need for growth and expansion in its branch network and IT infrastructure. The capital plan sufficiently meets regulatory requirements and provides adequate cover for the Group's risk profile. The Group's capital adequacy remains strong and the capacity to generate and retain reserves continues to grow.

The Group will only seek additional capital where it finds compelling business need for it and with the expectation that the returns would adequately match the efforts and risks undertaken.

The following sources of funds are available to the Group to meet its capital growth requirements:

- (a) Profit from Operations: The Group has consistently reported good profit, which can easily be retained to support the capital base.
- (b) Issue of Shares: The Group has successfully assessed the capital market to raise equity and debt. With such experiences, the Group is confident that it can access the capital market when the need arises.
- (c) Bank Loans (long term/short term): In 2014 financial year, Zenith Bank commenced capital computations in accordance with Basel II standard under the guidelines issued by the Central Bank of Nigeria. The guidelines require capital adequacy computations based on the Standardized Approach for Credit Risk and Market Risk while Basic Indicator Measurement Approach was advised for Operational Risk. The capital requirement for the Bank has been set at 15% and an addition of 1% as a Systemically Important Bank (SIB) in accordance with the guidelines.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 3. Risk management (continued)

The table below shows the computation of the Group's capital adequacy ratio for the year ended 30 June 2026 as well 31 December 2025. During those two periods, the individual entities within the Group complied with all of the externally imposed capital requirements.

The Group and Bank's capital adequacy ratio are above the minimum statutory requirement.

|                                                             | Group           |                  | Bank            |                  |
|-------------------------------------------------------------|-----------------|------------------|-----------------|------------------|
| In millions of Naira                                        | 30 June 2026    | 31 December 2025 | 30 June 2026    | 31 December 2025 |
| <b>Tier 1 capital</b>                                       | <b>Basel II</b> | <b>Basel II</b>  | <b>Basel II</b> | <b>Basel II</b>  |
| Share capital                                               | 20,535          | 20,535           | 20,535          | 20,535           |
| Share premium                                               | 594,113         | 594,113          | 594,113         | 594,113          |
| Statutory reserves                                          | 768,723         | 711,416          | 676,444         | 630,330          |
| SMEIES reserve                                              | 3,729           | 3,729            | 3,729           | 3,729            |
| Retained earnings                                           | 2,815,883       | 2,808,194        | 1,915,641       | 2,013,692        |
| Non-controlling interest                                    | 3,914           | 3,794            | -               | -                |
| Total qualifying Tier 1 capital                             | 4,206,897       | 4,141,781        | 3,210,462       | 3,262,399        |
| Deferred tax assets                                         | (27,961)        | (32,296)         | -               | (1,756)          |
| Intangible assets                                           | (72,193)        | (78,821)         | (62,896)        | (69,371)         |
| Investment in capital of financial subsidiaries             | -               | -                | (72,519)        | (17,313)         |
| Excess exposure(s) over single obligor without CBN approval | (287,131)       | (317,841)        | (287,131)       | (317,841)        |
| Unsecured lending to subsidiaries within the same group     | -               | -                | -               | -                |
| Adjusted Total qualifying Tier 1 capital                    | 3,819,612       | 3,712,823        | 2,787,916       | 2,856,118        |
| <b>Tier 2 capital</b>                                       |                 |                  |                 |                  |
| Other comprehensive income (OCI)                            | 559,213         | 668,108          | 319,010         | 334,373          |
| Total qualifying Tier 2 capital                             | 559,213         | 668,108          | 319,010         | 334,373          |
| Investment in capital and financial subsidiaries            | -               | -                | (72,519)        | (17,313)         |
| Unsecured lending to subsidiaries within the same group     | -               | -                | (45,733)        | (46,846)         |
| Net Tier 2 Capital                                          | 559,213         | 668,108          | 200,758         | 270,214          |
| Total regulatory capital                                    | 4,378,825       | 4,380,931        | 2,988,674       | 3,126,331        |
| <b>Risk-weighted assets</b>                                 |                 |                  |                 |                  |
| Credit risk                                                 | 12,453,247      | 12,270,902       | 7,774,535       | 7,943,746        |
| Market risk                                                 | 227,465         | 163,474          | 76,117          | 42,227           |
| Operational risk                                            | 4,744,705       | 4,856,233        | 4,137,194       | 4,137,194        |
| Total risk-weighted assets                                  | 17,425,417      | 17,290,609       | 11,987,846      | 12,123,167       |
| <b>Risk-weighted Capital Adequacy Ratio (CAR)</b>           | <b>25.1 %</b>   | <b>25 %</b>      | <b>24.9 %</b>   | <b>26 %</b>      |

### 3.7 Operational risk

Operational Risk is the risk of loss resulting from inadequate and /or failed internal processes, people, and systems or from external events, including legal risk and any other risks. Operational risk exists in all products, processes and business activities.

The Group has a broad Operational Risk management framework which defines the set of activities designed to proactively identify, assess, and manage all operational risk components by aligning the people, technology and processes with best risk management practices towards enhancing stake holders' value and sustaining industry leadership.

Operational risk objectives include the following:

- To provide clear and consistent direction in all operations of the Group.
- To provide a standardised framework and appropriate guidelines for creating and managing all operational risk exposures; and
- To enable the Group identify and analyse events (both internal and external) that impact on its business.

The Operational Risk unit constantly conducts reviews to identify and assess the operational risk inherent in all material products, activities, processes, and systems. It also ensures that all business units within the Group monitor their operational risks using set standards and indicators. Significant issues and exceptions are reported to Risk Management and are also identified by the independent risk function for discussion at the Risk Management Committee.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

Disaster recovery procedures, business continuity planning, self-compliance assurance and internal audit also form an integral part of our operational risk management process.

The Bank uses the following tools and methodologies in the implementation of its Operational risk Management.

**Risk and Control Self-Assessment (RCSA)** - This is the process whereby risks that are inherent in Business Units strategies, objectives and activities are identified and the effectiveness of the controls over those risks evaluated and monitored bank wide. The Risk and Control Self-Assessment processes address risks and controls comprehensively. It incorporates the process for evaluating and managing all aspects of risk that is inherent in how and where the business is done.

**Key Risk Indicators (KRI)** - Key Risk Indicator is a measure which indicate the risk profile of the bank and any change thereof. KRIs act as early warning indicators and are used to monitor and predict potential operational loss events. KRIs are used in conjunction with system of thresholds. When the threshold or tolerance level for any KRI is breached, it triggers review, escalation, or management action. Risk indicators help keep the operational risk management dynamic and risk profile current.

**Loss Incident Reporting** – Loss incidents are reported by all business units using the Loss incident reporting template. The discipline of collecting loss data is not only needed to understand the dimensions of risk the Bank faces but also used to motivate staff to consider and more actively control key elements of risk. The Bank-wide data collection promotes a dialogue within the Bank about determining the major operational risk exposures and reinforces more qualitative efforts to manage operational risk within each of the business lines.

**Operational Risk Capital Computation** – The bank, based on Central Bank of Nigeria guideline, adopted basic indicator approach (BIA) in the calculation of its Operational Risk Capital adequacy. The estimated operational Risk Capital Charge is reported to the Board and management for capital planning and decision making.

#### **Business Continuity Management (BCM)**

In line with ISO 22301 Standards, the bank has a robust documented Business Continuity Plan. The primary objective of this plan is to protect the bank in the event of an undesired event in the form of fire outbreak, flood, theft or robbery, thunderstorm, unexpected breakdown of systems, networks, equipment, etc or any other form of disaster. This plan ensures that the bank recovers from disasters resulting in the partial or total loss of IT infrastructure and applications to normal business operations, in a timely, effective and efficient manner. The business continuity test is conducted at least once a year. The process is driven at a committee level but ably championed by the Risk Management Group.

#### **Operational Risk Reporting**

Periodic Operational Risk report highlighting key Operational risk identified are rendered to the Board, Management and other relevant stakeholders for awareness and prompt implementation of mitigation plans.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 3. Risk management (continued)

#### 3.8 Strategic risk

Strategic risk is a possible source of loss that might arise from the pursuit of an unsuccessful business plan. Strategic risk examines the impact of design and implementation of business models and decisions on earnings and capital as well as the organisation's responsiveness to industry changes. Processes and procedures have been established to ensure that the right models are employed and appropriately communicated to all decision makers in the Group on issues relating to strategic risk management. This has essentially driven the Group's sound banking culture and performance record to date.

#### 3.9 Legal risk

Legal risk is defined as the risk of loss due to defective contractual arrangements, legal liability (both criminal and civil) incurred during operations by the inability of the organisation to enforce its rights, or by failure to address identified concerns to the appropriate authorities where changes in the law are proposed.

The Group manages this risk by monitoring new legislation, creating awareness of legislation among employees, identifying significant legal risks as well as assessing the potential impact of these.

Legal risks management in the Group is also being enhanced by appropriate product risk review and management of contractual obligations via well documented Service Level Agreements and other contractual documents.

#### 3.10 Reputational risk

Reputational risk is defined as the risk of indirect losses arising from a decline in the bank's reputation among one or multiple bank stakeholders. The risk can expose the Group to litigation, financial loss or damage to its reputation. The Group's reputation risk management philosophy involves anticipating, acknowledging, and responding to changing values and behaviours on the part of a range of stakeholders. Accordingly, the following are the roles and responsibilities:

- (a) Board and senior management oversee the proper set-up and effective functioning of the reputational risk management framework.
- (b) Enterprise Risk Management Policy/Strategy (ERSP) is responsible for supporting the Board and senior management in overseeing the implementation of reputational risk management framework; and
- (c) Corporate Communications is responsible for managing both the internal and external communications that may impact the reputation of the Bank.

The process of reputation risk management within the Bank encompasses the following steps:

- i. Identification: Recognizing potential reputational risk as a primary and consequential risk.
- ii. Assessment: Conducting qualitative assessment of reputational risk based on the potential events that have been identified as reputational risk.
- iii. Monitoring: Undertaking frequent monitoring of the reputational risk drivers.
- iv. Mitigation and Control: Establishing preventive measures and controls for management of reputational risk and tracking mitigation actions.
- v. Independent review: Subjecting the reputational risk measures and mitigation techniques to regular independent review by internal auditors and/or external auditors; and
- vi. Reporting: Generating regular, action-oriented reports for management review.

#### 3.11 Taxation risk

Taxation risk refers to the risk that new taxation laws will adversely affect the Group and/or the loss as a result of non-compliance with tax laws.

The taxation risk is managed by monitoring applicable tax laws, maintaining operational policies that enable the Group to comply with taxation laws and, where required, seeking the advice of tax specialists.

#### 3.12 Regulatory risk

The Group manages the regulatory risk to which it is potentially exposed by monitoring new regulatory rules and applicable laws and identifying significant regulatory risks. The Group strives to maintain appropriate procedures, processes and policies that enable it to comply with applicable regulations.

The Group maintains zero tolerance posture for any regulatory breach in all its areas of operations.



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 4 Critical accounting estimate and judgements

The Group makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial period. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

#### 4.1 Impairment losses on loans and advances

Measurement of the expected credit loss allowance for financial assets.

The measurement of the expected credit loss allowance for loans and advances is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation techniques used in measuring ECL is further detailed in note 3.2.10 to 3.2.17.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Classification of exposures into DPD buckets for IFRS 9 staging using both quantitative and qualitative factors;
- Input assumptions applied in estimating probability of default, loss given default and exposure at default;
- Incorporation of forward-looking information;

Detailed information about the judgements and estimates made by the Group in the above areas is set out in note 3.2.10 to 3.2.17.

The table below shows the impact on expected credit losses on loans and advances of changes in macroeconomic risk drivers and how credit losses respond to 10% decrease and increase in macro-variables.

The Bank adjusted the relevant macroeconomic variables (GDP, prime lending rate, exchange rate, crude production and inflation rate) for each sector and they were used to determine the weighted probability of default (PD) for sensitivity analysis.

#### 30 June 2026

##### In millions of Naira

|                     | 10% increase | No change  | 10% decrease |
|---------------------|--------------|------------|--------------|
| Gross loans balance | 10,064,771   | 10,064,771 | 10,064,771   |
| Loss allowance      | 476,410      | 484,962    | 492,318      |

#### 4.2 Determining fair value of equity instruments

The determination of fair value for financial assets and liabilities for which there is no observable market prices requires the use of valuation techniques as described in note 3.5(c). For financial instruments that trade infrequently and have little price transparency, fair value is less objective, and requires varying degrees of judgment depending on liquidity, concentration, uncertainty of market factors, pricing assumptions and other risks affecting the specific instrument.

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

i) Level 1: Quoted market price (unadjusted) in an active market for an identical instrument.

ii) Level 2: Valuation techniques based on observable inputs, either directly - i.e, as prices - or indirectly - i.e derived from prices. This category includes instruments such as forward contracts, swaps etc. valued using; quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

iii) Level 3: Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instrument that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments. See note 3.5c for sensitivity analysis on unquoted equity investments.

#### 4.3 Deferred tax assets and liabilities

The deferred tax assets and liabilities recognized by the Group are dependent on the availability of taxable profit in the foreseeable future to utilize the deferred tax. The Group reviews the carrying amount of the deferred tax at the end of each reporting period and recognizes an amount such that it is probable that sufficient taxable profit will be available which the Group can use the benefit therefrom.

In determining the deferred tax assets recognized in the financial statements, the Group has applied judgement in estimating the deferred tax recoverable in the foreseeable future. This involves the estimation of future income and expenses, and the consideration of non-taxable income and disallowable expenses in order to arrive at the future taxable profit / loss.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 5. Segment Analysis

The Group's strategic divisions offer different products and services, and are managed separately based on the Group's management and internal reporting structure.

The Group's operations are primarily organised on the basis of its products and service offerings in Nigeria, while the banking operations outside Nigeria are reported separately for Africa and Europe. The following summary describes each of the Group's reportable segments:

#### **(a) Corporate, Public, Retail Banking, Pension Custodial services and Nominee - Nigeria**

This segment provides a broad range of banking and pension custodial services to a diverse group of corporations, financial institutions, investment funds, governments and individuals.

#### **(b) Outside Nigeria Banking - Africa and Europe**

This segment provide a broad range of banking services to a diverse group of corporations, financial institutions, investment funds, governments and individuals outside Nigeria. The reportable segment covers banking operations in other parts of Africa (Ghana, Sierra Leone, The Gambia, Kenya and Cote d'Ivoire) and in Europe (the United Kingdom) respectively.

Segment profit before tax, as included in internal management reports reviewed by the Board of Directors, is used to measure performance because management believes that this information is the most relevant in evaluating the results of the respective segments relative to other entities that operate within the same industries.

No single external customer accounts for 10% or more of the Group's revenue. The measurement policies the Group uses for segment reporting are the same as those used in its financial statements. There have been no changes from prior periods in the measurement methods used to determine reported segment profit or loss.

#### **(c) Segment reporting**

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

The board of Directors assess the financial performance and position of the group and makes strategic decisions. The board of Directors is the chief operating decision maker.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 5. Segment Analysis (continued)

Information regarding each reportable segment is included in the tables below. The tables also show the reconciliation of the amounts in the statement of profit or loss and statement of financial position for the reportable segments to the amounts in the Group's statement of profit or loss and statement of financial position.

#### In millions of Naira

#### 30 June 2026

Interest and similar income  
Total Income on fee and commission  
Other operating income  
Trading gains

Total revenue

#### Revenue:

Derived from external customers  
Derived from other business segments

#### Total revenue

Interest expense  
Impairment loss on financial assets  
Depreciation charge  
Amortisation charge  
Fees and commission expense  
Admin and operating expenses

Profit before tax  
Tax expense

Profit after tax

| Nigeria                                          | Outside Nigeria |                | Total (Outside Nigeria) | Total reportable segments | Eliminations   | Consolidation    |
|--------------------------------------------------|-----------------|----------------|-------------------------|---------------------------|----------------|------------------|
| Corporate retail and pensions custodian services | Africa          | Europe         |                         |                           |                |                  |
|                                                  |                 |                |                         |                           |                |                  |
| 1,407,834                                        | 173,611         | 102,200        | 275,811                 | 1,683,645                 | (7,523)        | 1,676,121        |
| 200,098                                          | 39,551          | 9,272          | 48,823                  | 248,921                   | (4,483)        | 244,438          |
| 58,989                                           | 8,976           | 1,373          | 10,349                  | 69,338                    | 2,291          | 71,629           |
| (116,832)                                        | 22,416          | 2,173          | 24,589                  | (92,243)                  | -              | (92,244)         |
| 1,550,089                                        | 244,554         | 115,018        | 359,572                 | 1,909,661                 | (9,715)        | 1,899,944        |
|                                                  |                 |                |                         |                           |                |                  |
| 1,545,969                                        | 244,235         | 114,223        | 358,458                 | 1,904,427                 | -              | 1,904,427        |
| 4,118                                            | 319             | 795            | 1,114                   | 5,232                     | (9,715)        | (4,483)          |
| <b>1,550,087</b>                                 | <b>244,554</b>  | <b>115,018</b> | <b>359,572</b>          | <b>1,909,659</b>          | <b>(9,715)</b> | <b>1,899,944</b> |
|                                                  |                 |                |                         |                           |                |                  |
| (336,810)                                        | (52,755)        | (39,758)       | (92,513)                | (429,323)                 | 7,523          | (421,800)        |
| (140,698)                                        | 4,984           | (5,405)        | (421)                   | (141,119)                 | -              | (141,119)        |
| (27,323)                                         | (7,252)         | (848)          | (8,100)                 | (35,423)                  | -              | (35,423)         |
| (6,600)                                          | (1,336)         | (621)          | (1,957)                 | (8,557)                   | -              | (8,557)          |
| (65,917)                                         | (4,230)         | -              | (4,230)                 | (70,147)                  | 4,483          | (65,664)         |
| (503,515)                                        | (51,442)        | (34,821)       | (86,263)                | (589,778)                 | -              | (589,778)        |
|                                                  |                 |                |                         |                           |                |                  |
| 469,226                                          | 132,523         | 33,565         | 166,088                 | 635,314                   | 2,291          | 637,603          |
| (155,322)                                        | (43,994)        | (7,525)        | (51,519)                | (206,841)                 | -              | (206,841)        |
|                                                  |                 |                |                         |                           |                |                  |
| 313,904                                          | 88,529          | 26,040         | 114,569                 | 428,473                   | 2,291          | 430,762          |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 5. Segment Analysis (continued)

In millions of Naira  
30 June 2026

Expenditure on non-current assets

| Nigeria<br>Corporate retail<br>and pensions<br>custodian<br>services | Outside Nigeria |        | Total (Outside<br>Nigeria) | Total reportable<br>segments | Eliminations | Consolidation |
|----------------------------------------------------------------------|-----------------|--------|----------------------------|------------------------------|--------------|---------------|
|                                                                      | Africa          | Europe |                            |                              |              |               |
| 98,538                                                               | 17,989          | 1,960  | 19,949                     | 118,487                      | -            | 118,487       |

In millions of Naira  
30 June 2026

Total assets

| Nigeria Corporate<br>retail and<br>pensions<br>custodian<br>services | Outside Nigeria |           | Total (Outside<br>Nigeria) | Total reportable<br>segments | Eliminations | Consolidation |
|----------------------------------------------------------------------|-----------------|-----------|----------------------------|------------------------------|--------------|---------------|
|                                                                      | Africa          | Europe    |                            |                              |              |               |
| 24,871,487                                                           | 4,237,854       | 4,266,561 | 8,504,415                  | 33,375,902                   | (729,997)    | 32,645,905    |

#### Other measures of assets

Loans and advances to customers

Treasury bills

Investment securities

Total liabilities

|            |           |           |           |            |           |            |
|------------|-----------|-----------|-----------|------------|-----------|------------|
| 9,580,070  | 1,279,676 | 1,203,708 | 2,483,384 | 12,063,454 | (15,089)  | 12,048,365 |
| 4,128,116  | 529,153   | -         | 529,153   | 4,657,269  | -         | 4,657,269  |
| 2,491,255  | 654,529   | 2,241,184 | 2,895,713 | 5,386,968  | -         | 5,386,968  |
| 21,196,111 | 3,505,544 | 3,642,193 | 7,147,735 | 28,343,846 | (584,309) | 27,759,539 |
| 19,923,654 | 3,378,417 | 3,599,591 | 6,978,008 | 26,901,662 | (553,758) | 26,347,903 |
| -          | 24,071    | -         | 24,071    | 24,071     | (12,943)  | 11,128     |

#### Other measures of liabilities

Customer deposits

Borrowings

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 5. Segment Analysis (continued)

#### In millions of Naira

#### 31 December 2025

Interest and similar income  
Total Income on fee and commission  
Other operating income  
Trading gains

Total revenue

#### Revenue:

Derived from external customers  
Derived from other business segments

#### Total revenue

Interest expense  
Impairment loss on financial assets  
Depreciation charge  
Amortisation charge  
Fees and commission expense  
Admin and operating expenses

Profit before tax

Tax expense

Profit after tax

| Nigeria Corporate retail and pensions custodian services |   | Outside Nigeria |           | Total (Outside Nigeria) | Total reportable segments | Eliminations | Consolidation |
|----------------------------------------------------------|---|-----------------|-----------|-------------------------|---------------------------|--------------|---------------|
|                                                          |   | Africa          | Europe    |                         |                           |              |               |
|                                                          |   |                 |           |                         |                           |              |               |
| 3,047,570                                                | - | 422,637         | 230,960   | 653,597                 | 3,701,167                 | (28,206)     | 3,672,961     |
| 323,738                                                  | - | 73,171          | 18,721    | 91,892                  | 415,630                   | (9,699)      | 405,894       |
| 178,858                                                  | - | 439             | 3,441     | 3,880                   | 182,738                   | (6,476)      | 176,262       |
| (119,021)                                                | - | 48,849          | 7,054     | 55,903                  | (63,118)                  | -            | (63,114)      |
| 3,431,145                                                | - | 545,096         | 260,176   | 805,272                 | 4,236,417                 | (44,381)     | 4,192,003     |
|                                                          |   |                 |           |                         |                           |              |               |
| 3,398,652                                                | - | 544,154         | 249,197   | 793,351                 | 4,192,003                 | -            | 4,192,003     |
| 32,456                                                   | - | 943             | 10,982    | 11,925                  | 44,381                    | (44,381)     | -             |
| 3,431,108                                                | - | 545,097         | 260,179   | 805,276                 | 4,236,384                 | (44,381)     | 4,192,003     |
| (801,824)                                                | - | (157,077)       | (102,687) | (259,764)               | (1,061,588)               | 28,159       | (1,033,429)   |
| (725,333)                                                | - | (19,140)        | 2,863     | (16,277)                | (741,610)                 | -            | (741,610)     |
| (43,294)                                                 | - | (13,538)        | (1,744)   | (15,282)                | (58,576)                  | -            | (58,576)      |
| (12,791)                                                 | - | (2,563)         | (1,586)   | (4,149)                 | (16,940)                  | -            | (16,940)      |
| (113,411)                                                | - | (9,418)         | -         | (9,418)                 | (122,829)                 | 8,736        | (114,094)     |
| (796,423)                                                | - | (110,426)       | (58,157)  | (168,583)               | (965,006)                 | 1,023        | (963,984)     |
| 938,069                                                  | - | 232,934         | 98,865    | 331,803                 | 1,269,868                 | (6,463)      | 1,263,370     |
| (114,519)                                                | - | (83,542)        | (24,763)  | (108,305)               | (222,824)                 | -            | (222,824)     |
| 823,550                                                  | - | 149,392         | 74,102    | 223,494                 | 1,047,044                 | (6,463)      | 1,040,546     |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 5. Segment Analysis (continued)

In millions of Naira  
31 December 2025

Expenditure on non-current assets

|                                      | Nigeria Corporate retail and pensions custodian services |   | Outside Nigeria |           | Total (Outside Nigeria) | Total reportable segments | Eliminations | Consolidation |
|--------------------------------------|----------------------------------------------------------|---|-----------------|-----------|-------------------------|---------------------------|--------------|---------------|
|                                      |                                                          |   | Africa          | Europe    |                         |                           |              |               |
|                                      | 83,820                                                   | - | 22,511          | 3,646     | 26,157                  | 109,977                   | -            | 109,977       |
|                                      | Nigeria Corporate retail and pensions custodian services |   | Outside Nigeria |           | Total (Outside Nigeria) | Total reportable segments | Eliminations | Consolidation |
|                                      |                                                          |   | Africa          | Europe    |                         |                           |              |               |
|                                      | 23,645,127                                               | - | 4,111,184       | 4,308,473 | 8,419,657               | 32,064,784                | (606,733)    | 31,458,051    |
| <b>Other measures of assets</b>      |                                                          |   |                 |           |                         |                           |              |               |
| Loans and advances to customers      | 8,167,630                                                | - | 1,080,970       | 1,212,702 | 2,293,672               | 10,461,302                | (10,461,302) | -             |
| Treasury bills                       | 3,893,730                                                | - | 769,084         | -         | 769,084                 | 4,662,814                 | (4,662,814)  | -             |
| Investment securities                | 2,374,106                                                | - | 609,646         | 2,426,193 | 3,035,839               | 5,409,945                 | (5,409,945)  | -             |
| Total liabilities                    | 19,908,930                                               | - | 3,197,376       | 3,768,232 | 6,965,608               | 27,105,956                | (572,111)    | 26,533,845    |
| <b>Other measures of liabilities</b> |                                                          |   |                 |           |                         |                           |              |               |
| Customer deposits                    | 18,114,919                                               | - | 3,117,834       | 3,655,160 | 6,772,994               | 24,887,913                | (24,887,913) | -             |
| Borrowings                           | 377,003                                                  | - | 283,679         | -         | 283,679                 | 660,682                   | (660,682)    | -             |

\* Revenues are allocated based on the location of the operations.

\*\* Capital expenditure consists of expenditure on intangible assets and property and equipment during the year.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                      | Group        |              | Bank         |              |
|----------------------|--------------|--------------|--------------|--------------|
| In millions of Naira | 30 June 2026 | 30 June 2025 | 30 June 2026 | 30 June 2025 |

### 6. Interest and similar income

|                                          |                  |                  |                  |                  |
|------------------------------------------|------------------|------------------|------------------|------------------|
| Loans and advances to customers          | 945,846          | 935,752          | 826,589          | 848,353          |
| Placement with banks and discount houses | 72,263           | 121,084          | 54,951           | 98,099           |
| Treasury bills                           | 406,215          | 522,757          | 358,923          | 425,117          |
| Promissory notes                         | 111              | 737              | 111              | 737              |
| Commercial papers                        | 985              | 192              | 869              | -                |
| Government and other bonds               | 250,701          | 258,727          | 163,389          | 159,262          |
|                                          | <b>1,676,121</b> | <b>1,839,249</b> | <b>1,404,832</b> | <b>1,531,568</b> |

Interest and similar income represents interest income on financial assets measured at amortised cost and fair value through other comprehensive income. The interest is calculated using the effective interest method.

Interest income accrued on impaired financial assets amount to N3,063 million and N3,063 million (30 June 2025: N26,684 million and N1,631 million) for Group and Bank respectively.

### 7. Interest and similar expense

|                  |                |                |                |                |
|------------------|----------------|----------------|----------------|----------------|
| Current accounts | 118,625        | 111,380        | 105,631        | 95,796         |
| Savings accounts | 72,739         | 61,695         | 71,359         | 59,738         |
| Time deposits    | 195,933        | 176,760        | 133,117        | 111,762        |
| Borrowed funds   | 32,517         | 132,365        | 26,135         | 105,843        |
| Leases           | 1,986          | 2,325          | 569            | 579            |
|                  | <b>421,800</b> | <b>484,525</b> | <b>336,811</b> | <b>373,718</b> |

Total interest expense are calculated using the effective interest rate method reported above and does not include interest expense on financial liabilities carried at fair value through profit or loss.

### 8a. Impairment charge on financial instruments

|                                               |                |                |                |                |
|-----------------------------------------------|----------------|----------------|----------------|----------------|
| ECL on financial instruments:                 |                |                |                |                |
| Loans and advances( see note 3.2.18)          | 129,359        | 791,196        | 125,586        | 786,730        |
| Investment securities (see note 3.2.18)       | (4,717)        | 823            | (862)          | 52             |
| Treasury Bills (see note 3.2.18)              | 97             | 14             | 97             | 14             |
| Other financial assets (see note 3.2.18)      | 3,190          | 22,897         | 3,142          | 22,895         |
| Due from other banks (see note 3.2.18)        | 3              | (12,286)       | 3              | (12,286)       |
| Asset pledged as collateral (see note 3.2.18) | (2)            | 12             | (2)            | 12             |
| Off balance sheet (see note 3.2.18)           | 13,189         | (40,602)       | 12,708         | (40,032)       |
| <b>Total ECL on financial instruments:</b>    | <b>141,119</b> | <b>762,054</b> | <b>140,672</b> | <b>757,385</b> |

### 8b. Impairment (credit)/charge on non-financial instruments:

|                                          |   |         |   |         |
|------------------------------------------|---|---------|---|---------|
| Other non-financial assets (see note 25) | - | (1,240) | - | (1,240) |
|------------------------------------------|---|---------|---|---------|

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                      | Group        |              | Bank         |              |
|----------------------|--------------|--------------|--------------|--------------|
| In millions of Naira | 30 June 2026 | 30 June 2025 | 30 June 2026 | 30 June 2025 |

### 9. Net income on fee and commission

|                                                  |                |                |                |               |
|--------------------------------------------------|----------------|----------------|----------------|---------------|
| Credit related fees                              | 20,090         | 11,159         | 8,226          | 1,792         |
| Commission on turnover                           | 2,196          | 2,407          | -              | -             |
| Account maintenance fee                          | 52,763         | 43,224         | 49,587         | 40,344        |
| Income from financial guarantee contracts issued | 31,137         | 25,148         | 18,472         | 12,307        |
| Fees on electronic products                      | 51,519         | 36,397         | 41,824         | 28,332        |
| Foreign currency transaction fees and commission | 6,036          | 6,303          | 5,137          | 6,083         |
| Asset based management fees                      | 11,927         | 9,831          | -              | -             |
| Auction fees income                              | 3,468          | 2,641          | 3,468          | 2,641         |
| Corporate finance fees                           | 1,222          | 311            | 1,222          | 311           |
| Foreign withdrawal charges                       | 22,262         | 23,768         | 22,262         | 23,768        |
| Commission on letters of credit                  | 32,863         | 28,453         | 32,621         | 22,979        |
| Commission on agency and collection services     | 8,955          | 6,785          | 6,530          | 5,424         |
| Total fee and commission income                  | 244,438        | 196,427        | 189,349        | 143,981       |
| Fees and commission expense                      | (65,664)       | (68,364)       | (65,880)       | (63,817)      |
|                                                  | <b>178,774</b> | <b>128,063</b> | <b>123,469</b> | <b>80,164</b> |

The fees and commission income reported above excludes amount included in determining effective interest rates on financial assets that are not carried at fair value through profit or loss.

Total fee and commission income recognised at a point in time amount to N147,807 million and N124,590 million for Group and Bank (30 June 2025: N114,659 million and N91,257 million) respectively while an amount of N96,631 million and N64,759 million (30 June 2025: N81,765 million and N52,723 million) was recognised over the service period.

### 10. Trading (losses)/gains

|                                     |                 |                |                  |                |
|-------------------------------------|-----------------|----------------|------------------|----------------|
| (Loss)/gain on other trading books  | (171,253)       | 483,223        | (193,275)        | 460,983        |
| Gain/(loss) on treasury bills FVTPL | 75,054          | (22,640)       | 75,078           | (22,632)       |
| Gain/(loss) on bonds at FVTPL       | 2,358           | 5,530          | (231)            | (171)          |
| Interest income on trading bonds    | 1,597           | 1,679          | 1,597            | 1,679          |
|                                     | <b>(92,244)</b> | <b>467,792</b> | <b>(116,831)</b> | <b>439,859</b> |

Included in loss/gain on other trading books is N284.90 billion realised loss on foreign currency trading gains for Group and Bank respectively (30 June 2025: N268.49 billion, gain on foreign currency trading gain). Also included in Loss/Gain on other trading books is unrealised gain on derivatives of N110.6 billion for Group and N91.6 billion for Bank (Group and Bank 30 June 2025: N192.48 billion )



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                                                             | Group         |               | Bank          |               |
|-----------------------------------------------------------------------------|---------------|---------------|---------------|---------------|
| In millions of Naira                                                        | 30 June 2026  | 30 June 2025  | 30 June 2026  | 30 June 2025  |
| <b>11. Other operating income/(loss)</b>                                    |               |               |               |               |
| Dividend Income from equity instruments (See note a below)                  | 296           | 9,725         | 296           | 9,725         |
| Gain on disposal of property and equipment (see note 42 (vi))               | 1,001         | 473           | 184           | 467           |
| Income on cash handling                                                     | 19            | 1,568         | -             | 1,564         |
| Loan recovery (see note c below)                                            | 29,667        | 11,960        | 21,527        | 6,037         |
| Foreign currency revaluation gain (see note b below)                        | 38,355        | 11,133        | 36,974        | 8,977         |
| Gain on bargain purchase in business combination (see note e below)         | 2,291         | -             | -             | -             |
| Net monetary loss arising from hyperinflationary economy (see note d below) | -             | (17,568)      | -             | -             |
|                                                                             | <b>71,629</b> | <b>17,291</b> | <b>58,981</b> | <b>26,770</b> |

- a) Dividend income from equity investments represent dividend of N296 million received from other equity instruments held for strategic purposes and for which the Group has elected to present the fair value and loss in other comprehensive income.
- b) Foreign currency revaluation gain represents net gain on the revaluation of foreign currency-denominated assets and liabilities.
- c) Included in this balance is Loan recoveries. This represents amount recovered for previously written-off facilities. The amount is recognised on a cash basis only.
- d) Net monetary loss arising from hyperinflationary economy relates to the remeasurement of monetary items in Ghana following its designation as a hyperinflationary economy. However, in October 2025, Ghana ceased to be an hyper inflationary economy and Hyperinflation accounting was discontinued.
- e) Gain on bargain purchase relates to the gain from the acquisition of Paramount Bank (Kenya) Limited during the period.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period period ended 30 June 2026

|                                              | Group          |                | Bank           |                |
|----------------------------------------------|----------------|----------------|----------------|----------------|
| In millions of Naira                         | 30 June 2026   | 30 June 2025   | 30 June 2026   | 30 June 2025   |
| <b>12. Operating expenses</b>                |                |                |                |                |
| Directors' emoluments (see note 35 (b))      | 1,364          | 6,504          | 999            | 6,004          |
| Auditors' remuneration                       | 1,535          | 1,793          | 425            | 425            |
| Deposit insurance premium                    | 34,556         | 36,844         | 31,540         | 33,650         |
| Professional fees                            | 9,584          | 10,832         | 4,453          | 8,767          |
| Training and development                     | 3,468          | 3,469          | 2,751          | 2,794          |
| Information Technology                       | 75,896         | 49,878         | 70,316         | 47,131         |
| Lease expense                                | 242            | 40             | 28             | 22             |
| Advertisement                                | 14,829         | 13,103         | 14,203         | 12,699         |
| Outsourcing services                         | 17,748         | 16,698         | 17,666         | 16,698         |
| Bank charges                                 | 6,195          | 5,713          | 3,759          | 3,567          |
| Fuel and maintenance                         | 56,986         | 44,683         | 51,716         | 37,129         |
| Insurance                                    | 3,384          | 3,661          | 2,173          | 2,246          |
| Licenses, registrations and subscriptions    | 12,700         | 12,751         | 7,353          | 7,271          |
| Travel and hotel expenses                    | 13,337         | 7,416          | 11,241         | 5,960          |
| Printing and stationery                      | 5,556          | 5,219          | 3,921          | 2,407          |
| Security and cash handling                   | 6,055          | 4,044          | 5,156          | 3,329          |
| Fines & Penalties(see note 40)               | 23             | 1,812          | 4              | 1,812          |
| Donations                                    | 4,999          | 1,396          | 4,922          | 1,297          |
| AMCON levy                                   | 143,217        | 143,836        | 143,217        | 143,836        |
| Telephone,postages and communication charges | 9,534          | 19,599         | 9,071          | 19,181         |
| Corporate promotions                         | 19,064         | 7,534          | 18,208         | 7,152          |
| General running expenses                     | 11,055         | 14,462         | 3,176          | 8,936          |
|                                              | <b>451,327</b> | <b>411,287</b> | <b>406,298</b> | <b>372,313</b> |

Lease expense for the period ended 30 June 2026 amounting to N65 million and N28 million for Group and Bank, (30 June 2025: N40 million and N22 million) respectively were recognised. They represent the amount of straight line amortisation on short term lease in which the Group/Bank has applied the recognition exception.

The Bank paid the external auditors' professional fees for the provision of non audit services.

The total amount of non-audit services provided by the external auditors during the period was N94.28 million. These non-audit services were for the following: review of the bank's Risk assessment and Whistleblowing N42m, Corporate governance N29.4m, Sustainability assurance N13.38m, and NDIC certification N9.5m.

The Group auditors did not engage in any non-audit service for any of the Bank's subsidiaries.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                                                          | Group        |              | Bank         |              |
|--------------------------------------------------------------------------|--------------|--------------|--------------|--------------|
| In millions of Naira                                                     | 30 June 2026 | 30 June 2025 | 30 June 2026 | 30 June 2025 |
| <b>13. Taxation</b>                                                      |              |              |              |              |
| <b>(a) Income tax expense</b>                                            |              |              |              |              |
| <b>Major components of the tax expense</b>                               |              |              |              |              |
| Corporate tax                                                            | 42,372       | 51,580       | 832          | 8,426        |
| Minimum tax expense                                                      | 48,754       | -            | 48,754       | -            |
| Information technology tax                                               | -            | 4,751        | -            | 4,689        |
| Development levy                                                         | 330          | -            | 110          | -            |
| Tertiary Education tax                                                   | -            | 129          | -            | -            |
| Police trust fund levy                                                   | -            | 23           | -            | 23           |
| National agency for science and engineering infrastructure levy (NASENI) | -            | 1,172        | -            | 1,172        |
| National Fiscal Stabilization Levy & Financial Sector Recovery           | 10,924       | 10,848       | -            | -            |
| Effect of hyperinflation                                                 | -            | 627          | -            | -            |
| Prior period underprovision                                              | 89,877       | 22,892       | 89,947       | 22,892       |
| Current income tax                                                       | 192,257      | 92,022       | 139,643      | 37,202       |
| <b>Deferred tax expense</b>                                              |              |              |              |              |
| Origination of temporary differences                                     | 14,584       | 1,427        | 13,134       | 86           |
| Income tax expense                                                       | 206,841      | 93,449       | 152,777      | 37,288       |
| Total tax expense                                                        | 206,841      | 93,449       | 152,777      | 37,288       |

### (b) Reconciliation of the tax expense

|                                                                      |                |               |                |               |
|----------------------------------------------------------------------|----------------|---------------|----------------|---------------|
| Profit before income tax                                             | 637,603        | 625,629       | 460,201        | 464,002       |
| Tax calculated at the weighted average Group rate of 30% (2025: 30%) | 191,281        | 187,689       | 138,060        | 139,201       |
| <b>Tax effect of adjustments on taxable income</b>                   |                |               |                |               |
| Effect of difference of rate across different tax jurisdictions      | (8,991)        | (7,767)       | -              | -             |
| Non-deductible expenses                                              | 18,728         | 23,928        | 17,116         | 17,752        |
| Tax exempt income                                                    | (155,027)      | (332,384)     | (154,345)      | (330,551)     |
| Balancing charge                                                     | 8,139          | 552           | -              | 245           |
| Effect of tax loss arising from current period                       | -              | 173,353       | -              | 173,353       |
| Origination of temporary differences                                 | 14,584         | 1,427         | 13,134         | 86            |
| Capital allowance utilised                                           | (869)          | 4,751         | -              | 4,689         |
| Tertiary education tax                                               | -              | (1,590)       | -              | -             |
| Windfall tax                                                         | -              | 129           | -              | -             |
| Prior period underprovision                                          | 89,877         | 22,892        | 89,947         | 22,892        |
| National Fiscal Stabilization Levy & Financial Sector Recovery Levy  | -              | 10,848        | -              | -             |
| Police trust fund levy                                               | -              | 23            | -              | 23            |
| NASENI                                                               | -              | 1,172         | -              | 1,172         |
| Development Levy                                                     | 330            | -             | 110            | -             |
| Minimum tax                                                          | -              | 8,426         | -              | 8,426         |
| Top-up tax                                                           | 48,789         | -             | 48,755         | -             |
| <b>Total tax expense</b>                                             | <b>206,841</b> | <b>93,449</b> | <b>152,777</b> | <b>37,288</b> |

|                                                                                  | Group         |                  | Bank          |                  |
|----------------------------------------------------------------------------------|---------------|------------------|---------------|------------------|
| In millions of Naira                                                             | 30 June 2026  | 31 December 2025 | 30 June 2026  | 31 December 2025 |
| <b>(c) The movement in the current income tax payable balance is as follows:</b> |               |                  |               |                  |
| At start of the period                                                           | 95,198        | 256,168          | 87,168        | 248,613          |
| Reclassification to current tax receivable                                       | (4,462)       | (1,670)          | -             | -                |
| Foreign exchange                                                                 | (168)         | (2,967)          | -             | -                |
| Tax paid                                                                         | (201,883)     | (279,861)        | (177,115)     | (271,504)        |
| Current income tax charge (see note 13a)                                         | 178,943       | 123,528          | 139,643       | 110,059          |
| <b>At end of the period</b>                                                      | <b>67,628</b> | <b>95,198</b>    | <b>49,696</b> | <b>87,168</b>    |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                      | Group        |                  | Bank         |                  |
|----------------------|--------------|------------------|--------------|------------------|
| In millions of Naira | 30 June 2026 | 31 December 2025 | 30 June 2026 | 31 December 2025 |

### 13. Taxation (continued)

(d) The movement in the current income tax receivable balance is as follows:

|                                                   |                 |                |          |          |
|---------------------------------------------------|-----------------|----------------|----------|----------|
| At start of the period                            | (3,721)         | (6,869)        | -        | -        |
| Reclassification from current tax payable         | 4,462           | 1,670          | -        | -        |
| Foreign exchange                                  | (415)           | 11,156         | -        | -        |
| Tax paid                                          | (23,570)        | (111,337)      | -        | -        |
| Current income tax (credit)/charge (see note 13a) | 13,314          | 101,659        | -        | -        |
| Acquired from business combination                | (468)           | -              | -        | -        |
| <b>At end of the period</b>                       | <b>(10,398)</b> | <b>(3,721)</b> | <b>-</b> | <b>-</b> |

### 14. Earnings per share (EPS)

#### Basic earnings per share

Basic earnings per share (EPS) is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the period.

|                                                                | Group        |              | Bank         |              |
|----------------------------------------------------------------|--------------|--------------|--------------|--------------|
|                                                                | 30 June 2026 | 30 June 2025 | 30 June 2026 | 30 June 2025 |
| Profit attributable to shareholders of the Bank (N'million)    | 430,293      | 531,833      | 307,424      | 426,714      |
| Number of issued shares at the end of the year (millions)      | 41,070       | 41,070       | 41,070       | 41,070       |
| Weighted average number of ordinary shares in issue (millions) | 41,070       | 41,070       | 41,070       | 41,070       |
| Basic and diluted earnings per share (Naira)                   | 10.48        | 12.95        | 7.49         | 10.39        |

Basic and diluted earnings per share are the same, as the Bank has no potentially dilutive ordinary shares.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                                                                                                                                                            | Group            |                  | Bank             |                  |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
| In millions of Naira                                                                                                                                                       | 30 June 2026     | 31 December 2025 | 30 June 2026     | 31 December 2025 |
| <b>15. Cash and balances with central banks</b>                                                                                                                            |                  |                  |                  |                  |
| Cash                                                                                                                                                                       | 219,615          | 252,065          | 131,379          | 96,531           |
| Operating accounts and deposits with central banks                                                                                                                         | 509,237          | 236,820          | 293,635          | 52,756           |
| Mandatory reserve deposits with central bank (cash reserve)                                                                                                                | 6,101,141        | 6,389,530        | 5,412,313        | 5,695,138        |
| Special cash reserve requirement                                                                                                                                           | 48,241           | 47,011           | 48,227           | 47,011           |
|                                                                                                                                                                            | <b>6,878,234</b> | <b>6,925,426</b> | <b>5,885,554</b> | <b>5,891,436</b> |
| Current                                                                                                                                                                    | 728,852          | 488,885          | 425,014          | 149,287          |
| Non-current                                                                                                                                                                | 6,149,382        | 6,436,541        | 5,460,540        | 5,742,149        |
|                                                                                                                                                                            | <b>6,878,234</b> | <b>6,925,426</b> | <b>5,885,554</b> | <b>5,891,436</b> |
| <b>16. Treasury bills</b>                                                                                                                                                  |                  |                  |                  |                  |
| Treasury bills (FVTPL)                                                                                                                                                     | 1,700,194        | 430,212          | 1,700,064        | 429,640          |
| Treasury bills (Amortized cost)                                                                                                                                            | 2,957,240        | 4,232,669        | 2,428,215        | 3,464,155        |
| ECL Allowance on treasury bills (Amortized cost) (see note 3.2.18)                                                                                                         | (165)            | (67)             | (163)            | (66)             |
|                                                                                                                                                                            | <b>4,657,269</b> | <b>4,662,814</b> | <b>4,128,116</b> | <b>3,893,729</b> |
| <b>Classified as:</b>                                                                                                                                                      |                  |                  |                  |                  |
| Current                                                                                                                                                                    | 4,657,269        | 4,662,814        | 4,128,116        | 3,893,729        |
|                                                                                                                                                                            | <b>4,657,269</b> | <b>4,662,814</b> | <b>4,128,116</b> | <b>3,893,729</b> |
| The following treasury bills have maturities less than three months and are classified as cash and cash equivalents for purposes of the statements of cash flows (Note 40) | 312,390          | 159,620          | 10,000           | 151,851          |
|                                                                                                                                                                            | <b>312,390</b>   | <b>159,620</b>   | <b>10,000</b>    | <b>151,851</b>   |
| <b>17. Assets pledged as collateral</b>                                                                                                                                    |                  |                  |                  |                  |
| Bonds pledged as collateral                                                                                                                                                | 89,710           | 89,710           | 89,710           | 89,710           |
| Treasury bills pledged as collateral                                                                                                                                       | 456              | 4,773            | 456              | 4,773            |
| Treasury bills under repurchase agreement                                                                                                                                  | 37,978           | 21,048           | -                | -                |
| ECL Allowance on assets pledged and under repo                                                                                                                             | (4)              | (6)              | (4)              | (6)              |
|                                                                                                                                                                            | <b>128,140</b>   | <b>115,525</b>   | <b>90,162</b>    | <b>94,477</b>    |

Included in assets pledged as collateral for Group/Bank are bonds at amortised cost of N127.69 billion (Group) and N89.7 billion (Bank) (31 December 2025: Group & Bank: bonds N89.70 billion, treasury bills at amortized cost of N4.77 billion for Group and N456 million for Bank). All other assets pledged as collateral for Group/Bank are treasury bills at fair value.

The assets pledged as collateral were given to the counterparties without transferring the ownership to them. These are held by the counterparty for the term of the transaction being collateralized. These assets were pledged as collateral to;

- Nigeria Interbank Settlement System (NIBBS) N5.4 billion (31 December 2025: N4 billion), being collateralized,
- Financial Market Dealers Quotation (FMDQ) N1.04 billion (31 December 2025: N4.586 billion)
- E-Tranzact N50 million (31 December 2025: N50 million),
- V-pay: N50m (31 December 2025: N50 million),
- Interswitch: N2.4 billion (31 December 2025: N2.4 billion),
- System specs / Remitta N2.5 billion (31 December 2025: N2.5 billion),
- CBN Settlement clearing N16 billion (31 December 2025: N16 billion),
- CBN Real Sector Support Fund: N23.15 billion (31 December 2025: N23.15 billion),
- Federal Inland Revenue Service: N9 billion (31 December 2025: N9 billion),
- Bank of Industries (BOING) N34.05 billion (31 December 2025: N34.05 billion),
- Bank of Industries (MSMEs) N500 million (31 December 2025: N5 billion).

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                      | Group        |                  | Bank         |                  |
|----------------------|--------------|------------------|--------------|------------------|
| In millions of Naira | 30 June 2026 | 31 December 2025 | 30 June 2026 | 31 December 2025 |

### 17. Assets pledged as collateral (continued)

Classified as:

|             |                |                |               |               |
|-------------|----------------|----------------|---------------|---------------|
| Current     | 5,951          | 10,350         | 5,951         | 4,767         |
| Non-current | 122,189        | 105,175        | 84,211        | 89,710        |
|             | <b>128,140</b> | <b>115,525</b> | <b>90,162</b> | <b>94,477</b> |

### 18. Due From Other Banks

|                                             |                  |                  |                  |                  |
|---------------------------------------------|------------------|------------------|------------------|------------------|
| Current balances with banks within Nigeria  | 1,579            | 3,764            | -                | -                |
| Current balances with banks outside Nigeria | 561,416          | 604,409          | 880,019          | 917,203          |
| Placement with banks                        | 1,525,736        | 2,113,527        | 789,473          | 1,533,203        |
| ECL allowance                               | (28)             | (25)             | (28)             | (25)             |
|                                             | <b>2,088,703</b> | <b>2,721,675</b> | <b>1,669,464</b> | <b>2,450,381</b> |

Classified as:

|             |                  |                  |                  |                  |
|-------------|------------------|------------------|------------------|------------------|
| Current     | 2,088,703        | 2,721,675        | 1,669,464        | 2,450,381        |
| Non-current | -                | -                | -                | -                |
|             | <b>2,088,703</b> | <b>2,721,675</b> | <b>1,669,464</b> | <b>2,450,381</b> |

Included in balances with banks outside Nigeria are the amount of N358.41 billion and N503.76 billion for the Group and Bank respectively (31 December 2025: N351.29 billion and N509.05 billion) which represent the Naira value of foreign currency balances held on behalf of customers in respect of letters of credit (N308.6 billion) and foreign currency allocation (N195.15 billion). The corresponding liabilities are included in other liabilities (see Note 29). Also included in this balance is N51.11 billion, comprising cash collateral posted with counterparties and restricted balances maintained in escrow accounts.

Some of the balances are restricted (see note 3.4.3c)

|                                                                             |         |         |         |         |
|-----------------------------------------------------------------------------|---------|---------|---------|---------|
| Due from banks with maturity greater than 3 months and restricted balances: | 458,434 | 512,519 | 603,784 | 515,519 |
|-----------------------------------------------------------------------------|---------|---------|---------|---------|

### 19. Derivative assets

#### Instrument types(fair value)

|                            |              |              |              |              |
|----------------------------|--------------|--------------|--------------|--------------|
| Forward and Swap Contracts | 3,827        | 7,048        | 1,022        | 318          |
| Put option                 | 2,390        | 1,098        | 2,390        | 1,098        |
|                            | <b>6,217</b> | <b>8,146</b> | <b>3,412</b> | <b>1,416</b> |

|         |       |       |       |       |
|---------|-------|-------|-------|-------|
| Current | 6,217 | 8,146 | 3,412 | 1,416 |
|---------|-------|-------|-------|-------|

#### Instrument types (Notional amount):

|                            |                |                |                |               |
|----------------------------|----------------|----------------|----------------|---------------|
| Forward and Swap contracts | 417,558        | 410,640        | 204,633        | 89,829        |
| Put Option                 | 2,390          | 1,098          | 2,390          | 1,098         |
| <b>Total</b>               | <b>419,948</b> | <b>411,738</b> | <b>207,023</b> | <b>90,927</b> |

#### a) Non-hedging derivative assets and liabilities

The Group enters into currency forward contracts with counterparties. On initial recognition, the Group estimates the fair value of derivatives transacted with the counterparties using the discounted mark-to-market technique. In many cases, all significant inputs into the valuation techniques are wholly observable e.g with reference to similar transactions in the wholesale dealer market. See note 3.3.4 for the mark-to-market value of these non-hedged assets.

During the period, various derivative contracts entered into by the Group generated a net loss which was recognized in the statement of profit or loss and other comprehensive income.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                       | Group             |                   | Bank             |                  |
|---------------------------------------|-------------------|-------------------|------------------|------------------|
| In millions of Naira                  | 30 June 2026      | 31 December 2025  | 30 June 2026     | 31 December 2025 |
| <b>20. Loans and advances</b>         |                   |                   |                  |                  |
| Overdraft                             | 1,303,621         | 1,390,183         | 932,203          | 1,101,956        |
| Term Loans                            | 11,230,983        | 9,632,596         | 9,094,799        | 7,599,555        |
| On Lending Facilities                 | 37,769            | 41,087            | 37,769           | 41,087           |
| Gross loans and advances to customers | 12,572,373        | 11,063,866        | 10,064,771       | 8,742,598        |
| Less: ECL Allowance (see note 3.2.18) | (524,008)         | (614,914)         | (484,962)        | (575,254)        |
|                                       | <b>12,048,365</b> | <b>10,448,952</b> | <b>9,579,809</b> | <b>8,167,344</b> |

### Net Loans classified as:

|             |                   |                   |                  |                  |
|-------------|-------------------|-------------------|------------------|------------------|
| Current     | 3,875,939         | 3,294,271         | 3,491,779        | 3,006,383        |
| Non-current | 8,172,426         | 7,154,681         | 6,088,030        | 5,160,961        |
|             | <b>12,048,365</b> | <b>10,448,952</b> | <b>9,579,809</b> | <b>8,167,344</b> |

Movement in ECL Allowance is presented in Note 3.2.18.

### 21. Investment securities

#### Debt securities

|                                                                               |           |           |           |           |
|-------------------------------------------------------------------------------|-----------|-----------|-----------|-----------|
| At amortised cost (see note i)                                                | 3,078,124 | 2,941,051 | 2,086,579 | 1,933,140 |
| At FVTOCI                                                                     | 1,905,848 | 2,067,032 | -         | -         |
| ECL allowance (see note 3.2.18)                                               | (3,433)   | (7,740)   | (650)     | (1,511)   |
| Net debt securities measured at amortised cost and FVTOCI                     | 4,980,539 | 5,000,343 | 2,085,929 | 1,931,629 |
| Debt securities (measured at fair value through profit or loss) (see note ii) | 47,267    | 35,077    | 9,212     | 33,840    |
| Net debt securities                                                           | 5,027,806 | 5,035,420 | 2,095,141 | 1,965,469 |

#### Equity securities

|                                                                         |                  |                  |                  |                  |
|-------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
| At fair value through other comprehensive income (see note (iii) below) | 359,162          | 374,525          | 359,162          | 374,525          |
|                                                                         | <b>5,386,968</b> | <b>5,409,945</b> | <b>2,454,303</b> | <b>2,339,994</b> |

Movement in gross carrying amount and impairment allowance on investment securities are presented in Note 3.2.18

#### Classified as:

|             |                  |                  |                  |                  |
|-------------|------------------|------------------|------------------|------------------|
| Current     | 472,401          | 338,434          | 445,385          | 328,971          |
| Non-current | 4,914,567        | 5,071,511        | 2,008,918        | 2,011,023        |
|             | <b>5,386,968</b> | <b>5,409,945</b> | <b>2,454,303</b> | <b>2,339,994</b> |

i. The Group's debt securities measured at amortised cost can be analysed as follows:

|                       |                  |                  |                  |                  |
|-----------------------|------------------|------------------|------------------|------------------|
| Sovereign (Federal)   | 2,569,676        | 2,435,509        | 1,947,810        | 1,807,129        |
| Sub-sovereign (State) | 54,397           | 56,904           | 52,631           | 55,064           |
| Corporate bonds       | 440,244          | 437,628          | 73,166           | 61,126           |
| Promissory note       | -                | 8,065            | -                | 8,065            |
| Commercial papers     | 13,807           | 2,945            | 12,972           | 1,756            |
|                       | <b>3,078,124</b> | <b>2,941,051</b> | <b>2,086,579</b> | <b>1,933,140</b> |

ii. The Group holds equity investments in unquoted entities which the Group has elected to carry at fair value through other comprehensive income. These investments are held for strategic purposes rather than for trading purposes see note 3.3.5.

iii. The Group and Bank debt securities measured at FVTPL comprise sovereign bonds (30 June 2026: N5.06 billion and N5.06 billion respectively; 31 December 2025; N708.4 million and N708.4 million respectively).

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 22. Investment in subsidiaries

(a). The following table lists the entities which are controlled by the Group, either directly or indirectly through subsidiaries.

Bank

| Name of company                     | Jurisdiction of Incorporation | Principal place of business | 30 June 2026<br>Ownership interest % | 30 June 2026   |
|-------------------------------------|-------------------------------|-----------------------------|--------------------------------------|----------------|
| Zenith Bank (Ghana) Limited         | Ghana                         | Ghana                       | 99.42%                               | 7,066          |
| Zenith Bank (UK) Limited            | United Kingdom                | United Kingdom              | 100.00%                              | 21,482         |
| Zenith Bank (Sierra Leone) Limited  | Sierra Leone                  | Sierra Leone                | 99.99%                               | 2,059          |
| Zenith Bank (Gambia) Limited        | Gambia                        | Gambia                      | 99.96%                               | 1,038          |
| Zenith Pensions Custodian Limited   | Nigeria                       | Nigeria                     | 99.00%                               | 1,980          |
| Zenith Nominees Limited             | Nigeria                       | Nigeria                     | 99.00%                               | 1,000          |
| Paramount Bank (Kenya) Limited      | Kenya                         | Kenya                       | 100.00%                              | 36,734         |
| Zenith Bank (Cote d'Ivoire) Limited | Cote d'Ivoire                 | Cote d'Ivoire               | 100.00%                              | 73,678         |
|                                     |                               |                             |                                      | <b>145,037</b> |

As a result of the acquisition of Paramount Bank (Kenya) Limited by Zenith Bank Plc, the Group obtained indirect control over Paramount Bancassurance Intermediary Limited and Paramount Capital Limited. Accordingly, these entities are considered indirect subsidiaries of the Group and are consolidated in the Group's financial statements from the date control was obtained.

| Name of company                    | Jurisdiction of Incorporation | Principal place of business | 31 December 2025<br>Ownership interest % | 31 December 2025 |
|------------------------------------|-------------------------------|-----------------------------|------------------------------------------|------------------|
| Zenith Bank (Ghana) Limited        | Ghana                         | Ghana                       | 99.42%                                   | 7,066            |
| Zenith Bank (UK) Limited           | United Kingdom                | United Kingdom              | 100.00%                                  | 21,482           |
| Zenith Bank (Sierra Leone) Limited | Sierra Leone                  | Sierra Leone                | 99.99%                                   | 2,059            |
| Zenith Bank (Gambia) Limited       | Gambia                        | Gambia                      | 99.96%                                   | 1,038            |
| Zenith Pensions Custodian Limited  | Nigeria                       | Nigeria                     | 99.00%                                   | 1,980            |
| Zenith Nominees Limited            | Nigeria                       | Nigeria                     | 99.00%                                   | 1,000            |
|                                    |                               |                             |                                          | <b>34,625</b>    |



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 22. Investment in subsidiaries (continued)

#### (b) Condensed results of consolidated entities

| 30 June 2026                                                            | Zenith Group      | Intra-group<br>transactions and<br>balances | Zenith Bank Plc   | Zenith Bank<br>Ghana | Zenith Bank UK   | Zenith Bank<br>Sierra Leone | Zenith Bank<br>Gambia | Zenith Pension<br>Custodian | Zenith Nominee<br>Limited | Paramount Bank<br>Kenya | Zenith Bank Cote<br>d'Ivoire |
|-------------------------------------------------------------------------|-------------------|---------------------------------------------|-------------------|----------------------|------------------|-----------------------------|-----------------------|-----------------------------|---------------------------|-------------------------|------------------------------|
| <b>Condensed statement of profit or loss</b>                            |                   |                                             |                   |                      |                  |                             |                       |                             |                           |                         |                              |
| Operating income                                                        | 1,899,944         | (9,715)                                     | 1,536,331         | 202,986              | 115,018          | 25,991                      | 9,294                 | 12,540                      | 1,219                     | 3,066                   | 3,215                        |
| Expenses                                                                | (1,121,222)       | 12,006                                      | (935,458)         | (101,299)            | (76,045)         | (5,184)                     | (5,025)               | (4,281)                     | (431)                     | (2,513)                 | (2,995)                      |
| (Impairment charge)/writeback for<br>financial and non-financial assets | (141,119)         | -                                           | (140,672)         | 5,184                | (5,405)          | (118)                       | (25)                  | (48)                        | 23                        | (58)                    | -                            |
| Profit before tax                                                       | 637,603           | 2,291                                       | 460,201           | 106,871              | 33,568           | 20,689                      | 4,244                 | 8,211                       | 811                       | 495                     | 220                          |
| Taxation                                                                | (206,841)         | -                                           | (152,777)         | (37,574)             | (7,525)          | (5,166)                     | (1,276)               | (2,365)                     | (180)                     | 80                      | (55)                         |
| <b>Profit for the period</b>                                            | <b>430,762</b>    | <b>2,291</b>                                | <b>307,424</b>    | <b>69,297</b>        | <b>26,043</b>    | <b>15,523</b>               | <b>2,968</b>          | <b>5,846</b>                | <b>631</b>                | <b>575</b>              | <b>165</b>                   |
| <b>Condensed statement of financial position</b>                        |                   |                                             |                   |                      |                  |                             |                       |                             |                           |                         |                              |
| <b>Assets</b>                                                           |                   |                                             |                   |                      |                  |                             |                       |                             |                           |                         |                              |
| Cash and cash equivalents                                               | 6,878,234         | -                                           | 5,885,554         | 947,473              | 52               | 19,481                      | 17,794                | -                           | -                         | 7,874                   | 6                            |
| Treasury bills                                                          | 4,657,269         | -                                           | 4,128,116         | 489,118              | -                | -                           | 37,415                | -                           | -                         | 2,620                   | -                            |
| Assets pledged as collateral                                            | 128,140           | -                                           | 90,162            | -                    | 37,978           | -                           | -                     | -                           | -                         | -                       | -                            |
| Due From Other Banks                                                    | 2,088,703         | (564,012)                                   | 1,669,464         | 118,434              | 737,690          | 26,739                      | 13,135                | 1,052                       | 4,869                     | 13,557                  | 67,775                       |
| Derivative asset held for risk<br>management                            | 6,217             | -                                           | 3,412             | 151                  | 2,654            | -                           | -                     | -                           | -                         | -                       | -                            |
| Loans and advances                                                      | 12,048,365        | (15,089)                                    | 9,579,809         | 1,067,271            | 1,203,709        | 74,818                      | 39,965                | 259                         | -                         | 97,621                  | 2                            |
| Investment securities                                                   | 5,386,968         | -                                           | 2,454,303         | 480,422              | 2,241,184        | 109,807                     | 11,124                | 36,951                      | -                         | 53,177                  | -                            |
| Investment in subsidiaries                                              | -                 | (145,037)                                   | 145,037           | -                    | -                | -                           | -                     | -                           | -                         | -                       | -                            |
| Current tax receivable                                                  | 10,398            | -                                           | -                 | -                    | 6,814            | 3,117                       | -                     | -                           | -                         | 467                     | -                            |
| Deferred tax asset                                                      | 27,961            | -                                           | -                 | 24,116               | 53               | 467                         | 63                    | -                           | -                         | 3,262                   | -                            |
| Other assets                                                            | 796,149           | (5,860)                                     | 403,551           | 356,986              | 20,144           | 5,664                       | 7,104                 | 3,088                       | 350                       | 4,553                   | 569                          |
| Property and equipment                                                  | 545,308           | -                                           | 401,338           | 112,915              | 11,665           | 3,116                       | 7,265                 | 981                         | 62                        | 792                     | 7,174                        |
| Intangible assets                                                       | 72,193            | -                                           | 62,896            | 2,422                | 4,620            | 622                         | 98                    | 217                         | 13                        | 170                     | 1,135                        |
|                                                                         | <b>32,645,905</b> | <b>(729,998)</b>                            | <b>24,823,642</b> | <b>3,599,308</b>     | <b>4,266,563</b> | <b>243,831</b>              | <b>133,963</b>        | <b>42,548</b>               | <b>5,294</b>              | <b>184,093</b>          | <b>76,661</b>                |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

| 30 June 2026                                              | Zenith Group      | Elimination entries | Zenith Bank Plc   | Zenith Bank Ghana | Zenith Bank UK   | Zenith Bank Sierra Leone | Zenith Bank Gambia | Zenith Pension Custodian | Zenith Nominee Limited | Paramount Bank Kenya | Zenith Bank Cote d'Ivoire |
|-----------------------------------------------------------|-------------------|---------------------|-------------------|-------------------|------------------|--------------------------|--------------------|--------------------------|------------------------|----------------------|---------------------------|
| <b>Liabilities &amp; Equity</b>                           |                   |                     |                   |                   |                  |                          |                    |                          |                        |                      |                           |
| Customer deposits                                         | 26,347,903        | (553,758)           | 19,923,655        | 2,979,098         | 3,599,590        | 171,980                  | 84,895             | -                        | -                      | 142,443              | -                         |
| Derivative liabilities                                    | 106,275           | -                   | 105,868           | -                 | 407              | -                        | -                  | -                        | -                      | -                    | -                         |
| Current income tax                                        | 67,628            | -                   | 49,696            | 14,919            | -                | -                        | 122                | 2,682                    | 155                    | -                    | 54                        |
| Deferred tax liabilities                                  | 16,953            | -                   | 11,378            | 5,362             | -                | -                        | -                  | 209                      | -                      | -                    | -                         |
| Other liabilities                                         | 1,122,392         | (17,609)            | 1,027,003         | 55,217            | 42,195           | 3,722                    | 3,303              | 2,485                    | 517                    | 1,398                | 4,161                     |
| On-lending facilities                                     | 87,260            | -                   | 72,459            | 14,801            | -                | -                        | -                  | -                        | -                      | -                    | -                         |
| Borrowings                                                | 11,128            | (12,943)            | -                 | 11,128            | -                | -                        | 12,943             | -                        | -                      | -                    | -                         |
| Equity and reserves                                       | 4,886,366         | (145,688)           | 3,633,583         | 518,783           | 624,371          | 68,129                   | 32,699             | 37,172                   | 4,621                  | 40,252               | 72,447                    |
|                                                           | <b>32,645,905</b> | <b>(729,998)</b>    | <b>24,823,642</b> | <b>3,599,308</b>  | <b>4,266,563</b> | <b>243,831</b>           | <b>133,962</b>     | <b>42,548</b>            | <b>5,293</b>           | <b>184,093</b>       | <b>76,662</b>             |
| <b>Condensed statement of cash flow</b>                   |                   |                     |                   |                   |                  |                          |                    |                          |                        |                      |                           |
| Net cash (used in)/from operating activities              | (1,546,635)       | (556,986)           | (1,175,003)       | 15,494            | 141,967          | 48,212                   | (11,784)           | 2,788                    | 62                     | (13,816)             | 2,431                     |
| Net cash (used in)/from investing activities              | 1,855,741         | 628,957             | 1,203,551         | 55,815            | 6,145            | (37,575)                 | 5,200              | (2,654)                  | 2,379                  | 2,854                | (8,931)                   |
| Net cash (used in)/from financing activities              | (1,009,658)       | (20,917)            | (765,975)         | (224,598)         | (868)            | -                        | 2,943              | -                        | -                      | (172)                | (71)                      |
| <b>Increase / (decrease) in cash and cash equivalents</b> | <b>(700,552)</b>  | <b>51,054</b>       | <b>(737,427)</b>  | <b>(153,289)</b>  | <b>147,244</b>   | <b>10,637</b>            | <b>(3,641)</b>     | <b>134</b>               | <b>2,441</b>           | <b>(11,134)</b>      | <b>(6,571)</b>            |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

31 December 2025

|                                                          | Zenith Group     | Intra-group<br>transactions and<br>balances | Zenith Bank Plc | Zenith Bank<br>Ghana | Zenith Bank UK | Zenith Bank<br>Sierra Leone | Zenith Bank<br>Gambia | Zenith Pension<br>Custodian | Zenith Nominee<br>Limited |
|----------------------------------------------------------|------------------|---------------------------------------------|-----------------|----------------------|----------------|-----------------------------|-----------------------|-----------------------------|---------------------------|
| <b>Condensed statement of profit or loss</b>             |                  |                                             |                 |                      |                |                             |                       |                             |                           |
| Operating income                                         | 4,191,958        | (44,418)                                    | 3,408,890       | 483,549              | 260,178        | 47,529                      | 13,970                | 20,766                      | 1,495                     |
| Expenses                                                 | (2,186,978)      | 37,918                                      | (1,760,353)     | (271,196)            | (164,174)      | (14,590)                    | (7,231)               | (6,946)                     | (406)                     |
| Impairment charge for financial and non-financial assets | (741,610)        | -                                           | (725,395)       | (18,986)             | 2,863          | (91)                        | (63)                  | 88                          | (26)                      |
| Profit/(loss) before tax                                 | 1,263,370        | (6,500)                                     | 923,142         | 193,367              | 98,867         | 32,848                      | 6,676                 | 13,908                      | 1,063                     |
| Taxation                                                 | (222,824)        | -                                           | (110,059)       | (74,532)             | (24,764)       | (8,210)                     | (799)                 | (4,138)                     | (322)                     |
| <b>Profit for the year</b>                               | <b>1,040,546</b> | <b>(6,500)</b>                              | <b>813,083</b>  | <b>118,835</b>       | <b>74,103</b>  | <b>24,638</b>               | <b>5,877</b>          | <b>9,770</b>                | <b>741</b>                |

### Condensed statement of financial position

#### Assets

|                                           |                   |                  |                   |                  |                  |                |                |               |              |
|-------------------------------------------|-------------------|------------------|-------------------|------------------|------------------|----------------|----------------|---------------|--------------|
| Cash and balances with central banks      | 6,925,426         | -                | 5,891,436         | 1,005,568        | 48               | 12,464         | 15,910         | -             | -            |
| Treasury bills                            | 4,662,814         | -                | 3,893,729         | 735,943          | -                | -              | 33,142         | -             | -            |
| Assets pledged as collateral              | 115,525           | -                | 94,477            | -                | 21,048           | -              | -              | -             | -            |
| Due From Other Banks                      | 2,721,675         | (557,234)        | 2,450,381         | 119,977          | 617,257          | 66,395         | 21,554         | 918           | 2,427        |
| Derivative asset held for risk management | 8,146             | -                | 1,416             | 3,442            | 3,288            | -              | -              | -             | -            |
| Loans and advances                        | 10,448,952        | (12,350)         | 8,167,344         | 993,514          | 1,212,702        | 56,111         | 31,346         | 285           | -            |
| Investment securities                     | 5,409,945         | -                | 2,339,994         | 525,694          | 2,426,193        | 66,765         | 17,187         | 31,967        | 2,145        |
| Investment in subsidiaries                | -                 | (34,625)         | 34,625            | -                | -                | -              | -              | -             | -            |
| Current tax receivable                    | 3,721             | -                | -                 | 1,507            | 2,214            | -              | -              | -             | -            |
| Deferred tax asset                        | 32,296            | -                | 1,756             | 29,917           | -                | 498            | 125            | -             | -            |
| Other assets                              | 572,712           | (2,525)          | 328,884           | 231,073          | 9,141            | 1,224          | 1,304          | 3,368         | 243          |
| Property and equipment                    | 478,018           | -                | 329,007           | 127,033          | 12,261           | 2,678          | 5,899          | 1,126         | 14           |
| Intangible assets                         | 78,821            | -                | 69,372            | 4,023            | 4,322            | 773            | 121            | 192           | 18           |
|                                           | <b>31,458,051</b> | <b>(606,734)</b> | <b>23,602,421</b> | <b>3,777,691</b> | <b>4,308,474</b> | <b>206,908</b> | <b>126,588</b> | <b>37,856</b> | <b>4,847</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

| 31 December 2025                | Zenith Group      | Elimination entries | Zenith Bank Plc   | Zenith Bank Ghana | Zenith Bank UK   | Zenith Bank Sierra Leone | Zenith Bank Gambia | Zenith Pension Custodian | Zenith Nominee Limited |
|---------------------------------|-------------------|---------------------|-------------------|-------------------|------------------|--------------------------|--------------------|--------------------------|------------------------|
| <b>Liabilities &amp; Equity</b> |                   |                     |                   |                   |                  |                          |                    |                          |                        |
| Customer deposits               | 24,329,961        | (557,953)           | 18,114,919        | 2,889,883         | 3,655,160        | 143,801                  | 84,150             | -                        | -                      |
| Derivative liabilities          | 196,072           | -                   | 195,498           | -                 | 574              | -                        | -                  | -                        | -                      |
| Current income tax              | 95,198            | -                   | 87,168            | -                 | -                | 2,955                    | 525                | 4,230                    | 320                    |
| Deferred income tax liabilities | 7,492             | -                   | -                 | 6,439             | 749              | -                        | -                  | 167                      | 137                    |
| Other liabilities               | 1,150,591         | (4,635)             | 1,043,195         | 78,169            | 25,901           | 4,048                    | 1,378              | 2,136                    | 400                    |
| On-lending facilities           | 103,369           | -                   | 83,755            | 19,614            | -                | -                        | -                  | -                        | -                      |
| Borrowings                      | 651,162           | (9,520)             | 377,003           | 274,159           | -                | -                        | 9,520              | -                        | -                      |
| Equity and reserves             | 4,924,206         | (34,626)            | 3,700,883         | 509,426           | 626,089          | 56,103                   | 31,014             | 31,323                   | 3,991                  |
|                                 | <b>31,458,051</b> | <b>(606,734)</b>    | <b>23,602,421</b> | <b>3,777,690</b>  | <b>4,308,473</b> | <b>206,907</b>           | <b>126,587</b>     | <b>37,856</b>            | <b>4,848</b>           |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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Apart from Zenith Bank Pensions Custodian Limited and Zenith Nominees Limited, which are incorporated in Nigeria, the remaining subsidiaries are incorporated in their respective countries.

1. Zenith Bank (Ghana) Limited provides Corporate and Retail Banking services. It was incorporated on April 15, 2005 and commenced operations on September 16, 2005.
2. Zenith Bank (UK) Limited provides wholesale and investment banking services in the United Kingdom. It was incorporated on February 17, 2006 and commenced operations on March 30, 2007.
3. Zenith Bank (Sierra Leone) Limited provides corporate and retail banking services. It was incorporated in Sierra Leone on September 17, 2007 and granted an operating license by the Bank of Sierra Leone on September 10, 2008. It commenced banking operations on September 15, 2008.
4. Zenith Bank (Gambia) Limited provides corporate and retail banking services. It was incorporated in The Gambia on October 24, 2008 and granted an operating licence by the Central Bank of Gambia on December 30, 2009. It commenced banking operations on January 18, 2010.
5. Zenith Pensions Custodian Limited provides pension funds custodial services to Licensed Pension Fund Administrators (PFAs) and Closed Pension Funds Administrators under the Pension (Reform) Act, 2004. It was incorporated in Nigeria on March 1, 2005. The name was changed from "Zenith Pensions Limited" to "Zenith Pensions Custodian Limited" on September 20, 2005. It was licensed by the National Pension Commission as a custodian of pension funds and assets on December 7, 2005 and commenced operations in December 2005.
6. Zenith Nominees Limited which is incorporated in Nigeria provides nominees, trustees, administrators and executorship services for non-pension assets. It was incorporated in Nigeria on April 6, 2006.
7. Zenith Bank (Cote d'Ivoire). During the period, the Group expanded its presence through the establishment of Zenith Bank Cote d'Ivoire, which commenced operations in April 2026. The expansion forms part of the Group's strategy to strengthen its Pan-African footprint.
8. Paramount Bank (Kenya) Limited is a commercial bank Incorporated in Kenya. During this period, Zenith bank acquired Paramount bank Kenya limited as part of its expansion strategy. See details in Section c (Business combination) below.

### (c) Business combination

On 11 May 2026, Zenith Bank Plc ("the Group") acquired 100% of the issued share capital of Paramount Bank Kenya Limited ("Paramount Bank" or "PBKL"), a commercial bank incorporated in Kenya, thereby obtaining control of the entity. The acquisition was completed following receipt of all requisite regulatory approvals from the relevant authorities in Kenya and Nigeria. The acquisition date for accounting purposes is 11 May 2026, being the date on which control passed to the Group.

The acquisition of Paramount bank Kenya strengthens the Group's presence in the East African Market, expands its customer franchise and is expected to generate operational, funding and revenue synergies through integration into the Group's banking platform. The Subsidiary contributes to the Group's strategic objectives through its customer base, distribution network, product offerings and/or other relevant capabilities.

The transaction resulted in a bargain purchase gain of N2,291 million, as the fair value of the identifiable net assets acquired exceeded the consideration transferred. Following management's reassessment of the assets acquired, liabilities assumed and consideration transferred, the excess was determined to represent a genuine bargain purchase and was recognised in profit or loss.

Since the acquisition date, the Subsidiary has contributed N3,006 million of revenue and N575 million of profit to the Group. Had the acquisition occurred at the beginning of the reporting period, the Group's consolidated revenue and profit would have been N9,453 million and N1,575 million respectively.

Certain measurement-period items remain subject to finalisation, including the valuation of loan portfolios, placements with banks, treasury bills, investment in securities, other financial assets, customer relationships, core deposit intangibles, property and equipment, intangible assets, other financial liabilities, contingent liabilities and related deferred taxes. Any resulting adjustments will be recognised in accordance with IFRS 3.

Acquisition-related costs of incurred in connection with the business combination have been recognised in the consolidated statement of profit or loss as part of operating expenses and are not included in the consideration transferred.

The total purchase consideration comprised cash paid to the former shareholders on completion together with deferred payments payable in accordance with the terms of the Shares Purchase Agreement.

The deferred consideration has been recognised at its acquisition-date fair value and will subsequently be measured in accordance with the relevant requirements of IFRS 9 Financial Instruments and IFRS 3 Business Combinations.

As at the reporting date, the purchase price allocation remains provisional as the Group is continuing to finalise the valuation of the acquired assets and liabilities. Accordingly, the amounts recognised in these financial statements in respect of the acquisition are provisional and reflect management's best estimates based on information available at the reporting date. These provisional amounts will be adjusted retrospectively within the measurement period, as additional information becomes available regarding facts and circumstances that existed at the acquisition date.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

The fair value of the net assets acquired exceeded the purchase consideration and the excess of N2.29 billion was recognised as a gain on bargain purchase in the consolidated statement of profit or loss.

|                                               | Provisional fair<br>value amount<br>N'million |
|-----------------------------------------------|-----------------------------------------------|
| <b>Assets</b>                                 |                                               |
| Cash and balances with Central Bank           | 6,907                                         |
| Due from other banks                          | 16,105                                        |
| Loans and advances                            | 96,210                                        |
| Treasury bills                                | 3,743                                         |
| Investment in securities                      | 43,885                                        |
| Property and equipment                        | 836                                           |
| Tax receivable                                | 458                                           |
| Intangible assets                             | 54                                            |
| Deferred tax asset                            | 3,182                                         |
| Other asset                                   | 4,269                                         |
| <b>Liabilities</b>                            |                                               |
| Customers' deposits                           | (135,368)                                     |
| Other liabilities                             | (607)                                         |
| Contingent liabilities                        | (650)                                         |
| <b>Net assets acquired</b>                    | <b>39,024</b>                                 |
|                                               |                                               |
|                                               | N'million                                     |
| Initial cash consideration transferred        | 10,299                                        |
| Fair value of deferred consideration          | 26,434                                        |
| Total consideration                           | 36,733                                        |
| Provisional fair value of net assets acquired | (39,024)                                      |
| <b>Gain on bargain purchase</b>               | <b>(2,291)</b>                                |

The gain on bargain purchase recognised at the acquisition date is subject to adjustment during the measurement period as the Group finalises its assessment of the fair values of the identifiable assets acquired, liabilities assumed and consideration transferred. Changes to these provisional amounts may result in a corresponding increase or decrease in the gain on bargain purchase recognised.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 23. Investments in associates

The Group's investments under the Small and Medium Enterprises Equity Investment Scheme ("SMEEIS") is in compliance with the Policy Guidelines for 2001 Fiscal Year (Monetary Policy Circular No. 35). The Group generally holds 20 percent or more of the voting power of the investee and is therefore presumed to have significant influence over the investee. In instances where the Group holds less than 20 percent of the voting power of the investee, the Group concluded that it has significant influence due to the Group's representation on the Board of the relevant investee, with such Board generally limited to a small number of Board members.

There were no published price quotations for any associates of the Group. Furthermore, there are no significant restrictions on the ability of associates to transfer funds to the Group in the form of cash dividends or repayment of loans and advances. The investment in associates have been fully impaired. Hence the carrying amount of the investment in associates is Nil as at 30 June 2026 (31 December 2025: Nil).

|                                             | 30 June 2026 | 31 December 2025 |
|---------------------------------------------|--------------|------------------|
| Carrying amount of Investment in associates | 92           | 92               |
| Less: Impairment                            | (92)         | (92)             |
|                                             | -            | -                |

### 24. Deferred tax balances

| Group        |                  | Bank         |                  |
|--------------|------------------|--------------|------------------|
| 30 June 2026 | 31 December 2025 | 30 June 2026 | 31 December 2025 |

#### (i) Deferred tax asset

|                                                                                                                |               |                |               |               |
|----------------------------------------------------------------------------------------------------------------|---------------|----------------|---------------|---------------|
| Unutilised capital allowances                                                                                  | 19,974        | 585            | 19,507        | -             |
| ECL allowance on not-credit impaired financial instruments                                                     | 62,380        | 38,817         | 44,390        | 16,722        |
| Other assets                                                                                                   | 689           | -              | -             | -             |
| Tax loss carry forward                                                                                         | 1,046         | -              | -             | -             |
| Lease liability                                                                                                | 7,291         | 6,576          | -             | -             |
| Fair value reserve                                                                                             | 1,058         | 64,935         | -             | 63,642        |
| <b>Total deferred tax asset</b>                                                                                | <b>92,438</b> | <b>110,913</b> | <b>63,897</b> | <b>80,364</b> |
| Set-off of deferred tax asset against deferred tax liabilities pursuant to set-off provisions (see (ii) below) | (64,477)      | (78,617)       | (63,897)      | (78,608)      |
| <b>Net deferred tax asset</b>                                                                                  | <b>27,961</b> | <b>32,296</b>  | <b>-</b>      | <b>1,756</b>  |

#### (ii) Deferred tax liability

|                                                                                    |               |               |               |               |
|------------------------------------------------------------------------------------|---------------|---------------|---------------|---------------|
| Property and equipment                                                             | 37,073        | 50,107        | 31,306        | 44,317        |
| Unutilized capital allowances                                                      | -             | 1,184         | -             | -             |
| Lease Liability                                                                    | 245           | -             | 245           | -             |
| Foreign exchange differences                                                       | 12,571        | 34,818        | 12,571        | 34,291        |
| Fair value reserves                                                                | 31,541        | -             | 31,153        | -             |
| <b>Total deferred tax liability</b>                                                | <b>81,430</b> | <b>86,109</b> | <b>75,275</b> | <b>78,608</b> |
| Set-off of deferred tax liabilities pursuant to set-off provisions (see (i) above) | (64,477)      | (78,617)      | (63,897)      | (78,608)      |
| <b>Net deferred tax liability</b>                                                  | <b>16,953</b> | <b>7,492</b>  | <b>11,378</b> | <b>-</b>      |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 24. Deferred tax balances (continued)

| 30 June 2026<br>Movements in temporary differences during the period | 1 January 2026 | Recognised in profit or loss | Impact of hyperinflation and other FX | Recognised in OCI | 30 June 2026 |
|----------------------------------------------------------------------|----------------|------------------------------|---------------------------------------|-------------------|--------------|
| Asset                                                                |                |                              |                                       |                   |              |
| Other assets                                                         | -              | 689                          | -                                     | -                 | 689          |
| Unutilized capital allowances                                        | 585            | 19,389                       | -                                     | -                 | 19,974       |
| ECL Allowance on not-credit impaired financial instruments           | 38,817         | 23,563                       | -                                     | -                 | 62,380       |
| Tax loss carry forward                                               | -              | 1,046                        | -                                     | -                 | 1,046        |
| Fair value reserve                                                   | 64,935         | (63,855)                     | -                                     | (22)              | 1,058        |
| Lease liability                                                      | 6,576          | 715                          | -                                     | -                 | 7,291        |
|                                                                      | 110,913        | (18,453)                     | -                                     | (22)              | 92,438       |

| 30 June 2026<br>Movements in temporary differences during the period | 1 January 2026 | Recognised in profit or loss | Impact of hyperinflation and other FX | Recognised in OCI | 30 June 2026 |
|----------------------------------------------------------------------|----------------|------------------------------|---------------------------------------|-------------------|--------------|
| Liabilities                                                          |                |                              |                                       |                   |              |
| Property and equipment                                               | 50,107         | (13,034)                     | -                                     | -                 | 37,073       |
| Unutilized capital allowance                                         | 1,184          | (1,184)                      | -                                     | -                 | -            |
| Fair value reserve                                                   | -              | 31,541                       | -                                     | -                 | 31,541       |
| Foreign exchange differences                                         | 34,818         | (22,247)                     | -                                     | -                 | 12,571       |
| Leases                                                               | -              | 245                          | -                                     | -                 | 245          |
|                                                                      | 86,109         | (4,679)                      | -                                     | -                 | 81,430       |

### Bank

#### 30 June 2026

| Movements in temporary differences during the period       | 1 January 2026 | Recognised in profit or loss | 30 June 2026 |
|------------------------------------------------------------|----------------|------------------------------|--------------|
| Asset                                                      |                |                              |              |
| ECL Allowance on not-credit impaired financial instruments | 16,722         | 27,668                       | 44,390       |
| Unutilized capital allowances                              | -              | 19,507                       | 19,507       |
| Fair value reserves                                        | 63,642         | (63,642)                     | -            |
|                                                            | 80,364         | (16,467)                     | 63,897       |

#### 30 June 2026

| Movements in temporary differences during the period | 1 January 2026 | Recognised in profit or loss | 30 June 2026 |
|------------------------------------------------------|----------------|------------------------------|--------------|
| Liability                                            |                |                              |              |
| Property and equipment                               | 44,317         | (13,011)                     | 31,306       |
| Leases                                               | -              | 245                          | 245          |
| Foreign exchange differences                         | 34,291         | (21,720)                     | 12,571       |
| Derivative & Fair value difference                   | -              | 31,153                       | 31,153       |
|                                                      | 78,608         | (3,333)                      | 75,275       |

Zenith Bank plc (the parent), Zenith Bank (UK) Limited and Zenith Pensions Custodian Limited have deferred tax assets and deferred tax liabilities which have been presented on a net basis in the financial statements. Each entity has the legal right to settle current tax amounts on a net basis and the deferred tax amounts are levied by the same tax authority.

The Group and Bank deferred tax assets and deferred tax liabilities have been offset in the consolidated and separate statement of financial position.

All deferred tax are non current.



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                         | Group          |                  | Bank           |                  |
|-----------------------------------------|----------------|------------------|----------------|------------------|
| In millions of Naira                    | 30 June 2026   | 31 December 2025 | 30 June 2026   | 31 December 2025 |
| <b>25. Other assets</b>                 |                |                  |                |                  |
| <b>Non-financial assets</b>             |                |                  |                |                  |
| Prepayments                             | 91,458         | 46,021           | 77,000         | 31,242           |
| Other non-financial assets (i)          | 35,181         | 20,799           | 15,090         | 16,594           |
| Gross non-financial assets              | 126,639        | 66,820           | 92,090         | 47,836           |
| Less impairment (see note (i) below)    | (1,309)        | (1,309)          | (1,309)        | (1,309)          |
| Net non-financial assets                | 125,330        | 65,511           | 90,781         | 46,527           |
| <b>Financial assets</b>                 |                |                  |                |                  |
| E-card and settlement receivables       | 511,557        | 130,813          | 155,374        | 127,001          |
| Intercompany receivables                | -              | -                | 5,140          | 1,804            |
| Deposits for investment in AGSMEIS (ii) | 130,624        | 83,816           | 130,624        | 83,816           |
| Other receivables (iii)                 | 22,149         | 233,887          | 14,321         | 10,290           |
| Deposits for shares                     | 27,607         | 76,600           | 28,327         | 77,320           |
| Gross financial assets                  | 691,937        | 525,116          | 333,786        | 300,231          |
| Less: ECL allowance(see note 3.2.18))   | (21,118)       | (17,915)         | (21,016)       | (17,874)         |
| Net financial assets                    | 670,819        | 507,201          | 312,770        | 282,357          |
| <b>Total other assets (Net)</b>         | <b>796,149</b> | <b>572,712</b>   | <b>403,551</b> | <b>328,884</b>   |

i. Other non-financial assets comprise withholding tax receivables and stock in trade relating to telecommunication products. These assets are short tenured and are promptly settled.

ii. Deposit for investment in AGSMEIS represents funds deposited with the CBN for future equity investments in agricultural, small and medium enterprises in line with the CBN directives. In accordance with the directive of the Central Bank of Nigeria, Deposit Money Banks are required to remit 5% of Profit After Tax (PAT) to the Agro-Small and Medium Enterprises Investment Scheme (AGSMEIS) within 10 working days after the Annual General Meeting (AGM) at which the financial statements are approved. The Bank will remit the applicable amount within the stipulated timeline upon approval of its financial statements at the AGM.

iii. Other receivables comprises of amount receivable from mobile money operators.

Classified as:

|             |                |                |                |                |
|-------------|----------------|----------------|----------------|----------------|
| Current     | 662,376        | 488,896        | 244,600        | 244,348        |
| Non-current | 133,773        | 83,816         | 158,951        | 84,536         |
|             | <b>796,149</b> | <b>572,712</b> | <b>403,551</b> | <b>328,884</b> |

See note 3.2.18 for movement in impairment allowance for other financial assets as at 30 June 2026 .

### (i) Movement in impairment allowance for non-financial assets

|                                    |              |              |              |              |
|------------------------------------|--------------|--------------|--------------|--------------|
| At start of the year               | 1,309        | 1,887        | 1,309        | 1,887        |
| Charge for the period (see note 8) | -            | (578)        | -            | (578)        |
| <b>At end of the period</b>        | <b>1,309</b> | <b>1,309</b> | <b>1,309</b> | <b>1,309</b> |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 26. Property and equipment

#### (a) Property and equipment movement

##### Group

30 June 2026

|                                       | Land          | Buildings      | Leasehold improvements | Furniture, fittings and equipment | Computer equipment | Aircraft      | Motor vehicles | Right-of-use assets - Buildings | Work in progress | Total          |
|---------------------------------------|---------------|----------------|------------------------|-----------------------------------|--------------------|---------------|----------------|---------------------------------|------------------|----------------|
| <b>Cost</b>                           |               |                |                        |                                   |                    |               |                |                                 |                  |                |
| At 1 January 2026                     | 49,838        | 156,300        | 39,567                 | 170,757                           | 102,717            | 31,028        | 92,421         | 97,025                          | 96,230           | 835,883        |
| Additions                             | 984           | 758            | 2,358                  | 6,645                             | 3,431              | -             | 10,465         | 6,296                           | 84,981           | 115,918        |
| Reclassifications from WIP            | 1,846         | 3,053          | 284                    | 5,979                             | 7,659              | -             | 899            | -                               | (19,720)         | -              |
| Modifications                         | -             | -              | -                      | -                                 | -                  | -             | -              | 1,364                           | -                | 1,364          |
| Acquired through business combination | -             | -              | -                      | 22                                | 208                | -             | 14             | 592                             | -                | 836            |
| Disposals/Write off                   | -             | (5)            | (3)                    | (377)                             | (63)               | -             | (832)          | -                               | -                | (1,280)        |
| Exchange difference                   | 1             | (8,983)        | (1,207)                | (2,078)                           | (1,693)            | -             | (2,136)        | (6,599)                         | (1,514)          | (24,209)       |
| <b>At 30 June 2026</b>                | <b>52,669</b> | <b>151,123</b> | <b>40,999</b>          | <b>180,947</b>                    | <b>112,259</b>     | <b>31,028</b> | <b>100,831</b> | <b>98,678</b>                   | <b>159,977</b>   | <b>928,512</b> |
|                                       | Land          | Buildings      | Leasehold improvements | Furniture, fittings and equipment | Computer equipment | Aircraft      | Motor vehicles | Right-of-use assets Buildings   | Work in progress | Total          |
| <b>Accumulated Depreciation</b>       |               |                |                        |                                   |                    |               |                |                                 |                  |                |
| At 1 January 2026                     | -             | 28,269         | 34,415                 | 127,918                           | 78,160             | 3,832         | 52,028         | 33,243                          | -                | 357,865        |
| Charge for the year                   | -             | 1,547          | 1,290                  | 8,510                             | 11,278             | 620           | 8,740          | 3,438                           | -                | 35,423         |
| Reclassifications/transfer from WIP   | -             | 76             | (53)                   | 21                                | (36)               | -             | -              | (8)                             | -                | -              |
| Disposals                             | -             | (2)            | (3)                    | (355)                             | (63)               | -             | (539)          | -                               | -                | (962)          |
| Impairment/write off/ Adjustment      | -             | (774)          | -                      | -                                 | -                  | -             | -              | -                               | -                | (774)          |
| Exchange difference                   | -             | (1,518)        | (823)                  | (1,484)                           | (1,289)            | 1             | (1,470)        | (1,765)                         | -                | (8,348)        |
| <b>At 30 June 2026</b>                | <b>-</b>      | <b>27,598</b>  | <b>34,825</b>          | <b>134,610</b>                    | <b>88,050</b>      | <b>4,453</b>  | <b>58,759</b>  | <b>34,908</b>                   | <b>-</b>         | <b>383,204</b> |
| <b>Net book amount</b>                |               |                |                        |                                   |                    |               |                |                                 |                  |                |
| <b>At 30 June 2026</b>                | <b>52,669</b> | <b>123,525</b> | <b>6,174</b>           | <b>46,337</b>                     | <b>24,209</b>      | <b>26,575</b> | <b>42,072</b>  | <b>63,770</b>                   | <b>159,977</b>   | <b>545,308</b> |

Expenses relating to short term lease and low value lease assets can be seen in note 12 as lease expense

There were no impairment losses on any class of property and equipment during the period (31 December 2025: Nil).

There were no capitalised borrowing costs related to the acquisition of property and equipment during the period (31 December 2025: Nil).

All property and equipment are non-current. None of the Bank's assets were financed from borrowings, consequently no borrowing cost has been capitalized as part of asset cost.

For accounting policy and judgements on right of use see note 2.14. The Group has no ROU in respect of leases that are yet to commence.

There are no restrictions on the title of the properties and none of them are pledged as securities for liabilities.

Included in Reclassification/transfer from WIP is N51m transferred from PPE WIP to Intangible.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 26. Property and equipment (continued)

Group  
31 December 2025

|                                 | Land          | Buildings      | Leasehold improvements | Furniture, fittings and equipment | Computer equipment | Aircraft                      | Motor vehicles | Right-of-use assets Buildings | Work in progress | Total          |
|---------------------------------|---------------|----------------|------------------------|-----------------------------------|--------------------|-------------------------------|----------------|-------------------------------|------------------|----------------|
| <b>Cost</b>                     |               |                |                        |                                   |                    |                               |                |                               |                  |                |
| At 1 January 2025               | 43,163        | 126,238        | 35,991                 | 144,796                           | 82,459             | 31,028                        | 64,238         | 81,062                        | 81,675           | 690,650        |
| Additions                       | 5,435         | 7,257          | 2,038                  | 15,978                            | 9,323              | -                             | 26,828         | 3,193                         | 33,345           | 103,397        |
| Reclassifications from WIP      | 1,240         | 2,505          | 192                    | 8,100                             | 8,390              | -                             | 825            | -                             | (21,584)         | (332)          |
| Modifications                   | -             | -              | -                      | -                                 | -                  | -                             | -              | 1,038                         | -                | 1,038          |
| Impact of Hyperinflation        | -             | 26,103         | 2,394                  | 4,409                             | 3,824              | -                             | 5,675          | 17,301                        | 3,735            | 63,441         |
| Disposals                       | -             | (11)           | (50)                   | (803)                             | (90)               | -                             | (3,510)        | (77)                          | -                | (4,541)        |
| Exchange difference             | -             | (5,792)        | (998)                  | (1,723)                           | (1,189)            | -                             | (1,635)        | (5,492)                       | (941)            | (17,770)       |
| <b>At 31 December 2025</b>      | <b>49,838</b> | <b>156,300</b> | <b>39,567</b>          | <b>170,757</b>                    | <b>102,717</b>     | <b>31,028</b>                 | <b>92,421</b>  | <b>97,025</b>                 | <b>96,230</b>    | <b>835,883</b> |
|                                 | Land          | Buildings      | Leasehold improvements | Furniture, fittings and equipment | Computer equipment | Right of use asset - Aircraft | Motor vehicles | Right-of-use assets Buildings | Work in progress | Total          |
| <b>Accumulated Depreciation</b> |               |                |                        |                                   |                    |                               |                |                               |                  |                |
| At 1 January 2025               | -             | 22,018         | 31,028                 | 112,842                           | 59,719             | 2,592                         | 37,083         | 24,927                        | -                | 290,209        |
| Charge for the year             | -             | 3,176          | 2,569                  | 13,432                            | 16,604             | 1,240                         | 15,237         | 6,318                         | -                | 58,576         |
| Reclassifications               | -             | 37             | (36)                   | 28                                | (29)               | -                             | -              | -                             | -                | -              |
| Disposals                       | -             | (4)            | (42)                   | (620)                             | (91)               | -                             | (2,722)        | (48)                          | -                | (3,527)        |
| Impact of Hyperinflation        | -             | 4,055          | 1,649                  | 3,525                             | 2,650              | -                             | 3,397          | 3,543                         | -                | 18,819         |
| Exchange difference             | -             | (1,013)        | (753)                  | (1,289)                           | (693)              | -                             | (967)          | (1,497)                       | -                | (6,212)        |
| <b>At 31 December 2025</b>      | <b>-</b>      | <b>28,269</b>  | <b>34,415</b>          | <b>127,918</b>                    | <b>78,160</b>      | <b>3,832</b>                  | <b>52,028</b>  | <b>33,243</b>                 | <b>-</b>         | <b>357,865</b> |
| <b>Net book amount</b>          |               |                |                        |                                   |                    |                               |                |                               |                  |                |
| <b>At 31 December 2025</b>      | <b>49,838</b> | <b>128,031</b> | <b>5,152</b>           | <b>42,839</b>                     | <b>24,557</b>      | <b>27,196</b>                 | <b>40,393</b>  | <b>63,782</b>                 | <b>96,230</b>    | <b>478,018</b> |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 26. Property and equipment (continued)

#### Bank

30 June 2026

|                                      | Land          | Buildings     | Leasehold improvements | Furniture, fittings and equipment | Computer equipment | Aircraft      | Motor vehicles | Right-of-use assets - Buildings | Work in progress | Total          |
|--------------------------------------|---------------|---------------|------------------------|-----------------------------------|--------------------|---------------|----------------|---------------------------------|------------------|----------------|
| <b>Cost</b>                          |               |               |                        |                                   |                    |               |                |                                 |                  |                |
| At 1 January 2026                    | 49,838        | 76,777        | 27,165                 | 149,963                           | 86,257             | 31,028        | 72,042         | 27,568                          | 81,558           | 602,196        |
| Additions                            | 984           | 758           | 265                    | 5,475                             | 1,721              | -             | 7,728          | 1,065                           | 80,184           | 98,180         |
| Reclassifications /transfer from WIP | 1,270         | 3,629         | 258                    | 5,886                             | 6,376              | -             | 647            | -                               | (18,066)         | -              |
| Disposals                            | -             | (5)           | (3)                    | (371)                             | (61)               | -             | (713)          | -                               | -                | (1,153)        |
| Modification                         | -             | -             | -                      | -                                 | -                  | -             | -              | 1,364                           | -                | 1,364          |
| <b>At 30 June 2026</b>               | <b>52,092</b> | <b>81,159</b> | <b>27,685</b>          | <b>160,953</b>                    | <b>94,293</b>      | <b>31,028</b> | <b>79,704</b>  | <b>29,997</b>                   | <b>143,676</b>   | <b>700,587</b> |
| <b>Accumulated Depreciation</b>      |               |               |                        |                                   |                    |               |                |                                 |                  |                |
| At 1 January 2026                    | -             | 14,588        | 24,803                 | 112,873                           | 65,830             | 3,832         | 38,613         | 12,650                          | -                | 273,189        |
| Charge for the year                  | -             | 793           | 768                    | 7,330                             | 9,305              | 620           | 7,017          | 1,188                           | -                | 27,021         |
| Reclassifications/transfer from WIP  | -             | 76            | (61)                   | 21                                | (36)               | -             | -              | -                               | -                | -              |
| Disposals                            | -             | (3)           | (3)                    | (354)                             | (62)               | -             | (539)          | -                               | -                | (961)          |
| <b>At 30 June 2026</b>               | <b>-</b>      | <b>15,454</b> | <b>25,507</b>          | <b>119,870</b>                    | <b>75,037</b>      | <b>4,452</b>  | <b>45,091</b>  | <b>13,838</b>                   | <b>-</b>         | <b>299,249</b> |
| <b>Net book amount</b>               |               |               |                        |                                   |                    |               |                |                                 |                  |                |
| <b>At 30 June 2026</b>               | <b>52,092</b> | <b>65,705</b> | <b>2,178</b>           | <b>41,083</b>                     | <b>19,256</b>      | <b>26,576</b> | <b>34,613</b>  | <b>16,159</b>                   | <b>143,676</b>   | <b>401,338</b> |

Expenses relating to short term lease and low value lease assets can be seen in note 12 as lease expense.

There were no impairment losses on any class of property and equipment during the period (31 December 2025: Nil).

There were no capitalised borrowing costs related to the acquisition of property and equipment during the period (31 December 2025: Nil).

All property and equipment are non-current. None of the Bank's assets were financed from borrowings, consequently no borrowing cost has been capitalized as part of asset cost.

For accounting policy and judgements on right of use, see note 2.14 and the bank has Nil ROU in respect of leases that are yet to commence.

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 26. Property and equipment (continued)

There are no restrictions on the title of the properties and none of them are pledged as securities for liabilities.

#### Bank

31 December 2025

|                            | Land          | Buildings     | Leasehold improvements | Furniture, fittings and equipment | Computer equipment | Aircraft      | Motor vehicles | Right-of-use assets - Buildings | Work in progress | Total          |
|----------------------------|---------------|---------------|------------------------|-----------------------------------|--------------------|---------------|----------------|---------------------------------|------------------|----------------|
| <b>Cost</b>                |               |               |                        |                                   |                    |               |                |                                 |                  |                |
| At 1 January 2025          | 43,103        | 71,767        | 26,032                 | 130,159                           | 71,265             | 31,028        | 50,562         | 24,760                          | 74,530           | 523,206        |
| Additions                  | 5,435         | 2,713         | 1,033                  | 12,997                            | 7,491              | -             | 23,034         | 1,770                           | 26,698           | 81,171         |
| Reclassifications from WIP | 1,300         | 2,308         | 151                    | 7,544                             | 7,540              | -             | 827            | -                               | (19,670)         | -              |
| Disposals                  | -             | (11)          | (51)                   | (737)                             | (39)               | -             | (2,381)        | -                               | -                | (3,219)        |
| Foreign exchange movements | -             | -             | -                      | -                                 | -                  | -             | -              | 1,038                           | -                | 1,038          |
| <b>At 31 December 2025</b> | <b>49,838</b> | <b>76,777</b> | <b>27,165</b>          | <b>149,963</b>                    | <b>86,257</b>      | <b>31,028</b> | <b>72,042</b>  | <b>27,568</b>                   | <b>81,558</b>    | <b>602,196</b> |

|                                     | Land     | Buildings     | Leasehold improvements | Furniture, fittings and equipment | Computer equipment | Aircraft     | Motor vehicles | Right-of-use assets - Buildings | Work in progress | Total          |
|-------------------------------------|----------|---------------|------------------------|-----------------------------------|--------------------|--------------|----------------|---------------------------------|------------------|----------------|
| <b>Accumulated Depreciation</b>     |          |               |                        |                                   |                    |              |                |                                 |                  |                |
| At 1 January 2025                   | -        | 13,076        | 23,302                 | 102,236                           | 53,002             | 2,592        | 29,014         | 9,711                           | -                | 232,933        |
| Charge for the year                 | -        | 1,479         | 1,579                  | 11,188                            | 12,896             | 1,240        | 11,408         | 2,939                           | -                | 42,729         |
| Reclassifications/transfer from WIP | -        | 37            | (36)                   | 28                                | (29)               | -            | -              | -                               | -                | -              |
| Disposals                           | -        | (4)           | (42)                   | (579)                             | (39)               | -            | (1,809)        | -                               | -                | (2,473)        |
| <b>At 31 December 2025</b>          | <b>-</b> | <b>14,588</b> | <b>24,803</b>          | <b>112,873</b>                    | <b>65,830</b>      | <b>3,832</b> | <b>38,613</b>  | <b>12,650</b>                   | <b>-</b>         | <b>273,189</b> |

#### Net book amount

|                     |        |        |       |        |        |        |        |        |        |         |
|---------------------|--------|--------|-------|--------|--------|--------|--------|--------|--------|---------|
| At 31 December 2025 | 49,838 | 62,189 | 2,362 | 37,090 | 20,427 | 27,196 | 33,429 | 14,918 | 81,558 | 329,007 |
|---------------------|--------|--------|-------|--------|--------|--------|--------|--------|--------|---------|

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 26. Property and equipment (continued)

(b) Right of use amounts and lease liability amounts recognised in the statement of financial position

| In millions of Naira       | Group         |                  | Bank          |                  |
|----------------------------|---------------|------------------|---------------|------------------|
|                            | 30 June 2026  | 31 December 2025 | 30 June 2026  | 31 December 2025 |
| <b>Right-of-use assets</b> |               |                  |               |                  |
| Buildings (see note 26)    | 63,770        | 63,782           | 16,159        | 14,918           |
|                            | <u>63,770</u> | <u>63,782</u>    | <u>16,159</u> | <u>14,918</u>    |

Additions to the right-of-use asset for during the period ended 30 June 2026 was N6.296 billion and N1.065 billion for Group and Bank(31 December 2025: N3.193 billion and N1.77 billion respectively).

| In millions of Naira     | Group         |                  | Bank          |                  |
|--------------------------|---------------|------------------|---------------|------------------|
|                          | 30 June 2026  | 31 December 2025 | 30 June 2026  | 31 December 2025 |
| <b>Lease liabilities</b> |               |                  |               |                  |
| Current                  | 13,234        | 14,478           | 8,174         | 9,225            |
| Non-current              | 28,425        | 26,329           | 5,462         | 3,717            |
|                          | <u>41,659</u> | <u>40,807</u>    | <u>13,636</u> | <u>12,942</u>    |

(c) Amounts recognised in the income statement

| In millions of Naira                             | Group        |                  | Bank         |                  |
|--------------------------------------------------|--------------|------------------|--------------|------------------|
|                                                  | 30 June 2026 | 31 December 2025 | 30 June 2026 | 31 December 2025 |
| <b>Depreciation charge of right-of-use asset</b> |              |                  |              |                  |
| Buildings (see note 26)                          | 3,438        | 6,318            | 1,188        | 2,239            |
|                                                  | <u>3,438</u> | <u>6,318</u>     | <u>1,188</u> | <u>2,239</u>     |
| Interest expense (included in finance cost)      | 1,986        | 3,953            | 569          | 1,294            |
| Lease expense (Note 12)                          | 242          | 40               | 28           | 22               |

The total cash outflow of leases as at 30 June 2026 was N5.478 billion and N1.983 billion for Group and Bank respectively (31 December 2025: 7,595 million and N1,686 million respectively).

There were no capitalised borrowing costs related to the acquisition of property and equipment during the period (31 December 2025: Nil).

Expenses relating to short term lease and low value lease assets can be seen in note 12 as lease expense

There were no impairment losses on any class of property and equipment during the period (31 December 2025: Nil).

All property and equipment are non-current. None of the Bank's assets were financed from borrowings, consequently no borrowing cost has been capitalized as part of asset cost. For accounting policy and judgements on right of use see note 2.14. The Group has no ROU in respect of leases that are yet to commence.

There are no restrictions on the title of the properties and none of them are pledged as securities for liabilities.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                               | Group          |                  | Bank           |                  |
|-----------------------------------------------|----------------|------------------|----------------|------------------|
| In millions of Naira                          | 30 June 2026   | 31 December 2025 | 30 June 2026   | 31 December 2025 |
| <b>27. Intangible assets</b>                  |                |                  |                |                  |
| <b>Computer Software</b>                      |                |                  |                |                  |
| <b>Cost</b>                                   |                |                  |                |                  |
| At start of the period/year                   | 133,425        | 125,012          | 107,909        | 106,015          |
| Additions                                     | 2,569          | 6,578            | 89             | 1,894            |
| Acquired through business combination         | 54             | -                | -              | -                |
| Disposal                                      | -              | (53)             | -              | -                |
| Impact of hyperinflation                      | -              | 2,458            | -              | -                |
| Exchange difference                           | (1,872)        | (570)            | -              | -                |
| <b>At the end of the period/year</b>          | <b>134,176</b> | <b>133,425</b>   | <b>107,998</b> | <b>107,909</b>   |
| <b>Accumulated amortization</b>               |                |                  |                |                  |
| At start of the period/year                   | 54,604         | 36,816           | 38,537         | 25,812           |
| Charge for the period/year                    | 8,557          | 16,940           | 6,565          | 12,725           |
| Disposal                                      | -              | (53)             | -              | -                |
| Impact of hyperinflation                      | -              | 750              | -              | -                |
| Exchange difference                           | (1,178)        | 151              | -              | -                |
| <b>At the end of the period/year</b>          | <b>61,983</b>  | <b>54,604</b>    | <b>45,102</b>  | <b>38,537</b>    |
| Carrying amount at the end of the period/year | 72,193         | 78,821           | 62,896         | 69,372           |

All intangible assets are non-current. All intangible assets of the Group have finite useful life and are amortised over 5 years.

The Group does not have internally generated intangible assets.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                                  | Group             |                   | Bank              |                   |
|--------------------------------------------------|-------------------|-------------------|-------------------|-------------------|
| In millions of Naira                             | 30 June 2026      | 31 December 2025  | 30 June 2026      | 31 December 2025  |
| <b>28. Customers' deposits</b>                   |                   |                   |                   |                   |
| Demand                                           | 11,951,119        | 9,786,530         | 8,669,781         | 6,463,556         |
| Savings                                          | 8,181,075         | 8,800,036         | 7,869,757         | 8,538,630         |
| Term                                             | 6,215,709         | 5,743,395         | 3,384,117         | 3,112,733         |
|                                                  | <b>26,347,903</b> | <b>24,329,961</b> | <b>19,923,655</b> | <b>18,114,919</b> |
| Classified as:                                   |                   |                   |                   |                   |
| Current                                          | 26,347,903        | 24,329,961        | 19,923,655        | 18,114,919        |
|                                                  | <b>26,347,903</b> | <b>24,329,961</b> | <b>19,923,655</b> | <b>18,114,919</b> |
| <b>29. Other liabilities</b>                     |                   |                   |                   |                   |
| <b>Other financial liabilities</b>               |                   |                   |                   |                   |
| Customer deposits for letters of credit          | 269,837           | 291,692           | 269,837           | 291,692           |
| Managers' cheques                                | 25,034            | 29,809            | 24,664            | 28,648            |
| Collections accounts                             | 314,235           | 309,819           | 314,138           | 309,747           |
| Unclaimed dividend                               | 4,753             | 4,483             | 4,753             | 4,483             |
| Lease liability (see note (c) below)             | 41,659            | 40,806            | 13,636            | 12,942            |
| Electronic card and settlement payables          | 23,785            | 44,263            | 19,587            | 31,523            |
| Customers' foreign transactions payables         | 239,606           | 227,890           | 239,473           | 227,890           |
| Account payables                                 | 44,727            | 10,712            | 26,827            | -                 |
| Off Balance Sheet exposures impairment allowance | 23,238            | 10,821            | 16,510            | 3,802             |
| Total other financial liabilities                | <b>986,874</b>    | <b>970,295</b>    | <b>929,425</b>    | <b>910,727</b>    |
| <b>Non-financial liabilities</b>                 |                   |                   |                   |                   |
| Tax collections                                  | 21,409            | 17,581            | 20,331            | 16,421            |
| Deferred income on financial guarantee contracts | 44,725            | 26,036            | 36,931            | 17,380            |
| Other payables                                   | 67,723            | 135,018           | 38,655            | 97,006            |
| Provision for claims                             | 1,661             | 1,661             | 1,661             | 1,661             |
| Total other non-financial liabilities            | <b>135,518</b>    | <b>180,296</b>    | <b>97,578</b>     | <b>132,468</b>    |
| <b>Total other liabilities</b>                   | <b>1,122,392</b>  | <b>1,150,591</b>  | <b>1,027,003</b>  | <b>1,043,195</b>  |
| Classified as:                                   |                   |                   |                   |                   |
| Current                                          | 1,053,226         | 1,121,079         | 977,596           | 1,036,305         |
| Non-current                                      | 69,166            | 29,512            | 49,407            | 6,890             |
|                                                  | <b>1,122,392</b>  | <b>1,150,591</b>  | <b>1,027,003</b>  | <b>1,043,195</b>  |
| (a) ECL allowance for off balance sheet exposure |                   |                   |                   |                   |
| Bonds and guarantee contracts                    | 194               | 258               | 174               | 172               |
| Undrawn portion of loan commitments              | 2,264             | 2,004             | 1,773             | 681               |
| Letters of credit                                | 20,780            | 8,559             | 14,563            | 2,949             |
|                                                  | <b>23,238</b>     | <b>10,821</b>     | <b>16,510</b>     | <b>3,802</b>      |



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                      | Group        |                  | Bank         |                  |
|----------------------|--------------|------------------|--------------|------------------|
| In millions of Naira | 30 June 2026 | 31 December 2025 | 30 June 2026 | 31 December 2025 |

### 29. Other liabilities (continued)

#### (b) Lease liability

This relates to lease rental for properties used by the Group. The net carrying amount of leased assets, included within property and equipment is N63.78 billion and N14.91 billion as at 30 June 2026. (31 December 2025: N63.78 billion and N14.91 billion) for both Group and Bank respectively.

The undiscounted cash flow payments on the lease liabilities extend over a number of years. This is analysed as follows:

|                                        |               |               |               |               |
|----------------------------------------|---------------|---------------|---------------|---------------|
| Not more than one year                 | 14,358        | 13,121        | 9,895         | 8,964         |
| Over one year but less than five years | 26,194        | 23,518        | 6,911         | 4,168         |
| More than five years                   | 14,014        | 11,601        | 4,718         | 3,086         |
| <b>At end of the period</b>            | <b>54,566</b> | <b>48,240</b> | <b>21,524</b> | <b>16,218</b> |

The table below shows the movement in lease liability during the period:

|                                       |               |               |               |               |
|---------------------------------------|---------------|---------------|---------------|---------------|
| As at 1 January                       | 40,806        | 37,066        | 12,942        | 11,405        |
| Acquired through business combination | 353           | -             | -             | -             |
| Additions                             | 5,456         | 928           | 786           | 892           |
| Principal repayment                   | (5,102)       | (7,573)       | (1,951)       | (1,665)       |
| Reassessment                          | 1,232         | 3,032         | 1,322         | 1,038         |
| Interest expense                      | 1,986         | 3,842         | 569           | 1,294         |
| Interest paid                         | (270)         | (22)          | (32)          | (22)          |
| Foreign exchange difference           | (2,802)       | 3,533         | -             | -             |
| <b>At end of the period</b>           | <b>41,659</b> | <b>40,806</b> | <b>13,636</b> | <b>12,942</b> |

### 30. On lending facilities

(a) This comprises:

|                                                                                |               |                |               |               |
|--------------------------------------------------------------------------------|---------------|----------------|---------------|---------------|
| Central Bank of Nigeria (CBN) Commercial Agriculture Credit Scheme Loan (i)    | 288           | 290            | 288           | 290           |
| Bank of Industry (BOI) Intervention Loan (ii)                                  | 11,512        | 13,498         | 11,512        | 13,498        |
| Nigerian Export-Import Bank (NEXIM) rediscounting & refinancing facility (iii) | -             | 2,184          | -             | 2,184         |
| CBN MSMEDF Deposit (iv)                                                        | 161           | 220            | 161           | 220           |
| Excess Crude Loan Facility Deposit (v)                                         | 56,138        | 59,655         | 56,138        | 59,655        |
| National Food Security Programme (NFSP) (vi)                                   | 3,577         | 6,857          | 3,577         | 6,857         |
| Non-Oil Export Stimulation Facility (vii)                                      | 783           | 1,051          | 783           | 1,051         |
| Development Bank of Ghana capital investment and working capital loan (viii)   | 6,027         | 12,674         | -             | -             |
| Mastercard Foundation Bridge-In Agricultural Finance Scheme (ix)               | 8,774         | 6,940          | -             | -             |
|                                                                                | <b>87,260</b> | <b>103,369</b> | <b>72,459</b> | <b>83,755</b> |

Classified as:

|             |               |                |               |               |
|-------------|---------------|----------------|---------------|---------------|
| Current     | 35,746        | 32,510         | 35,746        | 32,510        |
| Non-current | 51,514        | 70,859         | 36,713        | 51,245        |
|             | <b>87,260</b> | <b>103,369</b> | <b>72,459</b> | <b>83,755</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 30. On lending facilities (continued)

#### Movement

|                                            |               |                |               |               |
|--------------------------------------------|---------------|----------------|---------------|---------------|
| At beginning of the period/year            | 103,369       | 250,725        | 83,755        | 250,726       |
| Principal addition during the period/year  | 4,113         | 20,295         | -             | 2,400         |
| Principal repayment during the period/year | (17,755)      | (46,287)       | (11,853)      | (46,287)      |
| Interest expense during the period/year    | 1,564         | 4,628          | 761           | 4,628         |
| Reclassification                           | -             | (127,373)      | -             | (127,373)     |
| Interest paid during the period/year       | (1,698)       | (339)          | (204)         | (339)         |
| Foreign exchange difference                | (2,333)       | 1,720          | -             | -             |
| <b>At end of the period/year</b>           | <b>87,260</b> | <b>103,369</b> | <b>72,459</b> | <b>83,755</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 30. On lending facilities (continued)

(i) The fund received under the Central Bank of Nigeria (CBN) Commercial Agriculture Credit Scheme represents a credit line granted to the Bank for the purpose of providing concessionary funding to the agricultural sector. The facility has a tenor of 16 years with effect from 2009. The facility attracts an interest rate of 2% per annum and the Bank is under obligation to on-lend to customers at an all-in interest rate of not more than 9% per annum. Based on the structure of the facility, the Bank assumes the default risk of all amounts lent to the Bank's customers. This facility is not secured

(ii) The Central Bank of Nigeria (CBN) / Bank of Industry (BOI) - SME / Manufacturing Intervention Fund represents an intervention credit granted to the Bank for the purpose of refinancing / restructuring existing loans to Small and Medium Scale Enterprises (SMEs) and Manufacturing Companies. The total facility is secured by Nigerian Government Securities. The maximum tenor for term loans under the programme is 15 years while the tenor for working capital is one year, renewable annually subject to a maximum tenor of five years. A management fee of 1% per annum is deductible at source in the first year, and quarterly in arrears thereafter, is paid by the Bank under the Intervention programme and the Bank is under obligation to on-lend to customers at an all-in interest rate of 7% per annum. The Bank is the primary obligor to CBN / BOI and assumes the risk of default.

(iii) These facilities are loans to eligible clients to support the working capital for export manufacturing related activities. This is a rediscounting and refinancing facility at a discount rate of 9% payable to Nexim and a maximum of 3% interest/discount rate allowable to Zenith Bank.

(iv) The Micro, Small and Medium Enterprises Development Fund (MSMEDF), Shared Agent Network Expansion Facility (SANEF) and Agri-Business/Small and Medium Enterprises Investment Scheme (AGSMEIS) are CBN-backed intervention schemes that provide low-interest funding to MSMEs subsector of the Nigerian economy, support economic growth and job creation, and promote financial inclusion. The facilities are obtained at 2% per annum and the Bank is obligated to on-lend to beneficiaries (SMEs) at 9% per annum. The maximum tenor is five years, while working-capital facilities have a one-year tenor. These facilities are not secured.

(v) Excess Crude Account (ECA) facilities are loans of N10 billion to each State with a tenor of 10-years priced at 9% per annum interest rate to the beneficiaries. Repayments are deducted at source, by the Accountant General of the Federation, as a first line charge against each beneficiary state's monthly statutory allocation. This facility is not secured. The fund is disbursed to the bank at 2% interest rate.

(vi) National Food Security Programme (NFSP): The Central Bank of Nigeria, as part of the efforts to unlock the potential of the real sector output growth, productivity and job creation has established a N300 billion Real Sector Support Facility (RSSF) & NFSP. The facility is disbursed to large enterprises and startups with financing needs of N500 million up to a maximum of N10.0 billion. The activities targeted by the Facility are manufacturing, agricultural value chain and selected service subsectors. The funds are received from the CBN at 2%, and disbursed at 9% to the beneficiary. At 30 June 2026, the balance under the RSSF was nil. Accordingly, the N3.577 billion balance disclosed under this line relates entirely to the National Food Security Programme, which supports agricultural production and the agricultural value chain to improve food self-sufficiency and national food security.

(vii) Non-oil Export Stimulation Facility (NESF): This Facility was established by the Central Bank of Nigeria to diversify the economy away from the oil sector, after the fall in crude prices. The Central Bank invested N500 billion debenture, issued by Nigerian Export-Import Bank (NEXIM). The facility disbursed per customer shall not exceed 70% of total cost of project, or subject to a maximum of N5 billion. Funds disbursed to the Bank from CBN are at a cost of 2% which are then disbursed to qualifying customers at the rate of 9% per annum.

(viii) The outstanding balance of N6.03 billion represents funding received by the Bank from the Development Bank of Ghana (DBG) for on-lending to eligible customers. The facility is made available to the Bank at an on-lending rate of 16.87% per annum, with a requirement to disburse the funds to customers within the designated sectors at agreed terms. The facility has a flexible tenor of 3 - 15 years. In line with the structure of the scheme, the Bank assumes the credit risk on all amounts advanced to its customers. This facility is not secured.

(ix) Zenith Bank Ghana also received funding under the Mastercard Foundation Bridge-In Agricultural Finance Scheme, an initiative designed to expand access to finance for agribusinesses and smallholder farmers. The facility is provided to the Bank at a concessional rate of 7% per annum, with an obligation to on-lend qualifying customers within the agricultural value chain. The facility has a tenor of 3 years with effect from 2025 and will expire in 2028. The Bank bears the credit risk associated with disbursements under this program.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                      | Group        |                  | Bank         |                  |
|----------------------|--------------|------------------|--------------|------------------|
| In millions of Naira | 30 June 2026 | 31 December 2025 | 30 June 2026 | 31 December 2025 |

### 31. Borrowings

Long term borrowings comprise:

|                                              |               |                |          |                |
|----------------------------------------------|---------------|----------------|----------|----------------|
| Due to banks for clean letters of credit (i) | 11,128        | 467,562        | -        | 193,402        |
| Due to CBN (ii)                              | -             | 183,600        | -        | 183,601        |
|                                              | <b>11,128</b> | <b>651,162</b> | <b>-</b> | <b>377,003</b> |

The Group has not had any defaults of principal, interest, or other breaches with respect to the debt securities during the period (31 December 2025: nil). The assets exchanged under repurchase agreements with counterparties are disclosed in note 17.

Classified as:

|         |        |         |   |         |
|---------|--------|---------|---|---------|
| Current | 11,128 | 651,162 | - | 377,003 |
|---------|--------|---------|---|---------|

#### Movement in borrowings

|                                      |               |                |             |                |
|--------------------------------------|---------------|----------------|-------------|----------------|
| At the beginning of the period/year  | 651,162       | 2,045,185      | 377,003     | 1,951,616      |
| Addition during the period/year      | 6,247,564     | 21,299,978     | 5,849,570   | 17,964,213     |
| Interest expense                     | 30,951        | 260,559        | 25,374      | 209,390        |
| Interest paid                        | (42,028)      | (363,545)      | (29,616)    | (316,424)      |
| Repayments (principal)               | (6,835,391)   | (22,608,411)   | (6,212,798) | (19,418,646)   |
| Foreign exchange difference          | (41,130)      | 17,396         | (9,533)     | (13,146)       |
| <b>At the end of the period/year</b> | <b>11,128</b> | <b>651,162</b> | <b>-</b>    | <b>377,003</b> |

#### Details of Borrowings

##### i Due to banks for clean letters of credit

The amount represents clean line from various international banks for letter of credit

##### ii Due to CBN

There is no outstanding balance due to CBN.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                                                            | Group            |                  | Bank             |                  |
|----------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
| In millions of Naira                                                       | 30 June 2026     | 31 December 2025 | 30 June 2026     | 31 December 2025 |
| <b>32. Derivative liabilities</b>                                          |                  |                  |                  |                  |
| <b>Instrument types (Fair value):</b>                                      |                  |                  |                  |                  |
| Forward and swap contracts                                                 | 103,885          | 194,974          | 103,478          | 194,400          |
| Put Option                                                                 | 2,390            | 1,098            | 2,390            | 1,098            |
|                                                                            | <b>106,275</b>   | <b>196,072</b>   | <b>105,868</b>   | <b>195,498</b>   |
| <b>Instrument types (Notional Amount)</b>                                  |                  |                  |                  |                  |
| Forward and swap contracts                                                 | 1,232,543        | 2,501,167        | 1,232,136        | 2,500,592        |
| Put Option                                                                 | 2,390            | 1,098            | 2,390            | 1,098            |
|                                                                            | <b>1,234,933</b> | <b>2,502,265</b> | <b>1,234,526</b> | <b>2,501,690</b> |
| <b>Classified as:</b>                                                      |                  |                  |                  |                  |
| Current                                                                    | 106,275          | 128,865          | 105,868          | 128,291          |
| Non-current                                                                | -                | 67,207           | -                | 67,207           |
|                                                                            | <b>106,275</b>   | <b>196,072</b>   | <b>105,868</b>   | <b>195,498</b>   |
| <b>33. Share capital</b>                                                   |                  |                  |                  |                  |
| <b>Issued and fully paid</b>                                               |                  |                  |                  |                  |
| 41,069,830,000 ordinary shares of 50k each (December 2025: 41,069,830,000) | 20,535           | 20,535           | 20,535           | 20,535           |
| <b>Issued</b>                                                              |                  |                  |                  |                  |
| Ordinary                                                                   | 20,535           | 20,535           | 20,535           | 20,535           |

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                      | Group        |                  | Bank         |                  |
|----------------------|--------------|------------------|--------------|------------------|
| In millions of Naira | 30 June 2026 | 31 December 2025 | 30 June 2026 | 31 December 2025 |

### 34. Share premium, retained earnings and other reserves

(a) There was no movement in the Share premium account during the current year.

|               |         |         |         |         |
|---------------|---------|---------|---------|---------|
| Share premium | 594,113 | 594,113 | 594,113 | 594,113 |
|---------------|---------|---------|---------|---------|

The nature and purpose of the reserves in equity are as follows:

(b) **Share premium:** Premiums from the issue of shares are reported in share premium

(c) **Retained earnings:** Retained earnings represent undistributed profits, net of statutory appropriations attributable to the ordinary shareholders.

(d) **Statutory reserve:** This represents the cumulative amount set aside from general reserves/retained earnings by the Bank and its subsidiaries. This amount is non-distributable. The Bank's appropriation is in line with BOFIA 2020 which stipulates that an appropriation of 30% of profit after tax be made if the statutory reserve is less than the paid-up share capital and 15% of profit after tax if the statutory reserve is greater than the paid-up share capital. In the current period, a total of N46.11 billion (2025: N121.96 billion) representing 15% of Zenith Bank's profit after tax was appropriated and N 57.31billion (2025: N161.9 billion) representing the appropriation of the Bank and its non-Nigerian subsidiaries which is based on their profit and in line with the requirement of their Central Bank.

(e) **SMIEIS reserve:** This reserve represents the aggregate amount of appropriations from profit after tax to finance equity investments in compliance with the directives issued by the Central Bank of Nigeria (CBN) through its circulars dated July 11, 2006 (amended).

The SMIEIS reserve was maintained in compliance with the Central Bank of Nigeria's requirement that all licensed banks set aside a portion of the profit after tax in a fund to be used to finance equity investments in qualifying small and medium scale enterprises. Under the terms of the guideline issued in July 2006, the contributions were 10% of profit after tax and were expected to continue after the first 5 years after which banks' contributions were to reduce to 5% of profit after tax.

The small and medium scale industries equity investment scheme reserves are non-distributable.

(f) **Fair value reserve:** Comprises fair value movements on equity and debt instruments that are carried at fair value through Other Comprehensive Income.

(g) **Foreign currency translation reserve:** Comprises exchange differences resulting from the translation to Naira of the results and financial position of Group companies that have a functional currency other than Naira.

(h) **Credit risk reserve:** This reserve represents the cumulative difference between the loan loss provision determined per the Prudential Guidelines of the Central Bank of Nigeria and the Central Bank of other subsidiaries vis-a-viz the allowance/reserve for loan losses as determined in line with the principles of IFRS 9.

As at 30 June 2026, the Bank has made a cumulative credit risk reserve of N104.11 billion, while the cumulative amount made by the Group is N120.26 billion (31 December 2025: Group N114.32 billion and Bank N104.11 billion).

(i) **Non-controlling interest:** This is the component of shareholders' equity as reported on the consolidated statement of financial position which represents the ownership interest of shareholders other than the parent of the subsidiary. See note below for the changes in non-controlling interest during the period.

### Movement in Non-controlling interest

|                                          | 30 June 2026 | 31 December 2025 |
|------------------------------------------|--------------|------------------|
| At start of the period/year              | 3,794        | 2,365            |
| Impact of adopting IAS 29 on 1 January   | -            | 820              |
| Profit for the period                    | 469          | 799              |
| Foreign currency translation differences | (349)        | (190)            |
| <b>At end of the period/year</b>         | <b>3,914</b> | <b>3,794</b>     |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 35. Personnel expenses

In millions of Naira

|                       | Group          |                | Bank          |               |
|-----------------------|----------------|----------------|---------------|---------------|
|                       | 30 June 2026   | 30 June 2025   | 30 June 2026  | 30 June 2025  |
| Salaries and wages    | 93,576         | 91,594         | 61,798        | 61,567        |
| Pension contribution* | 5,887          | 6,729          | 1,606         | 2,153         |
| Other staff costs**   | 38,988         | 36,245         | 29,479        | 23,403        |
|                       | <b>138,451</b> | <b>134,568</b> | <b>92,883</b> | <b>87,123</b> |

Compensation for the staff are as follows:

|                       |        |        |        |        |
|-----------------------|--------|--------|--------|--------|
| Salaries and wages    | 93,576 | 91,594 | 61,798 | 61,567 |
| Pension contribution* | 5,887  | 6,729  | 1,606  | 2,153  |
| Other staff costs**   | 38,988 | 36,245 | 29,479 | 23,403 |

\*In accordance with the provisions of the Pension Reform Act 2014, the Bank and its subsidiaries commenced a contributory pension scheme in January 2005. For entities operating in Nigeria, the contribution by employees and the employing entities are 8% and 10% respectively of the employees' basic salary, housing and transport allowance. Entities operating outside Nigeria contribute in line with relevant pension laws in their respective jurisdictions. The contribution by the Group and the Bank during the period were N5.8 billion and N1.6 billion respectively (30 June 2025: N6.73 billion and N2.15 billion).

\*\*Other staff costs comprise benefits to staff other than salaries and pension. These benefits include productivity expenses, medical expenses and staff professional subscriptions.

(a) The average number of persons employed during the period by category:

|                     | Group         |               | Bank         |              |
|---------------------|---------------|---------------|--------------|--------------|
|                     | 30 June 2026  | 30 June 2025  | 30 June 2026 | 30 June 2025 |
| Executive directors | 6             | 6             | 6            | 6            |
| Management          | 216           | 186           | 124          | 125          |
| Non-management      | 11,111        | 10,328        | 9,350        | 8,807        |
|                     | <b>11,333</b> | <b>10,520</b> | <b>9,480</b> | <b>8,938</b> |

The table below shows the number of employees, whose earnings during the period, fell within the ranges shown below:

|                         | Number        | Number        | Number       | Number       |
|-------------------------|---------------|---------------|--------------|--------------|
| N300,001 - N2,000,000   | 156           | 114           | -            | -            |
| N2,000,001 - N2,800,000 | 41            | 31            | -            | -            |
| N2,800,001 - N4,000,000 | 181           | 143           | -            | -            |
| N4,000,001 - N6,000,000 | 3,291         | 3,179         | 3,057        | 3,017        |
| N6,000,001 - N8,000,000 | 1,761         | 1,441         | 1,678        | 1,384        |
| N8,000,001 - N9,000,000 | 39            | 33            | -            | -            |
| N9,000,001 - and above  | 5,864         | 5,579         | 4,745        | 4,537        |
|                         | <b>11,333</b> | <b>10,520</b> | <b>9,480</b> | <b>8,938</b> |

### (b) Directors' emoluments

Directors' remuneration excluding certain benefits are as follows:

|                             |              |              |            |              |
|-----------------------------|--------------|--------------|------------|--------------|
| Executive compensation      | 633          | 5,879        | 633        | 5,879        |
| Fees and sitting allowances | 705          | 596          | 340        | 96           |
| Retirement Benefit costs    | 26           | 29           | 26         | 29           |
|                             | <b>1,364</b> | <b>6,504</b> | <b>999</b> | <b>6,004</b> |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                      | Group        |              | Bank         |              |
|----------------------|--------------|--------------|--------------|--------------|
| In millions of Naira | 30 June 2026 | 30 June 2025 | 30 June 2026 | 30 June 2025 |

Included in directors emolument above is remuneration paid to:

|                           |  |  |     |     |
|---------------------------|--|--|-----|-----|
| The Chairman              |  |  | 12  | 11  |
| The highest paid director |  |  | 178 | 178 |

The number of directors who received fees and other emoluments (excluding pension contributions and reimbursable expenses) in the following ranges was:

|                      | Number | Number | Number | Number |
|----------------------|--------|--------|--------|--------|
| N5,500,001 and above | 15     | 14     | 15     | 14     |

### 36. Group subsidiaries and related party transactions

Parent:

The Group is controlled by Zenith Bank Plc (incorporated in Nigeria) which is the parent company and whose shares are widely held.

Subsidiaries:

The amount of N11,941 bn (31 December 2025: N10,596 billion) represents the total pension assets under custody held by the Bank's subsidiary, Zenith Pensions Custodian Limited under the custodial business and guaranteed by the bank as required by the National Pensions Commission of Nigeria. Included in the amount above is N342 billion which represents the amount of the Group's cash held by the subsidiary under custody. Aside from the Guarantee on the asset held by our subsidiary, Zenith Pension Custodian Limited, the Group does not have any contingent liabilities in respect of related parties.

Transactions between Zenith Bank Plc and its subsidiaries, are eliminated on consolidation and are not separately disclosed in the consolidated financial statements. The Group's effective interests and investments in subsidiaries as at 30 June 2026 are shown below.

| Entity                              | Effective Holding % | Nominal share capital held |
|-------------------------------------|---------------------|----------------------------|
| Zenith Bank (Ghana) Limited         | 99.42               | 7,066                      |
| Zenith Bank (UK) Limited            | 100.00              | 21,482                     |
| Zenith Bank (Sierra Leone) Limited  | 99.99               | 2,059                      |
| Zenith Bank (The Gambia ) Limited   | 80.00               | 1,038                      |
| Zenith Pension Custodians Limited   | 99.00               | 1,980                      |
| Zenith Nominees Limited             | 99.00               | 1,000                      |
| Paramount Bank (Kenya) Limited      | 100.00              | 36,734                     |
| Zenith Bank (Cote d'Ivoire) Limited | 100.00              | 73,678                     |

### 30 June 2026

| Transactions and balances with subsidiaries<br>In millions of naira | Receivable from | Payable to | Income received from | Expense paid to |
|---------------------------------------------------------------------|-----------------|------------|----------------------|-----------------|
| Zenith Bank (UK) Limited                                            | 516,347         | 458        | 6,409                | 3,886           |
| Zenith Bank (Ghana) Limited                                         | 27              | -          | -                    | -               |
| Zenith Bank (Sierra Leone) Limited                                  | 1,693           | -          | -                    | -               |
| Zenith Bank (Gambia) Limited                                        | 1,733           | -          | -                    | -               |
| Zenith Nominees Limited                                             | -               | 1,992      | -                    | -               |
| Zenith Pensions Custodian Limited                                   | -               | 146        | -                    | -               |
| Paramount Bank (Kenya) Limited                                      | -               | -          | -                    | -               |
| Zenith Bank (Cote d'Ivoire) Limited                                 | -               | -          | -                    | -               |



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 36. Group subsidiaries and related party transactions (continued)

31 December 2025

| Transactions and balances with subsidiaries<br>In millions of naira | Receivable from | Payable to | Income<br>received from | Expense paid<br>to |
|---------------------------------------------------------------------|-----------------|------------|-------------------------|--------------------|
| Zenith Bank (UK) Limited                                            | 520,430         | 485        | 25,952                  | 8,637              |
| Zenith Bank (Ghana) Limited                                         | 150             | -          | -                       | -                  |
| Zenith Bank (Sierra Leone) Limited                                  | 1,094           | -          | -                       | -                  |
| Zenith Bank (Gambia) Limited                                        | 1,199           | -          | -                       | -                  |
| Zenith Pensions Custodian Limited                                   | -               | 165        | 6,500                   | -                  |
| Zenith Nominees Limited                                             | -               | 2,427      | -                       | -                  |

Amounts payable to subsidiaries relate to receivables mostly from Zenith bank UK. The balances with related parties relate to deposits with Zenith Bank UK and salaries of seconded staff of Zenith Bank PLC receivable from the subsidiaries. Transactions during the period relate to dividends received from subsidiaries and interest expense on borrowings with Zenith Bank UK.

#### Significant restrictions

The Group does not have significant restrictions on its ability to access or use its assets and settle its liabilities other than those resulting from the supervisory frameworks within which banking subsidiaries operate. The supervisory frameworks require banking subsidiaries to keep certain levels of regulatory capital and liquid assets, limit their exposure to other parts of the Group and comply with other ratios. See notes 3.4 and 3.6 for disclosures on liquidity and capital adequacy requirements respectively. The carrying amounts of banking subsidiaries' assets and liabilities are N8,504 billion and N7,147 billion respectively (31 December 2025: N8,420 billion and N7,197 billion respectively).

#### Non-controlling interest in subsidiaries

The Group does not have any subsidiary that has material non-controlling interest.

#### Key management personnel

Key management personnel is defined as the Group's executive and non-executive directors

| In millions of Naira                                  | Group        |              | Bank         |              |
|-------------------------------------------------------|--------------|--------------|--------------|--------------|
|                                                       | 30 June 2026 | 30 June 2025 | 30 June 2026 | 30 June 2025 |
| <b>Key management compensation</b>                    |              |              |              |              |
| Salaries and other short-term benefits                | 633          | 5,879        | 633          | 5,879        |
| Retirement benefit cost                               | 26           | 29           | 26           | 29           |
| Allowances                                            | 705          | 596          | 340          | 96           |
| <b>At the end of the period</b>                       | <b>1,364</b> | <b>6,504</b> | <b>999</b>   | <b>6,004</b> |
| <b>Loans and advances to key management personnel</b> |              |              |              |              |
| At start of the period                                | 311          | 578          | 311          | 578          |
| Granted during the period                             | 6            | -            | 6            | -            |
| Repayment during the period                           | (7)          | (267)        | (7)          | (267)        |
| <b>At end of the period</b>                           | <b>310</b>   | <b>311</b>   | <b>310</b>   | <b>311</b>   |
| Interest earned                                       | 6            | 20           | 6            | 20           |

Loans to key management personnel include mortgage loans and other personal loans. The loans are repayable from various repayment cycles, ranging from monthly to annually over the tenor and have an average interest rate of 4%. Loans granted to key management personnel are performing. No life time impairment has been recognised in respect of loans granted to Key management personnel (31 December 2025: Nil).

Insider related transactions:

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

These have been disclosed in accordance with CBN circular BSD/1/2004.

| 30 June 2026<br>Name of company | Relationship/Name                      | Loans      | Deposits     | Interest received | Interest paid |
|---------------------------------|----------------------------------------|------------|--------------|-------------------|---------------|
| Mr. Akindele Ogunranti          | Director                               | 281        | -            | 6                 | -             |
| Mr. Lawani Adamu                | Director                               | 19         | -            | -                 | -             |
| Dr. (Mrs.) Adobi Nwapa          | Director                               | 5          | -            | -                 | -             |
| Dr. Al-Mujtaba Abubakar, MFR    | Director                               | 4          | -            | -                 | -             |
| Mr. Louis Odom                  | Director                               | 1          | -            | -                 | -             |
| Quantum Fund Management         | Common significant shareholder/JimOvia | 24         | -            | -                 | -             |
| Sirius Lumina Limited           | Common significant shareholder/JimOvia | -          | 1            | -                 | -             |
| Cyberspace Network              | Common significant shareholder/JimOvia | 1          | 191          | -                 | -             |
| Directors                       |                                        | -          | 3,997        | -                 | 10            |
|                                 |                                        | <b>335</b> | <b>4,189</b> | <b>6</b>          | <b>10</b>     |

| 31 December 2025<br>Name of company      | Relationship/Name                       | Loans      | Deposits     | Interest received | Interest paid |
|------------------------------------------|-----------------------------------------|------------|--------------|-------------------|---------------|
| Directors                                |                                         | 364        | 2,499        | 20                | 23            |
| Quantum Fund Management                  | Common significant shareholder/Jim Ovia | 14         | 10           | -                 | -             |
| Zenith General Insurance Company Limited | Common directorship/Jim Ovia            | -          | 1,559        | -                 | -             |
| Sirius Lumina Ltd                        | Common directorship/Jim Ovia            | -          | 1            | -                 | -             |
| Cyberspace Network                       | Common significant shareholder/Jim Ovia | 1          | 677          | -                 | -             |
| Zenith Trustees Ltd                      | Common significant shareholder/Jim Ovia | -          | 7            | -                 | -             |
| At end of the year                       |                                         | <b>379</b> | <b>4,753</b> | <b>20</b>         | <b>23</b>     |

Loans granted to related parties are secured over real estate and other assets of the respective borrowers. Loans granted to related parties are performing. No life time impairment has been recognised in respect of loans granted to related parties (31 December 2025: Nil).

During the period, Zenith Bank Plc paid N2.05 billion as insurance premium to Zenith General Insurance Limited (31 December 2025: N2.74 billion) and N1.8 billion to prudential Zenith (31 December 2025: N1.62 billion). These expenses were reported as operating expenses.

The Bank paid N692 million (31 December 2025: N3.85 billion) to Cyberspace Network for various Information technology services rendered during the period.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 37. Contingent liabilities and commitments

#### a) Legal proceedings

The Group is currently involved in several litigation suits in the ordinary course of business. The total claims against the Group is estimated at N1.7 trillion (31 December 2025: 1.9 trillion). Based on the opinion of the Group's solicitors, the estimated probable liability that may arise from the pending cases is not expected to exceed N1.7 billion (31 December 2025: N1.7 billion).

Accordingly, the Group has recognised a provision for this amount in the financial statements (Note 29). Management based on the advice of our solicitors believes that apart from the amounts provided, the outcome of these matters will not have a material adverse effect on the Group's financial position.

#### b) Capital commitments

At the reporting date, the Group had capital commitments amounting to N4,728 million (31 December 2025: N1,133 million) in respect of authorized and contracted capital projects.

|                                         | Group        |                  |
|-----------------------------------------|--------------|------------------|
| Break down of capital commitments       | 30 June 2026 | 31 December 2025 |
| <b>Property and equipment:</b>          |              |                  |
| Motor vehicles, Furniture and equipment | 1,192        | 260              |
| Property                                | 3,536        | 873              |
|                                         | <b>4,728</b> | <b>1,133</b>     |

#### c) Confirmed credits and other obligations on behalf of customers

In the normal course of business the group is a party to financial instruments with off-balance sheet risk. These instruments are issued to meet the credit and other financial requirements of customers. The contractual amounts of the off-balance sheet financial instruments are:

| In millions of Naira                                | Group            |                  | Bank             |                  |
|-----------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                     | 30 June 2026     | 31 December 2025 | 30 June 2026     | 31 December 2025 |
| Performance bonds and guarantees (see note i below) | 3,347,715        | 2,720,967        | 3,307,823        | 2,637,822        |
| Usance (see note ii below)                          | 487,518          | 506,042          | 487,518          | 506,040          |
| Letters of credit (see note ii below)               | 1,812,108        | 1,128,057        | 1,657,775        | 993,444          |
| Undrawn overdraft balance                           | 873,063          | 532,610          | 785,710          | 532,610          |
|                                                     | <b>6,520,404</b> | <b>4,887,676</b> | <b>6,238,826</b> | <b>4,669,916</b> |
| Pension Funds (See Note iii below)                  | 11,941,390       | 10,596,215       | 11,941,390       | 10,596,215       |

- The transaction related performance bonds and guarantees are, generally, short-term commitments to third parties which are not directly dependent on the customer's creditworthiness. As at 30 June 2026, performance bonds and guarantees worth N1.325 billion (31 December 2025: N6.14 billion) are secured by cash.
- Usance and letters of credit are agreements to lend to a customer in the future, subject to certain conditions. Such commitments are either made for a fixed period, or have no specific maturity dates, but are cancellable by the Group (as lender) subject to notice requirements. These Letters of credit are provided at market-related interest rates. Usance and letters of credit are secured by different types of collaterals similar to those accepted for actual credit facilities.
- The amount of N11.94 trillion (31 December 2025: N10.59 trillion) represents the total pension assets under custody held by the Bank's subsidiary, Zenith Pensions Custodian Limited under the latter's custodial business. Included in the amount above is N337 billion (31 December 2025: N371 billion) which represents the amount of the Group's guarantee for the assets held by the subsidiary as required by the National Pensions Commission of Nigeria. Other than the Guarantee on the pension assets held by our subsidiary, Zenith Pension Custodian Limited, the Group does not have any contingent liabilities in respect of related parties. The Group and Bank has undrawn loan commitments of 873 billion and N786 billion respectively (31 December 2025: N532.6 billion for Group and Bank).

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                      | Group        |                  | Bank         |                  |
|----------------------|--------------|------------------|--------------|------------------|
| In millions of Naira | 30 June 2026 | 31 December 2025 | 30 June 2026 | 31 December 2025 |

### 38. Dividend paid

|                                                    |         |         |         |         |
|----------------------------------------------------|---------|---------|---------|---------|
| Dividend proposed (interim)                        | 61,604  | 51,338  | 61,604  | 51,338  |
| Number of share in issue and ranking for dividend  | 41,070  | 41,070  | 41,070  | 41,070  |
| Proposed (interim) dividend per share paid (Naira) | 1.50    | 1.25    | 1.50    | 1.25    |
| Final Dividend paid during the period              | 359,361 | 164,280 | 359,361 | 164,280 |

The Board of Directors, pursuant to the powers vested in it by the provisions of section 426 of the Companies and Allied Matters Act (CAMA 2020) of Nigeria, proposed an interim dividend of N1.50 per share (2025: total dividend: N1.25) as at 30 June 2026.

The number of shares in issue and ranking for dividend represents the outstanding number of shares as at 30 June 2026 and 31 December 2025 respectively.

Dividends are paid to shareholders' net of withholding tax at the rate of 10% in compliance with extant tax laws.

### 39. Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents include cash and non-restricted balances with central banks, treasury bills and other eligible bills, operating account balances with other banks, amount due from other banks and short-term government securities.

|                                                                                      | Group            |                  | Bank             |                  |
|--------------------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                                                      | 30 June 2026     | 30 June 2025     | 30 June 2026     | 30 June 2025     |
| Cash and balances with central banks (less mandatory reserve deposits) (see note 15) | 728,852          | 403,464          | 425,014          | 125,983          |
| Treasury bills (3 months tenor) (see note 16)                                        | 312,392          | 1,249,053        | 10,000           | 520,095          |
| Due from other banks                                                                 | 1,630,269        | 2,157,394        | 1,065,680        | 1,774,320        |
|                                                                                      | <b>2,671,513</b> | <b>3,809,911</b> | <b>1,500,694</b> | <b>2,420,398</b> |

### 40. Compliance with Banking Regulations

During the period, the bank paid the following penalties to Central Bank of Nigeria.

| S/N | Description                                         | Amount paid in Naira |
|-----|-----------------------------------------------------|----------------------|
| 1   | Penalty for late clearance of prospective employees | 2,000,000            |
| 2   | Penalty as a result of cash management              | 19,000               |
| 3   | Penalty for infraction on the CBNNEMSF              | 2,000,000            |
|     |                                                     |                      |
|     | <b>Total</b>                                        | <b>4,019,000</b>     |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 41. Prudential Adjustments

Provisions under prudential guidelines are determined using the time-based provisioning specified by the revised Prudential Guidelines issued by the Central Bank of Nigeria. This is at variance with the expected credit loss (ECL) model required under IFRS 9. As a result of the differences in the methodology/provision, there will be variances in the impairments provisions required under the two methodologies.

Paragraph 12.4 of the revised Prudential Guidelines for Deposit Money Banks in Nigeria stipulates that Banks would be required to make provisions for loans as prescribed in the relevant IFRS when IFRS is adopted. However, Banks would be required to comply with the following:

(a) Expenses for loan losses recognised in the profit and loss account should be determined based on the relevant IFRS Accounting Standards. However, the provisions for loan losses determined under the IFRS should be compared with the loan loss provisions determined under the Prudential Guidelines. The differences between both provisions should be treated as follows:

(i) Where Prudential Provisions is greater than IFRS Accounting Standards provisions, the resulting difference should be transferred from the general reserve account to a non-distributable regulatory credit risk reserve.

(ii) Where Prudential Provisions is less than IFRS Accounting Standards provisions, the IFRS Accounting Standards determined provision is charged to the statement of comprehensive income. The cumulative balance in the regulatory credit risk reserve is thereafter transferred to the general reserve account.

(b) The non-distributable reserve is classified under Tier 1 as part of the core capital for the purpose of determining capital adequacy.

In the guidelines to IFRS implementation, the Central Bank of Nigeria (CBN) directed banks to maintain a regulatory credit risk reserve in the event that the impairment on loans determined using the CBN prudential guideline is higher than the impairment determined using IFRS principles.

Provision for loan losses per prudential guidelines

In millions of Naira

|                                                    | Bank         |                  |
|----------------------------------------------------|--------------|------------------|
|                                                    | 30 June 2026 | 31 December 2025 |
| <b>Loans and advances:</b>                         |              |                  |
| -Lost                                              | 237,189      | 375,363          |
| -Doubtful                                          | 15,586       | 17,899           |
| Sub-standard                                       | 11,196       | 26,364           |
| -Performing                                        | 193,617      | 166,459          |
| -Other known losses                                | -            | 4,937            |
| (a)                                                | 457,588      | 591,022          |
| <b>Impairment assessment under IFRS</b>            |              |                  |
| <b>Loans and advances</b>                          |              |                  |
| 12 months ECL credit                               | 50,768       | 52,554           |
| Life time ECL not impaired                         | 6,263        | 218,146          |
| Life time ECL credit impaired                      | 427,931      | 304,554          |
| (b)                                                | 484,962      | 575,254          |
| Due from Banks - 12 months ECL (c)                 | 28           | 25               |
| Treasury bills - 12 months ECL (d)                 | 163          | 66               |
| Asset pledged as collateral- 12 months ECL (e)     | 4            | 6                |
| Investment securities- 12 months ECL (f)           | 649          | 1,512            |
| Other financial assets- ECL allowance (g)          | 21,016       | 17,874           |
| Other non-financial assets (h)                     | 1,309        | 1,309            |
| Off Balance Sheet Exposures- 12 months ECL (i)     | 16,509       | 3,803            |
| (m)=(b)+(c)+(d)+(e)+(f)+(g)+(h)+(i)                | 524,640      | 599,849          |
| <b>Transfer to credit risk reserve (n)=(a)-(m)</b> | -            | -                |

As as 30 June 2026, the Bank holds a total of N104,111 million in its credit risk reserves.

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

### 42. Statement of cash flow workings

#### (i) Investment securities (see note 17 & 21) 30 June 2026

|                                                                         |
|-------------------------------------------------------------------------|
| At 1 January 2026                                                       |
| Change in ECL allowance                                                 |
| Additions to Investment securities                                      |
| Disposal of Investment securities                                       |
| Unrealised gain from changes in fair value recognised in profit or loss |
| Fair value gain/loss OCI                                                |
| Interest income                                                         |
| Interest received                                                       |
| Acquired from Business Combination                                      |
| Foreign exchange difference                                             |

#### Balance as at 30 June 2026

Recognised in cash flow statement

|                                                                                   | Group                                                          |                                                                                   | Bank                                                           |  |
|-----------------------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------------------------------------------------|----------------------------------------------------------------|--|
| Investment securities (including pledged instruments) at amortised cost and FVOCI | Investment securities (including pledged instruments) at FVTPL | Investment securities (including pledged instruments) at amortised cost and FVOCI | Investment securities (including pledged instruments) at FVTPL |  |
| 5,490,393                                                                         | 35,077                                                         | 2,400,631                                                                         | 33,840                                                         |  |
| 4,968                                                                             | -                                                              | 864                                                                               | -                                                              |  |
| 563,102                                                                           | -                                                              | 474,965                                                                           | -                                                              |  |
| (449,050)                                                                         | -                                                              | (308,723)                                                                         | -                                                              |  |
| -                                                                                 | 55                                                             | -                                                                                 | 138                                                            |  |
| (16,667)                                                                          | -                                                              | (15,363)                                                                          | -                                                              |  |
| 251,797                                                                           | -                                                              | 164,369                                                                           | -                                                              |  |
| (263,771)                                                                         | -                                                              | (171,643)                                                                         | -                                                              |  |
| 38,078                                                                            | 5,807                                                          | -                                                                                 | -                                                              |  |
| (151,008)                                                                         | -                                                              | (9,847)                                                                           | -                                                              |  |
| <b>(5,467,842)</b>                                                                | <b>(47,267)</b>                                                | <b>(2,535,253)</b>                                                                | <b>(9,212)</b>                                                 |  |
| -                                                                                 | (6,328)                                                        | -                                                                                 | 24,766                                                         |  |

#### 30 June 2025

|                                                                         |
|-------------------------------------------------------------------------|
| At 1 January 2025                                                       |
| Change in ECL allowance                                                 |
| Additions to Investment securities                                      |
| Disposal to Investment Securities                                       |
| Unrealised gain from changes in fair value recognised in profit or loss |
| Fair value gain/loss OCI                                                |
| Interest income                                                         |
| Interest received                                                       |
| Derecognition loss                                                      |

#### Balance as at 30 June 2025

Recognised in cash flow statement

|                                                                                   | Group                                                          |                                                                                   | Bank                                                           |  |
|-----------------------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------------------------------------------------|----------------------------------------------------------------|--|
| Investment securities (including pledged instruments) at amortised cost and FVOCI | Investment securities (including pledged instruments) at FVTPL | Investment securities (including pledged instruments) at amortised cost and FVOCI | Investment securities (including pledged instruments) at FVTPL |  |
| 5,323,018                                                                         | 41,892                                                         | 2,302,411                                                                         | 35,238                                                         |  |
| (408)                                                                             | -                                                              | (64)                                                                              | -                                                              |  |
| 164,676                                                                           | -                                                              | 57,926                                                                            | -                                                              |  |
| (312,182)                                                                         | -                                                              | (51,117)                                                                          | -                                                              |  |
| -                                                                                 | 249                                                            | -                                                                                 | 249                                                            |  |
| 33,218                                                                            | -                                                              | 29,486                                                                            | -                                                              |  |
| 259,656                                                                           | -                                                              | 159,998                                                                           | -                                                              |  |
| (175,788)                                                                         | -                                                              | (68,244)                                                                          | -                                                              |  |
| 84,333                                                                            | -                                                              | (2,584)                                                                           | -                                                              |  |
| <b>(5,376,523)</b>                                                                | <b>(59,863)</b>                                                | <b>(2,427,812)</b>                                                                | <b>(37,006)</b>                                                |  |
| -                                                                                 | (17,722)                                                       | -                                                                                 | (1,519)                                                        |  |

In millions of Naira

#### (iia) Treasury bills (Amortised cost) (see note 16 & 17)

|                                                                               |
|-------------------------------------------------------------------------------|
| Treasury bills (including pledged instruments) at amortised cost as 1 January |
| Change in ECL allowance                                                       |
| Interest income                                                               |
| Additions                                                                     |
| Redemptions                                                                   |
| Interest received                                                             |
| Acquired from Business Combination                                            |
| Foreign exchange movement                                                     |

#### Balance as at 30 June 2026

|                    | Group              |                    | Bank               |              |
|--------------------|--------------------|--------------------|--------------------|--------------|
|                    | 30 June 2026       | 30 June 2025       | 30 June 2026       | 30 June 2025 |
| (4,223,331)        | (815,382)          | (3,462,014)        | (781,238)          |              |
| 97                 | 14                 | 97                 | 14                 |              |
| (318,612)          | (364,214)          | (271,320)          | (266,574)          |              |
| (6,321,074)        | (2,718,270)        | (1,975,079)        | (2,169,443)        |              |
| 7,779,476          | 836,114            | 3,010,563          | 543,050            |              |
| 346,316            | -                  | 269,775            | -                  |              |
| (3,743)            | -                  | -                  | -                  |              |
| 86,132             | -                  | -                  | -                  |              |
| <b>(2,654,739)</b> | <b>(3,061,738)</b> | <b>(2,427,978)</b> | <b>(2,674,191)</b> |              |
| -                  | -                  | -                  | -                  |              |

# ZENITH BANK PLC

## Notes to the Consolidated and Separate Financial Statements for the Year Ended 30 June 2026

|                                                                                                  | Group              |                  | Bank               |                  |
|--------------------------------------------------------------------------------------------------|--------------------|------------------|--------------------|------------------|
| In millions of Naira                                                                             | 30 June 2026       | 30 June 2025     | 30 June 2026       | 30 June 2025     |
| <b>42. Statement of cash flow workings (continued)</b>                                           |                    |                  |                    |                  |
| <b>(iib) Treasury bills (FVTPL) (see note 16)</b>                                                |                    |                  |                    |                  |
| Treasury bills fair value through profit or loss (including pledged instruments) as at 1 January | 279,864            | 1,644,823        | 279,864            | 1,644,823        |
| Unrealised fair value gain                                                                       | 4,974              | (21,419)         | 4,974              | (21,419)         |
| Interest income                                                                                  | 87,603             | 158,543          | 87,603             | 158,543          |
| Balance as at 31 December 2025                                                                   | (1,690,138)        | (625,678)        | (1,690,138)        | (625,678)        |
| <b>Recognised in Cashflow</b>                                                                    | <b>(1,317,697)</b> | <b>1,156,269</b> | <b>(1,317,697)</b> | <b>1,156,269</b> |
| <b>(iii) Loans and advances (see note 20)</b>                                                    |                    |                  |                    |                  |
| Loans and advances at 1 January                                                                  | 10,448,952         | 9,965,364        | 8,167,344          | 8,708,775        |
| Changes in ECL allowance                                                                         | (129,359)          | (791,196)        | (125,586)          | (786,730)        |
| Interest Income                                                                                  | 945,846            | 935,752          | 826,589            | 848,353          |
| Interest received                                                                                | (950,679)          | (1,082,840)      | (835,012)          | (980,946)        |
| Acquired from Business Combination                                                               | 96,210             | -                | -                  | -                |
| Balance as at end of year                                                                        | (12,048,365)       | (9,601,715)      | (9,579,809)        | (7,829,474)      |
| <b>Recognised in Cash flow</b>                                                                   | <b>(1,637,395)</b> | <b>(574,635)</b> | <b>(1,546,474)</b> | <b>(40,022)</b>  |
| <b>(iv) Customer deposits</b>                                                                    |                    |                  |                    |                  |
| As at 1 January                                                                                  | (24,329,961)       | (21,959,369)     | (18,114,919)       | (17,163,424)     |
| Interest expense                                                                                 | (387,299)          | (349,835)        | (310,107)          | (267,296)        |
| Interest paid                                                                                    | 413,307            | 371,600          | 322,613            | 266,190          |
| Acquired from Business Combination                                                               | (135,368)          | -                | -                  | -                |
| Exchange difference                                                                              | 9,325              | 69,662           | -                  | -                |
| Balance as at end of period                                                                      | 26,347,903         | 23,483,444       | 19,923,655         | 17,901,107       |
| <b>Recognised in Cash flow</b>                                                                   | <b>1,917,907</b>   | <b>1,615,502</b> | <b>1,821,242</b>   | <b>736,577</b>   |
| <b>(v) Other liabilities (see note 29)</b>                                                       |                    |                  |                    |                  |
| As at 1 January                                                                                  | (1,150,591)        | (1,402,045)      | (1,043,195)        | (1,323,440)      |
| Changes in ECL allowance                                                                         | (13,189)           | 40,602           | (12,708)           | 40,032           |
| Lease modification                                                                               | (1,232)            | (431)            | (1,322)            | (431)            |
| Lease liability additions                                                                        | (5,456)            | (386)            | (786)              | (386)            |
| Interest expense on lease liability                                                              | (1,986)            | (2,315)          | (569)              | (579)            |
| Lease interest paid                                                                              | 270                | 42               | 32                 | 42               |
| Principal repayment on lease liability                                                           | 5,102              | 3,569            | 1,951              | 951              |
| Unclaimed dividend received                                                                      | (270)              | 3,991            | (270)              | 3,991            |
| Impact of hyperinflation                                                                         | -                  | (4,679)          | -                  | -                |
| Acquired from Business Combination                                                               | (1,257)            | -                | -                  | -                |
| Reclassification                                                                                 | (26,433)           | (4,677)          | (26,433)           | (3,919)          |
| Balance as at end of year                                                                        | 1,122,391          | 1,718,885        | 1,027,003          | 1,573,443        |
| <b>Net cash movement in operating activities</b>                                                 | <b>(72,651)</b>    | <b>352,556</b>   | <b>(56,297)</b>    | <b>289,704</b>   |
| <b>(vi) Loss/(Gain) on disposal of property and equipment</b>                                    |                    |                  |                    |                  |
| Cost (see note 25)                                                                               | 1,280              | 2,586            | 1,153              | 2,576            |
| Accumulated depreciation (see note 25)                                                           | (954)              | (1,928)          | (959)              | (1,919)          |
| Net book value                                                                                   | 326                | 658              | 194                | 657              |
| Sales proceed                                                                                    | 1,327              | 1,131            | 378                | 1,124            |
| <b>(Loss)/Profit on Disposal (see note 10)</b>                                                   | <b>(1,001)</b>     | <b>(473)</b>     | <b>(184)</b>       | <b>(467)</b>     |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                                        | Group            |                    | Bank             |                  |
|--------------------------------------------------------|------------------|--------------------|------------------|------------------|
| In millions of Naira                                   | 30 June 2026     | 30 June 2025       | 30 June 2026     | 30 June 2025     |
| <b>42. Statement of cash flow workings (continued)</b> |                  |                    |                  |                  |
| <b>(vii) Due from Banks (greater than 90 days)</b>     |                  |                    |                  |                  |
| As at 1 January                                        | 512,519          | 894,246            | 512,519          | 1,294,171        |
| Changes in ECL allowance                               | (3)              | 12,286             | (3)              | 12,286           |
| Interest income                                        | 4,030            | 121,084            | 4,030            | 98,099           |
| Interest received                                      | (21,120)         | (62,754)           | (3,808)          | (39,769)         |
| Balance as at end of period                            | (458,434)        | (876,112)          | (603,784)        | (1,078,474)      |
| <b>Recognised in cash flow statement</b>               | <b>36,992</b>    | <b>88,750</b>      | <b>(91,046)</b>  | <b>286,313</b>   |
| <b>(viii) Other assets</b>                             |                  |                    |                  |                  |
| As at 1 January                                        | 572,712          | 326,725            | 328,884          | 184,136          |
| Changes in ECL allowance                               | (3,190)          | (21,668)           | (3,142)          | (21,655)         |
| Investment in subsidiary reclassification              | -                | -                  | (73,679)         | -                |
| Acquired from Business Combination                     | 4,269            | -                  | -                | -                |
| Reclassification                                       | -                | 758                | -                | -                |
| Impact of hyperinflation                               | -                | 33,169             | -                | -                |
| Balance as at end of period                            | (796,148)        | (525,299)          | (403,551)        | (328,598)        |
| <b>Net cash movement in operating activities</b>       | <b>(222,357)</b> | <b>(186,315)</b>   | <b>(151,488)</b> | <b>(166,117)</b> |
| <b>(ix) Net movement in Derivatives</b>                |                  |                    |                  |                  |
| <b>Derivative assets</b>                               |                  |                    |                  |                  |
| As at 1 January                                        | 8,146            | 280,626            | 1,416            | 271,213          |
| Unrealised fair value gain                             | (6,217)          | (221,377)          | (3,412)          | (212,707)        |
| Balance as at end of period                            | 6,217            | 221,377            | 3,412            | 212,707          |
|                                                        | <b>8,146</b>     | <b>280,626</b>     | <b>1,416</b>     | <b>271,213</b>   |
| <b>Derivative liabilities</b>                          |                  |                    |                  |                  |
| As at 1 January                                        | 196,072          | 9,258              | 195,498          | 4,465            |
| Unrealised fair value changes                          | 106,275          | 22,463             | 105,868          | 18,066           |
| Balance as at end of period                            | (106,275)        | (22,463)           | (105,868)        | (18,066)         |
| Recognised in cash flow                                | 196,072          | 9,258              | 195,498          | 4,465            |
| <b>Net movement in derivatives</b>                     | <b>(187,926)</b> | <b>271,368</b>     | <b>(194,082)</b> | <b>266,748</b>   |
| <b>(x) Restricted balances (Cash Reserve)</b>          |                  |                    |                  |                  |
| Opening Balance                                        | 6,436,541        | 5,356,128          | 5,742,149        | 4,933,587        |
| Reclassification                                       | -                | (122,237)          | -                | (122,237)        |
| Mandatory Reserve deposit with Central Bank            | (6,101,141)      | (6,227,560)        | (5,412,313)      | (5,764,966)      |
| Special Cash Reserve                                   | (48,241)         | (26,928)           | (48,227)         | (26,928)         |
| <b>Recognised in cashflow</b>                          | <b>287,159</b>   | <b>(1,020,597)</b> | <b>281,609</b>   | <b>(980,544)</b> |
| <b>(xi) Interest paid on operating activities</b>      |                  |                    |                  |                  |
| Customer deposit (see note 44(iv))                     | (413,307)        | (371,600)          | (322,613)        | (266,190)        |
| <b>(xib) Interest paid on financing activities</b>     |                  |                    |                  |                  |
| Onlending facilities (see note 30b)                    | (1,698)          | (143)              | (204)            | (143)            |
| Lease liabilities (see 44(v))                          | (270)            | (42)               | (32)             | (42)             |
| Borrowings (see note 31)                               | (42,028)         | (231,004)          | (29,616)         | (207,912)        |
|                                                        | <b>(43,996)</b>  | <b>(231,189)</b>   | <b>(29,852)</b>  | <b>(208,097)</b> |



# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                                                                  | Group            |                  | Bank            |                  |
|----------------------------------------------------------------------------------|------------------|------------------|-----------------|------------------|
| In millions of Naira                                                             | 30 June 2026     | 30 June 2025     | 30 June 2026    | 30 June 2025     |
| <b>42. Statement of cash flow workings (continued)</b>                           |                  |                  |                 |                  |
| <b>(xii) Unrealised fair value change</b>                                        |                  |                  |                 |                  |
| Investment securities (see note 44(i))                                           | (55)             | (249)            | (138)           | (249)            |
| Treasury bills (see note 44(ii))                                                 | (4,974)          | 21,419           | (4,974)         | 21,419           |
| Derivatives (see note 44(ix))                                                    | 100,058          | (198,914)        | 102,456         | (194,641)        |
|                                                                                  | <b>95,029</b>    | <b>(177,744)</b> | <b>97,344</b>   | <b>(173,471)</b> |
| <b>(xiiia) Interest received from operating activities</b>                       |                  |                  |                 |                  |
| Due from other banks above 90 days (see note 41(vii))                            | 21,120           | -                | 3,808           | -                |
| Due from other banks below 90 days                                               | 68,233           | 62,754           | 50,921          | 39,769           |
| Loans and advances (see note 41(iii))                                            | 950,679          | 1,082,840        | 835,012         | 980,946          |
|                                                                                  | <b>1,040,032</b> | <b>1,145,594</b> | <b>889,741</b>  | <b>1,020,715</b> |
| <b>(xiiib) Interest received from Treasury bills and investment securities</b>   |                  |                  |                 |                  |
| Treasury bills and Investment securities (see note 41(i))                        | 610,087          | 175,788          | 441,418         | 68,244           |
|                                                                                  | <b>610,087</b>   | <b>175,788</b>   | <b>441,418</b>  | <b>68,244</b>    |
| <b>(xiva) Acquisition of Right of use asset</b>                                  |                  |                  |                 |                  |
| Addition to right of use (see note 26)                                           | (6,296)          | (478)            | (1,065)         | (478)            |
| Lease liability addition (see note 44(v))                                        | 5,456            | 386              | 786             | 386              |
|                                                                                  | <b>(840)</b>     | <b>(92)</b>      | <b>(279)</b>    | <b>(92)</b>      |
| <b>(xivb) Additions to property, plant and equipment other than right of use</b> |                  |                  |                 |                  |
| Addition to property, plant and equipment (see note 26)                          | (115,918)        | (47,087)         | (98,180)        | (39,853)         |
| Addition to right of use asset (see note 26)                                     | 6,296            | 478              | 1,065           | 478              |
|                                                                                  | <b>(109,622)</b> | <b>(46,609)</b>  | <b>(97,115)</b> | <b>(39,375)</b>  |
| <b>(xv) Addition to investment securities</b>                                    |                  |                  |                 |                  |
| Investment securities at amortized cost and FVOCI                                | -                | (164,676)        | -               | (57,926)         |
|                                                                                  | <b>-</b>         | <b>(164,676)</b> | <b>-</b>        | <b>(57,926)</b>  |
| <b>(xvi) Lease Modification</b>                                                  |                  |                  |                 |                  |
| Right of use                                                                     | (1,364)          | 431              | (1,364)         | 431              |
| Lease Liability                                                                  | 1,232            | (431)            | 1,322           | (431)            |
|                                                                                  | <b>(132)</b>     | <b>-</b>         | <b>(42)</b>     | <b>-</b>         |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

|                                                          | Group            |                  | Bank             |                  |
|----------------------------------------------------------|------------------|------------------|------------------|------------------|
| In millions of Naira                                     | 30 June 2026     | 30 June 2025     | 30 June 2026     | 30 June 2025     |
| <b>(xvii) Unclaimed dividend received</b>                |                  |                  |                  |                  |
| As at 1 January                                          | (4,483)          | (30,600)         | (4,483)          | (30,600)         |
| Balance as at 31 Dec 2025                                | 4,753            | 26,609           | 4,753            | 26,609           |
|                                                          | <b>270</b>       | <b>(3,991)</b>   | <b>270</b>       | <b>(3,991)</b>   |
| <b>(xviii) Lease derecognition</b>                       |                  |                  |                  |                  |
| Right of use- cost                                       | -                | -                | -                | -                |
| lease liability                                          | (8)              | -                | -                | -                |
|                                                          | <b>(8)</b>       | <b>-</b>         | <b>-</b>         | <b>-</b>         |
| <b>(xix) Impairment expense</b>                          |                  |                  |                  |                  |
| Impairment charge on financial instruments               | 141,119          | 802,656          | 140,672          | 797,417          |
| Impairment (credit)/charge on non-financial instruments  | -                | (41,842)         | -                | (41,272)         |
|                                                          | <b>141,119</b>   | <b>760,814</b>   | <b>140,672</b>   | <b>756,145</b>   |
| <b>(xx) Dividend received</b>                            |                  |                  |                  |                  |
| Dividend income                                          | 296              | 9,725            | 296              | 9,725            |
|                                                          | <b>296</b>       | <b>9,725</b>     | <b>296</b>       | <b>9,725</b>     |
| <b>(xxi) Tax paid</b>                                    |                  |                  |                  |                  |
| Current tax receivable                                   | (23,570)         | 13,917           | (177,115)        | -                |
| Current tax payable                                      | (201,883)        | (306,973)        | -                | (271,504)        |
|                                                          | <b>(225,453)</b> | <b>(293,056)</b> | <b>(177,115)</b> | <b>(271,504)</b> |
| <b>(xxii) Foreign exchange revaluation loss</b>          |                  |                  |                  |                  |
| Cash and bank balances                                   | 2,418            | (2,884)          | 2,418            | (2,884)          |
| Due to other banks                                       | (516,814)        | (70,976)         | (1,541)          | (34,165)         |
| Investment securities                                    | 151,008          | (84,332)         | 9,847            | 2,585            |
| Current tax receivable                                   | -                | (150)            | -                | -                |
| Borrowings                                               | (41,132)         | (8,750)          | (9,532)          | (49,720)         |
|                                                          | <b>(404,520)</b> | <b>(167,092)</b> | <b>1,192</b>     | <b>(84,184)</b>  |
| <b>(xxiii) Net cash acquired on business combination</b> |                  |                  |                  |                  |
| Cash paid for purchase of subsidiary                     | (10,300)         | -                | -                | -                |
| Cash acquired from subsidiary                            | 23,012           | -                | -                | -                |
|                                                          | <b>12,712</b>    | <b>-</b>         | <b>-</b>         | <b>-</b>         |

# ZENITH BANK PLC

## Notes to the Interim Consolidated and Separate Financial Statements for the six month period ended 30 June 2026

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### 43. Comparatives

Certain disclosures and some prior period figures have been re-presented to conform with current period presentation.

### 44. Events after the reporting period

There were no other significant events after the reporting period which could have a material effect on the state of affairs of the Group and the Bank as at 30 June 2026 and the net results for the year ended, which have not been adequately provided for or disclosed in these financial statements.

## OTHER NATIONAL DISCLOSURES

# ZENITH BANK PLC

## Value Added Statement

| In millions of Naira                                                                                     | 30 June 2026   | 30 June 2026<br>% | 30 June 2025   | 30 June 2025<br>% |
|----------------------------------------------------------------------------------------------------------|----------------|-------------------|----------------|-------------------|
| <b>Group</b>                                                                                             |                |                   |                |                   |
| <b>Value Added</b>                                                                                       |                |                   |                |                   |
| Gross income                                                                                             | 1,899,947      |                   | 2,520,759      |                   |
| Interest and fee expense                                                                                 |                |                   |                |                   |
| -Local                                                                                                   | (378,897)      |                   | (188,231)      |                   |
| -Foreign                                                                                                 | (108,570)      |                   | (364,658)      |                   |
|                                                                                                          | 1,412,480      |                   | 1,967,870      |                   |
| Impairment loss on financial and non-financial instruments                                               | (141,119)      |                   | (760,814)      |                   |
|                                                                                                          | 1,271,361      |                   | 1,207,056      |                   |
| Bought - in materials and services                                                                       |                |                   |                |                   |
| -Local                                                                                                   | (409,114)      |                   | (371,062)      |                   |
| -Foreign                                                                                                 | (42,213)       |                   | (40,226)       |                   |
| <b>Value added</b>                                                                                       | <b>820,034</b> | <b>100</b>        | <b>795,768</b> | <b>100</b>        |
| <b>Distribution</b>                                                                                      |                |                   |                |                   |
| <b>Employees</b>                                                                                         |                |                   |                |                   |
| <b>Salaries and benefits</b>                                                                             | <b>138,451</b> | <b>17</b>         | <b>134,568</b> | <b>17</b>         |
| <b>Government</b>                                                                                        |                |                   |                |                   |
| <b>Income tax</b>                                                                                        | <b>206,841</b> | <b>25</b>         | <b>93,449</b>  | <b>12</b>         |
| <b>Retained in the Group</b>                                                                             |                |                   |                |                   |
| Replacement of property and equipment / intangible assets                                                | 43,980         | 5                 | 35,572         | 4                 |
| Profit for the period (including statutory reserves, small scale industry, and non-controlling interest) | 430,762        | 53                | 532,179        | 67                |
| <b>Total Value Added</b>                                                                                 | <b>820,034</b> | <b>100</b>        | <b>795,768</b> | <b>100</b>        |

Value added represents the additional wealth which the group has been able to create by its own and employees efforts.

# ZENITH BANK PLC

## Value Added Statement

| In millions of Naira                                                          | 30 June 2026   | 30 June 2026<br>% | 30 June 2025   | 30 June 2025<br>% |
|-------------------------------------------------------------------------------|----------------|-------------------|----------------|-------------------|
| <b>Bank</b>                                                                   |                |                   |                |                   |
| Gross Income                                                                  | 1,536,331      |                   | 2,142,177      |                   |
| Interest and fee expense                                                      |                |                   |                |                   |
| -Local                                                                        | (378,204)      |                   | (188,229)      |                   |
| -Foreign                                                                      | (24,486)       |                   | (249,307)      |                   |
|                                                                               | 1,133,641      |                   | 1,704,641      |                   |
| Impairment loss on financial and non-financial instruments                    | (140,673)      |                   | (756,145)      |                   |
|                                                                               | 992,968        |                   | 948,496        |                   |
| Bought-in material and services                                               |                |                   |                |                   |
| -Local                                                                        | (406,299)      |                   | (372,312)      |                   |
| -Foreign                                                                      | -              |                   | -              |                   |
| <b>Value added</b>                                                            | <b>586,669</b> | <b>100</b>        | <b>576,184</b> | <b>100</b>        |
| <b>Distribution</b>                                                           |                |                   |                |                   |
| <b>Employees</b>                                                              |                |                   |                |                   |
| Salaries and benefits                                                         | 92,883         | 16                | 87,123         | 15                |
| <b>Government</b>                                                             |                |                   |                |                   |
| Income tax                                                                    | 152,777        | 26                | 37,288         | 7                 |
| <b>Retained in the Bank</b>                                                   |                |                   |                |                   |
| Replacement of property and equipment/intangible assets                       | 33,586         | 6                 | 25,059         | 4                 |
| Profit for the period (including statutory reserves and small scale industry) | 307,423        | 52                | 426,714        | 74                |
| <b>Total Value Added</b>                                                      | <b>586,669</b> | <b>100</b>        | <b>576,184</b> | <b>100</b>        |

Value added represents the additional wealth which the Bank has been able to create by its own and employees efforts.

# ZENITH BANK PLC

## Five-Year Financial Summary

In millions of Naira

30 June 2026 31 December 2025 31 December 2024 31 December 2023 31 December 2022

### Group

#### Statement of Financial Position

##### Assets

|                                      |            |            |           |           |           |
|--------------------------------------|------------|------------|-----------|-----------|-----------|
| Cash and balances with central banks | 6,878,234  | 6,925,426  | 5,888,216 | 4,253,374 | 2,201,744 |
| Treasury bills                       | 4,657,269  | 4,662,814  | 2,678,929 | 2,736,273 | 2,246,538 |
| Assets pledged as collateral         | 128,140    | 115,525    | 266,866   | 308,638   | 254,663   |
| Due From Other Banks                 | 2,088,703  | 2,721,675  | 4,935,707 | 1,834,314 | 1,302,811 |
| Derivative assets                    | 6,217      | 8,146      | 280,626   | 534,739   | 49,874    |
| Loans and advances                   | 12,048,365 | 10,448,952 | 9,965,364 | 6,556,470 | 4,013,705 |
| Investment securities                | 5,386,968  | 5,409,945  | 5,098,044 | 3,290,895 | 1,728,334 |
| Current tax receivable               | 10,398     | 3,721      | 6,869     | 18,975    | -         |
| Deferred tax                         | 27,961     | 32,296     | 21,542    | 17,251    | 18,343    |
| Other assets                         | 796,149    | 572,712    | 326,725   | 474,976   | 213,523   |
| Property and equipment               | 545,308    | 478,018    | 400,441   | 295,532   | 230,843   |
| Intangible assets                    | 72,193     | 78,821     | 88,196    | 47,018    | 25,251    |

|                     |                   |                   |                   |                   |                   |
|---------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| <b>Total assets</b> | <b>32,645,905</b> | <b>31,458,051</b> | <b>29,957,525</b> | <b>20,368,455</b> | <b>12,285,629</b> |
|---------------------|-------------------|-------------------|-------------------|-------------------|-------------------|

##### Liabilities

|                          |            |            |            |            |           |
|--------------------------|------------|------------|------------|------------|-----------|
| Customer deposits        | 26,347,903 | 24,329,961 | 21,959,369 | 15,167,740 | 8,975,653 |
| Derivative liabilities   | 106,275    | 196,072    | 9,258      | 70,486     | 6,325     |
| Current tax payable      | 67,628     | 95,198     | 256,168    | 33,877     | 64,856    |
| Deferred tax liabilities | 16,953     | 7,492      | 5,502      | 59,310     | 16,654    |
| Other liabilities        | 1,122,392  | 1,150,591  | 1,402,045  | 1,039,712  | 568,559   |
| On-lending facilities    | 87,260     | 103,369    | 250,725    | 263,065    | 311,192   |
| Borrowings               | 11,128     | 651,162    | 2,045,185  | 1,410,885  | 963,450   |
| Debt Securities issued   | -          | -          | -          | -          | -         |

|                          |                   |                   |                   |                   |                   |
|--------------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| <b>Total liabilities</b> | <b>27,759,539</b> | <b>26,533,845</b> | <b>25,928,252</b> | <b>18,045,075</b> | <b>10,906,689</b> |
|--------------------------|-------------------|-------------------|-------------------|-------------------|-------------------|

|            |           |           |           |           |           |
|------------|-----------|-----------|-----------|-----------|-----------|
| Net assets | 4,886,366 | 4,924,206 | 4,029,273 | 2,323,380 | 1,378,940 |
|------------|-----------|-----------|-----------|-----------|-----------|

##### Equity

|                   |           |           |           |           |         |
|-------------------|-----------|-----------|-----------|-----------|---------|
| Share capital     | 20,535    | 20,535    | 20,535    | 15,698    | 15,698  |
| Share premium     | 594,113   | 594,113   | 594,113   | 255,047   | 255,047 |
| Retained earnings | 2,815,883 | 2,808,194 | 2,015,513 | 1,179,390 | 625,005 |
| Other Reserves    | 1,451,921 | 1,497,570 | 1,396,747 | 871,617   | 482,377 |

|                                                     |                  |                  |                  |                  |                  |
|-----------------------------------------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Attributable to equity holders of the parent</b> | <b>4,882,452</b> | <b>4,920,412</b> | <b>4,026,908</b> | <b>2,321,752</b> | <b>1,378,127</b> |
|-----------------------------------------------------|------------------|------------------|------------------|------------------|------------------|

|                          |       |       |       |       |     |
|--------------------------|-------|-------|-------|-------|-----|
| Non-controlling interest | 3,914 | 3,794 | 2,365 | 1,628 | 813 |
|--------------------------|-------|-------|-------|-------|-----|

|                                   |                  |                  |                  |                  |                  |
|-----------------------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Total shareholders' equity</b> | <b>4,886,366</b> | <b>4,924,206</b> | <b>4,029,273</b> | <b>2,323,380</b> | <b>1,378,940</b> |
|-----------------------------------|------------------|------------------|------------------|------------------|------------------|

# ZENITH BANK PLC

## Five-Year Financial Summary

In millions of Naira

30 June 2026 31 December 2025 31 December 2024 31 December 2023 31 December 2022

### Statements of Profit or Loss and Other Comprehensive Income

|                                                                               |                |                  |                  |                  |                |
|-------------------------------------------------------------------------------|----------------|------------------|------------------|------------------|----------------|
| Gross earnings                                                                | 1,899,944      | 4,192,003        | 3,970,959        | 2,131,750        | 945,554        |
| Interest expense                                                              | (421,800)      | (1,033,429)      | (992,474)        | (408,492)        | (173,539)      |
| Operating and direct expenses                                                 | (699,422)      | (1,153,594)      | (992,829)        | (517,680)        | (364,113)      |
| Impairment charge for financial and non-financial assets                      | (141,119)      | (741,610)        | (658,805)        | (409,616)        | (123,252)      |
| <b>Profit before taxation</b>                                                 | <b>637,603</b> | <b>1,263,370</b> | <b>1,326,851</b> | <b>795,962</b>   | <b>284,650</b> |
| Taxation                                                                      | (206,841)      | (222,824)        | (293,956)        | (119,053)        | (60,739)       |
| <b>Profit after tax</b>                                                       | <b>430,762</b> | <b>1,040,546</b> | <b>1,032,895</b> | <b>676,909</b>   | <b>223,911</b> |
| Foreign currency translation differences                                      | (92,804)       | (82,128)         | 220,288          | 162,942          | (28,768)       |
| Impact of applying IAS 29 on 1 January 2023                                   | -              | 141,402          | 109,202          | 81,408           | -              |
| Fair value movement on equity instruments                                     | (15,363)       | 7,379            | 151,011          | 122,252          | 8,109          |
| Fair value movements on debt securities at FVOCI                              | (1,055)        | 4,583            | 6,046            | 10,280           | (6,602)        |
| Income tax effect relating to fair value movement on debt securities at FVOCI | (22)           | (1,223)          | (2,841)          | (2,603)          | -              |
| <b>Total Comprehensive income</b>                                             | <b>321,518</b> | <b>1,110,559</b> | <b>1,516,601</b> | <b>1,051,188</b> | <b>196,650</b> |
| <b>Earnings per share</b>                                                     |                |                  |                  |                  |                |
| Basic and diluted (kobo)                                                      | 1,048          | 2,532            | 3,287            | 2,155            | 714            |



# ZENITH BANK PLC

## Five-Year Financial Summary

In millions of Naira

30 June 2026 31 December 2025 31 December 2024 31 December 2023 31 December 2022

### Bank

#### Statement of Financial Position

##### Assets

|                                      |           |           |           |           |           |
|--------------------------------------|-----------|-----------|-----------|-----------|-----------|
| Cash and balances with central banks | 5,885,554 | 5,891,436 | 5,249,789 | 3,965,386 | 2,102,394 |
| Treasury bills                       | 4,128,116 | 3,893,729 | 2,437,464 | 2,529,966 | 2,206,668 |
| Assets pledged as collateral         | 90,162    | 94,477    | 89,062    | 255,061   | 254,565   |
| Due From Other Banks                 | 1,669,464 | 2,450,381 | 4,442,436 | 1,691,722 | 1,132,796 |
| Derivatives                          | 3,412     | 1,416     | 271,213   | 507,942   | 48,851    |
| Loans and advances                   | 9,579,809 | 8,167,344 | 8,708,775 | 5,928,796 | 3,735,676 |
| Investment securities                | 2,454,303 | 2,339,994 | 2,248,587 | 1,205,724 | 622,781   |
| Investment in subsidiaries           | 145,037   | 34,625    | 34,625    | 34,625    | 34,625    |
| Investment in associates             | -         | -         | -         | -         | -         |
| Deferred tax                         | -         | 1,756     | 1,756     | -         | -         |
| Other assets                         | 403,551   | 328,884   | 184,136   | 417,419   | 193,792   |
| Property and equipment               | 401,338   | 329,007   | 290,273   | 230,267   | 214,572   |
| Intangible assets                    | 62,896    | 69,372    | 80,203    | 44,185    | 23,958    |

|                     |                   |                   |                   |                   |                   |
|---------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| <b>Total assets</b> | <b>24,823,642</b> | <b>23,602,421</b> | <b>24,038,319</b> | <b>16,811,093</b> | <b>10,570,678</b> |
|---------------------|-------------------|-------------------|-------------------|-------------------|-------------------|

##### Liabilities

|                                 |            |            |            |            |           |
|---------------------------------|------------|------------|------------|------------|-----------|
| Customer deposits               | 19,923,655 | 18,114,919 | 17,163,424 | 12,154,824 | 7,434,806 |
| Derivative liabilities          | 105,868    | 195,498    | 4,465      | 45,514     | 6,040     |
| Current tax payable             | 49,696     | 87,168     | 248,613    | 28,080     | 61,655    |
| Deferred income tax liabilities | 11,378     | -          | -          | 59,233     | 15,911    |
| Other liabilities               | 1,027,003  | 1,043,195  | 1,323,440  | 1,003,947  | 546,347   |
| On Lending Facilities           | 72,459     | 83,755     | 250,725    | 263,065    | 311,192   |
| Borrowings                      | -          | 377,003    | 1,951,616  | 1,450,182  | 999,580   |
| Debt Securities issued          | -          | -          | -          | -          | -         |

|                          |                   |                   |                   |                   |                  |
|--------------------------|-------------------|-------------------|-------------------|-------------------|------------------|
| <b>Total liabilities</b> | <b>21,190,059</b> | <b>19,901,538</b> | <b>20,942,283</b> | <b>15,004,845</b> | <b>9,375,531</b> |
|--------------------------|-------------------|-------------------|-------------------|-------------------|------------------|

|            |           |           |           |           |           |
|------------|-----------|-----------|-----------|-----------|-----------|
| Net assets | 3,633,583 | 3,700,883 | 3,096,036 | 1,806,248 | 1,195,147 |
|------------|-----------|-----------|-----------|-----------|-----------|

##### Equity

|                   |           |           |           |         |         |
|-------------------|-----------|-----------|-----------|---------|---------|
| Share capital     | 20,535    | 20,535    | 20,535    | 15,698  | 15,698  |
| Share premium     | 594,113   | 594,113   | 594,113   | 255,047 | 255,047 |
| Retained earnings | 1,915,641 | 2,013,692 | 1,538,189 | 893,938 | 494,429 |
| Reserves          | 1,103,294 | 1,072,543 | 943,199   | 641,565 | 429,973 |

|                                                     |                  |                  |                  |                  |                  |
|-----------------------------------------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Attributable to equity holders of the parent</b> | <b>3,633,583</b> | <b>3,700,883</b> | <b>3,096,036</b> | <b>1,806,248</b> | <b>1,195,147</b> |
|-----------------------------------------------------|------------------|------------------|------------------|------------------|------------------|

|                                   |                  |                  |                  |                  |                  |
|-----------------------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Total shareholder's equity</b> | <b>3,633,583</b> | <b>3,700,883</b> | <b>3,096,036</b> | <b>1,806,248</b> | <b>1,195,147</b> |
|-----------------------------------|------------------|------------------|------------------|------------------|------------------|

# ZENITH BANK PLC

## Five-Year Financial Summary

In millions of Naira

30 June 2026 31 December 2025 31 December 2024 31 December 2023 31 December 2022

### Statements of Profit or Loss and Other Comprehensive Income

|                                                          |                 |                |                  |                |                |
|----------------------------------------------------------|-----------------|----------------|------------------|----------------|----------------|
| Gross earnings                                           | 1,536,331       | 3,408,890      | 3,484,099        | 1,869,753      | 833,087        |
| Interest expense                                         | (336,811)       | (801,823)      | (839,110)        | (355,228)      | (153,019)      |
| Operating and direct expenses                            | (598,647)       | (958,530)      | (842,786)        | (448,398)      | (324,122)      |
| Impairment charge for financial and non-financial assets | (140,672)       | (725,395)      | (668,913)        | (398,412)      | (61,896)       |
| <b>Profit before tax</b>                                 | <b>460,201</b>  | <b>923,142</b> | <b>1,133,290</b> | <b>667,715</b> | <b>294,050</b> |
| Taxation                                                 | (152,777)       | (110,059)      | (197,131)        | (72,114)       | (59,457)       |
| <b>Profit after taxation</b>                             | <b>307,424</b>  | <b>813,083</b> | <b>936,159</b>   | <b>595,601</b> | <b>234,593</b> |
| Other comprehensive income                               |                 |                |                  |                |                |
| Fair value movements on equity instruments               | (15,363)        | 7,379          | 151,011          | 122,252        | 8,109          |
|                                                          | <b>(15,363)</b> | <b>7,379</b>   | <b>151,011</b>   | <b>122,252</b> | <b>8,109</b>   |
| <b>Total Comprehensive income</b>                        | <b>292,061</b>  | <b>820,462</b> | <b>1,087,170</b> | <b>717,853</b> | <b>242,702</b> |

### Earning per share

|                          |     |       |       |       |     |
|--------------------------|-----|-------|-------|-------|-----|
| Basic and diluted (kobo) | 749 | 1,980 | 2,979 | 1,897 | 747 |
|--------------------------|-----|-------|-------|-------|-----|